



SUPREME COURT REPORTS

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J. Sri Nisha
v.
The Special Director, Adjudicating Authority,
Directorate of Enforcement and Anr.

(Civil Appeal No. 4167 of 2026)

01 April 2026

[Vikram Nath and Sandeep Mehta,* JJ.]

Issue for Consideration

The writ petitions instituted by the appellants assailing the show cause notice (SCN) issued by the Adjudicating Authority under Foreign Exchange Management Act, 1999, came to be dismissed. Whether the impugned order passed by the High Court is liable to be set aside.

Headnotes[†]

Foreign Exchange Management Act, 1999 – ss.4, 37A – Foreign Exchange Management (Transfer or Issue of any Foreign Security) Regulations, 2004 – Appellants alleged to have contravened the provisions of s.4 of FEMA, r/w. FEMA Regulations, on the premise that they had acquired and held shares of a foreign entity without the requisite approval and in violation of the statutory framework – Properties seized by the Authorised Officer – Competent Authority held that there was no contravention of s.4, provisions of s.37A were held inapplicable and prayer for confirmation of seizure of assets was rejected – Parallely, Adjudicating Authority issued show cause notice (SCN) alleging violation of the provisions of FEMA along with allied regulations – A corrigendum was issued to the SCN – Writ petitions were filed by the appellants – The High Court dismissed the writ petitions – Correctness:

Held: A *prima facie* satisfaction was recorded by the Competent Authority that there was no evidence of the appellants being involved in foreign security transactions having any value – Consequently, there did not exist the “reasons to believe” referred to in s.37A(1) – This Court has consistently held that although ordinarily a writ petition against an SCN may not be entertained, however, the said proposition is not an inviolable rule – Interference at the stage of

* Author

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SCN is permissible in exceptional circumstances, such as where the notice suffers from patent lack of jurisdiction, reflects non-application of mind, is issued with a pre-determined or premeditated approach, amounts to an abuse of the process of law, or results in a violation of the principles of natural justice – Thus, the rejection of challenge laid by the appellants to the SCN on the ground of non-maintainability was not justified in the peculiar facts of the case at hand – The High Court repeatedly referred to the effect of the seizure order passed by the Authorised Officer u/s.37A of FEMA and the scope of consideration thereof by the Adjudicating Authority while passing the final order u/s.16 – The observations made by the Division Bench impliedly efface the findings recorded by the Competent Authority while refusing to confirm the seizure, thereby foreclosing the outcome of the appeal pending before the appellate authority – In effect, the Adjudicating Authority has undone the order of the Competent Authority even while the appeal against the said order is pending – Such a course of action tantamounts to abdicating the powers of the Appellate Authority, even when the order of the Competent Authority was still under challenge in appeal at the instance of the department – The impugned order passed by the High Court and the order passed by the Adjudicating Authority imposing penalty and ordering confiscation of the property held by appellants are declared to be arbitrary and contrary to law – The same are hereby set aside – The proceedings are revived from the stage of the SCN. [Paras 32, 33, 35, 38, 39]

Case Law Cited

Union of India v. VICCO Laboratories [2007] 12 SCR 534 : (2007) 13 SCC 270 : 2007 SCC OnLine SC 1420 – referred to.

List of Acts

Foreign Exchange Management Act, 1999; Foreign Exchange Management (Transfer or Issue of any Foreign Security) Regulations, 2004; Constitution of India.

List of Keywords

Show cause notice (SCN); Corrigendum; Seizure of assets; Acquisition of shares in foreign entity; Reason to believe; Adjudicating Authority; Confiscation of the property; Section 37 of Foreign Exchange Management Act, 1999; Abuse of process; Foreign securities.

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Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4167 of 2026

From the Judgment and Order dated 23.07.2024 of the High Court of Judicature at Madras in WA No. 3521 of 2023.

With

Civil Appeal No(s). 4168, 4169, and 4170 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Siddharth Luthra, Harin P Raval, Hari P Raval, Sr. Advs., E. Sudarsanan, K. Suresh, Rajendra Singvi, V. Ramesh, K. Stalin Raja, C. Balaji, R. M. Narendran, Sam Jayaraj Houston, S. Manoj Kumar.

Advs. for the Respondent(s):

Anil Kaushik, A.S.G., Zoheb Hussain, Arkaj Kumar, Bhuvan Kapoor, Animesh Upadhyay, Arvind Kumar Sharma, Ms. Anushka Gupta, Ms. Aakriti Mishra.

Judgment / Order of the Supreme Court

Judgment

Mehta, J.

1. Heard.
2. Leave granted.
3. This batch of appeals arises out of the common judgment and final order dated 23rd July, 2024 passed by the Division Bench of the High Court of Judicature at Madras¹ in W.A. Nos.3520 to 3524 of 2023 and C.M.P. Nos.28745, 28749, 28748, 28750, 28756 of 2023 and 2240 of 2024.
4. The appellants herein had approached the learned Single Judge of the High Court, assailing the order/show cause notice² dated 22nd

¹ Hereinafter, referred to as the "High Court".

² For short, 'SCN'.

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December, 2021 issued by the Adjudicating Authority under the provisions of the Foreign Exchange Management Act, 1999³, and the consequential corrigendum dated 13th March, 2023.

5. The writ petitions instituted by the appellants assailing the said SCN and corrigendum came to be dismissed by the learned Single Judge *vide* common final order dated 30th November, 2023. The intra-Court appeals preferred against the said order also stand rejected by the impugned judgment dated 23rd July, 2024. It is in these circumstances that the appellants are before us by way of these appeals with special leave.
6. Since all the appeals involve identical questions of fact and law, they were heard analogously and are being decided by this common judgment.

Background: -

7. The appellants herein are the Company named M/s. Accord Distilleries & Breweries Pvt. Ltd. and its Directors. The allegations against the appellants in the questioned SCN emanate from a transaction of acquisition of 70 lakh shares of an entity named M/s. Silver Park International Pte. Ltd., a Singapore based Company, registered as per the laws of Singapore and subsequent transfer/distribution of these shares.
8. The transactions referred to above triggered the proceedings for violation of provisions of FEMA against the appellants herein. The foundational facts of these proceedings are that the appellant in Civil Appeal @ SLP (C) No.34269 of 2025, J. Sundeep Anand, an Indian citizen, being the Director of M/s. Accord Distilleries & Breweries Pvt. Ltd. had subscribed to and acquired shares/foreign securities (without consideration) in M/s. Silver Park International Pte. Ltd. allegedly without the requisite approval of the Reserve Bank of India⁴ and in violation of the provisions of the Foreign Exchange Management (Transfer or Issue of any Foreign Security) Regulations, 2004⁵. The said shares were subsequently transferred to the other appellants, who are the wife and children of J. Sundeep Anand, also without

3 For short, 'FEMA'.

4 For short, 'RBI'.

5 For short, 'FEMA Rules'.

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the requisite regulatory approval. Consequently, the appellants were alleged to have contravened the provisions of Section 4 of FEMA, read with the aforesaid Regulations, on the premise that they had acquired and held shares of a foreign entity without the requisite approval and in violation of the statutory framework. As a result, the Authorised Officer seized the properties of the appellants *vide* order dated 11th September, 2020 under Section 37A(1) of FEMA.

9. Pursuant to the initiation of proceedings, the Authorised Officer-respondent No.2⁶ herein, resorting to the procedure provided under Section 37A(2) of FEMA moved the Competent Authority, *i.e.*, the Commissioner of Customs (Appeals-I), for seizure of the assets of the appellants herein.
10. The Competent Authority, exercising powers under Section 37A(3) of FEMA after due consideration of the material placed before it, came to a conclusion that there was no proof that any of the appellants had ever paid for the shares floated by M/s. Silver Park, since the said company never made a call for the same. Consequently, no contravention of Section 4 was made out, and the provisions of Section 37A were held to be inapplicable. Accordingly, the prayer for confirmation of seizure of assets was rejected *vide* a detailed order dated 3rd February, 2021. The said order is presently under challenge at the instance of the Directorate of Enforcement before the Appellate Tribunal under SAFEMA at New Delhi in FPA-FE No. 33/CHN/2021.
11. Parallely, with the proceedings for seizure and on identical set of allegations, the Authorised Officer, moved the Adjudicating Authority-respondent No. 1⁷ herein (the Special Director of Enforcement Directorate) under Section 16(3) of FEMA, pursuant where to an SCN dated 22nd December, 2021 was issued to the appellants alleging violation of the provisions of FEMA along with allied regulations. The appellants appeared before the Adjudicating Authority in response to the SCN and advanced preliminary as well as additional submissions during the course of the proceedings. After the personal hearing was concluded and the matter was reserved for orders by the Adjudicating Authority, a corrigendum dated 13th March, 2023 came to be issued

6 Hereinafter, referred to as the "Authorised Officer".

7 Hereinafter, referred to as the "Adjudicating Authority".

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to the SCN. Both the SCN as well as the corrigendum were subjected to challenge in the writ petitions filed by the appellants before the learned Single Judge of the High Court.

12. The foundational challenge to the SCN and the corrigendum was that once the Competent Authority had recorded categoric findings of lack of basis for seizure in the order made under Section 37A(3) of FEMA, rejecting the prayer for confirmation of seizure of assets, there was no tangible material in the hands of the authorities to conclude that the appellants had violated Section 4 of FEMA. The very essence of the SCN stood struck off with the order passed by the Competent Authority under Section 37A(3) of FEMA, and hence, the SCN was *non est* in the eyes of law. The writ petitions were rejected by the learned Single Judge by order dated 30th November, 2023, and the intra-court appeals preferred against the said order were also dismissed by the Madras High Court by judgment dated 23rd July, 2024, which are the subject matter of challenge in these appeals by special leave.

Submissions on behalf of the appellants: -

13. Mr. Siddharth Luthra and Mr. Harin P. Raval, learned senior counsel representing the appellants, vehemently and fervently contended that once the Competent Authority had concluded in the proceedings under Section 37A of FEMA that there was no ground to confirm the seizure of the assets of the appellants herein, the very foundation of the SCN stood effaced. In those circumstances, the SCN was fit to be quashed in exercise of the writ jurisdiction under Article 226 of the Constitution of India because the foundational facts for sustaining the said SCN proceedings were lacking.
14. It was further submitted that the order of the Competent Authority dated 3rd February, 2021 refusing to confirm the seizure of the assets has been passed in favour of the appellants and that the appeal against the said order at the instance of the respondent (Directorate of Enforcement) is still pending adjudication before the Appellate Tribunal under SAFEMA at New Delhi in FPA-FE No. 33/CHN/2021. Under these circumstances, the outcome of the said appeal ought to have been awaited before issuance of the SCN.
15. Learned senior counsel further pointed out that the plea of the respondents that the appellants have concealed the factum of the

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SCN having been finally adjudicated is wholly misconceived, inasmuch as, in the pleadings of the civil appeals, the appellants have clearly mentioned that the SCN culminated into a final order against which statutory appeal(s) have also been preferred.

16. Learned senior counsel submitted that the findings recorded by the Division Bench of the High Court in para Nos.32, 33, and 34 of the impugned order, virtually setting at naught the order passed by the Competent Authority under Section 37A of FEMA, have prejudiced the case of the appellants because the Adjudicating Authority has heavily relied upon these very observations while passing the final adjudication order.
17. Learned senior counsel further submitted that it is a fit case in which this Court should feel persuaded to quash the SCN along with the corrigendum and the adjudication order dated 26th August, 2024 as there existed no foundation for the same.
18. Their alternative submission was that the order of adjudication dated 26th August, 2024 deserves to be set aside and the respondents should be directed to await the outcome of the appeal pending under Section 19 of FEMA before the SCN can be adjudicated on merits. They further prayed that the observations and adverse findings recorded by the Division Bench on the order passed by the Competent Authority under Section 37(A)(3) of FEMA should not prejudice the case of the appellants at any stage of the proceedings.

Submissions on behalf of the respondents: -

19. *Per contra*, Mr. Anil Kaushik, learned Additional Solicitor General representing the respondents, strenuously, arduously, and vociferously opposed the submissions advanced by the appellants' counsel. He urged that the nature of proceedings under Section 37A of FEMA is intermediary/interim in nature and has no bearing on the adjudication of the SCN.
20. He further submitted that irrespective of the outcome of the appeal against the order under Section 37A of FEMA, the Adjudicating Authority has independent jurisdiction to decide the show cause proceedings on its own merits, and the appellants cannot seek any advantage from the fact that the Competent Authority has not confirmed the seizure.

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21. He referred to sub-section (4) of Section 37A to buttress the contention that the adjudication proceedings are independent of the seizure proceedings to urge that the High Court was absolutely justified in observing that the findings recorded in the order passed by the competent authority in proceedings under Section 37A would have no bearing on the outcome of the adjudication proceedings.
22. He emphasized that the appellants have concealed the fact of the final order having been passed pursuant to the SCN and hence, they do not deserve any indulgence in these matters.

Discussion and Analysis

23. We have considered the submissions advanced by learned counsel for the parties and have gone through the impugned orders. We have also carefully perused the statutory framework governing the dispute at hand.
24. Before we delve into the merits of the case, it is necessary to deal with the preliminary objection raised on behalf of the respondents that the appellants had suppressed the fact that a final adjudication order had been passed pursuant to the SCN and, for that reason, they do not deserve any indulgence in the present proceedings. Upon a consideration of the record, we find no merit in the said contention. There is nothing to indicate any deliberate concealment or lack of candour on the part of the appellants so as to disentitle them from seeking relief. On the contrary, the pleadings in the civil appeals clearly manifest that the SCN had culminated in a final adjudication order, against which statutory appeal(s) have also been preferred. The allegation of suppression is thus wholly misconceived and does not furnish a ground to non-suit the appellants.
25. Now, we shall advert to the merits of the case. For the ease of reference, Section 37A of FEMA on which the fulcrum of the controversy lies, is reproduced hereinbelow: -

“37-A. Special provisions relating to assets held outside India in contravention of Section 4.—

(1) Upon receipt of any information or otherwise, if the Authorised Officer prescribed by the Central Government has reason to believe that any foreign exchange, foreign security, or any immovable property,

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situated outside India, is suspected to have been held in contravention of section 4, he may after recording the reasons in writing, by an order, seize value equivalent, situated within India, of such foreign exchange, foreign security or immovable property: Provided that no such seizure shall be made in case where the aggregate value of such foreign exchange, foreign security or any immovable property, situated outside India, is less than the value as may be prescribed.

(2) The order of seizure along with relevant material shall be placed before the Competent Authority, appointed by the Central Government, who shall be an officer not below the rank of Joint Secretary to the Government of India by the Authorised Officer within a period of thirty days from the date of such seizure.

(3) The Competent Authority shall dispose of the petition within a period of one hundred eighty days from the date of seizure by either confirming or by setting aside such order, after giving an opportunity of being heard to the representatives of the Directorate of Enforcement and the aggrieved person. Explanation.— While computing the period of one hundred eighty days, the period of stay granted by court shall be excluded and a further period of at least thirty days shall be granted from the date of communication of vacation of such stay order.

(4) The order of the Competent Authority confirming seizure of equivalent asset shall continue till the disposal of adjudication proceedings and thereafter, the Adjudicating Authority shall pass appropriate directions in the adjudication order with regard to further action as regards the seizure made under sub-section (1):

Provided that if, at any stage of the proceedings under this Act, the aggrieved person discloses the fact of such foreign exchange, foreign security or immovable property and brings back the same into India, then the Competent Authority or the Adjudicating Authority, as

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the case may be, on receipt of an application in this regard from the aggrieved person, and after affording an opportunity of being heard to the aggrieved person and representatives of the Directorate of Enforcement, shall pass an appropriate order as it deems fit, including setting aside of the seizure made under sub-section (1).

(5) Any person aggrieved by any order passed by the Competent Authority may prefer an appeal to the Appellate Tribunal.

(6) Nothing contained in Section 15 shall apply to this section.”

[Emphasis supplied]

26. A perusal of the aforesaid provision would clearly indicate that the same has been enacted in order to ensure that the assets of a person suspected to be involved in foreign exchange or foreign security violations may be seized to the extent equivalent to such foreign exchange or foreign security, which may be under scrutiny of the Adjudicating Authority.
27. Hence, the provision is in nature of a preventive measure for ensuring that the assets equivalent to the foreign exchange or foreign security may be kept secured for future proceedings pursuant to adjudication.
28. Sub-section (4) gives an impression that the order passed by Competent Authority confirming the seizure would remain alive only till the disposal of the adjudication proceedings, and that the Adjudicating Authority would be authorized to proceed with further action, *i.e.*, SCN, etc. without being fazed by the confirmation of the seizure proceedings.
29. The effect of sub-section (4) is evidently to leave the seized assets at the disposal of the Adjudicating Authority for realisation of the adjudicated amount, if any and to prevent frustration of the adjudication order. However, sub-section (4) is restricted to an order of the Competent Authority “*confirming seizure of equivalent assets and the continuance thereof till the disposal of the adjudication proceedings*”. The said provision literally does not deal with a situation where the seizure has not been confirmed.

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30. The controversy in the present cases is more appropriately examined within the framework of sub-sections (1) to (3) of Section 37A. A plain reading of Section 37A(1) indicates that the power of seizure is predicated upon the existence of a “reason to believe” that foreign exchange, foreign security or immovable property situated outside India is suspected to have been held in contravention of Section 4. Such satisfaction by the Authorised Officer at the stage of preliminary seizure under Sub-section (1) is only tentative and is expressly subject to scrutiny under Sub-sections (2) and (3), wherein the Competent Authority is required to independently examine whether the reasons recorded justify continuation of the seizure. The exercise undertaken by the Competent Authority is thus not an empty formality, but a substantive evaluation of whether the material on record is sufficient to sustain even a *prima facie* inference of contravention in relation to foreign exchange. In the present case, upon such evaluation, the Competent Authority declined to confirm the seizure by a well-reasoned order, thereby indicating that the material did not meet even this preliminary threshold. The refusal to confirm the seizure, therefore, reflects a considered finding that the foundational requirement of a “reason to believe” was not satisfied on the material available.
31. For the sake of convenience, the reasons recorded in the order dated 3rd February, 2021, whereby the Competent Authority refused to confirm the seizure made under Section 37A(1) are extracted below: -
- “In this case none of the respondents i.e., R1 to R4 were holding any foreign security having a value at any point of time. The subscribed shares remained only in paper for the time being. None of the documentary evidences in this matter have been countered by the enforcement directorate. The Enforcement Directorate has not proved by way of evidence that the money indicated in the “subscribed shares” have been paid either “legally or illegally”. As held by the Hon’ble SC, in the above cited case law, the suspicion must be reasonable i.e. have a degree of objectivity and basis/foundation for the suspicion must be based on ‘certain reasons’. In my considered opinion, unless it is shown by the investigating department that. “something” was “held” in contravention of Section 4 of FEMA, Section 37A(1) will not come into play. In this case

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no share of any value was held in Singapore. Therefore suspicion has no foundation. As the department. has failed to prove, Section 37A (1) of FEMA, 1999 cannot be invoked to seize the properties owned by Mr. S. Jagathrakshakan (R1), Ms. Anusuya Jagathrakshakan (R2), Ms. Sri Nisha (R3) & Mr. Sundeep Aanand (R4). Therefore, the prayer made by the authorised officer vide petition dated 05.10.2020 under Section 37A(2) to confirm the seizure of properties as mentioned in the Annexures A, B, C & D of the Order of Seizure dt.11.09.2020 is rejected and the impugned Order of Seizure is set aside.”

32. Thus, a *prima facie* satisfaction was recorded by the Competent Authority that there was no evidence of the appellants being involved in foreign security transactions having any value. Consequently, it has to be taken that there did not exist the “reasons to believe” referred to in Sub-section (1) of Section 37A. These findings definitely support the cause of the appellants herein. It is not in dispute that the appeal preferred by the Department against the order dated 3rd February, 2021, is still pending consideration. The Division Bench of the High Court, while deciding the writ appeal, observed that the writ petition against the SCN is not entertainable. We feel that the said observation may not be correct in every situation. This Court has consistently held that although ordinarily a writ petition against an SCN may not be entertained, however, the said proposition is not an inviolable rule. Interference at the stage of SCN is permissible in exceptional circumstances, such as where the notice suffers from patent lack of jurisdiction, reflects non-application of mind, is issued with a pre-determined or premeditated approach, amounts to an abuse of the process of law, or results in a violation of the principles of natural justice. In such situations, the High Court would be justified in exercising its jurisdiction under Article 226 of the Constitution to prevent manifest injustice. In this context, we may gainfully refer to the following observations from ***Union of India v. VICCO Laboratories***^a: -

“31. Normally, the writ court should not interfere at the stage of issuance of show-cause notice by the authorities.

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In such a case, the parties get ample opportunity to put forth their contentions before the authorities concerned and to satisfy the authorities concerned about the absence of case for proceeding against the person against whom the show-cause notices have been issued. Abstinance from interference at the stage of issuance of show-cause notice in order to relegate the parties to the proceedings before the authorities concerned is the normal rule. However, the said rule is not without exceptions. **Where a show-cause notice is issued either without jurisdiction or in an abuse of process of law, certainly in that case, the writ court would not hesitate to interfere even at the stage of issuance of show-cause notice.** The interference at the show-cause notice stage should be rare and not in a routine manner. Mere assertion by the writ petitioner that notice was without jurisdiction and/or abuse of process of law would not suffice. It should be prima facie established to be so. Where factual adjudication would be necessary, interference is ruled out.”

[Emphasis supplied]

33. Thus, the rejection of challenge laid by the appellants to the SCN on the ground of non-maintainability was not justified in the peculiar facts of the case at hand.
34. We shall now advert to the observations made by the Division Bench that the interim seizure under Section 37A may not have any implication in respect of the final order to be passed by the Adjudicating Authority, and that it would be apposite for such authority to deal with the effect and import of the seizure order passed by the Authorised Officer under Section 37A of FEMA while passing the final order under Section 16 of FEMA. Further, in para 34, the High Court again referred to the seizure made under sub-section (1) and directed the Adjudicating Authority to take note of the said provision. For ease of reference, paras 32, 33, and 34 of the impugned order are reproduced hereinbelow: -

“32. Therefore, the very purpose and object of inserting Section 37A is to seize value equivalent situated within India of such foreign exchange, foreign security or immovable

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property during pendency of the adjudication proceedings and such seizer proceedings initiated under Section 37A, undoubtedly cannot stand as a bar to proceed with the adjudication proceedings under Section 16 of the FEMA by the Adjudicating Authority. As noted under the definition, the functions of the Adjudication Authority, Authorised Officer and Competent Authority are distinguishable and each Authority is conferred with powers under the Act to carry out certain actions. Therefore, the contention on behalf of the appellants that the Authorised Officer is below the Competent Authority has no relevance as far as Section 37A of FEMA is concerned

33. In fine, we could arrive at an irresistible conclusion that a writ against a show cause notice is not entertainable. The adjudication proceedings have completed and the final order is about to be passed by the Adjudicating Authority. Regarding an interim seizure under Section 37A is concerned, it may not have any implication in respect of the final order to be passed by the Adjudicating Authority and it would be appropriate on his part to deal with the effect of seizure order passed by the Authorised Officer under Section 37A of FEMA, while passing final order under Section 16 of FEMA.

34. The above position has been amply made clear in Sub Section (4) to Section 37A of the Act, wherein, it is contemplated that the Adjudicating Authority shall pass appropriate directions in the adjudication order with regard to further actions as regards to seizure made under Sub Section (1) to Section 37A and in this case, the Adjudicating Authority is directed to take note of said provision and take an appropriate decision with reference to the order passed by the Authorised Officer under Section 37A(1) of the FEMA.”

35. On a bare perusal of the aforesaid observations, we find that the High Court repeatedly referred to the effect of the seizure order passed by the Authorised Officer under Section 37A of FEMA and the scope of consideration thereof by the Adjudicating Authority while passing the final order under Section 16. We may note that the

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observations (*supra*) made by the Division Bench impliedly efface the findings recorded by the Competent Authority while refusing to confirm the seizure, thereby foreclosing the outcome of the appeal pending before the appellate authority.

36. The High Court referred to sub-section (4) of Section 37A as if it were concluding that the seizure had been confirmed, whereas the factual situation reads otherwise. In case the finding of the Competent Authority refusing to confirm the seizure for substantive reasons stands affirmed in appeal, manifestly, the same would have a bearing on the outcome of the adjudication proceedings.
37. The Adjudicating Authority, while passing the final order under Section 16 of FEMA, extensively referred to and relied upon the aforesaid observations of the Division Bench. The relevant conclusions from the adjudication order dated 26th August, 2024 are reproduced hereinbelow for ease of reference: -

“

(iii) The above analysis was strengthened by the Hon’ble High Court of Madras in judicial pronouncement dated 30.11.2023 in the matter of Writ Petitions in WP Nos. 21105/2023, 21359/2023, 21100/2023, 21096/2023 and 21102/2023, filed by the Noticees against the Adjudicating Authority, and as such, the Hon’ble High Court was pleased to dismiss the Writ Petitions

(iv) The Noticees preferred Writ Appeal against the order of Hon’ble High Court of Madras in the above WPs. The Division Bench of Hon’ble High Court of Madras vide its order dated 23.07.2024 in the Writ Appeals in WA No.s 3520 to 3524 of 2023 has observed that:

“31. We concur with the learned Additional Solicitor General of India, in view of the fact that the special provision under Section 37A is all about an interim seizer value equivalent situated within in India of such foreign exchange, foreign security or immovable property. In the event of seizer during the pendency of the adjudication proceedings, the procedures to be followed by the authority are enumerated under Sub Section (6) of Section 37A of FEMA.

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32. Therefore, the very purpose and object of inserting Section 37A is to seize value equivalent situated within India of such foreign exchange, foreign security or immovable property during pendency of the adjudication proceedings and such seizer proceedings initiated under Section 37A, undoubtedly cannot stand as a bar to proceed with the adjudication proceedings under Section 16 of the FEMA by the Adjudicating Authority. As noted under the definition, the functions of the Adjudication Authority, Authorized Officer and Competent Authority are distinguishable and each Authority is conferred with powers under the Act to carry out certain actions. Therefore, the contention on behalf of the appellants that the Authorised Officer is below the Competent Authority has not relevance as far as Section 37A of FEMA is concerned.”

As such, the Division upheld the Single Bench Order of Hon'ble High Court of Madras on 23.07.2024 and dismissed the Writ Appeals.

(v)

(vi) The Competent Authority has passed an Order setting aside the Seizure Order dated 11.09.2020, vide his order Petition No. 01/2021 dated 03.02.2021. Having perused the said order of the Competent Authority, I find that Section 4 of FEMA has been mis-interpreted holding that the terms acquire, hold, own, possess or transfer of foreign security were only in respect of paid-up shares. I find that the Competent Authority has not considered the observations from the Financial Statement of the overseas entity, showing the shares as fully paid-up. In terms of Section 4 of FEMA, the act of holding of foreign security is sufficient, and it does not mandate that the foreign securities are necessarily paid up. FEMA defines the term “Direct Investment Outside India” that the investment means by way

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of contribution to the capital or subscription to the Memorandum of Association of a Foreign entity or by way of purchasing existing shares of a foreign entity..... However, in the case on hand, during the impugned period the Noticees were holding shares of M/s. Silver Park International Pte. Ltd. Singapore, and also that the said shares were fully paid-up.

(vii) It is observed from the Reserve Bank of India - Frequently Asked Questions, that RBI while clarifying “whether an Indian Party/resident Indian acquire shares of a Foreign entity without upfront payment or on deferred payment basis” clarified that “No. The provisions of Notification No. FEMA 120/RB-2004 dated July 7th 2004 as amended from time to time, do not permit acquisition of foreign shares without payment or deferred payment basis.” In view of the above, it is obvious that the Noticees have acquired Foreign Shares of M/s. Silver Park International Pte. Ltd. without obtaining prior RBI approval to make Direct investment outside India. From the above, it is obvious that the Noticees have acquired and held foreign shares in violation of Section 4 of FEMA.

(viii) However, I find that the Competent Authority, without considering the above statutory stand points, has passed Order setting aside the Seizure Order of the Authorized Officer. Therefore, I do not concur with the order of the Competent Authority. As such, I find that the impugned seized properties are in accordance with the provisions of Section 37A of FEMA.”

[Emphasis supplied]

38. In effect, the Adjudicating Authority has undone the order of the Competent Authority even while the appeal against the said order is pending. Such a course of action, in the opinion of this Court, tantamounts to abdicating the powers of the Appellate Authority, even when the order of the Competent Authority was still under challenge in appeal at the instance of the department.

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39. In wake of the above discussion, we are of the opinion that the impugned order dated 23rd July, 2024 passed by the Division Bench of the High Court and so also the order of the learned Single Judge of the High Court dated 30th November, 2023, rejecting the writ petition preferred by the appellants and as a consequence, the final order dated 26th August, 2024 passed by the Adjudicating Authority imposing penalty and ordering confiscation of the property held by appellants are declared to be arbitrary and contrary to law. The same are hereby set aside. The proceedings are revived from the stage of the SCN.
40. As an upshot, we provide that the Appellate Authority shall first decide the appeal preferred by the Department against the order of the Competent Authority under Section 37A(5) of FEMA after hearing the parties and by passing a reasoned order within a period of two months from today. Pursuant to the disposal of the appeal pending before the Appellate Authority, the proceedings arising out of the SCN may be commenced and shall be taken to their logical conclusion without being prejudiced by any of the observations made hereinabove or in the orders passed by the High Court.
41. The appeals are disposed of in these terms.
42. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals disposed of.

[†]Headnotes prepared by: Ankit Gyan

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State of Jharkhand & Ors.**

(Civil Appeal No. 4152 of 2026)

02 April 2026

[Pamidighantam Sri Narasimha and Alok Aradhe, JJ.]

Issue for Consideration

Whether the black listing order, in the instant case, suffers from patent infirmities; whether the blacklisting, being stigmatic and exclusionary in nature, can be imposed mechanistically.

Headnotes[†]

Contract – Termination – Blacklisting – The appellant, a registered contractor with the Water and Sanitation Department was contracted for construction of an Elevated Service Reservoir (ESR) by issuance of a Letter of Acceptance (LOA) on 06.03.2023 – During the subsistence of the contract, on 01.06.2024, the top dome of the reservoir collapsed – Department issued a show cause notice dated 04.06.2024 seeking explanation as to why action should not be taken for the negligence and bad quality of work – Upon receiving concurrent reports indicating negligence on part of appellant, respondent no. 3, Chief Engineer, Drinking Water and Sanitation Department, passed the termination cum blacklisting order dated 23.08.2024 – Aggrieved, the appellant filed an appeal, which was dismissed by the Appellate Authority – Appellant filed writ petition, which was also dismissed – **Correctness:**

Held: In view of the clear findings of negligence as articulated in the order of termination, this Court will not interfere with the decision of termination – In so far as the order relating to blacklisting is concerned, the blacklisting order suffers from patent infirmities: it evinces no application of mind, disregards the mandatory precept of *audi alteram partem*, and fails to precede with a show-cause notice requiring the contractor to demonstrate why such drastic action should not be taken – Blacklisting, being stigmatic and exclusionary

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in nature, cannot be imposed mechanistically but must comport with principles of natural justice and reasonableness – The final order of blacklisting, dated 23.08.2024, does not list the reasons as to why an order of blacklisting has become necessary – A blacklisting order assumes that the contractor is an incorrigible entity, at least for some time to come, in this case such an assumption was intended to operate for five years – For giving effect to such a premise, there has to be sufficient evidence, clear application of mind and stronger adherence to principles of natural justice – The blacklisting order dated 23.08.2004 falls short of this requirement and is liable to be set aside – Thus, the decision of blacklisting of the appellant is illegal, arbitrary and unreasonable – The declaration of blacklisting is set aside. [Paras 15, 16, 3, 23, 25]

Contract – Termination – Blacklisting:

Held: The contractual conditions governing termination on the one hand and those that relate to blacklisting on the other are distinct and will be exercised independently – A decision of blacklisting is not automatic and certainly not a logical consequence of a decision of termination – Even after the Department decides to terminate the contract, there is still a choice of exercising the power of blacklisting – These decisions operate in two dimensions-past and subsisting for termination and future for blacklisting – In other words, an order of blacklisting transcends the existing contract and debars the contractor from contracts that could probably be executed in the next five years – In view of the serious consequences, it is necessary for the Department to issue a specific notice proposing blacklisting of a contractor and call for an explanation as to why an order of blacklisting should not be passed. [Para 18]

Case Law Cited

Erusian Equipment & Chemicals Ltd. v. State of West Bengal, [1975] 2 SCR 674 : (1975) 1 SCC 70; *UMC Technologies Pvt Ltd v. Food Corporation of India* [2020] 13 SCR 1175 : (2021) 2 SCC 551; *M/s Techno Prints v. Chhattisgarh Textbook Corporation & Anr.*, 2025 INSC 236 : [2025] 3 SCR 208 – relied on.

Raghunath Thakur v. State of Bihar, [1988] 3 Supp. SCR 867 : (1989) 1 SCC 229; *Gorkha Security Services v. Govt. (NCT of Delhi)*

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[2014] 13 SCR 617 : (2014) 9 SCC 105; *Kulja Industries Ltd. v. Chief General Manager, Western Telecom Project BSNL* [2013] 14 SCR 430 : (2014) 14 SCC 731; *The Blue Dreamz Advertising Pvt Ltd. & Anr. v. Kolkata Municipal Corporation & Ors.*, 2024 INSC 589 : [2024] 8 SCR 189 – referred to.

List of Acts

Contractor Registration Rules, 2012.

List of Keywords

Contract; Termination; Blacklisting; *Audi alteram partem*; Negligence; Principles of natural justice; Show-cause notice; Non-application of mind; Reasonableness.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4152 of 2026

From the Judgment and Order dated 07.02.2025 of the High Court of Jharkhand at Ranchi in WPC No. 6886 of 2024.

With

Civil Appeal No. 4153 of 2026.

Appearances for Parties

Advs. for the Appellant(s):

M.S. Ganesh, Sr.Adv., R. Ayyam Perumal, Ms. Archana Sharma, Rao Raj Bahadur Singh, A. Sai Kumar.

Advs. for the Respondent(s):

Kumar Anurag Singh, Jayant Mohan, Ms. Meenakshi Chatterjee, Zain A. Khan, Ms. Adya Shree Dutta, Ms. Dorjee Ongmu Lachungpa, Priyanshu Teotia, Dev Aaryan, Mohd. Abran Khan.

Judgment / Order of the Supreme Court

Judgment

1. Leave granted.
2. While exercising judicial review over administrative actions of the State and its instrumentalities in relation to contracts provisioning clauses

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and rules relating to *termination* and/or *blacklisting*, Courts must apply distinct standards of legality, rationality and proportionality. Such an approach is compelling as conditions for imposing such measures, as also the consequences of such actions, have differing gravity.

3. Upon careful consideration of the impugned State action, which terminates the contract and blacklists the appellant without meaningful distinction, we hold that the termination order is substantiated and justified. However, the blacklisting order suffers from patent infirmities: it evinces no application of mind, disregards the mandatory precept of *audi alteram partem*, and fails to precede with a show-cause notice requiring the contractor to demonstrate why such drastic action should not be taken. Blacklisting, being stigmatic and exclusionary in nature, cannot be imposed mechanistically but must comport with principles of natural justice and reasonableness.
4. For the reasons detailed hereafter, we uphold the order of termination and the impugned judgement and review order affirming the same, but set aside the decision to blacklist the appellant.
5. Having upheld the order of termination, we were of the opinion that the assumed logical consequence of blacklisting is neither supported by application of mind nor followed by a clear notice proposing blacklisting. For the reasons to follow, we set aside the order of blacklisting. However, in the facts and circumstances of the case, due to passage of time, we have suitably moulded the relief and directed that the order of blacklisting shall not continue for five years as directed by the Department but will cease to operate from the date of our judgment.

Facts

6. The appellant, a registered contractor with the Water and Sanitation Department was contracted for construction of an Elevated Service Reservoir (ESR) by issuance of a Letter of Acceptance (LOA) on 06.03.2023. During the subsistence of the contract, on 01.06.2024, the top dome of the reservoir collapsed. Though it was justified as being a result of an unexpected cyclone, the appellant offered to reconstruct it at own expense. However, the Department issued a show cause notice dated 04.06.2024, seeking explanation as to why action should not be taken for the negligence and bad quality of work. The contents of the show cause notice are as follows -

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*“(PURPOTED SHOW CAUSE)
GOVERNMENT OF JHARKHAND
DRINKING WATER & SANITATION DEPARTMENT*

Letter No. 4/A.V.-01-1019/2024-1311

From,

*Navneet Kumar
Under Secretary to the Government.*

To,

*M/s. A.K.G. Construction & Developers
Pvt. Ltd. Ranchi.*

Ranchi, Date- 4/6/24

Subject: Regarding submitting clarification.

*Context: Letter No. 727 of Executive Engineer, Drinking
Water and Sanitation Division, Jhumritilaiya, dated
01.06.2024.*

Sir,

*As per the directions, the department received information
about collapse of the under-construction water tower in
Neemadhi village under Koderma-Demchongch Jaynagar
Mega Rural Water Supply Scheme through the relevant
letter on the above subject.*

*The collapse of the under-construction water tower proves
that quality was not taken care of in the construction of
the water tower.*

*Due to your not doing quality work as per the agreement
in the construction of the water tower, the water tower
collapsed due to which the image of the department got
tarnished.*

*Therefore, it is directed by attaching a copy of the letter
describing tire incident that why action should not be taken
against you as per rules for negligence shown by you and
not doing quality construction and, ensure to submit your
explanation within 03 (three) days. In case of not receiving
the explanation on time, it will be considered that you have*

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nothing to say regarding the allegation and the department will be free to take unilateral action.

Translation- As Aforesaid

Yours sincerely,

Sd./Illegible

04/06/2024

(Navneet Kumar)

Under Secretary to the Government."

7. Following the show cause notice, multi-level enquiries were conducted. Initially, a three-member committee gave its report on 06.06.2024. Thereafter, the Superintending Engineer also examined the matter in detail. These enquiries drew inputs from Birsa Institute of Technology, Sindri and also IITs of Delhi, Madras and Bombay. Upon receiving concurrent reports indicating negligence on part of the appellant, respondent no. 3, Chief Engineer, Drinking Water and Sanitation Department, passed the termination cum blacklisting order dated 23.08.2024. The order containing the reasons for termination and blacklisting is reproduced below for ready reference;

**“GOVERNMENT OF JHARKHAND
DRINKING WATER & SANITATION DEPARTMENT
Order No.-4/A.V.-01-1021/2024-20(CDO), Ranchi,
Date- 23/08/2024**

ORDER

It was informed by letter no. 727 dated 01.06.2024 of Executive Engineer, Drinking Water and Sanitation Division, Jhumritilaiya that the water tower under construction in Neemadhi village under the work of Koderma-Domchonch Jaynagar Large Rural Water Supply Scheme, which is allotted to the contractor M/s A.K.G. Construction & Developers Pvt. Ltd., Ranchi, collapsed on 01.06.2024.

In the light of the above, the contractor was asked for clarification by departmental letter no. 1311 dated 04.06.2024, in the light of which the contractor submitted clarification through letter no. AKG/24-25/26 dated 06.06.2024 in which the contractor has reported that no laxity has been shown in the construction of the under-construction water tower and the under-construction water

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tower fell due to natural disaster/cyclonic storm. In the light of the above, by letter no. 663 (CDO) dated 21.06.2024 of this office, the Superintending Engineer, Drinking Water and Sanitation Zone, Hazaribagh was directed to review the clarification received from the contractor point by point and provide a report with his clear opinion. The opinion was provided by letter no. 545 dated 21.06.2024 of the Superintending Engineer, Drinking Water and Sanitation Zone, Hazaribagh in which it is reported that the work described has not been done as per the approved Design & Drawing and the quality of the overall work has not been taken care of.

In the matter described by the department, an inquiry was conducted by a three-member inquiry committee. The inquiry committee submitted the inquiry report through departmental G.S.P. No.-283 dated 06.06.2024 in which it is reported that negligence was shown in getting the construction work of the water tower completed as per the approved Design & Drawing and quality was not taken care of, due to which the incident of collapse/demolition of the water tower occurred. Thus, the contractor is responsible/guilty for negligence and negligence in getting the quality work done.

The contractor informed the concerned Executive Engineer through his letter-AKG/24-25/23 dated-01.06.2024 that he is ready to construct ESR again at his own expense in place of the demolished ESR under construction. It was never appropriate for him to construct ESR again without departmental order. This act of his reflects an attempt to hide his wrongdoings.

The department condemns this modus operandi of the contractor.

It is clear from the above that the contractor got low quality construction work done in the work of the scheme, which tarnished the image of the department and created obstacles in achieving the objectives of the department. This is a clear violation of rule number-10.1.8 and 10.1.15 of the Contractor Registration Rules 2012. Therefore,

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after review by the department, the explanation of the contractor is rejected.

Therefore, after due consideration by the department in the light of Rule No. 10.1.8 and 10.01.15 of Contractor Registration Rules 2012, the contractor M/s A.K.G. Construction & Developers Pvt. Ltd., Panna Enclave, Flat No-202, Kadru, Ranchi-834002, e-mail: ketan.kumar007@gmail.com is blacklisted for 5 (five) years with immediate effect and in this context, the following order is given in the light of Rule No. 10.3 and 10.4 of Contractor Registration Rules 2012:-

2. It is decided to stop all the works being done by the contractor from the date of issuance of the order and to confiscate the security deposit of all the works. Also, the concerned regional Chief Engineer/Superintending Engineer/Executive Engineer will ensure to take appropriate action as per the requirement to complete the remaining work being done by the contractor.

3. The registration of the contractor in all categories in the department is cancelled with immediate effect.

4. The proposal has received the approval of the Hon'ble Departmental Minister.

*(Prabhat Kumar Singh)
Chief Engineer, C.D.O
Date: 23/08/2024"*

8. Aggrieved, the appellant filed an appeal, which came to be dismissed vide order dated 05.12.2024 of the Appellate Authority cum Principal Secretary, Drinking Water and Sanitation Department. The appellant filed a writ petition challenging orders dated 23.08.2024 and 05.12.2024. By impugned judgement and order dated 07.02.2025, the High Court dismissed the writ petition, while also imposing a cost of Rs. 2 lakhs on the appellant. It was held that the corroborated findings of the enquiries conducted, as also the appellant's own admission in the form of offering to reconstruct the entire ESR at its own cost, leads to a logical inference of negligence in carrying out the construction as per the approved design and drawings. It was also held that the orders impugned were neither illegal nor

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arbitrary as proper opportunity was given to the appellant at every stage.

9. The appellant sought a review of the decision arrived by the High Court on self-same grounds, which naturally came to be dismissed by the High Court vide impugned order dated 04.08.2025. Thus, the present appeals have been filed against the main judgement as well as the review order.

Submissions

10. Mr. M.S. Ganesh, learned senior counsel appearing on behalf of the appellant, would submit that the termination as well as the blacklisting are illegal and arbitrary. He would submit that constitution of the three-member committee, followed by its report and subsequent reports, were without giving any opportunity to the appellant. He would also submit that the arbitrariness is writ large as the decision to blacklist had the effect of terminating all subsisting contracts.
11. Mr. Kumar Anurag Singh, learned counsel for the respondent Department would submit that Clause 59 of the General Conditions of Contract (GCC), dealing with termination of contract does not provide for a prior notice. He would also rely on Rule 10 of the Contractor Registration Rules, 2012, dealing with blacklisting, which mandates issuance of a show cause notice before blacklisting a contractor upon misconduct. He would submit that the show cause notice 04.06.2024 was specifically for purpose of blacklisting the appellant, which according to him, is further cemented by express use of the phrase “*why action should not be taken against it as per the rules*”. In view of the concurrent operation of GCC and the 2012 Rules, he submits that the common order of termination cum blacklisting is compliant of all conditions and therefore legal and valid.

Analysis

12. The controversy revolves around a true and correct interpretation of Clause 59 of GCC, relating to termination, and Rule 10 of 2012 Rules, relating to blacklisting. The Clause and the Rule is reproduced herein for ready reference.
13. Clause 59 of GCC is as follows -

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"59. Termination

59.1. The Employer or the Contractor may terminate the Contract if the other party causes a fundamental breach of the Contract.

59.2. Fundamental breaches of Contract include, but shall not be limited to the following:

(a) The Contractor stops work for 28 days when no stoppage of work is shown on the current Programme and the stoppage has not been authorized by the Engineer;

(b) The Engineer instructs the Contractor to delay the progress of the Works and the instruction is not withdrawn within 28 days;

(c) The Employer or the Contractor is made bankrupt or goes into liquidation other than for a reconstruction or amalgamation.

(d) The Engineer gives Notice that failure to correct a particular Defect is a fundamental breach of Contract and the Contractor fails to correct it within a reasonable period of time determined by the Engineer.

(e) The Contractor does not maintain a security which is required;

(f) The Contractor has delayed the completion of works by the number of days for which the maximum amount of liquidated damages can be paid as defined in the Contract data; and

(g) If the Contractor, in the judgment of the Employer has engaged in corrupt or fraudulent practices in competing for or in executing the Contract.

For the purpose of this paragraph: "corrupt practice" means the offering, giving, receiving or soliciting of anything of value to influence the action of a public official in the procurement process or in contract execution. "Fraudulent practice" means a misrepresentation of facts in order to influence a procurement process or the execution of a contract to the detriment of the Borrower, and includes

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collusive practice among Bidders (prior to or after bid submission) designed to establish bid prices at artificial non-competitive levels and to deprive the Borrower of the benefits of free and open competition.”

59.3. When either party to the Contract gives notice of a breach of contract to the Engineer for a cause other than those listed under Sub Clause 59.2. above, the Engineer shall decide whether the breach is fundamental or not.

59.4. Notwithstanding the above, the Employer may terminate the Contract for convenience.

59.5. If the Contract is terminated the Contractor shall stop work immediately, make the Site safe and secure and leave the Site as soon as reasonably possible”

14. Rule 10 of Contractor Registration Rules, 2012 is as follows -

“10. BLACKLISTING

10.1 A contractor in person or any partner of a registered firm or any director of a private public limited company or his technical staff or any of his authorized representatives, registered in any of the above categories, may be blacklisted for any of the following misconducts:

10.1.1 Creating law and order problem in Government office while receiving tender documents, submitting tender documents or doing any work related thereto.

10.1.2 Intimidating or assaulting concerned officer or employee.

10.1.3 If the contractor is found selling or misusing Government goods such as cement, steel and pipes etc..

10.1.4 If convicted in any criminal activity.

10.1.5 If wrong documents are submitted for registration under these rules.

10.1.6 In case of being banned or blacklisted by any department/undertaking of the Government of India or any State Government.

10.1.7 In case of violation of Rule 6.2 of these rules.

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10.1.8 Failure to execute the work as per the agreement and prescribed specifications.

10.1.9 In case of the contractor handing over his work to another contractor or any person without departmental order (subletting).

10.1.10 No improvement is reflected in the conduct of the suspended contractor.

10.1.11 Corrupting or attempting to corrupt the tender process.

10.1.12 indulging in malpractices likes bribery, corruption or fraud.

10.1.13 any such act which obstructs the achievement of the objectives of the works department.

10.1.14 applying political pressure directly or indirectly.

10.1.15 doing work of poor quality.

10.1.16 directly or indirectly threatening or intimidating departmental officers/employees.

10.1.17 not achieving physical targets in proportion to the time elapsed.

10.2 The blacklisted contractor will be debarred from working in any Government Department / Undertaking in future and his registration will be cancelled with immediate effect.

10.3 If a registered contractor is blacklisted in any one category in the light of Rule 10.1, then the registration of the said contractor in all other categories, if any, will also be deemed to be cancelled with immediate effect.

10.4 All the works being carried out by the blacklisted contractor in the Department of Drinking Water and Sanitation, Jharkhand will be stopped from the date of the order issued in the light of Rule 10.1, and the security deposit of all the works will be forfeited and appropriate action will be taken as per requirement to complete the remaining works.

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10.5. Before blacklisting a contractor of a particular category, it will be necessary to issue a show cause notice.

10.6 The order of blacklisting can be passed by the registration officer of the concerned category or the officer under who's supervision/under whose supervision the registration officer is working.

10.7 Against the penalty imposed, the contractor may file an appeal before the departmental secretary within thirty days.

10.8 After approval by the government, the blacklisting order will be issued by the concerned registration officer."

15. Before we proceed to consider the Rules relating to blacklisting and its adverse consequences, we may state that it was made clear to Mr. M.S. Ganesh, learned senior counsel for the appellant, that in view of the clear findings of negligence as articulated in the order of termination, we will not interfere with the decision of termination. As regards the submission of Mr. M.S. Ganesh that the appellant did not have sufficient opportunity to defend himself, notwithstanding the submission of Mr. Kumar Anurag Singh that termination does not require prior notice, we are of the opinion that the appellant had sufficient opportunity at the common hearing for termination and blacklisting. Further, the appellant argued the entire case before the Appellate Authority. Appellant also raised and contested the case on merits before the Division Bench. Having examined the contest and its due consideration all through, we are of the opinion that the decision as regards termination is unimpeachable, on merits as well as on the grounds of due process.
16. In so far as the order relating to blacklisting is concerned, we are of the opinion that this issue requires close scrutiny and that will be undertaken by reference to Rule 10 of the 2012 Rules.
17. A cursory reading of Rule 10 makes it evident that an order of blacklisting has serious consequences, effecting not only the existing contracts but also bars future business transactions for some years. Under Rule 10.3, if a registered contractor is blacklisted for any one category as per Rule 10.1, then the registration of the said contractor in all other categories, if any, will be deemed to be cancelled with immediate effect. Upon such cancellation, under Rule 10.4, all the

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works carried out by the blacklisted contractor in the department will be stopped from the date of issuance of order under Rule 10.1. It also provides that the security deposit for all the works will be forfeited.

18. The contractual conditions governing termination on the one hand and those that relate to blacklisting on the other are distinct and will be exercised independently. A decision of blacklisting is not automatic and certainly not a logical consequence of a decision of termination. Even after the Department decides to terminate the contract, there is still a choice of exercising the power of blacklisting. These decisions operate in two dimensions - *past and subsisting* for termination and *future* for blacklisting. In other words, an order of blacklisting transcends the existing contract and debars the contractor from contracts that could probably be executed in the next five years. In view of the serious consequences, it is necessary for the Department to issue a specific notice proposing blacklisting of a contractor and call for an explanation as to why an order of blacklisting should not be passed. This is exactly the purpose and object behind Rule 10.5.
19. The requirement under Clause 10.5 is a clear case of legislative (in this case subordinate legislation) incorporation of principles of natural justice. This Court has time and again emphasised the need to adhere to principles of natural justice while passing blacklisting orders, given the grave consequences that follow. In *Erusian Equipment & Chemicals Ltd. v. State of West Bengal*¹, it was observed that –

“15. The blacklisting order does not pertain to any particular contract. The blacklisting order involves civil consequences. It casts a slur. It creates a barrier between the persons blacklisted and the Government in the matter of transactions. The blacklists are “instruments of coercion”.

20. Blacklisting has the effect of preventing a person from the privilege and advantage of entering into lawful relationship with the Government for purposes of gains. The fact that a disability is created by the order of blacklisting indicates that the relevant authority is

¹ (1975) 1 SCC 70. The principle in *Eurasian Equipment* has been reiterated by this Court in many subsequent judgements such as *Raghunath Thakur v. State of Bihar* (1989) 1 SCC 229, *Gorkha Security Services v. Govt. (NCT of Delhi)*, (2014) 9 SCC 105, etc.

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to have an objective satisfaction. Fundamentals of fair play require that the person concerned should be given an opportunity to represent his case before he is put on the blacklist.”

20. In order to emphasise the requirement of a show cause notice preceding an order of blacklisting, this Court in *UMC Technologies Pvt Ltd v. Food Corporation of India*² held that –

*“13. At the outset, it must be noted that it is the first principle of civilised jurisprudence that a person against whom any action is sought to be taken or whose right or interests are being affected should be given a reasonable opportunity to defend himself. **The basic principle of natural justice is that before adjudication starts, the authority concerned should give to the affected party a notice of the case against him so that he can defend himself. Such notice should be adequate and the grounds necessitating action and the penalty/ action proposed should be mentioned specifically and unambiguously.** An order travelling beyond the bounds of notice is impermissible and without jurisdiction to that extent. This Court in *Nasir Ahmad v. Custodian General, Evacuee Property*³ has held that it is essential for the notice to specify the particular grounds on the basis of which an action is proposed to be taken so as to enable the noticee to answer the case against him. If these conditions are not satisfied, the person cannot be said to have been granted any reasonable opportunity of being heard.*

14. Specifically, in the context of blacklisting of a person or an entity by the State or a State Corporation, the requirement of a valid, particularised and unambiguous show-cause notice is particularly crucial due to the severe consequences of blacklisting and the stigmatisation that accrues to the person/entity being blacklisted. Here, it may be gainful to describe the concept of blacklisting and the graveness of the

² (2021) 2 SCC 551.

³ *Nasir Ahmad v. Custodian General, Evacuee Property*, (1980) 3 SCC 1.

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*consequences occasioned by it. **Blacklisting has the effect of denying a person or an entity the privileged opportunity of entering into government contracts.** This privilege arises because it is the State who is the counterparty in government contracts and as such, every eligible person is to be afforded an equal opportunity to participate in such contracts, without arbitrariness and discrimination. **Not only does blacklisting take away this privilege, it also tarnishes the blacklisted person's reputation and brings the person's character into question. Blacklisting also has long-lasting civil consequences for the future business prospects of the blacklisted person.***

*21. Thus, from the above discussion, **a clear legal position emerges that for a show-cause notice to constitute the valid basis of a blacklisting order, such notice must spell out clearly, or its contents be such that it can be clearly inferred therefrom, that there is intention on the part of the issuer of the notice to blacklist the noticee.** Such a clear notice is essential for ensuring that the person against whom the penalty of blacklisting is intended to be imposed, has an adequate, informed and meaningful opportunity to show cause against his possible blacklisting."*

21. The judgment in *M/S Techno Prints v. Chhattisgarh Textbook Corporation & Anr.*⁴ underscored the need for a detailed consideration of the consequences of blacklisting right at the outset, that is, from the stage of issuing of show cause notice. The Court held as follows –

*"29. However, **what is important for us to say is that when there are guiding principles explained by this Court as to when & in what circumstances a blacklisting order can be passed then, in our opinion such principles should also be borne in mind by the Authority at the time of issuing a show cause notice.** We say so because in the facts of a given case like the*

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one on hand, on the face of which it could be said that there was no good reason for the Authority to issue a show cause notice calling upon the contractor why he should not be blacklisted. Why ask the contractor to face the proceedings when applying the aforesaid principles, the issue of show cause notice would be an empty formality. We are saying all this keeping in mind the peculiar facts of this case.

30. Therefore, the Authority is expected to be very careful before issuing a show cause notice. It is expected to understand the facts well and try to ascertain what sort of violation is said to have been committed by the contractor. As noted above, there is always an inherent power in the Authority to blacklist a contractor. But possessing such inherent power and exercising such power are two different situations and connotations. There may be a power but there should be reasonable ground to exercise such power.

31. To put it by way of an illustration, the Police has the power to arrest but it is not necessary that in all cases arrest must be effected. The Police should know whether at all arrest is necessary.

*32. We may put it in a slightly different way. **Take for instance, the show cause notice in the present case is the final order of blacklisting. The final order in any case cannot travel beyond the show cause notice. Therefore, we take the show cause notice as the final order. Whether it makes out a case for blacklisting? This should be the test to determine whether it is a genuine case to blacklist a contractor or visit him with any other penalty like forfeiture of EMD, recovery of damages etc. We say so because once an order of blacklisting is passed the same would put an end to the business of the person concerned. It is a drastic step. Once the final order blacklisting the Contractor is passed then the Contractor is left with no other option but to go to the High Court invoking writ jurisdiction under Article 226 of the Constitution***

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and challenge the same. If he succeeds before the Single Judge then it is well and good otherwise he may have to prefer a writ appeal or LPA as the case may be. This again would lead to unnecessary litigation in the High Courts. The endeavour should be to curtail the litigation and not to overburden the High Courts with litigations of the present type more particularly when the law by and large is very well settled and there is no further scope of any debate."

22. Returning to the facts of the present case, at the outset, it is apparent that the show cause notice dated 04.06.2024 does not purport to be a show cause notice for blacklisting at all. It perhaps expects the contractor to assume that it is for termination as well as for blacklisting. Even if we accept the submissions of Mr. Kumar Anurag Singh that, as there is no provision for prior notice before termination, this show cause notice must be taken to be for blacklisting, we are of the opinion that it still falls short of the requirement of a proper show cause notice for blacklisting. This is for the reason that as the decision to blacklist is independent of the decision to terminate, the Department must demonstrate application of mind before it takes the next step of blacklisting the contractor, over an order of termination. Upon taking such a decision, it must also issue a show cause notice calling upon the contractor to explain why a consequential order of blacklisting should also not be passed. The letter must be indicative of the proposed decision to blacklist and the requirement of the contractor to respond to it. The show cause notice dated 04.06.2024 falls short of these requirements. Similarly, the final order of blacklisting, dated 23.08.2024, also does not list the reasons as to why an order of blacklisting has become necessary.
23. The contractual relationship between the parties is governed by two legal regimes. While GCC governs termination, the 2012 Rules govern blacklisting. Proceedings for termination should not be conflated with proceedings for blacklisting. In the latter action, what is at stake is the future of the contractor. A blacklisting order assumes that the contractor is an incorrigible entity, at least for some time to come, in this case such an assumption was intended to operate for five years. For giving effect to such a premise, there has to be sufficient evidence, clear application of mind and stronger adherence to principles of

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natural justice⁵. The blacklisting order dated 23.08.2004 falls short of this requirement and is liable to be set aside.

24. As a consequence of our decision to set aside the blacklisting order, we would have required the Department to issue a fresh show cause notice indicative of the reasons as to why a blacklisting order is felt necessary and to thereby call upon the contractor to show cause. However, in view of the fact that the order of termination cum blacklisting was passed on 23.08.2024, and since then almost more than one and a half year has already passed, without there being a stay of the said order in the meantime, we are of the opinion that the relief to be granted can suitably be moulded by directing that the order of blacklisting will cease to operate with immediate effect. This order will benefit the appellant more than the Department, because directing issuance of a fresh show cause notice will only lead to further litigation.
25. Having considered the matter in detail and taking into account the unimpeachable material about the negligence of the appellant leading to collapse of the top dome of the ESR, we are of the opinion that the order of termination of all contracts is legal and valid. Civil Appeals to this extent are dismissed. However, the decision of blacklisting of the appellant is illegal, arbitrary and unreasonable. The declaration of blacklisting is set aside, and shall cease to operate with immediate effect.

Result of the case: Appeals disposed of.

[†]Headnotes prepared by: Ankit Gyan

⁵ *Kulja Industries Ltd. v. Chief General Manager, Western Telecom Project BSNL*, (2014) 14 SCC 731; *The Blue Dreamz Advertising Pvt Ltd. & Anr. v. Kolkata Municipal Corporation & Ors*, 2024 INSC 589, *M/s Techno Prints* (supra).

Punjab & Sind Bank

v.

Sh. Raj Kumar

(Civil Appeal No. 847 of 2026)

02 April 2026

[Dipankar Datta* and Satish Chandra Sharma, JJ.]

Issue for Consideration

Whether the imposition of lighter punishment on the co-delinquents while imposing the punishment of ‘dismissal from service’ upon the respondent is in outright defiance of logic.

Headnotes[†]

Punjab and Sind Officer Employees’ (Conduct) Regulations, 1981 – Dismissal from service – Allegation that respondent connived with two others (one officer and a gunman) to misappropriate money of the customers for their personal gain, stealing bank records, etc. – The disciplinary authority imposed the penalty of compulsory retirement on the co-delinquent gunman while the co-delinquent officer was awarded “lowering by two stages” – The punishment of dismissal was imposed on the respondent (senior manager at the relevant time) – Writ petition – The Single Judge of the High Court modified the punishment of ‘dismissal from service’ imposed upon the respondent to ‘compulsory retirement’ on the ground of discrimination in imposition of punishment thereby offending Art.14 of the Constitution – Same was affirmed by the Division Bench of the High Court – Correctness:

Held: The imposition of lighter punishment on the co-delinquents while imposing the punishment of ‘dismissal from service’ upon the respondent is not in outright defiance of logic – Sight cannot be lost of the fact that the respondent, when he committed the offence, was holding the post of “Senior Manager in MMGS-III Scale”, which is obviously much higher than the codelinquents

* Author

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(officer and gunman) – Authority carries accountability; higher the authority, higher the accountability – The rank of the respondent was not merely titular; it carried with it an increased degree of responsibility and integrity – The role of the respondent not only necessitated personal obedience but also supervision of the actions of the subordinates – The co-delinquents, having limited powers and authority, could not have been equated with the respondent – The gravity of the misconduct necessarily had to be measured with the nature of the misconduct – Thus, grant of the benefit of parity to the respondent by the High Court merely because the co-delinquents were given lighter punishment was entirely misconceived – The disciplinary authority found it prudent in the circumstances to impose a harsher punishment on a higher-ranking official – The High Court clearly fell in error in the course of adjudication of the *lis* – The interference by the Single Judge with the decision of the disciplinary authority, since affirmed by the Division Bench *vide* the impugned order, was uncalled for – The punishment imposed by the disciplinary authority (namely, dismissal from service) imposed on the respondent is restored. [Paras 12-14, 17, 18]

Service Law – Interference with an order of punishment imposed – Power of Judicial review:

Held: Normally, no court in exercise of its power of judicial review should interfere with an order of punishment imposed on a delinquent as a measure of disciplinary action by the competent authority and substitute its own judgment for that of the former – This is premised on the reason that the disciplinary authority is the best judge of the situation, and the requirements of maintaining discipline within the work force – However, interference could be warranted if a punishment, which is strikingly or shockingly disproportionate and is not commensurate with the gravity of misconduct, proved to have been committed in course of inquiry or otherwise, would border on arbitrariness and offend Art.14 of the Constitution – Judicial scrutiny and interference, if at all, has to be based on reasons in support of the court's ultimate satisfaction that the disciplinary authority has faltered in the exercise of his discretion. [Paras 9-12]

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Case Law Cited

Bhagat Ram v. State of Himachal Pradesh (1983) 2 SCC 442; *Ranjit Thakur v. Union of India* [1988] 1 SCR 512 : (1987) 4 SCC 611; *B.C. Chaturvedi v. Union of India* [1995] Supp. 4 SCR 644 : (1995) 6 SCC 749; *Union of India v. G. Ganayutham* [1997] Supp. 3 SCR 549 : (1997) 7 SCC 463; *Om Kumar v. Union of India* [2000] Supp. 4 SCR 693 : (2001) 2 SCC 386; *Union of India v. R.K. Sharma* [2001] Supp. 3 SCR 664 : (2001) 9 SCC 592; *Chairman and Managing Director, United Commercial Bank v. P.C. Kakkar* [2003] 1 SCR 1034 : (2003) 4 SCC 364; *State of Gujarat v. Anand Acharya* (2007) 9 SCC 310; *S.R. Tewari v. Union of India* [2013] 8 SCR 988 : (2013) 6 SCC 602; *Rajasthan SRTC v. Bajrang Lal* (2014) 8 SCC 693 – relied on.

Sengara Singh v. State of Punjab (1983) 4 SCC 225 – referred to.

List of Acts

Punjab and Sind Officer Employees' (Conduct) Regulations, 1981; Constitution of India.

List of Keywords

Service Law; Judicial review; Disciplinary action; Competent Authority; Disciplinary Authority; Dismissal from service; Degree of responsibility; Accountability; Judicial scrutiny; Lighter punishment; Principle of Parity.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 847 of 2026

From the Judgment and Order dated 11.09.2024 of the High Court of Delhi at New Delhi in LPA No. 410 of 2023.

Appearances for Parties

Advs. for the Appellant(s):

Rajesh Kumar Gautam, Anant Gautam, Deepanjal Chaudhary, Ms. Azal Aekram, Ms. Likvi K Jhakalu.

Advs. for the Respondent(s):

G.S. Chaturvedi, Shantanu Chaturvedi, Surya Kant.

Punjab & Sind Bank v. Sh. Raj Kumar**Judgment / Order of the Supreme Court****Judgment****Dipankar Datta, J.****The greater the trust reposed, the stricter the scrutiny imposed.**

1. The present appeal, by special leave, at the instance of Punjab and Sind Bank¹ takes exception to the judgment and order dated 11th September, 2024² of the High Court of Delhi³. *Vide* the impugned order, a writ appeal⁴ filed by the P&SB was dismissed and the judgment and order⁵ of the Single Judge, allowing a writ petition filed by the respondent, affirmed. The Single Judge modified the punishment of ‘dismissal from service’ imposed upon the respondent to ‘compulsory retirement’ on the ground of discrimination in imposition of punishment thereby offending Article 14 of the Constitution.
2. Facts, triggering this appeal, are these:
 - a. Respondent joined the P&SB as a Clerk/Cashier in the year 1987 until he was placed under suspension in December of 2011, followed by disciplinary action of dismissal from service on 25th November, 2024. At the time of dismissal, the respondent held the post of “Senior Manager in MMGS-III Scale”.
 - b. The punishment of dismissal imposed on the respondent (senior manager at the relevant time) was preceded by a show cause notice, a chargesheet and an inquiry in accordance with the Punjab and Sind Officer Employees’ (Conduct) Regulations, 1981 on the allegation that the respondent connived with two others (one officer⁶ and a gunman⁷) to misappropriate money of the customers for their personal gain, stealing bank records, etc. The disciplinary authority imposed the penalty of

1 P&SB

2 impugned order

3 High Court

4 LPA No. 410 of 2023

5 dated 3rd February, 2023

6 Gurjant Singh

7 Sukhdev Singh

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compulsory retirement on the co-delinquent gunman while the co-delinquent officer was awarded “lowering by two stages”. The precise import of the said punishment remains unclear; however, we assume that the expression denotes a reduction in ‘pay’ by two stages.

- c. Dejected, the respondent unsuccessfully filed an appeal and subsequently a review against the order of the disciplinary authority but to no avail. Seeking his reinstatement, the respondent then approached the writ court by filing a writ petition⁸.
- d. Initially, the said writ petition was disposed of by a Single Judge *vide* order dated 12th December, 2017. After rejecting the claim of the respondent on the merits of the disciplinary proceedings, the Single Judge directed the appellate authority to impose an appropriate punishment upon the respondent keeping the principle of parity in mind. Respondent carried the said order in an intra-court appeal⁹, which was disposed of by a Division Bench (*vide* order dated 8th January, 2019) by setting aside the order under appeal and directing the Single Judge to decide the writ petition on merits.
- e. Apart from challenging the decision on merits, the respondent’s claim before the High Court was also that he was discriminated against in imposition of punishment; while one of the co-delinquents was compulsorily retired and the other awarded punishment of “lowering by two stages”, he was dismissed from service. Later, before the Single Judge who decided the writ petition on remand, the respondent limited his challenge only to the quantum of punishment, on the ground of parity with the co-delinquents. The Single Judge proceeded to allow the writ petition after noting that for similar charges, different punishments were imposed on the co-delinquents with the respondent having been given the most severe punishment without any difference in their roles. Relevant paragraphs from the judgment of the Single Judge are reproduced below:

8 WP (C) No. 11034/2017

9 LPA No. 708 of 2018

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11. The only issue that this Court is required to delve into is to test the correctness and legality of the action of Punjab and Sind Bank in awarding the punishment of dismissal to the Petitioner while awarding lesser punishment to those alleged and proved to have acted in 'connivance'.....

16. From a conspectus of the aforementioned judgments, it is luminously clear that doctrine of equality enshrined in Article 14 of the Constitution of India is not an abstract doctrine and is enforceable in Court of Law. It is applicable to all equally placed even if they are guilty and the principle of parity has to be kept in mind by the disciplinary authority tasked to decide the quantum of punishment.

19. Having perused the respective charges, it is amply clear that the charges against the Petitioner and the two co-delinquent employees related to the same transactions/incidents and the gravamen of the allegations was the same..... This Court is unable to find any substantial difference in the charges levelled against the three co-delinquents, which would justify a differential treatment in punishment, save and except, that the Petitioner in his capacity as Bank Manager had signed the documents and/or checked the transactions in question. This by itself is not an aggravating factor of such a magnitude, which would justify one co- delinquent being sent home on compulsory retirement, remaining entitled to pensionary and terminal benefits for life and thereafter family pension to his family and the other being dismissed, entailing forfeiture of the entire past service, not only depriving him of all retiral/terminal benefits but leaving the dependents in his family in a state of penury.

20. In my view, Bank has been unable to substantiate and justify why the Petitioner was awarded the extreme punishment of dismissal while the other two have been let off with lesser punishment... .

23. Looking at the punishments awarded to the co-delinquents for same incidents/transactions and acts of connivance and testing the impugned action on the anvil of Article 14 of the Constitution of India as well as keeping

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in mind the long and unblemished spell of service of the Petitioner, save and except, the present delinquency, this Court is inclined to convert the punishment from 'dismissal' to one of 'compulsory retirement'... .

(emphasis ours)

- f. This order was carried in an intra-court appeal by the P&SB which has been dismissed *vide* the impugned order. The Division Bench found no perversity in the order of the Single Judge.
3. Mr. Rajesh Kumar Gautam, learned counsel for the P&SB cited authorities to buttress his point as to how interference with the order of punishment by the High Court is contrary to settled principles of law and, thus, merits interdiction by this Court.
4. *Per contra*, Mr. G.S. Chaturvedi, representing the respondent, supported the impugned order upholding the decision of the Single Judge by referring to the invidious discrimination that he was subjected to. Additionally, he invited our attention to an observation made by a Division Bench of the High Court in its order dated 8th January, 2019 to the following effect:

9. It appears that on 2nd January, 2012 while he was still under suspension, the Appellant wrote a letter to the Bank in Hindi stating that if there was any mistake on his part while working as the Branch Manager at Roshanpur, he was prepared to make good the loss incurred by the Bank. He further stated that on that date he had deposited Rs. 2 lacs. It appears that a police complaint was also filed. This led to the Appellant submitting another handwritten letter in Hindi which was received by the Bank on 19th May, 2012 whereby upon the direction of the police, he deposited demand drafts worth Rs. 4,19,214.00/-. The last few lines of the said letter are significant where he stated "*sriman ji meri koi galti nahi hai bahut dabav ke karan paise jama kar raha hu. Samaaj mein apni izzat bachae rakhne ke liye kar raha hu*". Prima facie, therefore, appears that on both the occasions, the Petitioner was depositing money under pressure and neither of his letters could be actually viewed as an admission of guilt by the Appellant.

(italics in original, underlining ours)

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The plea advanced (though abandoned before the benches of the High Court) touches upon the merits of the respondent's claim of innocence and that he was unfairly punished.

5. Counsel for the parties have been heard and the materials on record perused.
6. The disciplinary action taken by the P&SB having not been assailed on its merits by the respondent before the Single Judge except the quantum of punishment, we are tasked to decide a limited point.
7. In light of the facts and circumstances of the present case, we are reminded of the consistent line of decisions of this Court delineating the circumstances in which judicial interference is warranted in matters concerning imposition of punishment by disciplinary authorities.
8. We consider it apt to note the relevant passages from a few of these decisions, hereunder:-

a. **Bhagat Ram v. State of Himachal Pradesh**¹⁰:

15. ...It is equally true that the penalty imposed must be commensurate with the gravity of the misconduct, and that any penalty disproportionate to the gravity of the misconduct would be violative of Article 14 of the Constitution. ...

b. **Ranjit Thakur v. Union of India**¹¹:

25. Judicial review generally speaking, is not directed against a decision, but is directed against the "decision-making process". The question of the choice and quantum of punishment is within the jurisdiction and discretion of the court-martial. But the sentence has to suit the offence and the offender. It should not be vindictive or unduly harsh. It should not be so disproportionate to the offence as to shock the conscience and amount in itself to conclusive evidence of bias. The doctrine of proportionality, as part of the concept of judicial review, would ensure that even on an aspect which is, otherwise, within the exclusive

¹⁰ (1983) 2 SCC 442

¹¹ (1987) 4 SCC 611

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province of the court-martial, if the decision of the court even as to sentence is an outrageous defiance of logic, then the sentence would not be immune from correction. Irrationality and perversity are recognised grounds of judicial review... .

(emphasis ours)

c. **B.C. Chaturvedi v. Union of India**¹² (three-Judge Bench):

18. A review of the above legal position would establish that the disciplinary authority, and on appeal the appellate authority, being fact-finding authorities have exclusive power to consider the evidence with a view to maintain discipline. They are invested with the discretion to impose appropriate punishment keeping in view the magnitude or gravity of the misconduct. The High Court/Tribunal, while exercising the power of judicial review, cannot normally substitute its own conclusion on penalty and impose some other penalty. If the punishment imposed by the disciplinary authority or the appellate authority shocks the conscience of the High Court/Tribunal, it would appropriately mould the relief, either directing the disciplinary/appellate authority to reconsider the penalty imposed, or to shorten the litigation, it may itself, in exceptional and rare cases, impose appropriate punishment with cogent reasons in support thereof.

d. **Union of India v. G. Ganayutham**¹³ (three-Judge Bench):

Punishment in disciplinary matters: Wednesbury and CCSU tests

32. Finally, we come to the present case. It is not contended before us that any fundamental freedom is affected. We need not therefore go into the question of “proportionality”. There is no contention that the punishment imposed is illegal or vitiated by procedural impropriety. As to “irrationality”, there is no finding by the Tribunal that the

¹² (1995) 6 SCC 749

¹³ (1997) 7 SCC 463

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decision is one which no sensible person who weighed the pros and cons could have arrived at nor is there a finding, based on material, that the punishment is in “outrageous” defiance of logic. Neither *Wednesbury* nor *CCSU* tests are satisfied. We have still to explain “*Ranjit Thakur* [(1987) 4 SCC 611 : 1987 SCC (L&S) 1 : (1987) 5 ATC 113]”.

33. In *Ranjit Thakur* [(1987) 4 SCC 611 : 1987 SCC (L&S) 1 : (1987) 5 ATC 113] this Court interfered with the punishment only after coming to the conclusion that the punishment was in outrageous defiance of logic and was shocking. It was also described as perverse and irrational. In other words, this Court felt that, on facts, *Wednesbury* and *CCSU* tests were satisfied. In another case, in *B.C. Chaturvedi v. Union of India* [(1995) 6 SCC 749 : 1996 SCC (L&S) 80 : (1996) 32 ATC 44] a three-Judge Bench said the same thing as follows.....

34. In such a situation, unless the court/tribunal opines in its secondary role, that the administrator was, on the material before him, irrational according to *Wednesbury* [(1948) 1 KB 223 : (1947) 2 All ER 680] or *CCSU* [1985 AC 374 : (1984) 3 All ER 935] norms, the punishment cannot be quashed. Even then, the matter has to be remitted back to the appropriate authority for reconsideration. It is only in very rare cases as pointed out in *B.C. Chaturvedi case* [AIR 1961 SC 418 : (1961) 2 SCR 343] that the Court might — to shorten litigation — think of substituting its own view as to the quantum of punishment in the place of the punishment awarded by the competent authority. (In *B.C. Chaturvedi* [AIR 1961 SC 418 : (1961) 2 SCR 343] and other cases referred to therein it has however been made clear that the power of this Court under Article 136 is different.) For the reasons given above, the case cited for the respondent, namely, *State of Maharashtra v. M.H. Mazumdar* [(1988) 2 SCC 52: 1988 SCC (L&S) 436 : (1988) 6 ATC 876] cannot be of any help.

35. For the aforesaid reasons, we set aside the order of the Tribunal which has interfered with the quantum of punishment and which has also substituted its own

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view of the punishment. The punishment awarded by the departmental authorities is restored. In the circumstances, there will be no order as to costs.

(emphasis ours)

e. **Om Kumar v. Union of India**¹⁴:

67. But where an administrative action is challenged as “arbitrary” under Article 14 on the basis of Royappa [(1974) 4 SCC 3 : 1974 SCC (L&S) 165] (as in cases where punishments in disciplinary cases are challenged), the question will be whether the administrative order is “rational” or “reasonable” and the test then is the Wednesbury test. The courts would then be confined only to a secondary role and will only have to see whether the administrator has done well in his primary role, whether he has acted illegally or has omitted relevant factors from consideration or has taken irrelevant factors into consideration or whether his view is one which no reasonable person could have taken. If his action does not satisfy these rules, it is to be treated as arbitrary. [In *G.B. Mahajan v. Jalgaon Municipal Council* [(1991) 3 SCC 91] (SCC at p. 111).] Venkatachaliah, J. (as he then was) pointed out that “reasonableness” of the administrator under Article 14 in the context of administrative law has to be judged from the stand point of *Wednesbury* rules. In *Tata Cellular v. Union of India* [(1994) 6 SCC 651] (SCC at pp. 679-80), *Indian Express Newspapers Bombay (P) Ltd. v. Union of India* [(1985) 1 SCC 641 : 1985 SCC (Tax) 121] (SCC at p. 691), *Supreme Court Employees’ Welfare Assn. v. Union of India* [(1989) 4 SCC 187 : 1989 SCC (L&S) 569] (SCC at p. 241) and *U.P. Financial Corpn. v. Gem Cap (India) (P). Ltd.* [(1993) 2 SCC 299] (SCC at p. 307) while judging whether the administrative action is “arbitrary” under Article 14 (i.e. otherwise than being discriminatory), this Court has confined itself to a *Wednesbury* review always.

14 (2001) 2 SCC 386

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68. Thus, when administrative action is attacked as discriminatory under Article 14, the principle of primary review is for the courts by applying proportionality. However, where administrative action is questioned as “arbitrary” under Article 14, the principle of secondary review based on Wednesbury principles applies.

Proportionality and punishments in service law

69. The principles explained in the last preceding paragraph in respect of Article 14 are now to be applied here where the question of “arbitrariness” of the order of punishment is questioned under Article 14.

70. In this context, we shall only refer to these cases. In *Ranjit Thakur v. Union of India* [(1987) 4 SCC 611 : 1988 SCC (L&S) 1] this Court referred to “proportionality” in the quantum of punishment but the Court observed that the punishment was “shockingly” disproportionate to the misconduct proved. In *B.C. Chaturvedi v. Union of India* [(1995) 6 SCC 749 : 1996 SCC (L&S) 80 : (1996) 32 ATC 44] this Court stated that the court will not interfere unless the punishment awarded was one which shocked the conscience of the court. Even then, the court would remit the matter back to the authority and would not normally substitute one punishment for the other. However, in rare situations, the court could award an alternative penalty. It was also so stated in *Ganayutham* [(1997) 7 SCC 463 : 1997 SCC (L&S) 1806].

(emphasis ours)

f. **Union of India v. R.K. Sharma**¹⁵:

13. In our view, the observations in *Ranjit Thakur case* [(1987) 4 SCC 611 : 1988 SCC (L&S) 1 : (1987) 5 ATC 113] extracted above, have been misunderstood. In that case the facts were such that they disclosed a bias on the part of the Commanding Officer. In that case the appellant *Ranjit Thakur* had fallen out of favour of the

¹⁵ (2001) 9 SCC 592

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Commanding Officer because he had complained against the Commanding Officer. For making such a complaint the Commanding Officer had sentenced him to 28 days' rigorous imprisonment. While he was serving the sentence he was served with another charge-sheet which read as follows:

"Accused 1429055-M Signalman Ranjit Thakur of 4 Corps Operating Signal Regiment is charged with—

Army Act, Disobeying a lawful command given Section 41(2). by his superior officer
In that he,

at 1530 hours on 29-5-1985 when ordered by JC 106251-P Sub Ram Singh, the Orderly Officer of the same Regiment to eat his food, did not do so."

On such a ridiculous charge rigorous imprisonment of one year was imposed. He was then dismissed from service, with the added disqualification of being declared unfit for any future civil employment. It was on such gross facts that this Court made the observations quoted above and held that the punishment was so strikingly disproportionate that it called for interference. The above observations are not to be taken to mean that a court can, while exercising powers under Article 226 or 227 and/or under Article 32, interfere with the punishment because it considers the punishment to be disproportionate. It is only in extreme cases, which on their face show perversity or irrationality that there can be judicial review. Merely on compassionate grounds a court should not interfere.

(emphasis ours)

g. **Chairman and Managing Director, United Commercial Bank v. P.C. Kakkar**¹⁶ :

11. The common thread running through in all these decisions is that the court should not interfere with the

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administrator's decision unless it was illogical or suffers from procedural impropriety or was shocking to the conscience of the court, in the sense that it was in defiance of logic or moral standards. In view of what has been stated in *Wednesbury* case [*Associated Provincial Picture Houses Ltd. v. Wednesbury Corpn.*, (1948) 1 KB 223 : (1947) 2 All ER 680 (CA)] the court would not go into the correctness of the choice made by the administrator open to him and the court should not substitute its decision to that of the administrator. The scope of judicial review is limited to the deficiency in decision-making process and not the decision.

12. To put it differently, unless the punishment imposed by the disciplinary authority or the Appellate Authority shocks the conscience of the court/tribunal, there is no scope for interference. Further, to shorten litigation it may, in exceptional and rare cases, impose appropriate punishment by recording cogent reasons in support thereof. In the normal course if the punishment imposed is shockingly disproportionate it would be appropriate to direct the disciplinary authority or the Appellate Authority to reconsider the penalty imposed.

(emphasis ours)

h. State of Gujarat v. Anand Acharya¹⁷ :

15. The well-settled proposition of law that a court sitting in judicial review against the quantum of punishment imposed in the disciplinary proceedings will not normally substitute its own conclusion on penalty is not in dispute. However, if the punishment imposed by the disciplinary authority or the Appellate Authority shocks the conscience of the court, then the court would appropriately mould the relief either by directing the disciplinary/appropriate authority to reconsider the penalty imposed or to shorten the litigation it may make an exception in rare cases and impose appropriate punishment with cogent reasons in

¹⁷ (2007) 9 SCC 310

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support thereof (see *Bhagat Ram v. State of H.P.* [(1983) 2 SCC 442 : 1983 SCC (L&S) 342] , *Ranjit Thakur v. Union of India* [(1987) 4 SCC 611 : 1988 SCC (L&S) 1] and *U.P. SRTC v. Mahesh Kumar Mishra* [(2000) 3 SCC 450 : 2000 SCC (L&S) 356]).

i. **S.R. Tewari v. Union of India**¹⁸ :

28. The role of the court in the matter of departmental proceedings is very limited and the court cannot substitute its own views or findings by replacing the findings arrived at by the authority on detailed appreciation of the evidence on record. In the matter of imposition of sentence, the scope for interference by the court is very limited and restricted to exceptional cases. The punishment imposed by the disciplinary authority or the appellate authority unless shocking to the conscience of the court, cannot be subjected to judicial review. The court has to record reasons as to why the punishment is disproportionate. Failure to give reasons amounts to denial of justice. The mere statement that it is disproportionate would not suffice. ...

(emphasis ours)

j. **Rajasthan SRTC v Bajrang Lal**¹⁹ :

21. As regards the question of disproportionate punishment is concerned, the issue is no more res integra. ...

22. In view of the above, the contention raised on behalf of the respondent employee, that the punishment of removal from service is disproportionate to the delinquency is not worth acceptance. The only punishment in case of the proved case of corruption is dismissal from service.

(emphasis ours)

9. What follows from the precedents noted above is that courts should exercise restraint while interdicting orders of punishment. Normally, no court in exercise of its power of judicial review should interfere

¹⁸ (2013) 6 SCC 602

¹⁹ (2014) 8 SCC 693

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with an order of punishment imposed on a delinquent as a measure of disciplinary action by the competent authority and substitute its own judgment for that of the former. This is premised on the reason that the disciplinary authority is the best judge of the situation, and the requirements of maintaining discipline within the work force. While it is not the law that the courts should invariably stay at a distance when legality and/or propriety of a particular punishment is questioned, judicial scrutiny of the disciplinary action by way of punishment could arise only if the circumstances are such that no reasonable person would impose the punishment which is questioned and/or such punishment has the effect of shocking the conscience of the court. To put in simpler words, interference could be warranted if it appeals to the court that the disciplinary authority has 'used a sledgehammer for cracking a nut'. A punishment, which is strikingly or shockingly disproportionate and is not commensurate with the gravity of misconduct, proved to have been committed in course of inquiry or otherwise, would border on arbitrariness and offend Article 14 of the Constitution.

10. Where a court, upon due consideration, arrives at the conclusion that the punishment imposed is disproportionate, its intervention is circumscribed in nature. Judicial scrutiny and interference, if at all, has to be based on reasons in support of the court's ultimate satisfaction that the disciplinary authority has faltered in the exercise of his discretion. In such a situation, the court may adopt one of two courses: it may remit the matter to the competent authority for reconsideration of the punishment; or, in the rarest of cases, it may substitute the punishment while supporting such a course with cogent reasons.
11. After refreshing our memory with these well-established principles, the only question that arises for consideration is whether interference by the Single Judge with the order passed by the Disciplinary Authority, in the facts and circumstances of the present case, satisfied the requisite threshold. If we find that such interference was not called for, then the impugned order (which upheld the view taken by the Single Judge) will have to be set aside.
12. Whether the imposition of lighter punishment on the co-delinquents while imposing the punishment of 'dismissal from service' upon the respondent is in outright defiance of logic? We think not.

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13. Sight cannot be lost of the fact that the respondent, when he committed the offence, was holding the post of “Senior Manager in MMGS-III Scale”, which is obviously much higher than the co-delinquents (officer and gunman). Authority carries accountability; higher the authority, higher the accountability. The rank of the respondent was not merely titular; it carried with it an increased degree of responsibility and integrity. The role of the respondent not only necessitated personal obedience but also supervision of the actions of the subordinates. The co-delinquents, having limited powers and authority, could not have been equated with the respondent. The gravity of the misconduct necessarily had to be measured with the nature of the misconduct. Thus, grant of the benefit of parity to the respondent by the High Court merely because the co-delinquents were given lighter punishment was entirely misconceived. The differentiation in rank coupled with the increased trust of the employer on the respondent certainly constituted a compelling ground for a more stringent punishment to be imposed on him.
14. Taking an overall view, the fact that the disciplinary authority found it prudent in the circumstances to impose a harsher punishment on a higher-ranking official is neither disproportionate, nor shocks our conscience. The High Court clearly fell in error in the course of adjudication of the *lis*.
15. Quite apart, equating a branch manager of a bank with its gunman seems to us to be in outrageous defiance of logic and reason. This is not a case akin to ***Sengara Singh v. State of Punjab***²⁰ where this Court interfered with disciplinary action finding that some out of several, guilty of the same misconduct, were picked and chosen for harsher punishment leaving aside others without any convincing reason.
16. Reference to the observation made by the Division Bench, noted in paragraph 4 *supra*, is of no real consequence. Manifest as it is, the Division Bench while remanding the writ petition for a fresh decision recorded only a *prima facie* finding that the respondent might have been pressurized to make deposit of a portion of the misappropriated amount. Even the Single Judge, on remand, did not finally record similar such finding to rule in favour of the respondent. The argument made in desperation to salvage the situation is, thus, rejected.

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17. Considering the facts of the present case, we do not find any perversity or irrationality with the punishment imposed. We have, therefore, reached the irresistible conclusion that interference by the Single Judge with the decision of the disciplinary authority, since affirmed by the Division Bench *vide* the impugned order, was uncalled for.
18. Thus, the impugned order (upholding the order of the Single Judge) is set aside together with the order that it upheld. The punishment imposed by the disciplinary authority (namely, dismissal from service) imposed on the respondent is restored.
19. The appeal is allowed on the aforesaid terms.
20. Parties shall, however, bear their own costs.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Ankit Gyan

Sivakumar
v.
State Rep. By The Inspector of Police

(Criminal Appeal No. 1807 of 2019)

06 April 2026

[Pamidighantam Sri Narasimha and Manoj Misra,* JJ.]

Issue for Consideration

Matter pertains to the correctness of the order passed by the High Court whereby it reversed the acquittal of A-1 and A-2 for the offence punishable u/s.294(b) IPC and convicted them for the said offence; conviction of A1 u/s. 324 IPC affirmed and also convicted u/s.304 Part II rw s.34, whereas conviction of A-2 for the offence u/s.325 altered to one u/s. 304 Part II, and both were sentenced accordingly.

Headnotes[†]

Penal Code, 1860 – ss.294(b), 323, 324 and 302 rw s.34 – Culpable homicide – Use of the word ‘bastard’, if obscene – Boundary dispute between close relatives-victim and his nieces and nephew, leading to hot talks between the parties – A-1 caused injuries to the witness who intervened, and A-2 caused fatal injury to the victim – Trial court acquitted the nieces and convicted A-1 and A-2 u/ss.324 and 325, respectively, acquitting them of charges u/s.302 – High Court reversed the acquittal of A-1 and A-2 for the offence punishable u/s.294(b) and convicted them for the said offence; conviction of A1 u/s.324 affirmed and also convicted u/s.304 Part II rw s.34, whereas conviction of A-2 for the offence u/s. 325 altered to one u/s.304 Part II, and both were sentenced accordingly – Correctness:

Held: Mere use of the word ‘bastard’, by itself, not sufficient to arouse prurient interest of a person, more so, when such words are commonly used in modern era during heated conversations – Thus, conviction of the appellants for offence punishable u/s. 294(b) not sustainable and set aside – Upon consideration of the circumstances in which the incident unfolded and the manner in

* Author

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which the deceased was assaulted by A-2, besides there being no reliable evidence to show that A-1 had beaten the deceased after he fell to the ground, not safe to hold that A-1 shared common intention with A-2 to cause such bodily harm to the deceased as is likely to cause his death – Thus, conviction of A-1 u/s.304 Part II rw s.34 set aside – However, conviction of A-1 for causing injury to the witness and thereby committing offence punishable u/s. 324 confirmed – Further, no error in the conclusion of the High Court that A-2 guilty of an offence of culpable homicide, thus, his conviction u/s.304 Part II confirmed – As regards the award of sentence, it appears that A-1 has partially undergone the default sentence awarded to him for the offence punishable u/s.324, thus, the sentence awarded to A-1 reduced and altered to the period of sentence already undergone – It appears that A2 has, by now, served less than 01 year of sentence – Having regard to the fact that the incident is of the year 2014 and was preceded by an altercation between neighbours, who are close relatives, arising from a boundary dispute, and injury was not caused by using a dangerous weapon, but by a log lying on the spot, and only a solitary blow was inflicted in the heat of the moment, ends of justice would be subserved if the sentence awarded to A-2 u/s.304 Part II, is reduced to 03 years from 05 years R.I. [Paras 20, 21, 24-27]

Case Law Cited

Jacob Mathew v. State of Punjab [2005] Supp. 2 SCR 307 : (2005) 6 SCC 1; *Director General, Directorate General of Doordarshan & Others v. Anand Patwardhan & Another* [2006] Supp. 5 SCR 403 : (2006) 8 SCC 433; *Apoorva Arora & Anr. v. State (Govt. of NCT of Delhi) & Anr.* [2024] 3 SCR 1147 : (2024) 6 SCC 181 – referred to.

List of Acts

Penal Code, 1860; Code of Criminal Procedure, 1973.

List of Keywords

Culpable homicide; Use of the word 'bastard', if obscene; Boundary dispute between close relatives; Common intention; Bodily harm likely to cause death.

Supreme Court Reports**Case Arising From**

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1807 of 2019

From the Judgment and Order dated 26.03.2019 and 04.04.2019 of the High Court of Judicature at Madras at Madurai in CRLAMD Nos. 85 and 167 of 2017, respectively

With

Criminal Appeal No. 677 of 2020

Appearances for Parties

Advs. for the Appellant(s):

S. Nagamuthu, Sr. Adv., M.P. Parthiban, Ankur Prakash, Mrs. Priyanka Singh, Bilal Mansoor, Shreyas Kaushal, S. Geyolin Selvam, Alagiri K.

Advs. for the Respondent(s):

Sabarish Subramanian, Vishnu Unnikrishnan, Siddhant Singh, Danish Saifi.

Judgment / Order of the Supreme Court**Judgment**

Manoj Misra, J.

1. These two appeals impugn common judgment and order of the High Court of Judicature at Madras at Madurai¹ dated 26.03.2019 and 04.04.2019 respectively passed in connected Criminal Appeal (MD) Nos. 85 and 167 of 2017. As these appeals impugn common judgment and order, they have been heard together and are being decided by a common judgment.

FACTS

2. Appellant Senthil (hereinafter referred to as A-1) and appellant Sivakumar (hereinafter referred to as A-2) were tried together along with two other persons, namely, Punitha (hereinafter referred to as A-3) and Jayanthi (hereinafter referred to as A-4) for offences punishable

¹ High Court

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under Sections 294(b), 323, 324 and 302 read with Section 34 of the Indian Penal Code, 1860² arising from Crime No. 189 of 2014 registered at Police Station Thiruvidadaimaruthur.

3. The prosecution case, in brief, is as follows: Ganesan and Kaliyamurthy (the deceased) were real brothers. Ganesan died a decade earlier. A-1 is son of Ganesan whereas A-3 and A-4 are daughters of Ganesan. A-2 is husband of A-3. Ganesan and the deceased shared a common boundary regarding which there was a dispute. On 20.09.2014, at around 11:30 a.m., when the deceased was fencing his property, A-1 to A-4 objected to it. However, the deceased insisted on his right to fence the property which infuriated A-1. As a result, A-1 took an *Aruval* (a sickle like tool used for harvesting crops) and aimed a blow on the deceased. Seeing this, the deceased's brother Kalaivanan (PW-4) intervened to protect the deceased. As a result, the blow fell on PW-4's shoulder. Thereafter, A-1 struck another blow on PW-4's leg and injured his toe. In this melee, when the deceased went to rescue PW-4, A-2 lifted a log and gave a hard blow on the deceased's head. As a result, the deceased fell unconscious. When the deceased was lying unconscious on the ground, A-3 and A-4 attacked the deceased and PW4 with sticks and thereafter, the accused ran away.
4. The deceased and PW-4 were rushed to the hospital, where Dr. Kamarul Jamal (PW15) examined the deceased for his injuries and found:

"A lacerated wound of about 10 x 2 x 1 cm. on the scalp over the left parietal region of the skull."

PW-15 referred the deceased for further treatment to another hospital. As a result, the deceased was taken to another hospital and later shifted to yet another hospital, where he died.

5. Autopsy report of the deceased notices:

"One sutured wound measuring 8 x 8 x 1 cm on the left portion of the head".

A close examination of the skull revealed a depressed fracture of the skull bone, elliptical in shape, with fracture of parietal left region.

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Internal examination revealed:

“Lacerated injury over left parietal lobe over skull, fracture side, cavity of the brain filled up with blood clots.”

Cause of death, as per opinion of the doctor, was grievous injury on head and brain.

6. PW-4 was also examined for his injuries. As per the injury report, a cut injury was noticed on his right shoulder with contusion, and a cut injury was found on his toe.
7. Trial Court charged the four accused (i.e., A-1 to A-4) as under:

Number of Charges	Description of accused	Provisions under which charged
1.	A-1 & A-2	S. 294(b) IPC
2.	A-1	S. 324 IPC
3.	A-2	S. 302 IPC
4.	A-3 & A-4	S. 323 IPC
5.	A-1, A-3 & A-4	S. 302 read with S. 34 IPC

8. After considering the evidence on record, the Trial Court, *vide* judgment and order dated 27.02.2017, acquitted A-3 and A-4. However, A-1 and A-2 were convicted and sentenced as follows:

Name of the accused	Provision of law under which convicted	Sentence
Senthil (A-1)	324 IPC	Fine of Rs.5,000. On default, to undergo simple imprisonment for three months
Sivakumar(A-2)	325 IPC	2 years rigorous imprisonment with fine of Rs.10,000. On default, to undergo simple imprisonment for three months

9. Aggrieved by acquittal of A-3 and A-4 from all the charges and acquittal of A-1 and A-2 from some of the charges including one punishable under Section 302 IPC, Criminal Appeal (MD) No. 167 of 2017 was preferred by Chandra (i.e., widow of the deceased, who was

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examined as PW1 in the trial). Whereas A-1 and A-2, aggrieved by their conviction under Sections 324 and 325 IPC, preferred Criminal Appeal (MD) No. 85 of 2017.

10. The High Court, *vide* impugned judgment and order dated 26.03.2019, upheld the acquittal of A-3 and A-4. However, the acquittal of A-1 and A-2 for the offence punishable under Section 294(b) IPC was reversed and they were convicted for the said offence. Further, the conviction of A-1 under Section 324 of IPC was affirmed and he was also convicted under Section 304 Part II read with Section 34 IPC. Whereas conviction of A-2 for the offence under Section 325 IPC was altered to one under Section 304 Part II IPC. Thereafter, *vide* order dated 04.04.2019, the High Court sentenced A-1 and A-2 as under:

Sl. No.	Provision of law under which convicted	Accused	Sentence
1.	Section 294(b) IPC	Senthil (A1)	One month rigorous imprisonment
2.	Section 304 (II) read with 34 IPC	Senthil (A1)	Five years rigorous imprisonment, with fine of Rs.1,000/- (Rupees one thousand only), on default, to undergo three months simple imprisonment
3.	Section 324 IPC	Senthil (A1)	Fine of Rs.5,000/-, on default, to undergo simple imprisonment for three months, as imposed by the trial Court
4.	Section 294(b) IPC	Sivakumar (A2)	One month rigorous imprisonment
5.	Section 304 (II) IPC	Sivakumar (A2)	Five years rigorous imprisonment, with fine of Rs.1,000/- (Rupees one thousand only), on default, to undergo three months simple imprisonment

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11. Aggrieved by the judgment and order of the High Court dated 26.03.2019 and 04.04.2019 respectively, these two appeals have been filed.
12. We have heard Sri S. Nagamuthu, learned senior counsel for the appellants; and Mr. Sabarish Subramanian, learned counsel for the Respondent-State.

SUBMISSIONS ON BEHALF OF SIVAKUMAR (A-2)

13. On behalf of A-2, the submissions are as follows:
 - (i) There is no evidence on record to justify conviction under Section 294(b) IPC;
 - (ii) There was no intention of causing such bodily injury as is likely to cause death, and the injury was not inflicted with the knowledge that it is likely to cause death, therefore, A-2 cannot be held guilty of committing culpable homicide.
 - (iii) Admittedly, the accused and the deceased were related to each other and shared a common boundary regarding which there was a dispute. The incident occurred because the deceased insisted to fence the disputed boundary despite objection from the accused side. In such circumstances, passions surged and in that heat of the moment a blow was inflicted without aiming the head. As the blow fell on the head accidentally, the offence of culpable homicide is not made out.
 - (iv) It is clear from medical report(s) that except a solitary injury on the head, no other injury was found on the body of the deceased. Besides, the prosecution case that the deceased was assaulted after he fell down has been disbelieved. In these circumstances, it is clear that there was no intention whatsoever to cause death or such bodily injury which in ordinary course is likely to cause death. Moreover, the blow which struck the head of the deceased was not aimed at his head though it fell accidentally on his head. Hence, conviction of A-2 for the offence punishable under Section 304 Part II is unsustainable. Therefore, the Trial Court was justified in convicting the appellant for offence punishable under Section 325 IPC and not 304 Part II.

Sivakumar v. State Rep. By The Inspector of Police**SUBMISSIONS ON BEHALF OF SENTHIL (A-1)**

14. On behalf of A-1, in addition to the submission that no offence punishable under Section 294 of IPC is made out, it was argued that A-1 cannot be saddled with the liability of culpable homicide with the aid of Section 34 IPC as there was nothing to establish that A-1 and A-2 shared common intention of causing either death or such bodily injury as in the ordinary course would cause death.

SUBMISSIONS ON BEHALF OF STATE.

15. *Per contra*, on behalf of the State, it was argued that from the evidence on record it is established that the deceased was abused by using the word “bastard”, therefore, the offence punishable under Section 294(b) IPC is made out. Besides, the High Court was justified in convicting A-2 for the offence punishable under Section 304 Part II IPC and since A-1 was first to attack the deceased, though the blow fell on PW-4, it could be said that he shared common intention with A-2, conviction of A-1 under Section 304 Part II IPC with the aid of Section 34 IPC is justified. It was thus, prayed that the appeals be dismissed.

DISCUSSION.

16. We have considered the rival submissions and have perused the materials on record. There is no dispute as regards the following facts:
 - (i) The deceased and the accused were neighbours as well as close relatives who shared a common boundary regarding which they had a dispute.
 - (ii) The incident occurred because the deceased was fencing the boundary despite objection by the accused.
 - (iii) Prior to exchange of blows there were hot talks between the deceased and the accused.
 - (iv) Injuries were caused by use of *Aruval* and a log. *Aruval* is an agricultural tool. There is no evidence that the accused had brought them for assaulting the deceased and PW-4 from some other place. Therefore, probability of those articles being lifted from the spot is high, indicating that in the heat of the moment, those articles were picked up from the spot and used.

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- (v) Injury caused to PW-4 is not proved to be grievous. Admittedly, A-1 caused injury to PW-4 whereas A-2 caused injury to the deceased. The deceased suffered no other injury except a solitary blow on the head.
- 17. Having taken note of the aforesaid facts, we would first consider whether the offence punishable under Section 294(b) IPC is made out or not. Section 294 IPC reads thus:

“294. Obscene acts and songs.— Whoever, to the annoyance of others -

 - (a) does any obscene act in any public place, or
 - (b) sings, recites or utters any obscene song, ballad or words, in or near any public place,

shall be punished with imprisonment of either description for a term which may extend to three months, or with fine, or with both.”
- 18. The word “obscene” is not specifically defined in IPC. However, by referring to Section 292 of IPC, it has been construed as something which has the potential to appeal to prurient interest of a person³.
- 19. In ***Apoorva Arora & Anr. v. State (Govt. of NCT of Delhi) & Anr.***⁴, this Court, by referring to Section 292 of IPC and Section 67 of Information Technology Act, 2000, observed:

“17. It is evident that “obscenity” has been similarly defined in Section 292 and Section 67 as material which is:

 - (i) lascivious; or
 - (ii) appeals to the prurient interest; or
 - (iii) its effect tends to deprave and corrupt persons who are likely, having regard to all relevant circumstances, to read, see or hear the matter contained or embodied in it.”

Besides, it was observed, obscenity must be judged having regard to contemporary mores and national standards. Additionally, it was observed:

³ See: Director General, Directorate General of Doordarshan & Others v. Anand Patwardhan & Another, (2006) 8 SCC 433

⁴ (2024) 6 SCC 181

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“41. ... It is well established (as per para 41, SCC) from the precedents cited that vulgarity and profanities do not per se amount to obscenity. While a person may find vulgar and expletive-filled language to be distasteful, unpalatable, uncivil, and improper, that by itself is not sufficient to be “obscene”. Obscenity relates to material that arouses sexual and lustful thoughts, which is not at all the effect of the abusive language or profanities that have been employed in the episode. Rather, such language may evoke disgust, revulsion, or shock. ...”

20. Seen in the light of the aforesaid decision, in our view, mere use of the word ‘bastard’, by itself, is not sufficient to arouse prurient interest of a person. More so, when such words are commonly used in modern era during heated conversations. We are, therefore, of the view that conviction of the appellants for offence punishable under Section 294(b) IPC is not sustainable and is hereby set aside.
21. Now, we shall examine whether A-1 could be said to have shared common intention to cause such bodily injury to the deceased which resulted in his death. The facts of the case reflect that A-1 charged on the deceased by taking an Aruval in his hand but, when PW-4 intervened, gave two blows to PW-4, which did not result in any grievous injury. No doubt, it has come in the testimony of PW-4 that A-2 took a log and gave a hard blow on the head of the deceased while uttering that all problems are because of the deceased and it is better that he dies, but this statement is not attributed to A-1. Besides, there is no evidence that A-1 exhorted A-2 to strike the deceased. Thus, upon consideration of the circumstances in which the incident unfolded and the manner in which the deceased was assaulted by A-2, besides there being no reliable evidence to show that A-1 had beaten the deceased after he fell to the ground, in our view, it would not be safe to hold that A-1 shared common intention with A-2 to cause such bodily harm to the deceased as is likely to cause his death. In this view of the matter, the conviction of A-1 under Section 304 Part II read with Section 34 IPC is set aside. However, conviction of A-1 for causing injury to PW-4 and thereby committing offence punishable under Section 324 IPC is confirmed.
22. Now we shall consider whether the conviction of A-2 for the offence punishable under Section 304 Part II IPC is justified. Notably, the Trial

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Court had convicted A-2 for the offence punishable under Section 325 IPC whereas the High Court found him guilty of the offence punishable under Section 304 Part II IPC.

23. To convict an accused for commission of an offence punishable under Section 304 Part II IPC, it must be proved that the accused has committed culpable homicide as defined in Section 299 IPC⁵. The High Court came to the conclusion that A-2 committed culpable homicide because he had knowledge that by his act he is likely to cause death. While holding so, the High Court took notice of the fact that the injury sustained by the deceased discloses fracture of the skull and there were blood clots in the brain. Further, there was no evidence that the death had occurred on account of improper treatment. The High Court had also noticed the evidence on record which indicated that when A-2 had lifted the log he uttered such words which indicated that A-2 had targeted the deceased, to finish him off.
24. On a careful scrutiny of the evidence on record, we do not find any error in the conclusion of the High Court that A-2 is guilty of an offence of culpable homicide. However, whether A-2 was liable to be convicted for culpable homicide not amounting to murder punishable under Section 304 Part I of IPC, is a question which we refrain to address in absence of an appeal by the State, or the victim of the crime, for

⁵ **299. Culpable homicide.** - Whoever causes death by doing an act with the intention of causing death, or with the intention of causing such bodily injury as is likely to cause death, or with the knowledge that he is likely by such act to cause death, commits the offence of culpable homicide.

Illustrations

- (a) A lays sticks and turf over a pit, with the intention of thereby causing death, or with the knowledge that death is likely to be thereby caused. Z, believing the ground to be firm, treads on it, falls in and is killed. A has committed the offence of culpable homicide.
- (b) A knows Z to be behind a bush. B does not know it. A, intending to cause, or knowing it to be likely to cause Z's death, induces B to fire at the bush. B fires and kills Z. Here B may be guilty of no offence; but A has committed the offence of culpable homicide.
- (c) A, by shooting at a fowl with intent to kill and steal it, kills B, who is behind a bush; A not knowing that he was there. Here, although A was doing an unlawful act, he was not guilty of culpable homicide, as he did not intend to kill B, or to cause death by doing an act that he knew was likely to cause death.

Explanation 1.—A person who causes bodily injury to another who is labouring under a disorder, disease or bodily infirmity, and thereby accelerates the death of that other, shall be deemed to have caused his death.

Explanation 2.—Where death is caused by bodily injury, the person who causes such bodily injury shall be deemed to have caused the death, although by resorting to proper remedies and skilful treatment the death might have been prevented.

Explanation 3.—The causing of the death of a child in the mother's womb is not homicide. But it may amount to culpable homicide to cause the death of a living child, if any part of that child has been brought forth, though the child may not have breathed or been completely born.

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altering the conviction to a graver offence. In the circumstances, we confirm the conviction of A-2 under Section 304 Part II IPC.

25. Now, we shall consider whether the sentence awarded by the High Court is appropriate, or too harsh. High Court convicted A-1 for offence punishable under Section 324, Section 294(b) and Section 304 Part II read with 34 IPC. In so far as the conviction of A-1 under Section 294(b) and Section 304 Part II read with 34 IPC is concerned, we have already held above that the same is unsustainable. However, we have affirmed his conviction under Section 324 IPC. Under Section 324 IPC, A1 has been awarded fine of Rs. 5,000 and a default sentence of 3 months. As per the custody certificate dated 21.02.2020 annexed along with the memo of appeal, A-1 (Senthil) has served 01 month 25 days of sentence as on 21.02.2020. The record reveals that he was released on bail by order of this Court dated 13.10.2020. In this view of the matter, it appears that the appellant has partially undergone the default sentence awarded to him for the offence punishable under Section 324 IPC. Consequently, we reduce and alter the sentence awarded to A-1 (Senthil) to the period of sentence already undergone.
26. In so far as A-2 (Sivakumar) is concerned, since we have affirmed his conviction under Section 304 Part II IPC, it would have to be considered whether the sentence awarded to him needs to be altered or not. The High Court has awarded him five years rigorous imprisonment with fine of Rs. 1,000. The custody certificate dated 30.04.2019 issued by Central Prison, Madurai indicates that by the date of the certificate, the appellant had served 02 months and 10 days of sentence. The record reveals that by order of this Court dated 29.11.2019, appellant Sivakumar (A-2) was granted bail subject to the satisfaction of the Trial Court. In the circumstances, it appears, the appellant Sivakumar (A2) has, by now, served less than 01 year of sentence.
27. Having regard to the fact that the incident is of the year 2014 and was preceded by an altercation between neighbours, who are close relatives, arising from a boundary dispute, and injury was not caused by using a dangerous weapon, but by a log lying on the spot, and only a solitary blow was inflicted in the heat of the moment, we are of the view that ends of justice would be subserved if the sentence awarded to A-2 (Sivakumar), under Section 304 Part II IPC, is reduced to 03 years from 05 years R.I.

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28. Consequently, both the appeals are partly allowed to the extent mentioned above. Appellant Senthil (A-1) is on bail, he need not surrender. Insofar as appellant Sivakumar (A2) is concerned, he shall surrender before the Court concerned and serve out the remaining reduced sentence as ordered above.

Result of the case: Appeals partly allowed.

[†]Headnotes prepared by: Nidhi Jain

Dr. S. Balagopal
v.
State of Tamil Nadu & Anr.

(Criminal Appeal No. 1753 of 2026)

06 April 2026

[Pamidighantam Sri Narasimha and Manoj Misra,* JJ.]

Issue for Consideration

Issue arose whether the High Court was right in not quashing the proceedings against the appellant surgeon who performed Orchidectomy-removal of testicle on the one and a half year boy, without obtaining the consent by the father-*de facto* complainant, as alleged.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.482 – Penal Code, 1860 – Appellant-surgeon performed Orchidopexy-surgical procedure, on a one and a half year boy, for which doctors had obtained consent – Appellant also performed Orchidectomy-removal of testicle on the boy – Allegations by the father-*de facto* complainant that no consent was given for Orchidectomy – FIR registered u/ss.312, 325, 426, 120-B, 406, 465, 468, 471 and s.501 (1) & (2) IPC against the doctor – Charge-sheet submitted and the Magistrate took cognizance – Petitions filed u/s.482 Cr.P.C., by the complainant to constitute a Medical Board of three members so that a fair opinion is obtained – Pursuant to the directions, the Medical Board constituted which submitted its report – Petition also filed by the appellant seeking quashing of the proceedings – High Court rejected the same – Correctness:

Held: In the opinion of the Medical Board the procedure adopted was appropriate – Moreover, the operating surgeon is the best judge of which one of the two procedures is to be adopted – As regards any interpolation in the consent form to add the alternative procedure-Orchidectomy, being a question of fact is to be determined in a trial based on evidence led therein and, thus, courts must be loath to examine such issues

* Author

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in a summary proceeding, like the one u/s.482 – However, no absolute bar on High Court's power to consider questions of fact in exercise of jurisdiction u/s.482, particularly when such consideration necessary to prevent the abuse of the process of the court or to secure the ends of justice – No malice attributed to the doctor and no dispute that the consent form was executed for undertaking medical procedure – Medical opinion is to the effect that the procedure adopted by the doctor was one of the alternatives recognized to meet such medical exigency – No doubt, Medical Board's opinion indicates that such procedure should be carried out after obtaining consent, but nothing to indicate that the consent form already obtained was not in order or that no consent was obtained – Perusal of the consent letter indicates that in the column where the nature of proposed surgery is to be mentioned, both types of surgery-Orchidopexy and Orchidectomy are mentioned by putting a slash, which means that the other surgery, namely, Orchidectomy, was one of the options available – No material on record that alternative surgery, Orchidectomy, was entered by a different ink or in a different handwriting, and having regard to the Medical Board's opinion that in such medical situations, Orchidectomy is a normal alternative, continuance of criminal proceeding against the appellant abuse of the process of the court and, thus, to secure the ends of justice, the same is quashed – Impugned judgment and order of the High Court set aside. [Paras 17-21]

Case Law Cited

Jacob Mathew v. State of Punjab [2005] Supp. 2 SCR 307 : (2005) 6 SCC 1 – held inapplicable.

List of Acts

Penal Code, 1860; Code of Criminal Procedure, 1973.

List of Keywords

Quashing the proceedings; Surgeon; Orchidectomy-removal of testicle; Without obtaining consent by the father; Surgeon performed Orchidopexy-surgical procedure that moves an undescended testicle into the scrotum; Doctor obtained consent; Constitute Medical Board; Fair opinion; Medical Board report.

Dr. S. Balagopal v. State of Tamil Nadu & Anr.**Case Arising From**

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1753 of 2026

From the Judgment and Order dated 25.09.2023 of the High Court of Judicature at Madras in CRLOP No. 23349 of 2016.

Appearances for Parties

Advs. for the Appellant(s):

K. Ravi Anantha Padmanabhan, Sr. Adv., T. R. B. Sivakumar, Deva Vrat Anand.

Advs. for the Respondent(s):

V Krishnamurthy, Sr. A.A.G., D.kumanan, Ms. Deepa S, Sheikh F Kalia, Veshal Tyagi, Chinmay Anand Panigrahi, Ms. Azka Sheikh Kalia.

Respondent-in-person.

Judgment / Order of the Supreme Court**Judgment**

Manoj Misra, J.

1. Leave granted.
2. This appeal arises from a petition¹ filed under Section 482 of the Code of Criminal Procedure, 1973² seeking quashing of the proceedings in C.C. No. 13 of 2008 on the file of Judicial Magistrate No.1, Poonamallee³. By the order impugned dated 25.09.2023, the High Court of Judicature at Madras⁴ rejected the prayer to quash the proceedings and issued a direction to expedite the same.

FACTS

3. The second respondent (R-2) i.e., the *de facto* complainant made a complaint, *inter alia*, alleging that his son, aged one and one-half

1 CRL. O.P. No. 23349/2016

2 Cr.P.C.

3 The learned Magistrate

4 The High Court

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years, was admitted in a hospital for a surgical procedure as one of his testicles had not descended into the scrotal sac. According to R-2, doctors had obtained his consent for Orchidopexy (i.e., the surgical procedure that moves an undescended testicle into the scrotum), but there was no consent for Orchidectomy (i.e., removal of testicle). R-2 also alleged that prior to the surgery, the operating surgeon had explained that in 99 percent of such cases there is no need to remove the testicle. Therefore, specific consent for Orchidectomy was neither sought nor given. Yet, Orchidectomy was performed and in the consent form, by interpolation, Orchidectomy was inserted, which amounted to an offence of forgery.

4. Based on the aforesaid allegations, a first information report⁵ was registered at P.S. Ambathur on 08.08.2006 (i.e., FIR No. 1196 of 2006) under Sections 312, 325, 426, 120-B, 406, 465, 468, 471 and section 501 (1) & (2) of the Indian Penal Code, 1860⁶.
5. On the aforesaid FIR, the police, after investigation, submitted a charge-sheet against the appellant (i.e., the operating surgeon) on which the learned Magistrate took cognizance and registered C.C. No. 13 of 2008. Aggrieved therewith, two petitions under Section 482 of Cr.P.C. were filed before the High Court. One was by R-2, *inter alia*, to constitute a Medical Board of three members so that a fair opinion is obtained. The second was by the appellant seeking quashing of the proceedings of C.C. No. 13 of 2008. The High Court *vide* order dated 19.03.2013 disposed of these two petitions in the following terms:

“14. Accordingly, both the criminal original petitions, namely CrI. O.P. No.18043 of 2008 and CrI. O.P. No.7614 of 2008 are disposed of with the following directions:

- a) The prayer for quashing of the criminal proceedings in CC. No.13 of 2008 made by the accused in his petition in CrI. O.P. No.7614 of 2008 shall stand rejected.
- b) Since further investigation has been ordered, all further proceedings in CC. No.13 of 2008 shall stand stayed till the completion of the further investigation and submission

5 FIR

6 IPC

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of the further report subject to a rider that the accused shall cooperate with the Investigating Officer in conducting further investigation.

c) The first part of the prayer made in Crl. O.P. No.18043 of 2008 filed by the de facto complainant viz., for a direction to the Investigating Officer to act impartially is negatived.

d) The second part of the prayer made in Crl. O.P. No.18043 of 2008 praying for constitution of the Medical Board is allowed and the Director of Medical Services, Chennai is directed to constitute a Medical Board consisting of following persons:

i) A Specialist in Paediatric Surgery in Government Services;

ii) An expert in Pathology in Government Services; and

iii) An expert in Oncology in Government Services.

e) The Medical Board should be constituted within one month from the date of receipt of a copy of this order and the Medical Board shall submit the report as early as possible preferably within two months from the date of constitution of the Medical Board. The report shall be submitted to the Investigating Officer, marking a copy to the Registrar Judicial of the Court.

f) The Investigating Officer shall complete the investigation within two months after the receipt of the opinion of the Medical Board and submit further Final report.

g) It shall not be necessary for the accused to make periodical appearance before the learned Judicial Magistrate I, Poonamallee till the submission of further final report.

Consequently, the connected miscellaneous petitions are closed.”

6. Pursuant to the aforesaid directions, a Medical Board was constituted which submitted its report dated 29.07.2010. The same is reproduced below:

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“FACT FINDING INQUIRY REPORT BY THE MEDICAL BOARD CONSTITUTED IN RESPECT OF CRL. O. P No. 18043 of 2008, MP No.2, 4 & 5 of 2008 & CRL. O. P No. 7614 OF 2008 AND MP No.1 of 2008

As per the directions of the Hon’ble High Court of Madras issued in Crl. O P No. 18043 of 2008 M.P.No.2, 4 & 5 of 2008 and Crl. O.P No 7614 of 2008 & M.P. No 1 of 2008, I, the Director of Medical and Rural Health Services, Chennai-6 have constituted a Medical Board comprising the following specialists from Government Stanley Medical College Hospital, Chennai-1 to offer their expert medical opinion for the Left orchidectomy surgery done to one male child namely, (xxxx) (name masked), aged 2 years, son of (yyyy) (name masked).

1. Dr. Mary Lilly, Professor and Head of Department, Department of Pathology, Government Stanley Medical College Hospital, Chennai-1
2. Dr. J. Muthukumaran, Paediatric Surgeon, Government Stanley Medical College Hospital, Chennai 1
3. Dr. Ravel Naveen, Professor and Head of Department, Department of Medical Oncology, Government Stanley Medical College Hospital, Chennai – I

The left Orchidectomy surgery was done to the child by one doctor namely Dr. Balagopal at M/s Sri Ramachandra Medical Centre Hospital, Porur on 24/08/2005. Orchidectomy surgery means removal of testis from the body. Orchidopexy means retaining the testis and placing in the anatomical position in the body. The constituted Medical Board was convened on 01/07/20 13 and opined as follows:

The Professor of Pathology, Government Stanley Medical College Hospital, Chennai-1 has opined as

The Histopathology Report carrying Hospital No.0000339902 of (xxxx) (name masked) 2 years a Male child.

Accession No G.1852/05 under the unit by Dr. Balagopal S. dated 31/08/2005. Histopathology Report copy received shows:

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1. Microscopy describes the tissue received and studied as on soft tissue I X 0.5 cm. No special features/ organ mentioned.

2. Microscopy describes the tissues to be testis and Epididymis with focal fibrotic areas.

The pathological changes observed is 'Focal fibrosis'.

No other pathological character is described.

The change described as focal fibrosis is consistent with pathological changes observed in undescended testis.

The Professor of Medical Oncology, Government Stanley Medical College Hospital, Chennai-1 has opined as

2 years old child had a history of left undescended testis and had undergone left orchidectomy. Pathology report shows no features of malignancy in the undescended testis specimen.

According to the operative findings the left testis was very small, cystic and dysplastic and hence probably a left orchidectomy was done.

Undescended testis is a risk factor for development of malignancy.

The Professor and Head of Department, Department of Pediatric Surgery, Government Stanley Medical College Hospital, Chennai-1 has opined as

In case of undescended Testis generally the affected Testis will be smaller than the normal size (or) it may present as nubbin of tissue as the child grows (or) it may go in form Torsion and gangrene of the testis as a complication.

In case of Nubbin of tissue as it does not serve the purpose (testis shape, sperm production) and more chance of malignant transformation orchidectomy is preferred than doing orchidopexy.

In case of torsion testis and gangrene, orchidectomy is preferred.

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As per the case sheet and operation theatre notes, the left testis seems to be (small, cystic, dysplastic, 0.7cm size) a nubbin of tissue when compared with the testis on the other side. In that situation the nubbin of tissue could have been removed after:

1. Explaining in detail about the problems of retaining the affected testis.
2. Getting consent from the parents for doing orchidectomy to the child.

CONCLUSIVE OPINION

Pathology Speciality report reveals that at the time of histopathological examination there is focal fibrosis present in the sample. (No evidence of malignant changes).

Department of Medical Oncology report reveals that the left testis was very small, cystic and dysplastic and hence probably a left orchidectomy was done.

Undescended testis is a risk factor for development of malignancy.

Department of Pediatric Surgery report reveals that

In case of Nubbin of tissue as it does not serve the purpose (testis shape, sperm production) and more chance of malignant transformation, orchidectomy is preferred than doing orchidopexy.

- a. Explaining in detail about the problems of retaining the affected testis.
- b. Getting consent from the parents for doing orchidectomy to the child.

Hence it is opined that left orchidectomy surgery done to the child (xxxx) (name masked), 2 years old, son of (yyyy) (name masked) is an appropriate surgical procedure as per medical ethics and it should have been done with the consent of parents.

Sd/- Director of Medical and Rural Health Services”

7. On receipt of the aforesaid report, the Investigating Officer wrote a letter to the Director, Directorate of Medical and Rural Health

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Services, Chennai seeking an opinion on the consent form which was obtained before the surgery. In response to the letter of the Investigating Officer, a letter was issued from the office of the Director of Medical and Rural Health Services, Chennai to the Investigating Officer on 24.02.2014, stating as follows:

**“MEDICAL AND RURAL HEALTH SERVICES
DEPARTMENT**

From

Dr. A. Chandranathan, M.D.,
Director of Medical and Rural Health Services,
Chennai - 6.

To

Inspector of Police,
T-15, SRMC Police Station,
Porur, Chennai - 600 116.

Sir,

Ref. No. 32780/ E7/ 3/ 2014, dated 24.02.2014.

Sub: Criminal case in Cr.No.1196/2006 of T 15 SRMC
PS – investigation pending - ascertain clarification
required - in the interest of successful prosecution of the
case -regarding.

Ref:

1. Letter along with the findings of the Tamil Nadu Directorate of Medical and Rural Health Services dated 27.07.2013.
2. The case is T15 SRMC PS Cr. No .1196/ 2006.
3. Your letter date is 18.01.2014.

1. The left Orchidectomy surgery done to the child namely xxxx (name masked), 2 years old boy, Son of yyyy (name masked) is an appropriate Surgery Procedure as per medical ethics and it should have been done with the consent of parents.

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For this above point it is clarified that in the case sheet it is seen that informed consent for surgery in the printed form is attached. This printed consent is a general procedure for all the surgeries / treatment and is being obtained from patients in each and every hospital. In this context, it is mentioned “I understand that a diagnosis of Bilateral undescended testis has been made on me and that surgical operation Bilateral Orchidopexy / Left Orchiectomy has been advised by my doctor”.

In any surgery, the surgeon should have explained “what procedure he is going to do with the patient and its complication / nature of surgery in person, to the relative. In this case the doctor has adopted general procedure of obtaining consent in the printed form in which the ‘Orchiectomy’ is written, medical terms which the parents could not understand.

In this particular surgery, it is ascertained that only after opening; the surgeon have come to a conclusion of removing the unwanted testis and before removing the testis he has obtained the consent in the printed form may be without explaining the nature of surgery in detail to the parents.

(a) He has obtained the consent of the parents of the child specifically to conduct the surgery towards removal of left testis of xxxx (name masked) in printed form.

(b) Yes per used.

(c) The consent is obtained by Dr. Balagopal explaining the consequences of retaining the left testis, which may develop into malignancy or abscess formation (discharge summary).

(d) Prosecution could not be made against the doctor since he has done the procedure as per medical ethics and as he has explained the consequences of retaining the left testis in the body, which may form abscess or turn malignant.

(e) No

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(f) Not Applicable

As per the opinion of the Professor of Pediatric Surgery Dr. Balagopal has obtained the formal consent in the printed form (for all the surgical purpose duly filled in) explaining in detail about the problem of retaining the affected testis. In case of Nubbin of tissue as it does not serve the purpose (testis shape, sperm production) and more chance of malignant transformation.

Hence it is opined that the Left Orchidectomy done to one xxxx (name masked) son of Mr. yyyy (name masked) is an appropriate surgical procedure.

Dr. Balagopal has obtained the consent in the common printed form and explained in detail about the problem of retaining the affected testis to parents, saying the affected testis may transform to malignancy in future.

Yours faithfully,

For Director of Medical and Rural Health Services.”

(Emphasis supplied)

8. After obtaining the report dated 24.02.2014, an additional report was submitted giving details of the opinion of the Medical Board as reproduced above. The charge sheet submitted reads as under:

“CHARGE SHEET

CHARGE SHEET IN T-15 SRMS POLICE STATION

Crime No. 1196/2006
U/S 336, 201, 465, & 471 IPC.

.....

ACCUSED: Dr. Balagopal, Age 38/2007 S/O K. Subramani,
No. 7 Suriya Bharani Colony, Saligramam, Chennai – 600093

The accused noted in the margin is working as Consultant Pediatric Surgeon in SRMC Center at Porur, within the limits of SRMC PS. The hospital authority has authorized the accused to perform all kinds of surgery including

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orchidopexy and orchidectomy. The witness (yyyy) (name masked) is the father of male child (xxxx) (name masked) aged about 1 1/2 years. The witness (yyyy) (name masked) had admitted his child (xxxx) (name masked) on 23.08.2005 at SRMC Hospital for Hernia Operation. The hospital authority had referred the child (xxxx) to the accused for performing Hernia Operation on the child of witness (yyyy) (name masked) about the nature of the operation on which he is going to perform on the child i.e., hernia operation and also obtained consent letter from the witness (yyyy) (name masked) by clearly mentioning that the operation of positioning of testis (bilateral Orchidopexy). The accused has not mentioned anything about the removal of left testicle of the child in the consent letter. Therefore, the witness has also signed in the document believing that the accused would perform only bilateral Orchidopexy.

That on 24.08.2005 at about 3.30 P.M. at SRMC Hospital Operation theatre when the child (xxxx) (name masked) aged about 1 ½ year was admitted in the operation theatre for hernia operation, the accused noted in the margin being the surgeon of SRMC Hospital had acted in a rash and negligent manner at the time of performing the operation on the child and due to rash and negligent act, the accused had removed the left testicle of the child during the hernia operation. Therefore, the accused has committed the offence punishable u/s 336 IPC.

During the course of the same transaction the accused, the surgeon of the same hospital, knowing that he had performed the operation in a rash and negligent manner which is punishable with imprisonment, intentionally caused the disappearance of the evidence of his rash negligent act to escape from the legal punishment, altered the medical documents and consent letter for performing surgery. Thereby the accused has committed the offence punishable u/s 201 IPC.

During the course of the same transaction, the accused noted the margin has created a forged document by

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inserting a letter “left orchidectomy” in the consent letter of the complainant to make other to believe that this witness (yyyy) (name masked) had given consent for the removal of left testicle of his child, and also used the above said forged document as genuine to escape (sic) the legal punishment for the offence of negligent act. Thereby the accused has further committed the offences punishable u/s 465, 471 IPC

Hence the charge.

Sd/-
Inspector of Police
T-15 S.R.M.C. P.S.
Porur, Chennai - 116”

9. Aggrieved by the charge-sheet and the consequential proceedings, which continued even after the additional reports of medical experts, the appellant filed Crl. O.P. No. 23349 of 2016 for quashing the entire proceeding pending as C.C. No. 13 of 2008 on the file of the learned Magistrate.
10. By the impugned order, the High Court dismissed the petition. Hence, this appeal.
11. We have heard learned counsel for the appellant as well as the counsel appearing for the State. We also heard R-2 in person on one date.

SUBMISSIONS ON BEHALF OF THE APPELLANT

12. The learned counsel for the appellant submitted that the medical report submitted by the Medical Board as well as the Final Report submitted by the Investigating Officer does not castigate the appellant for any kind of negligence. Moreover, it is now clear that Orchidectomy was the appropriate procedure. The only point of dispute is whether the *de facto* complainant i.e., father of the child was informed about the surgical procedure to be undertaken and whether there was a proper consent for that surgical procedure. In this regard, what is important is that there was a consent letter signed by R-2 for the surgery. The consent form was in a printed format and the column regarding the nature of surgery advised indicated “Bilateral Orchidopexy/Orchidectomy.” The allegation is

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that Orchidectomy was added by interpolation in the consent form to save the doctor from the allegation of conducting surgery without consent. It is contended that this very consent letter was sent to the Director for his opinion and the Director had opined that there was nothing suspicious about the consent. Besides, there is no forensic report regarding interpolation of 'Orchidectomy' made in the consent letter either by a different ink or in a different handwriting. It is also submitted that a bare perusal of the consent letter/form would indicate that it is in order. In these circumstances, it was argued, the High Court had erred in not quashing the criminal proceeding, particularly when there was a medical report in support of appellant's case.

SUBMISSIONS ON BEHALF OF THE STATE

13. Learned counsel appearing for the State submitted that though there may be no negligence on the part of the doctor in performing Orchidectomy, the doctor ought to have obtained a prior consent for the said surgical procedure. Once the *de facto* complainant alleges that he had not consented to Orchidectomy, it is a matter of trial whether such consent was there or not. In such circumstances, whether there was a valid consent or not, and whether the consent letter has been manipulated or not, can best be determined in a trial. Hence, the order of the High Court calls for no interference.

SUBMISSIONS ON BEHALF OF THE *DE-FACTO* COMPLAINANT

14. The *de-facto* complainant (R-2), who appeared in person, submitted that during surgery the doctor had asked him on phone whether he should perform Orchidectomy or not. Further, the doctor informed that if Orchidectomy is not performed, possibility of malignancy in future cannot be ruled out. According to R-2, this question of the doctor was answered in the negative and R-2 had specifically stated that he would later consider whether removal of testis is to be undertaken. Despite that, the doctor proceeded with the surgery and removed the testicle without R-2's consent and, to save himself, later, the consent form was manipulated to show that the consent was taken for Orchidectomy. In these circumstances, he prayed that *prima facie* commission of offence is made out and therefore, appeal be dismissed.

Dr. S. Balagopal v. State of Tamil Nadu & Anr.**DISCUSSION**

15. We have accorded due consideration to the rival submissions and have also perused the materials available on record.
16. Before we proceed to address the rival contentions, we must bear in mind that appellant-accused is a surgeon/doctor whose credentials as a surgeon /doctor are not in issue. The criminal law has invariably placed medical professionals on a pedestal different from ordinary mortals. The IPC enacted as far back as in the year 1860 sets out a few vocal examples. Section 88 in the Chapter on General Exceptions provides exemption for acts not intended to cause death, done by consent in good faith for person's benefit. Section 92 provides for exemption for acts done in good faith for the benefit of a person without his consent though the acts cause harm to the person and that person has not consented to suffer such harm. Based on above, and upon a review of various decisions and reports, in **Jacob Mathew v. State of Punjab**⁷ this Court observed:

“48 (7). To prosecute a medical professional for negligence under criminal law it must be shown that the accused did something or failed to do something which in the given facts and circumstances no medical professional in his ordinary senses and prudence would have done or failed to do. The hazard taken by the accused doctor should be of such a nature that the injury which resulted was most likely imminent.”

Having observed so, this Court proceeded to hold:

“52. ... A private complaint may not be entertained unless the complainant has produced *prima facie* evidence before the court in the form of a credible opinion given by another competent doctor to support the charge of rashness or negligence on the part of the accused doctor. The investigating officer should, before proceeding against the doctor accused of rash or negligent act or omission, obtain an independent and competent medical opinion preferably from a doctor in government service, qualified in that branch of medical practice who can normally be expected to give

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an impartial and unbiased opinion applying the *Bolam*⁸ test to the facts collected in the investigation. ..”

17. In the instant case, the dispute is not regarding negligence on part of the appellant, therefore the law laid down in **Jacob Mathew (supra)** may not *stricto sensu* apply. However, the importance of Medical Review Board’s report cannot be undermined. It highlights the importance of Orchidectomy in cases related to undescended testicle. Though it is alleged by the *de facto* complainant that he had not consented for Orchidectomy, it is clear from the materials on record that prior to the surgery consent form was obtained from the father of the child. Thus, the issue is whether the consent was limited to surgical procedure of Orchidopexy. According to the appellant, the consent form had limited space in the column where the nature of surgery had to be mentioned therefore, Orchidectomy was written by putting a slash just below Orchidopexy in the consent form. What is important is that the consent form was sent by the Investigating Officer to the Director of the Medical and Rural Health Services for his opinion. The Director had not found any fault in the consent form. Rather, the Medical Board opines that Orchidectomy is an alternative procedure which may be undertaken to obviate chances of malignancy in future. Thus, in the opinion of the Medical Board the procedure adopted was appropriate. Moreover, the operating surgeon is the best judge of which one of the two procedures is to be adopted. Therefore, the only issue which requires consideration is whether there was any interpolation in the consent form to add the alternative procedure (i.e., Orchidectomy).
18. Ordinarily, an issue of tampering/ interpolation in a document being a question of fact is to be determined in a trial based on evidence led therein and, therefore, courts must be loath to examine such issues in a summary proceeding, like the one under Section 482 Cr.P.C. However, there can be no absolute bar on High Court’s power to consider questions of fact in exercise of jurisdiction under Section 482

8 Bolam v. Friern Hospital Management Committee, (1957) 1 WLR 582: (1957) 2 All ER 118 (QBD)

“Where you get a situation which involves the use of some special skill or competence, then the test as to whether there has been negligence or not is not test of the man on the top of a Clapham omnibus, because he has not got this special skill. The test is the standard of the ordinary skilled man exercising and professing to have that special skill. A man need not possess the highest expert skill ... It is well established law that it is sufficient if he exercises the ordinary skill of an ordinary competent man exercising that particular art.”

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Cr.P.C., particularly when such consideration is necessary to prevent the abuse of the process of the court or to secure the ends of justice.

19. In the instant case, no malice is attributed to the doctor and there is no dispute that the consent form was executed for undertaking a medical procedure. Further, the medical opinion is to the effect that the procedure adopted by the doctor was one of the alternatives recognized to meet such a medical exigency. No doubt, Medical Board's opinion indicates that such procedure should be carried out after obtaining consent, but there is nothing to indicate that the consent form already obtained was not in order or that no consent was obtained. Besides, the consent letter has been brought on record as Annexure P-2. A perusal thereof would indicate that in the column where the nature of proposed surgery is to be mentioned, both types of surgery i.e., Orchidopexy and Orchiectomy are mentioned by putting a slash (/), which means that the other surgery, namely, Orchidectomy, was one of the options available.
20. Taking a conspectus of all the facts and circumstances as also that there is no material on record that alternative surgery, namely, Orchidectomy, was entered by a different ink or in a different handwriting, and having regard to the Medical Board's opinion that in such medical situations Orchidectomy is a normal alternative, we are of the view that continuance of criminal proceeding against the appellant would be nothing but abuse of the process of the court and, therefore to secure the ends of justice, the same is liable to be quashed.
21. Accordingly, the appeal is allowed. The impugned judgment and order of the High Court is set aside. The proceedings of C.C. No. 13 of 2008 on the file of the learned Magistrate are hereby quashed. There is no order as to costs.

Result of the case: Appeal allowed.

Sajal Bose
v.
The State of West Bengal and Ors.

(Criminal Appeal No. 1774 of 2026)

06 April 2026

[Vikram Nath, Sandeep Mehta* and N.V. Anjaria, JJ.]

Issue for Consideration

Issue arose whether the High Court was justified in quashing the proceedings against the two co-accused and declining the similar relief to the remaining accused.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.482 – Bharatiya Nagarik Suraksha Sanhita, 2023 – s.528 – Quashing of FIR – Complaint regarding assault and criminal intimidation – FIR lodged u/ss.143, 341, 323, 324, 504, 506, 509, and 427 IPC – Quashing of proceedings sought – High Court quashed proceedings against two co-accused but denied similar relief to the appellants – Correctness:

Held: Upon cumulative consideration of the allegations in the FIR, the material collected during investigation, and the evidence placed on record, the present case falls where allegations made in the FIR, even if taken at their face value, do not *prima facie* constitute any offence; the uncontroverted allegations and the material collected fail to disclose the commission of an offence; and the criminal proceeding manifestly attended with *malafide* and instituted with an ulterior motive for wreaking vengeance – Even if the allegations in the FIR and the material collected during investigation are taken at their face value and accepted in their entirety, they do not *prima facie* constitute the necessary ingredients of offences alleged against the appellants – Further, the uncontroverted material available on record-CCTV footage, completely belies the allegation of their participation in the alleged offences so as to justify their being put to trial – Attendant circumstances-admitted pre-existing disputes between the parties and the absence of specific and distinct overt acts attributed to the appellants, lend substance to

* Author

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their submission that the criminal proceedings manifestly attended with *malafide* and have been initiated with an ulterior motive – Permitting the continuation of prosecution of the appellants would amount to an abuse of the process of law – Compelling appellant Nos. 1, 2 and 3 to face a full-fledged criminal trial would serve no meaningful purpose – Continuation of such proceedings, in face of total lack of credible material connecting them with the alleged offences, would amount to misuse of the criminal process – Where reliable and unimpeachable material demonstrably displaces the factual basis of the accusations and the prosecution is unable to effectively counter the same, the Court would be justified in invoking its inherent jurisdiction to prevent injustice – Such an approach not only accords justice to the accused but also obviates the wastage of precious judicial time on proceedings which, on the admitted material, do not hold a reasonable prospect of culminating in conviction – Impugned judgment and order cannot be sustained in law and is set aside. [Paras 31, 34, 35]

Code of Criminal Procedure, 1973 – s.428 – Bharatiya Nagarik Suraksha Sanhita, 2023 – s.528 – Inherent Jurisdiction of the High Court – Scope and ambit of – Discussed. [Paras 22, 23]

Case Law Cited

State of Haryana v. Bhajan Lal [1990] Supp. 3 SCR 259 : (1992) Supp. 1 SCC 335; *Pradeep Kumar Kesarwani v. State of Uttar Pradesh*, 2025 SCC OnLine SC 1947 – relied on.

List of Acts

Penal Code, 1860; Code of Criminal Procedure, 1973; Bharatiya Nagarik Suraksha Sanhita, 2023; Constitution of India.

List of Keywords

Quashing of proceedings; Assault; Criminal intimidation; Inherent jurisdiction of the High Court; Absence of specific and distinct overt act; Pre-existing dispute; Electronic evidence; CCTV footage; Physical assault; Threat.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1774 of 2026

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From the Judgment and Order dated 08.03.2024 of the High Court at Calcutta in CRR No. 1476 of 2023.

With

Criminal Appeal No(s). 1775 and 1776 of 2026.

Appearances for Parties

Advs. for the Appellant(s):

Gaurav Agarwal, Sr. Adv., Sandeep Kumar Mahapatra, Ms. Mrinmayee Sahu, Sugam Kumar Jha, Sreedas Kp, Diwakar Maheshwari, Karun Mehta, Shounak Mitra, Ms. Pratiksha Mishra, Shreyash Edupuganti, Ms. Kaarunya Lakshmi, M/s Khaitan & Co.

Advs. for the Respondent(s):

Siddhart Luthra, Sr. Adv., Kunal Chatterji, Ms. Maitrayee Banerjee, Rohit Bansal, Varij Nayan Mishra, Ms. Shraddha Chirania, Kunal Mimani, Ms. Anwesha Saha, Mohd Zahid Hussain, Salim Ansari, Nitish Shani, Vipin Nair, Aditya Narendranath, P B Sashaankh, Haresh Nair, Ms. M.b.ramya, Ms. Deeksha Gupta, Ms. Puspita Basak, Ms. Madhavi Yadav, Ms. Tejasvi Kumar Sharma, Ms. Vanshaja Shukla, Siddhant Yadav.

Judgment / Order of the Supreme Court

Judgment

Mehta, J.

1. Heard.
2. Leave granted.
3. The instant appeals by special leave arise out of common impugned judgment and order dated 8th March, 2024 passed by High Court at Calcutta¹ in Criminal Revision No. 1476 of 2023, filed on behalf of Sajal Bose² and Nabina Bose (Wife of Sajal Bose), and Criminal Revision No. 2305 of 2023 filed on behalf of Chandidas Joardar³,

¹ Hereinafter, being referred to as "High Court".

² Appellant in Criminal Appeal @ Special Leave Petition (Criminal) No. 8672 of 2024. Hereinafter, being referred to as "appellant No.1".

³ Appellant in Criminal Appeal @ Special Leave Petition (Criminal) No. 8721 of 2024. Hereinafter, being referred to as "appellant No.2".

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Sautrik Joardar⁴ (Son of Chandidas Joardar) and Pampa Joardar (Wife of Chandidas Joardar), whereby the said accused persons sought quashing of chargesheet filed under Sections 143, 341, 323, 324, 504, 506, 509, 427 and 354 of the Indian Penal Code, 1860⁵, arising out of FIR No. 150 of 2022 registered at Police Station Survey Park in connection with ACGR No. 4659 of 2022, pending before the learned Additional Chief Judicial Magistrate, South 24 Parganas at Alipore.

4. *Vide* the impugned judgment, the High Court quashed the proceedings insofar as Nabina Bose and Pampa Joardar are concerned. However, it declined to grant similar relief to the remaining accused, namely appellant Nos. 1, 2 and 3⁶, and permitted the proceedings against them to continue.

Brief Facts: -

5. Succinctly stated, the material facts necessary for the adjudication of the present appeals are as follows.
6. On the night of 11th October, 2022 at about 09:20 p.m., Sushil Chakrabarti, respondent No. 2 herein⁷, lodged a written complaint at Police Station Survey Park, alleging *inter alia* that one, Sourav Sen had forcibly entered the apartment building by breaking open the main entrance door, which, according to him, had already been damaged earlier. Upon being questioned as to why the door had been left open, Sourav Sen responded by hurling filthy and objectionable abuses at the complainant and his family members. It was further alleged that his parents soon joined him, thereby exacerbating the situation.
7. The complainant further alleged that when he attempted to lock the door of his flat, as valuables in connection with Lakshmi Puja were kept inside, another altercation ensued concerning a scooter purportedly parked near the electric meter boxes, despite prior instructions of the local police to remove the same. According to the

4 Appellant in Criminal Appeal @ Special Leave Petition (Criminal) No. 9826 of 2024. Hereinafter, being referred to as "appellant No.3".

5 For short, "IPC".

6 Collectively, they are being referred to as "appellants".

7 Hereinafter, being referred to as "Complainant".

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complainant, the situation thereafter escalated and several persons assembled at the spot.

8. It was alleged that, in course of the altercation, the accused persons, manhandled the complainant with an intention to cause injury, including blows directed towards his pacemaker, and also assaulted his family members. It was further alleged that the accused persons slapped and kicked the complainant, threw *sandals* at him, and used a *lathi* during the incident. They were also accused of attempting to forcibly enter the flat with the intention of ransacking it, and of issuing threats of dire consequences. The complainant alleged that appellant No.1 and his wife had extended threats during the incident, which, according to him, would find corroboration from the CCTV footage.
9. The complainant also levelled allegations against appellant Nos. 2 and 3, stating that they came downstairs while the incident was in progress and threatened the complainant and his family members, and insinuated that they should vacate the flat. The complaint also adverted to prior disputes between the parties concerning maintenance charges, alleged misappropriation of gold ornaments, and earlier complaints purportedly lodged before the local police authorities.
10. It was further stated that although a written complaint was submitted on the same night, it was kept in abeyance on the directions of the then duty officer. The complainant thereafter approached the police on 17th October, 2022, seeking lifting of the abeyance order and requested that the complaint be treated as a First Information Report, asserting that the alleged assault could have had fatal consequences. Pursuant thereto, FIR No. 150 of 2022 dated 18th October, 2022, came to be registered at Police Station Survey Park under Sections 143, 341, 323, 324, 504, 506, 509, and 427 of the IPC against 8 accused persons including the appellants.
11. Investigation was undertaken and upon its culmination, Chargesheet No. 135 of 2022 dated 16th December, 2022 came to be filed under Sections 143, 341, 323, 324, 504, 506, 509, 427 and 354 of the IPC against eight accused persons including the appellants herein. The learned Additional Chief Judicial Magistrate, South 24 Parganas at Alipore, took cognizance of the chargesheet and issued summon to all the accused persons, including the appellants.

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12. The complainant filed a protest petition contending that the Investigating Officer had deliberately omitted to invoke Section 307 IPC, in order to save the accused persons though there existed sufficient material on record, to make out a case of attempt to murder.
13. Being aggrieved, appellant No.1 along with Nabina Bose preferred Criminal Revision No. 1476 of 2023 and appellant Nos.2 and 3 along with Pampa Joardar preferred Criminal Revision No. 2305 of 2023 before the High Court, seeking quashing of the proceedings being ACGR No. 4659 of 2022 arising out of FIR No. 150 of 2022 registered at Police Station Survey Park.
14. As noted hereinabove, the High Court, *vide* common impugned judgment and order dated 8th March, 2024 quashed the proceedings insofar as Nabina Bose and Pampa Joardar were concerned. However, it declined to extend similar relief to the remaining accused, i.e., the appellants herein, and permitted the proceedings against them to continue.
15. The correctness and legality of the said common impugned judgment and order passed by the High Court falls for consideration in the present appeals by special leave at the instance of the appellants.
16. At the outset, it may be noted that while issuing notice in the present appeals, this Court had stayed further proceedings in the trial insofar as the appellants are concerned, and the said interim order continued to operate during the pendency of the present proceedings.⁸
17. It is further apposite to note that when the matter came up for hearing before this Court on 3rd February, 2026, we had requested the learned senior counsel appearing on behalf of the appellants as well as the learned senior counsel appearing for the complainant, to explore the possibility of an amicable settlement between the parties. However, when the matter was again taken up on 17th February, 2026, learned senior counsel appearing for the respective parties apprised the Court that the parties were not amenable to an amicable resolution. In view thereof, we proceeded to hear the learned counsel for the parties on merits.

8 Order dated 15th July, 2024 in Special Leave Petition (Criminal) Nos. 8672 and 8721 of 2024 and order dated 22nd July, 2024 in Special Leave Petition (Criminal) No. 9826 of 2024.

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Submissions on behalf of the appellants:

18. Mr. Gaurav Agarwal, learned senior counsel appearing on behalf of the appellants, assailed the impugned judgment of the High Court, *inter alia*, on the following grounds:
 - A. That the High Court failed to appreciate that the proceedings against the appellants were actuated with *mala fide* objective and were maliciously instituted by the complainant with the ulterior motive of wreaking vengeance on account of personal animosity and prior disputes between the parties. It was submitted that the appellants acting as good Samaritans had, in fact, intervened only to resolve the dispute which had flared up between the complainant and another flat owner, and only for that reason, they have been falsely implicated in this case. The initiation and continuation of the proceedings, it was urged, tantamounts to an abuse of the process of law.
 - B. That the allegations in the FIR, even if taken at face value and read in their entirety, do not *prima facie* disclose the commission of any cognizable offence against the appellants. The complaint and the protest petition are replete with vague and general assertions, without any specific attribution of role to the appellants in respect of the offences alleged under Sections 143, 341, 323, 324, 504, 506, 509, 427 and 354 of the IPC. In the absence of clear particulars regarding the overt acts attributable to the particular accused, the continuation of criminal proceedings is legally unsustainable.
 - C. That the High Court failed to duly consider the specific submission advanced on behalf of the appellants that the CCTV footage of the place of occurrence, which formed part of the material collected during investigation, clearly demonstrated that the appellants were not present at the spot at the time when the alleged altercation is stated to have taken place. They reached the scene later and tried to pacify the parties at best. It was contended that the said electronic evidence, being the best and unimpeachable piece of independent evidence available on record, completely belies the allegations of their participation in the incident. Despite this, the Investigating Agency proceeded to file the chargesheet in a mechanical manner without undertaking a proper and fair evaluation of the CCTV footage, which was

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heavily relied upon by the complainant himself. It was urged that the High Court, while declining to quash the proceedings, failed to examine this crucial aspect, and thereby overlooked material which goes to the very root of the prosecution case against the appellants, thereby totally undermining its credibility.

- D. That the High Court erred in not extending the benefit to the appellants while quashing the proceedings against similarly placed co-accused persons, despite the allegations against all being identical. It was contended that the differential treatment accorded by the High Court, without assigning cogent reasons, violates the principle of parity and renders the impugned decision arbitrary.
- E. That the reliance placed on the statement of Dr. Aparajita Bandyopadhyay recorded under Section 164 Code of Criminal Procedure, 1973⁹, was misplaced, as the said statement was inconsistent with her earlier statement recorded under Section 161 of CrPC, thereby casting serious doubt on its reliability. It was further submitted that even as per the said statement, the allegation of inappropriate touching was attributed to another individual, and not specifically to the present appellants. Consequently, the invocation of Section 354 IPC against them is wholly untenable, particularly when the original complaint is silent in that regard.
- F. That the chargesheet itself is liable to be quashed, as it has been filed in a mechanical and perfunctory manner, without specifying the precise role played by the appellants or the material evidence constituting the alleged offences. It was urged that the chargesheet does not clearly delineate the particular criminal act/s attributable to the accused, in contravention of the settled legal position that the role of each accused must be separately and clearly mentioned as the provisions of vicarious liability would have no application in the given facts and circumstances.
- G. That the High Court failed to appreciate that the continuation of criminal proceedings against the appellants would amount to

9 For short, "CrPC".

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a sheer abuse of the process of law, inasmuch as the dispute between the parties is essentially of civil nature arising out of disagreements between co-residents of the same apartment complex. It was submitted that the allegations, even if accepted at their face value, disclose at best a trivial tussle between neighbours lacking the essential ingredients of the serious penal offences invoked in the chargesheet. The invocation of multiple penal provisions, including Section 354 IPC, in the absence of specific and substantiated allegations, reflects a manifest attempt to give criminal colour to a trivial dispute followed by verbal altercation amongst neighbours. In such circumstances, compelling the appellants to undergo the rigours of a criminal trial would be wholly unjustified and contrary to the settled principles governing the exercise of jurisdiction under Section 482 CrPC (Section 528 of Bharatiya Nagarik Suraksha Sanhita, 2023) to prevent misuse of the criminal process.

On the aforesaid grounds, learned senior counsel submitted that the impugned judgment of the High Court, insofar as it refused to quash the proceedings against the appellants, is unsustainable in law. It was urged that the allegations are vague, unsupported by specific material, and the continued prosecution of the appellants tantamounts to a gross abuse of the process of law. Accordingly, it was prayed that this Court be pleased to set aside the impugned judgment to that extent and quash the criminal proceedings being ACGR No. 4659 of 2022 and Chargesheet No. 135 of 2022 arising out of FIR No. 150 of 2022 registered at Police Station Survey Park *qua* the appellants.

Submissions on behalf of Complainant (respondent No.2):

19. Mr. Siddharth Luthra, learned senior counsel appearing on behalf of respondent-complainant, supported the impugned judgment and contended that the same warrants no interference by this Court, *inter alia*, on the following grounds: -
 - A. That the High Court has exercised its jurisdiction judiciously and upon a proper appreciation of the material collected during investigation, and rightly refused to quash the chargesheet insofar as the appellants are concerned. It was submitted that the instant appeals do not raise any substantial questions of

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law, nor does it demonstrate any perversity or patent illegality in the impugned judgment so as to warrant interference.

- B. That the complainant is a 77 years' old former Public Prosecutor at District and Sessions Judge, Alipore and presently a practicing advocate, suffering from syncope and having a pacemaker installed in his chest. It was submitted that on 11th October, 2022 at about 9:20 p.m., all the accused persons formed an unlawful assembly and, in furtherance of the common object of such assembly, they abused and assaulted the complainant and his family members at Flat No. 2, Ground Floor, 13/10/1, Janata Road, Kanishka Apartment with slaps, kicks, *sandals* and *lathis*. The accused persons also damaged the main door of the apartment complex and threatened them with dire consequences.
- C. That the statement of witness, Dr. Aparajita Bandopadhyay recorded under Section 164 of CrPC specifically mentions the names of the appellants setting out the overt acts attributed to them, including restraining the complainant, throwing *chappal* aimed at his pacemaker, igniting a lighter allegedly to burn him, and participating in the assault. These specific allegations, it was urged, clearly disclose the ingredients of offences under Sections 143, 341, 323, 324, 504, 506 and 354 IPC, thereby making out a *prima facie* case fit for trial.
- D. That during investigation, the CCTV footage of the entire incident dated 11th October, 2022 was collected and the same forms part of the chargesheet. The CCTV clipping establishes conclusively the active involvement and participation of the appellants in hurling abuses, issuing threats, throwing a shoe aimed at the pacemaker of the complainant, and assaulting the victim lady. It was contended that the electronic evidence thus corroborates the ocular version and lends strong *prima facie* support to the prosecution case.
- E. That the medical records of the complainant and Dr. Aparajita Bandopadhyay dated 12th October, 2022 *prima facie* establish that both sustained injuries in the incident. The High Court itself observed that the medical report of Dr. Aparajita Bandopadhyay shows that she had been assaulted. In view of such medical evidence, the offences under Sections 323 and 324 IPC are clearly attracted and cannot be said to be groundless.

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- F. That although the High Court quashed the proceedings against certain co-accused for want of specific allegations, it consciously declined to extend such relief to the appellants in view of the distinct and specific role attributed to them in the FIR, the protest petition and the statements of witnesses recorded under Sections 161 and 164 of CrPC. Such segregation made by the High Court is based on material on record and sound reasoning and, therefore, does not call for interference.

On these grounds, learned senior counsel submitted that the impugned judgment of the High Court is well-founded in law as well as facts, and that the present appeals, being devoid of merit, deserve to be dismissed, leaving the issues to be adjudicated after a full dressed trial.

Submissions on behalf of State of West Bengal (respondent No.1):

20. The learned counsel appearing on behalf of the State of West Bengal submitted that the investigation was conducted strictly in accordance with law and that specific and clear roles have been attributed to the appellants in the commission of the alleged offences. It was contended that the complainant had consistently named the accused persons including the appellants in the FIR and in his statements recorded under Sections 161 and 164 of CrPC. The CCTV footage seized during investigation, along with medical records and other documentary material, *prima facie* establishes their presence and participation in the occurrence in question. It was further urged that the chargesheet was filed only upon due consideration of the evidence collected, disclosing cognizable offences, and that the questions sought to be raised by the appellants revolve around disputed factual aspects which can be adjudicated only upon trial. The State, therefore, supported the impugned judgment of the High Court to the extent it declined to quash the proceedings against the appellants and submitted that no case for interference under Article 136 of the Constitution of India is made out.

Analysis and Discussion:

21. We have heard and considered the submissions advanced by learned counsel for the parties and have carefully gone through the impugned judgment as well as the material placed on record.

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22. Before we advert to the rival submissions advanced on behalf of the parties and examine the factual matrix of the present case, it would be apposite to briefly recapitulate the scope and ambit of the inherent jurisdiction vested in the High Court under Section 482 of CrPC (Section 528 of Bharatiya Nagarik Suraksha Sanhita, 2023). The parameters governing the exercise of such power, particularly in matters concerning quashing of criminal proceedings, have been authoritatively expounded by this Court in a catena of decisions, most notably in ***State of Haryana v. Bhajan Lal***¹⁰, wherein this Court elaborately considered the extent and scope of the High Court's powers under Section 482 of CrPC and Article 226 of the Constitution of India. In **paragraph 102** of the said judgment, this Court illustratively delineated seven categories of cases wherein such extraordinary jurisdiction may be invoked to prevent abuse of the process of law or otherwise to secure the ends of justice. For ready reference, the relevant extract from the said judgment is reproduced hereinbelow: -

"102. In the backdrop of the interpretation of the various relevant provisions of the Code under Chapter XIV and of the principles of law enunciated by this Court in a series of decisions relating to the exercise of the extraordinary power under Article 226 or the inherent powers under Section 482 of the Code which we have extracted and reproduced above, we have given the following categories of cases by way of illustration wherein such power could be exercised either to prevent abuse of the process of any court or otherwise to secure the ends of justice, though it may not be possible to lay down any precise, clearly defined and sufficiently channelised and inflexible guidelines or rigid formulae and to give an exhaustive list of myriad kinds of cases wherein such power should be exercised.

(1) Where the allegations made in the first information report or the complaint, even if they are taken at their face value and accepted in their entirety do not prima facie constitute any offence or make out a case against the accused.

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(2) Where the allegations in the first information report and other materials, if any, accompanying the FIR do not disclose a cognizable offence, justifying an investigation by police officers under Section 156(1) of the Code except under an order of a Magistrate within the purview of Section 155(2) of the Code.

(3) Where the uncontroverted allegations made in the FIR or complaint and the evidence collected in support of the same do not disclose the commission of any offence and make out a case against the accused.

(4) Where, the allegations in the FIR do not constitute a cognizable offence but constitute only a non-cognizable offence, no investigation is permitted by a police officer without an order of a Magistrate as contemplated under Section 155(2) of the Code.

(5) Where the allegations made in the FIR or complaint are so absurd and inherently improbable on the basis of which no prudent person can ever reach a just conclusion that there is sufficient ground for proceeding against the accused.

(6) Where there is an express legal bar engrafted in any of the provisions of the Code or the concerned Act (under which a criminal proceeding is instituted) to the institution and continuance of the proceedings and/or where there is a specific provision in the Code or the concerned Act, providing efficacious redress for the grievance of the aggrieved party.

(7) Where a criminal proceeding is manifestly attended with mala fide and/or where the proceeding is maliciously instituted with an ulterior motive for wreaking vengeance on the accused and with a view to spite him due to private and personal grudge.”

[Emphasis supplied]

23. Keeping in view the aforesaid principles, it is evident that the inherent jurisdiction of the High Court under Section 482 of CrPC is intended to be exercised, *inter alia*, where the allegations made in the FIR, even

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if taken at their face value, do not *prima facie* constitute any offence, or where the uncontroverted allegations and the material collected fail to disclose the commission of an offence, or where the criminal proceeding is manifestly attended with *malafide* and instituted with an ulterior motive for wreaking vengeance. The categories illustratively enumerated in **paragraph 102 of *Bhajan Lal (supra)*** serve as guiding principles to prevent abuse of the process of law and to secure the ends of justice. Tested on the anvil of these settled parameters, it becomes necessary to examine whether the allegations in the present case, read as they stand along with the material on record including the CCTV footage, disclose the essential ingredients of the offences alleged against the appellants, or whether the continuation of proceedings *qua* them would amount to permitting the criminal process to be used as an instrument of harassment.

24. A perusal of the impugned FIR dated 18th October, 2022 and the material placed on record, reveals that the incident has its genesis in a dispute between the complainant and one Sourav Sen concerning the main entrance of the apartment complex and the alleged parking of a scooter near the electric meter boxes. It is alleged that, upon being questioned in this regard by the complainant, Sourav Sen began hurling abuses and that his parents soon joined in, following which the situation escalated and several persons assembled at the spot. The FIR further narrates allegations of assault by accused persons, including slapping, kicking, throwing *sandals*, use of a *lathi*, and attempts to forcibly enter the flat, coupled with threats of dire consequences. It must, however, be noted that the FIR does not clearly specify as to which particular accused person actually assaulted the complainant and his wife. The allegations of physical assault are couched in vague terms without distinct attribution of specific overt acts to individual accused persons.
25. Insofar as the appellants are concerned, the FIR records that they came downstairs during the course of the incident and allegedly extended threats to the complainant and his family members, including asking them to vacate the flat. The gravamen of the allegations against them, as reflected in the FIR, is thus predicated on assertions of intimidation and verbal threats purportedly issued during the altercation. Significantly, the FIR does not attribute to the appellants any specific overt act of physical assault, use of force, or of causing injury.

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26. During the course of hearing, learned senior counsel appearing for both sides placed considerable reliance upon the CCTV footage of the incident in support of their respective submissions. At their request, the relevant footage, forming part of the material collected during investigation, was viewed by us. Since both sides sought to draw inferences from the electronic record, we deemed it appropriate to minutely appreciate the footage firsthand.
27. Upon a careful and comprehensive examination of the said footage, it emerges that the appellants are not visible at the scene during the relevant time when the alleged acts of assault are stated to have taken place. The recording indicates that the altercation between the complainant and certain other individuals had already taken place prior to the arrival of the appellants at the scene. The footage further demonstrates that the appellants appear only subsequently and are not shown to be engaging in any act of aggression or participating in the active altercation. On the contrary, the visual recording indicates that the appellants made efforts to placate the situation and to dissuade the participants from further escalation of the dispute. The gestures attributed to the appellants are demonstrative of restraint rather than of participation in any act of violence. At no point does the footage depict the appellants committing any overt act of assault or aggression against the complainant or his wife. The absence of even the slightest visible act of assault attributable to the appellants in the CCTV footage assumes particular significance in view of their contention that the allegations in the FIR were manifestly attended with *malafide* and that their names were vindictively introduced in the FIR by the complainant with an ulterior motive arising out of prior personal disputes and animosity. The CCTV footage admitted by the parties and forming a part of the report under Section 173(2) of CrPC, therefore, materially undermines the prosecution's case and renders the allegations against the appellants highly doubtful and unworthy of credence even at the stage of quashing petition.
28. In our considered opinion, the specific plea raised by the appellants in their petition seeking quashing of the proceedings, particularly with regard to the CCTV footage forming part of the chargesheet, merited due and independent consideration by the High Court. The said electronic evidence constituted a material piece of evidence collected during investigation and was directly relevant to the issue as to whether a *prima facie* case was made out against the appellants.

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However, a perusal of the impugned judgment does not reflect any meaningful analysis of the said footage or the contentions advanced on the basis thereof. The omission to advert to and evaluate this crucial aspect indicates that the matter was not examined with the degree of scrutiny warranted in proceedings under Section 482 of CrPC.

29. We are further constrained to note that by the very same impugned judgment, and on the basis of the same set of allegations arising out of the same FIR and chargesheet, the High Court proceeded to quash the criminal proceedings against two of the co-accused, while declining similar relief to the appellants. The impugned judgment does not disclose any cogent or discernible reasoning for drawing such a distinction, particularly when the allegations stem from a common incident and are founded on substantially similar assertions. In the absence of a clear rationale justifying differential treatment, the approach adopted by the High Court is legally and factually unsustainable.
30. It is further relevant to note that Dr. Aparajita Bandopadhyay (family member of the complainant), in her statement recorded under Section 164 CrPC, has also made omnibus allegations of assault without assigning specific roles to the accused persons. Though it is stated therein that appellant No. 2 had ignited a lighter with the intention to burn her father, the said allegation stands completely dislodged by the CCTV footage, wherein no such act is discernible. Apart from the said assertion, no distinct overt act has been attributed to any of the appellants before us. In our view, reliance placed on the said statement, in the absence of corroborative material and in the face of contrary electronic evidence collected during investigation, is wholly misplaced. Rather than strengthening the case of the complainant, the said statement fortifies the submission of the appellants that the complaint is replete with vague and generalized allegations lacking specific attribution.
31. In view of the foregoing discussion and upon a cumulative consideration of the allegations in the FIR, the material collected during investigation, and the evidence placed before us, we are of the considered opinion that the present case falls squarely within the illustrative categories (1), (3) and (7) enumerated in paragraph 102 of **Bhajan Lal (supra)**. Even if the allegations in the FIR and the

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material collected during investigation are taken at their face value and accepted in their entirety, they do not *prima facie* constitute the necessary ingredients of offences alleged against the appellants. Further, the uncontroverted material available on record, to be specific, the CCTV footage, completely belies the allegation of their participation in the alleged offences so as to justify their being put to trial. Additionally, the attendant circumstances, particularly the admitted pre-existing disputes between the parties and the absence of specific and distinct overt acts attributed to the appellants, lend substance to their contention that the criminal proceedings are manifestly attended with *malafide* and have been initiated with an ulterior motive. In such circumstances, permitting the continuation of prosecution of the appellants would not advance the cause of justice but would instead amount to an abuse of the process of law.

32. Recently, this Court in ***Pradeep Kumar Kesarwani v. State of Uttar Pradesh***¹¹, revisited and further elucidated the parameters governing the exercise of inherent jurisdiction under Section 482 of CrPC. While drawing guidance from earlier precedents, this Court delineated a structured four-step test to assess the sustainability of a prayer for quashing criminal proceedings. The said decision underscores that where the material relied upon by the accused is of sterling and impeccable quality; is sufficient to negate the allegations in the complaint; remains unrefuted or incapable of justifiable refutation by the prosecution; and where continuation of the proceedings would amount to an abuse of the process of Court and not serve the ends of justice, the High Court would be justified in exercising its inherent powers to quash the proceedings. For ready reference, the relevant observations from the said judgment are reproduced hereinbelow: -

“20. The following steps should ordinarily determine the veracity of a prayer for quashing, raised by an accused by invoking the power vested in the High Court under Section 482 of the Cr.P.C.: —

(i) Step one, whether the material relied upon by the accused is sound, reasonable, and indubitable, i.e., the materials is of sterling and impeccable quality?

¹¹ 2025 SCC OnLine SC 1947.

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(ii) Step two, whether the material relied upon by the accused, would rule out the assertions contained in the charges levelled against the accused, i.e., the material is sufficient to reject and overrule the factual assertions contained in the complaint, i.e., the material is such, as would persuade a reasonable person to dismiss and condemn the factual basis of the accusations as false.

(iii) Step three, whether the material relied upon by the accused, has not been refuted by the prosecution/complainant; and/or the material is such, that it cannot be justifiably refuted by the prosecution/complainant?

(iv) Step four, whether proceeding with the trial would result in an abuse of process of the court, and would not serve the ends of justice?

If the answer to all the steps is in the affirmative, judicial conscience of the High Court should persuade it to quash such criminal proceedings, in exercise of power vested in it under Section 482 of the Cr.P.C. Such exercise of power, besides doing justice to the accused, would save precious court time, which would otherwise be wasted in holding such a trial (as well as, proceedings arising therefrom) specially when, it is clear that the same would not conclude in the conviction of the accused. [(See: **Rajiv Thapar v. Madan Lal Kapoor** (Criminal Appeal No. 174 of 2013)]”

[Emphasis supplied]

33. Applying the aforesaid ratio to the case at hand, we find that the material relied upon by the appellants in the present case, particularly the CCTV footage forming part of the chargesheet, is of unimpeachable provenance and reliability, having been collected during investigation and forming part of prosecution’s own record. The footage, which was heavily relied upon by both the sides during the course of arguments, upon careful scrutiny, does not depict the appellants participating in any act of assault or overt aggression, thereby substantially dislodging the factual foundation of the allegations against them. The said material stands unrefuted in any meaningful manner and is of such character that it cannot be lightly brushed aside even at

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the stage when the Court is considering a prayer for quashing the proceedings of the criminal case at its inception.

34. In this backdrop, compelling appellant Nos. 1, 2 and 3 to face a full-fledged criminal trial would serve no meaningful purpose. The continuation of such proceedings, in face of total lack of credible material connecting them with the alleged offences, would amount to misuse of the criminal process. The present case, therefore, satisfies each of the parameters delineated in ***Pradeep Kumar Kesarwani (supra)***. Where reliable and unimpeachable material demonstrably displaces the factual basis of the accusations and the prosecution is unable to effectively counter the same, the Court would be justified in invoking its inherent jurisdiction to prevent injustice. Such an approach not only accords justice to the accused but also obviates the wastage of precious judicial time on proceedings which, on the admitted material, do not hold a reasonable prospect of culminating in conviction.
35. As a sequitur to the foregoing discussion, we are of the considered opinion that the impugned judgment and order dated 8th March, 2024 passed by the High Court cannot be sustained in law and the same deserves to be and is hereby set aside. The appeals preferred by appellant Nos. 1, 2 and 3 are accordingly allowed.
36. Consequently, Charge Sheet No. 135 of 2022, filed under Sections 143, 341, 323, 324, 504, 506, 509, 427 and 354 of the Indian Penal Code, 1860, arising out of FIR No. 150 of 2022 registered at Police Station Survey Park and pending in ACGR No. 4659 of 2022 before the learned Additional Chief Judicial Magistrate, South 24 Parganas at Alipore, insofar as it relates to appellant Nos. 1, 2 and 3, stand quashed.
37. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals allowed.

Gautam Satnami
v.
State of Chhattisgarh

(Criminal Appeal No. 1782 of 2026)

07 April 2026

[Prashant Kumar Mishra* and Vipul M. Pancholi, JJ.]

Issue for Consideration

Whether in the facts and circumstances of the case, the appellant is entitled to the benefit of doubt and ought to be acquitted of the charge u/s.302 IPC.

Headnotes[†]

Circumstantial evidence – Suspicion howsoever strong, cannot take the place of proof – Appellant was convicted u/s.302, IPC based on *inter alia* the ‘last-seen’ testimony of PW-4; recovery of a blood-stained axe and clothes pursuant to disclosure u/s.27; and recovery of the driving licence of the appellant from the spot – Interference with:

Held: The ‘last-seen’ testimony of PW-4 does not inspire confidence – The major distinction between the case of the present appellant and that of accused No. 2 (who was acquitted) is the ‘last-seen’ testimony of PW-4 – If that circumstance is excluded from consideration, the position of the present appellant is similar enough to that of accused No. 2 and it would be unsafe to sustain the conviction of the former, at least preponderantly on the basis of this circumstance – Witnesses have either turned hostile or not corroborated the case of prosecution on any material particulars in relation to the recoveries beyond just admitting their signatures – FSL report confirmed that it was human blood that was present on the axes and clothes; however, the blood group of either the deceased or of the blood present on the weapons or clothes was not determined; though it was observed the hair present on the axes was similar in morphological and microscopical characteristics to the hair recovered from the spot, no conclusive opinion was given if it belonged to the deceased; and there was no definitive link

* Author

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made between the recovered axes and the deceased's injuries – The recovery circumstance remains legally tenuous – Remaining circumstances are also weak and inconclusive – As regards motive, it is a supporting factor which strengthens an otherwise complete chain of evidence but, it cannot replace such a chain where other circumstances are missing or weak – Prosecution's case fails at the threshold itself, as each circumstance from which guilt is to be inferred is not firmly and fully established – Evidence on record may raise suspicion, but, suspicion, however strong, cannot take the place of proof – Appellant, like accused No.2 deserves the benefit of doubt – Judgment passed by the High Court affirming the judgment of the Sessions Judge, is set aside insofar as it relates to the appellant – Appellant acquitted – Evidence Act, 1872 – ss.25, 27. [Paras 22, 24-26, 30, 31]

Constitution of India – Arts.134, 136 – Distinction between criminal appeals as a matter of right u/Art.134 and the broader, discretionary jurisdiction exercised by this Court u/Art.136:

Held: u/Art.134, this Court sits as a regular court of appeal, but u/Art.136, ordinarily limits itself to correcting manifest illegality and/or grave miscarriage of justice – This is particularly apposite in a case like the present Appeal, where the Courts below have returned concurrent findings of guilt – However, restrictions are not absolute – In fact, both provisions underline that this Court has the final, Constitutional responsibility to ensure that justice is done, and hence, the nature and scope of Court's powers u/Art.136 are not curtailed where the interests of justice so require. [Paras 12, 13]

Evidence – 'related' witness; 'interested' witness – Testimony of interested witness without corroboration cannot sustain conviction:

Held: A 'related' witness is not necessarily an 'interested' witness, and an 'interested' witness need not be a 'related' one – Based on the evidence on record, it is plausible that a witness such as PW-4 had the requisite direct or indirect interest in seeing the appellant punished – His examination-in-chief and cross-examination disclose circumstances suggesting that he himself, or at least his 'group' or the persons closely associated with him, harboured longstanding hostility towards the appellant – Therefore, the finding of the Trial Court that it was "not established that the witness had any animosity with the accused", or of the High Court that there is "no

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reason to disbelieve his statement”, is not sound – The possibility of PW-4 being an interested witness cannot be ruled out, and his testimony, at least without independent corroboration, cannot sustain the conviction. [Para 19]

Circumstantial evidence – Circumstance of motive – Absence of – Appellant was convicted u/s.302, IPC:

Held: Though not expressly considered by Trial Court, it is possible accused No. 2's family relationship with the deceased weighed in his favour – In contrast, with respect to the appellant, there is some material on the record that points to a specific dispute with the deceased – However, the evidence does not establish the immediacy or gravity of animosity; if anything, it seems the appellant and the deceased continued to be friends and visit one another, and may even have been consuming liquor together the evening before the deceased died – Motive is a supporting factor which strengthens an otherwise complete chain of evidence – It cannot replace such a chain where other circumstances are missing or weak – Appellant also given the benefit of doubt, acquitted. [Para 30]

Case Law Cited

Sharad Birdhi Chand Sarda v. State of Maharashtra, **1984 INSC 121 : [1985] 1 SCR 88 – relied on.**

Agniraj & Ors. v. State through Deputy Superintendent of Police, CBCID, **2025 INSC 774 : [2025] 5 SCR 856**; *State of Rajasthan v. Smt. Kalki & Anr.*, **1981 INSC 94 : [1981] 3 SCR 504**; *Md. Rojali Ali & Ors. v. The State of Assam, Ministry of Home Affairs through the Secretary*, **2019 INSC 223**; *Javed Shaukat Ali Qureshi v. State of Gujarat*, **2023 INSC 829 : [2023] 12 SCR 220**; *Ram Singh v. State of U.P.*, **2024 INSC 128 : [2024] 2 SCR 668 – referred to.**

List of Acts

Penal Code, 1860; Code of Criminal Procedure, 1973; Evidence Act, 1872; Constitution of India.

List of Keywords

Circumstantial evidence; Suspicion howsoever strong cannot take the place of proof; ‘Last-seen’ testimony does not inspire confidence; Circumstances missing or weak; Article 134, Constitution of India; Article 136, Constitution of India.

Supreme Court Reports**Case Arising From**

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1782 of 2026

From the Judgment and Order dated 19.07.2017 of the High Court of Chhattisgarh at Bilaspur in CRA No. 677 of 2012.

Appearances for Parties

Advs. for the Appellant(s):

A Sirajudeen, Sr. Adv., Ms. Manjeet Chawla, Ms. Shaik Soni Ahamed, Vishvanath Agarwal.

Advs. for the Respondent(s):

Praneet Pranav, D.A.G., Vinayak Sharma, Ravinder Kumar Yadav.

Judgment / Order of the Supreme Court**Judgment**

Prashant Kumar Mishra, J.

1. Leave granted.
2. The instant Appeal takes exception to the judgment dated 19.07.2017 passed by the High Court of Chhattisgarh at Bilaspur in Criminal Appeal No. 677 of 2012, whereby the judgment and order dated 28.07.2012 passed by the Sessions Judge, Rajnandgaon in Sessions Case No. 27 of 2011 was affirmed. The Trial Court had convicted the sole appellant, Gautam Satnami @ Gautam Deshlahre, who was accused No. 1, under Section 302 of the Indian Penal Code, 1860¹ and sentenced him to undergo life imprisonment with a fine of ₹5,000 and in case of default in payment of fine to undergo additional rigorous imprisonment for one year.

FACTUAL MATRIX

3. The deceased, Dhumman @ Surjeet Bhattacharya, resided alone in his house in village Dhourabhata and was engaged in the business of selling lentils on his motorbike (Luna). His *fufa* - Ghasi Ram

¹ For short, "IPC".

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(PW-16), was residing next to his house. The deceased was married for 4-5 times, including to one Dharmin Bai (PW-2), who had returned to her maternal home a few years before the incident due to disputes with the deceased.

4. In the evening of 13.01.2011, the deceased was consuming liquor in his house with Girish Satnami (PW-12) and Tejprakash Satnami. At about 7:00 p.m., Dhanraj (PW-3) overheard noises from the deceased's house, and on stopping by, saw the appellant and Dwarika Jangde (accused No. 2 since acquitted) present over there. The appellant had a liquor bottle in his hand and was abusing the deceased, saying that because of him, the appellant had gone to jail, and that one day he would kill him. It is said that two years before the incident, the appellant and the deceased had fought with another villager, Tikam Sahu, and the deceased had secured bail for him while the appellant had to go to jail because he was absconding. This spawned an ongoing animosity in their friendship.
5. It is further the case of the prosecution that on the next day i.e., 14.01.2011, the accused went to the deceased's house at night and when the deceased opened the door, the accused, armed with axes, inflicted multiple incised injuries on him, resulting in instantaneous death on account of shock due to excessive haemorrhage. After committing the murder, the accused persons fled from the spot. One Raja Ram Deshlahare (PW-4), riding pillion, along with Maniram Sahu allegedly saw the appellant with an axe near the deceased's house in the headlight of the motorcycle and he found the lights of the house were also turned on.
6. The deceased's body was discovered the next day. One Hiranman (PW-1) saw next morning that the door of the deceased's house ajar, blood on both the door and the floor, and the deceased's corpse partially covered with a bedsheet. He suspected the appellant for the murder as the appellant had a criminal antecedent and was having enmity with the deceased for some time. Hiranman (PW-1) went and informed Ghasi Ram, and they visited the spot. Other villagers were also informed, after which *merg* intimation was lodged by the brother-in-law of the deceased namely, Komal Das (PW-8), against unknown person(s). Thereafter, the *dehati nalishi* was registered on the same day around 2:00 p.m. wherein Komal Das stated that he

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saw half-open door of the deceased's house, blood stains and hair on the door, and clothes and other articles scattered near the *divan* bed, as well as the presence of injuries caused by a sharp-edged weapon on the person of the deceased. Police officials reached the spot, prepared the inquest *panchnama* of the dead body, and sent it for post-mortem.

7. After the spot-inspection, a seizure memo was prepared, bearing the signatures of Komal and Roopdas Sahu (PW-9), wherein the Police recorded that they collected the blood-stained hairs and soil, liquor bottles, land record in the name of Tularam Bhattacharya (father of the deceased), a notebook belonging to the deceased, and the driver's license of the appellant from the spot. A pair of dusty blue full-pants with ₹7,800 cash in the pocket was also recovered from the *ganj* (container).
8. The post-mortem examination, conducted by Dr. Kiran Chandekar (PW-10), revealed six injuries on the eyes, face, head, chest, shoulder, and finger of the deceased, and noted skull fractures and extrusion of brain matter. The medical opinion was that death occurred due to shock caused by excessive hemorrhage and had taken place 18-24 hours before the autopsy (conducted at 4:30 p.m. on 15.01.2011), putting the time of death approximately between 4:30 p.m. and 10:30 p.m. on the previous day. Finally, First Information Report No. 18 of 2011 was registered under Section 302 IPC against unknown person(s) at 8:30 p.m.
9. Next day i.e., 16.1.2011, the Police took the accused persons into custody and questioned them. Allegedly, they gave confessional statements on the basis of which the Police arrested them on 17.1.2011. On 17.1.2011, the Police conducted seizures and recovered a blood-stained axe and clothes from each of their houses. After the investigation was completed, a charge-sheet was submitted and the case was committed for trial before the learned Sessions Judge, Rajnandgaon. The learned Sessions Judge in Sessions Case No. 27 of 2011 acquitted accused No. 2 (Dwarika Jangde) but convicted the present appellant/accused no.1 under Section 302 of the IPC. As stated above, the appellant had unsuccessfully preferred a criminal appeal before the High Court challenging his conviction and sentence and now approaches this Court by way of the instant Appeal.

Gautam Satnami v. State of Chhattisgarh**SUBMISSIONS**

10. Mr. A Sirajudeen, learned senior counsel for the appellant, contended that the prosecution has failed to present the true origin and genesis of the incident and that the material contradictions and omissions elicited during cross-examination, which were favourable to the appellant, were either ignored or improperly appreciated. Learned senior counsel further urged that most prosecution witnesses did not support the prosecution's case *vis-à-vis* its material particulars and specifically, that the seizure witnesses themselves denied signing the seizure memos at the spot and their signatures were only obtained later. It was also urged that while accused No. 2 was acquitted on the same circumstantial evidence, the appellant was convicted without any sustainable distinguishing circumstance. Particular emphasis was placed on the alleged recovery of the appellant's driving licence from the scene, which was not produced along with the charge-sheet and was only later introduced into the record of the Trial Court. Learned senior counsel thus argued that the prosecution did not prove the charge under Section 302 of the IPC beyond reasonable doubt and the conviction is totally unsustainable in law.
11. *Per contra*, Mr. Praneet Pranav, learned Deputy Advocate General for the State of Chhattisgarh, submitted that instant case is a proved case of murder. It was contended that both, the Trial Court and the High Court, correctly appreciated the evidence on record, and there is no perversity warranting interference under Article 136 of the Constitution. The prosecution's case, as accepted by both Courts, establishes prior enmity between the appellant and the deceased; a quarrel and threat issued by the appellant on the evening preceding the incident; the presence of the appellant near the deceased's house on the night of the incident, carrying an axe, as deposed by Raja Ram; recovery of a blood-stained axe and clothes pursuant to disclosure under Section 27 of the Indian Evidence Act, 1872²; detection of human blood and human hair on the seized articles as per the FSL report; and recovery of the driving licence of the appellant from the spot. It was further submitted that the appellant failed to offer any plausible explanation under Section 313 of the Cr.PC regarding these incriminating circumstances, which together form a complete and unbroken chain pointing to the guilt of the appellant.

2 For short, "Evidence Act".

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ANALYSIS

12. At the outset, it is necessary to acknowledge the well-settled distinction between criminal appeals as a matter of right under Article 134 of the Constitution, and the broader, discretionary jurisdiction exercised by this Court under Article 136. Under Article 134, this Court sits as a regular court of appeal, but under Article 136, ordinarily limits itself to correcting manifest illegality and/or grave miscarriage of justice. This is particularly apposite in a case like the present Appeal, where the Courts below have returned concurrent findings of guilt.
13. However, it is equally well-settled that any restrictions are not absolute. In fact, both provisions underline that this Court has the final, Constitutional responsibility to ensure that justice is done, and hence, the nature and scope of Court's powers under Article 136 are not curtailed where the interests of justice so require. We may profitably refer to this Court's observation in the recent case of **Agniraj & Ors. vs. State through Deputy Superintendent of Police, CB-CID**³, wherein precedents on Article 136 were described as "*self-imposed constraints on interference*"⁴ that cannot restrain the Court from taking note of "*...striking features in the evidence which demolish the prosecution's case.*"⁵
14. Here, the Trial Court itself has noted that "*the case of prosecution is based on the circumstantial evidence and there is no direct evidence in the case.*" This necessarily calls for a careful re-examination of certain incriminating circumstances, particularly where they expose the chain of evidence to doubt. At this stage, we may briefly recount the five 'golden principles' laid down in **Sharad Birdhi Chand Sarda vs. State of Maharashtra**⁶, i.e.:
 - I. the circumstances from which the conclusion of guilt is to be drawn should be fully established;
 - II. the facts so established should be consistent only with the hypothesis of the guilt of the accused, that is to say. they should not be explainable on any other hypothesis except that the accused is guilty;

3 2025 INSC 774

4 *Id* at ¶ 39.

5 *Id* at ¶ 38.1.

6 1984 INSC 121 at ¶3.3.

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- III. the circumstances should be of a conclusive nature and tendency;
 - IV. they should exclude every possible hypothesis except the one to be proved; and
 - V. there must be a chain of evidence so complete as not to leave any reasonable ground for the conclusion consistent with the innocence of the accused and must show that in all human probability the act must have been done by the accused.
15. We observe that the strongest circumstance considered by the Courts below against the appellant, specifically, is the so-called 'last-seen' evidence of Raja Ram. As discussed above, Raja Ram had deposed that he saw the appellant near the deceased's house on the night of the incident, carrying an axe. Raja Ram and other PWs admit that there were no street lights near the house of the deceased, and the spot was usually covered in darkness. The identification, therefore, could only have been made in the light of a motorcycle and possibly, the light of the house (as stated by Raja Ram). On the latter point, both, Dharmin Bai and Dhanraj, had stated in their cross-examination that there was no electricity supply in the deceased's house. In these circumstances, the conditions for reliable visual identification at night are certainly doubtful.
16. Moreover, even if Raja Ram's testimony is accepted at face value, it only states that the appellant was present near the deceased's house at about 10:00 p.m. carrying an axe. In this case, the medical evidence has not fixed the time of death with enough precision so as to conclusively correlate his presence there with the commission of the offence. Raja Ram himself does not assert that he saw the appellant enter the house, assault the deceased, or perform any overt act. The deposition, at best, places the appellant in the vicinity of the spot, not with the deceased, and does not possess the 'clinching' or determinative value that can, by itself, sustain a conviction.
17. We also note that, in his cross-examination, Raja Ram had stated that he worked together with Maniram and Maniram's wife, Madhuri Bai, at Bhatiya's dairy, and that the appellant had also worked there earlier. During this period, hostility had developed and the appellant had left the dairy. Raja Ram further admitted that the animosity between the appellant and Krishna, the elder brother of Maniram, was

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to such an extent that Krishna left the village, and also that Madhuri had earlier lodged a case of eve-teasing against the appellant which was eventually compromised in Court, though he denied that he was supporting Maniram and Madhuri due to his “*family relationship*” with them. Raja Ram also accepted that he had deposed against the appellant in another case and was specifically questioned on the point of him and Maniram having given statements against the appellant in multiple proceedings.

18. A three-Judge Bench of this Court in ***State of Rajasthan vs. Smt. Kalki & Anr.***⁷ had held:

“5. ... ‘Related’ is not equivalent to ‘interested’. A witness may be called ‘interested’ only when he or she derives some benefit from the result of a litigation; in the decree in a civil case, or in seeing an accused person punished. ...”

In ***Md. Rojali Ali & Ors. vs. The State of Assam, Ministry of Home Affairs through the Secretary***⁸, this Court had further clarified:

“10. ... This Court has elucidated the difference between ‘interested’ and ‘related’ witnesses in a plethora of cases, stating that a witness may be called interested only when he or she derives some benefit from the result of a litigation, which in the context of a criminal case would mean that the witness has a direct or indirect interest in seeing the accused punished due to prior enmity or other reasons, and thus has a motive to falsely implicate the accused. ...”

19. Therefore, a ‘related’ witness is not necessarily an ‘interested’ witness, and an ‘interested’ witness need not be a ‘related’ one. Based on the evidence on record, it is plausible that a witness such as Raja Ram had the requisite direct or indirect interest in seeing the appellant punished. His examination-in-chief and cross-examination disclose circumstances suggesting that he himself, or at least his ‘group’ or the persons closely associated with him, harboured longstanding hostility towards the appellant. Therefore, the finding of the Trial Court that it was “*not established that the witness had any animosity with the accused*”, or of the High Court that there is “*no reason to disbelieve*

7 1981 INSC 94.

8 2019 INSC 223

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his statement", is not sound. The possibility of Raja Ram being an interested witness cannot be ruled out, and his testimony, at least without independent corroboration, cannot sustain the conviction. Besides, we must point out that the witness's own conduct also discounts the reliability of his testimony. In his cross-examination, Raja Ram had admitted that he met the Police on the very day of the incident; despite this, his statement under Section 161 of the Cr.PC was recorded only on 14.02.2011 i.e., a month after the occurrence.

20. We now turn to the next major incriminating circumstance relied upon by the prosecution. Needless to say, under Section 25 of the Evidence Act, any 'confession' made to a police officer shall not be admissible at all. The accused in this case have supposedly given 'memorandums' or disclosure statements under Section 27 of Evidence Act. We will examine if the recoveries supposedly made as a consequence of these statements withstand legal scrutiny.
21. Both accused put forth substantially similar narratives in the respective disclosure statements. In fact, the language in many places is reproduced *verbatim* in both statements, except the conclusions, where they state that the axe and clothes worn at the time of the incident are concealed in their respective rooms. The axes and clothes were consequently recovered from these spots.
22. Dr. Chandekar had recommended that the seized axes and clothes be sent for forensic examination to determine whether the bloodstains present on them were human, and whether the hair adhering to the axes belonged to the deceased. It was further opined that the injuries on the deceased had been inflicted by a hard, sharp-edged object. The FSL report confirmed that it was human blood that was present on the axes and clothes; however, (i) the blood group of either the deceased or of the blood present on the weapons or clothes was not determined; (ii) though it was observed the hair present on the axes was similar in morphological and microscopical characteristics to the hair recovered from the spot, no conclusive opinion was given if it belonged to the deceased; and (iii) there was no definitive link made between the recovered axes and the deceased's injuries. In fact, Khuman Sahu (PW-5) had stated in cross-examination that every farmer in the village kept an axe. In order to bring home the guilt of the accused, the seized weapons ought to have at least been shown to the doctor for an opinion as to whether they had caused the injuries in question.

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23. Now, without even embarking on an independent re-evaluation, we note that the Trial Court had considered the entire recovery circumstance against accused No. 2 and acquitted him in the following terms:

“24. On the intimation of the accused Dwarika (No.2), his clothes and axe had been seized by the prosecution and as per the Report Exhibit P-22 from the Forensic Science Lab, blood had been found on them. There is no evidence on the document regarding the presence of the accused Dwarika on the scene during the incident. It has not been proved that the blood found on the axe and the clothes seized from the accused Dwarika is human blood and there is not any other circumstances proved against the accused. It has been held in the case of *Nehru versus C.G. State*, 2005 (1) Manisa 90 (C.G.) that the only circumstance of blood found on the weapon and cloth is enough to connect it to murder. It has been held in the case of *Hanumant Govind Nardandurkar Versus State* A.I.R 1960 Supreme Court 29 that the link of the circumstances from which the conviction of the accused to be concluded has been proved completely. Even if a single link is missed, so the accused persons cannot be held guilty. It has not been proved that the blood found on the axe seized from the accused was human blood and the said blood was related to the deceased. Therefore on the basis of the only circumstance it cannot be said firmly that the accused Dwarika was involved in the murder of the deceased Dhumman.”

24. We feel this reasoning adopted applies with equal force to the case of the present appellant. The major distinction between the case of the present appellant and that of accused No. 2 (Dwarika Jangde) is the ‘last-seen’ testimony of Raja Ram, which, as we have discussed above, does not inspire confidence. If that circumstance is excluded from consideration, the position of the present appellant is similar enough to that of accused No. 2 (Dwarika Jangde) that it would be unsafe to sustain the conviction of the former, at least preponderantly on the basis of this circumstance. In this regard, we refer to the observation made by this Court in ***Javed Shaukat Ali Qureshi vs. State of Gujarat***⁹:

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“15. When there is similar or identical evidence of eyewitnesses against two accused by ascribing them the same or similar role, the Court cannot convict one accused and acquit the other. In such a case, the cases of both the accused will be governed by the principle of parity. This principle means that the Criminal Court should decide like cases alike, and in such cases, the Court cannot make a distinction between the two accused, which will amount to discrimination.”

(emphasis supplied)

This was reaffirmed in **Ram Singh vs. State of U.P.**¹⁰. Therefore, the acquittal of accused No. 2 (Dwarika Jangde) persuades us to resolve any doubt *vis-à-vis* the recoveries in favour of the present appellant.

25. Separately, we also note the contradictions in the testimonies of the witnesses to (i) both Section 27 memorandums and (ii) both seizure memos.
- (i) Girish and Manna Lal (PW-6) were cited as witnesses to the Section 27 statements made by the accused. Girish stated that suspicion had initially fallen upon him and that the Police had taken him and the appellant into custody at the same time and had taken away and kept Girish’s phone for two days. Interestingly, he also denied that accused No. 2 made any disclosure to the Police. Manna Lal outright turned hostile and denied that either accused had disclosed anything and stated that the Police had caught him and taken his signature on the documents.
 - (ii) Of the two witnesses to the seizure memos, Khuman essentially admitted in cross-examination that the seizure memo was not signed contemporaneously at the place of recovery, as he stated that he affixed his signature around 2:30-3:00 p.m. when he was *en route* to another village. He also stated that the Police told him, “*You people have made signature on the panchnama, so make your signatures on the seizure also.*” The second

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witness, Jhumuk Lal (PW-11), was declared hostile, as he said he had incomplete and no information about the recoveries made from the present appellant and accused No. 2 (Dwarika Jangde), respectively.

It is evident that the witnesses have either turned hostile or not corroborated the case of prosecution on any material particulars in relation to the recoveries beyond just admitting their signatures. Given that both accused continuously remained in judicial custody throughout the trial, the said hostility and non-corroboration can also not be attributed to any influence or tampering on their part. The recovery circumstance, therefore, remains legally tenuous.

26. Moreover, the remaining distinguishing circumstances relied upon the appellant are also weak and inconclusive. In the interest of completeness, we will now advert to these circumstances.
27. Much has been made of the alleged recovery of the appellant's driving licence from the spot at around 2:00 p.m. on 15.01.2011. This recovery, together with various villagers' Section 161 Cr.PC statements, had directed initial suspicion toward the appellant. Of the two witnesses who signed the seizure memo, one of them i.e., Komal, has stated that he did not know which articles the Police recovered from the spot of the incident; only that when he was standing outside, they showed him the licence and said they were taking it. He admits he could not identify the owner of the license and was not told who it belonged to either.
28. We further observe that the Investigating Officer, Avadh Ram Sahu, (PW-15) admitted in cross-examination that the driving licence was not mentioned in or submitted along with the '*challan*' or charge-sheet and had to be subsequently called for and exhibited as Article "A". Later, in his statement under Section 313 of the Cr.PC, the appellant had denied that the licence had been recovered from the spot and stated that it had instead been taken from his pocket by the Police, but the Trial Court had said that the "*said explanation of the accused [was] not acceptable,*" and had considered it an incriminating circumstance against the appellant. However, we feel that the aforementioned factors, considered cumulatively, reinforce that this particular circumstance remains shrouded in doubt and cannot be relied upon.

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29. Even with respect to the circumstance of the alleged altercation during the evening of 13.01.2011, Girish, who admits to being present in the deceased's house that day, did not implicate either of the accused in his Section 164 Cr.PC statement. Dhanraj, one of the two people whose police statements formed the basis of the prosecution's narrative of a prior threat, totally recanted that version in his deposition. The other witness, Ghasi Ram, similarly turned hostile and stated that he had closed his shop around 8:00-8:30 p.m. and did not hear anything before or after. It cannot, therefore, even be proved that the appellant quarrelled with and issued a threat to the deceased that evening.
30. That leaves only the circumstance of motive. Though not expressly considered by Trial Court, it is possible accused No. 2's (Dwarika Jangde) family relationship with the deceased weighed in his favour. In contrast, with respect to the appellant, there is some material on the record that points to a specific dispute with the deceased. However, *first*, the evidence does not establish the immediacy or gravity of animosity; if anything, it seems the appellant and the deceased continued to be friends and visit one another, and may even have been consuming liquor together the evening before the deceased died. *Second*, motive is a supporting factor which strengthens an otherwise complete chain of evidence. It cannot replace such a chain where other circumstances are missing or weak.
31. Here, the prosecution's case fails at the threshold itself, as each circumstance from which guilt is to be inferred is not firmly and fully established. By way of example, it cannot even be said with certainty that the driving licence was recovered from the spot in the manner alleged, let alone that its presence there was consistent only with the hypothesis of guilt. The evidence on record may raise suspicion, but, suspicion, however strong, cannot take the place of proof. Our considered opinion is that the appellant, like accused No. 2 (Dwarika Jangde), deserves the benefit of doubt.

CONCLUSION

32. Accordingly, the Appeal is allowed. The judgment dated 19.07.2017 passed by the High Court of Chhattisgarh in Criminal Appeal No. 677 of 2012 affirming the judgment and order dated 28.07.2012 passed

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by the learned Sessions Judge, Rajnandgaon in Sessions Case No. 27 of 2011, is set aside insofar as it relates to the appellant, and he is acquitted of the charge under Section 302 IPC. Since he was already on bail pursuant to the order of this Court dated 22.04.2025, his bail bonds shall stand discharged.

Pending applications are disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Divya Pandey

K.G. Seshadri
v.
The Trustees of State Bank of India and Another
(Civil Appeal No. 4279 of 2026)
08 April 2026
[Prashant Kumar Mishra* and N.V. Anjaria, JJ.]

Issue for Consideration

Whether the appellant is entitled for pensionary benefits keeping in view the State Bank of India Employees' Pension Fund Rules, 1955.

Headnotes[†]

State Bank of India Employees' Pension Fund Rules, 1955 – rr.22(i)(c), 22(i)(a), 20, 7 – Appellant primarily placed reliance upon r.22(i)(c) to claim entitlement to pensionary benefits, whereas the respondent(s) contended by placing reliance on r.22(i)(a), that the appellant does not fulfil the conditions prescribed therein and is, therefore, not entitled to pension – Whether the appellant is entitled for pensionary benefits under the Pension Fund Rules:

Held: No – Appellant is not eligible for pension under the Pension Fund Rules considering that he has not completed 20 years of service nor had attained the age of 50 years, hence, making him ineligible u/r.22(i)(a) – Appellant's case cannot be said to fall u/r.22(i)(c) either since he was never granted VRS, instead his services were declared to have been voluntary abandoned – Appellant's case does not fall in either of the aforesaid Rules – Appeal dismissed – Industrial Disputes Act, 1947. [Para 32]

Case Law Cited

Assistant General Manager, State Bank of India & Ors. v. Radhey Shyam Pandey [2020] 4 SCR 814 : (2020) 6 SCC 438 – distinguished.

Municipal Corporation of Delhi v. Ganesh Razak & Anr. [1994] Supp. 4 SCR 617 : (1995) 1 SCC 235; *Arikaravula Sanyasi Raju v.*

* Author

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Branch Manager, State Bank of India, Visakhapatnam (A.P) and Ors. [1996] Supp. 8 SCR 727 : (1997) 1 SCC 256 – referred to.

Rugmini Ganesh w/o Ganesh Raman Iyer vs. State Bank of India Rep. By its Chairperson, 2018 SCC OnLine Bom 3884 – referred to.

List of Acts

State Bank of India Employees' Pension Fund Rules, 1955; Industrial Disputes Act, 1947.

List of Keywords

Rule 22(i)(c), State Bank of India Employees' Pension Fund Rules, 1955; Rule 22(i)(a), State Bank of India Employees' Pension Fund Rules, 1955; Not eligible for pension under the Pension Fund Rules; 20 years of service not completed; Age of 50 years not attained; Case not of voluntary retirement; Voluntary abandonment of services; VRS not granted; Services were voluntarily abandoned; Voluntarily abandoned services; Total period of service rendered; Rule 20, State Bank of India Employees' Pension Fund Rules, 1955; Rule 7, State Bank of India Employees' Pension Fund Rules, 1955; Entitlement to pension disputed; Pension Fund Rules; Not entitled for pensionary benefits.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4279 of 2026

From the Judgment and Order dated 27.04.2022 of the High Court of Judicature at Madras in WA No. 1065 of 2022.

Appearances for Parties

Advs. for the Appellant(s):

Ms. N S Nappinai, Sr. Adv., V. Balaji, B. Dhananjay, Atul Sharma, Vinod K. Nair, R. Mohan, C. Kannan, Nizamuddin, Rakesh K. Sharma.

Advs. for the Respondent(s):

K.M. Natraj, A.S.G., Sanjay Kapur, Surya Prakash, Ms. Santha Smruthi, Anuraj Mishra, Ms. Mansi Kapur.

K.G. Seshadri v. The Trustees of State Bank of India and Another**Judgment / Order of the Supreme Court****Judgment****Prashant Kumar Mishra, J.**

1. Leave granted.
2. This Appeal is directed against the impugned judgment and order dated 27.04.2022 passed by the High Court of Judicature at Madras in W.A No.1065 of 2022, whereby the Division Bench of the High Court dismissed the appeal filed by the appellant and upheld the order passed by the learned Single Judge of the High Court.

FACTUAL MATRIX

3. The appellant was appointed as a Clerk in the respondent-Bank and the same was confirmed after the probation period of six months i.e., from 17.02.1979 till 12.12.1998. The appellant ceased to be in the job and left for abroad in the year 1989. After returning in the year 2004, he gave a letter to re-join the service. However, the respondent-Bank turned down the said request and, *vide* letter dated 21.07.2008, the respondent-Bank declared that the appellant has been voluntarily retired.
4. Aggrieved by the aforesaid letter dated 21.07.2008, the appellant filed a writ petition being W.P. No.19002 of 2008 before the High Court of Judicature at Madras. On 21.04.2009, the High Court orally directed the appellant to withdraw the case and approach the Labour Court.
5. Pursuant to the direction of the High Court, the appellant approached the Central Government Industrial Tribunal-cum-Labour Court¹, Chennai, by filing a claim petition being CP No.5 of 2010 under Section 33C(2) of the Industrial Disputes Act, 1947² and prayed the Labour Court to compute the appellant's pension benefits @ Rs.8,11,770/- along with interest. The Labour Court *vide* order dated 24.09.2010 dismissed the claim petition by observing that it had no jurisdiction and competence to decide the case, since the present case was not relating to any pre-existing right under pension rules,

1 For short, "Labour Court"

2 For short, "the ID Act"

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and, hence, it could not adjudicate the issue raised therein as per ID Act or under the SBI Pension Rules.

6. The appellant once again approached the High Court by way of a writ petition being W.P No.25597 of 2010. The learned Single Judge *vide* order dated 05.11.2019 concluded that the appellant could not establish any pre-existing right with reference to the eligibility conditions prescribed under the pension scheme and confirmed the findings of the Labour Court *inter alia* holding that since the eligibility and other terms and conditions for grant of pension are all disputed facts, the claim petition filed by the appellant could not have been entertained by the Labour Court.
7. Aggrieved by the aforesaid order dated 05.11.2019 of the learned Single Judge, the appellant filed W.A. No.1065 of 2022 before the Division Bench of the High Court. The Division Bench *vide* its impugned judgment and order dated 27.04.2022 dismissed the writ appeal and upheld the order of the learned Single Judge taking into consideration the limited jurisdiction of the Labour Court under Section 33C(2) of the ID Act and that the claim of pensionary benefits was disputed by the respondent(s) by a reasoned order and the challenge to it by the writ petition was not pressed by the appellant and was rather withdrawn.

SUBMISSIONS

8. Learned senior counsel appearing for the appellant would submit that appellant has completed 20 years and 3 months and 25 days of service from date of appointment/date of confirmation and, hence, he was entitled to pension as per the Pension Fund Rules, more specifically under Rule 22(i)(c) of the State Bank of India Employees' Pension Fund Rules, 1955³.
9. Additionally, it was argued that the respondent-Bank denied the legitimate pension by deliberate misinterpretation of Pension Fund Rules by not applying Rule 22(i)(c) of the Pension Fund Rules, which states completion of 20 years' service, irrespective of age, the respondent-Bank is said to have approbated and reprobated in their counter affidavit that the appellant has been declared under Voluntary

3 For short, "Pension Fund Rules"

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Cessation, but deny legitimate pension, by erroneously applying the incorrect Rule 22(i)(a), instead of 22(i)(c) of the Pension Fund Rules.

10. It was submitted that the respondent-Bank, even though a premier bank of Government of India, failed to notice that a normal Voluntary Retirement Scheme⁴ was introduced in the Bank on 20.09.1986, after obtaining approval from Government of India, Reserve Bank of India and Board of Directors of the Bank. The VRS was open to any employee at all point in time. So, the statement of the respondent-Bank that there was no VRS in existence when the appellant applied for the same is totally false and mischievous.
11. The appellant has relied on the decisions in ***Assistant General Manager, State Bank of India & Ors. vs. Radhey Shyam Pandey***⁵ and ***Rugmini Ganesh w/o Ganesh Raman Iyer vs. State Bank of India Rep. By its Chairperson***⁶ to bolster his submissions.
12. *Per contra*, learned ASG appearing for the respondent-Bank would argue that the appellant is not eligible for pension as per the applicable Pension Fund Rules since he has not completed 20 years of qualifying service and neither he has completed 50 years of age. Thus, making him non-entitled for pension under Rule 22(i)(a) of the Pension Fund Rules.
13. Additionally, the learned ASG argued that the claim petition filed by the appellant under Section 33C(2) of the ID Act was not maintainable since such a petition can only be entertained by the Labour Court when there is a pre-existing right.
14. The respondent-Bank also denies the contention of the appellant regarding obtaining VRS, since there was no VRS in operation during that relevant time. Instead, it is argued that the appellant from 24.01.1998 to 11.12.1998 without informing and without availing leave started remaining unauthorizedly absent for a long period. During this period, the respondent-Bank, following the provisions of the Bipartite Settlement, issued notices dated 01.06.1998 and 12.11.1998 calling upon the appellant to report for work and explain his unauthorized absence. As the appellant failed to report for duty, he was declared

4 For short, "VRS"

5 2020 (6) SCC 438

6 2018 SCC OnLine Bom 3884

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to have voluntarily abandoned his services from 12.12.1998. During this time, it is argued on behalf of the respondent(s) that the appellant had been in employment abroad and was residing there. Thus, this was not a case of voluntary retirement, but of voluntary abandonment of services on part of the appellant.

15. To bolster the submissions, the respondent-Bank has relied on the decision in ***Municipal Corporation of Delhi vs. Ganesh Razak & Anr.***⁷ and ***Arikaravula Sanyasi Raju vs. Branch Manager, State Bank of India, Visakhapatnam (A.P) and Ors.***⁸.
16. The rival submissions now fall for our consideration.

ANALYSIS

17. At the outset, we make it clear that though the Labour Court and the High Court have dismissed the case of the appellant on the technical ground of non- maintainability of the petition under Section 33C(2) of the ID Act, primarily since the proceedings under Section 33C(2) of the ID Act are in the nature of execution proceedings and, since in the present case, the issue of the grant of the pension to the appellant cannot be held to be a pre-existing right, as the same was disputed by the respondent-Bank, both, the Labour Court and High Court, decided to dismiss the case of the appellant at the threshold. However, we have decided to proceed with the case on its merits.
18. The primary question that arises for our adjudication is that whether the appellant is entitled for pensionary benefits keeping in view the Pension Fund Rules.
19. Employee's pension rights are crystallized under Rule 22 of the Pension Fund Rules. The said rule reads as under:

“22. Minimum service for pension- (i) A member shall be entitled to a pension under these rules on retiring from the Bank's service-

a) After having completed twenty years' pensionable service provided that he has attained the age of

7 (1995) 1 SCC 235

8 (1997) 1 SCC 256

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fifty years or if he is in the service of the Bank on or after the 1.11.1993, after having completed ten years pensionable service provided that he has attained the age of fifty eight years or if he is in the service of the Bank on or after 22.05.1998, after having completed ten years pensionable service provided that he has attained the age of sixty years;

(b) **After having completed twenty years' pensionable service**, irrespective of the age he shall have attained, if he shall satisfy the authority competent to sanction his **retirement by approved medical certificate** or otherwise that he is incapacitated for further active service;

(c) after having completed twenty years pensionable service, irrespective of the age he shall have attained at **his request in writing**.

(d) **after twenty five years' pensionable service."**

(emphasis supplied)

20. The reckoning of pensionable service has to be determined in accordance with Rule 20 read with Rule 7 of the Pension Fund Rules which read as follows:

"20. Save as provided in rule 21, with effect from 1.11.93, service rendered by an employee/member from the date of his admission to the fund upto the date of retirement in terms of rule 22 infra from the Bank's service shall be reckoned as service for pension.

Rule 7 of the Rules

7. Save as provided in rule 8, every permanent employee (including a permanent part-time employee who is required by the Bank to work for more than six hours a week) **in the service of the Bank**, who is entitled to pension benefits under the terms and conditions of his service **shall become a member of the Fund from-**

(a) the date from which he is confirmed in the service of the Bank, or

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(b) the date from which he may be required to become a member of the Fund under the terms and conditions of his service.”

(emphasis supplied)

21. The appellant has primarily placed reliance upon Rule 22(i)(c) of the Pension Fund Rules to claim entitlement to pensionary benefits, whereas the respondent(s) has contended, by placing reliance on Rule 22(i)(a), that the appellant does not fulfil the conditions prescribed therein and is, therefore, not entitled to pension. In view of the rival submissions, it becomes necessary for this Court to examine the scope and applicability of Rule 22(i)(c) and Rule 22(i)(a) of the Pension Fund Rules.

ELIGIBILITY CONDITIONS FOR PENSION UNDER RULE 22(i)(c) OF THE PENSION FUND RULES

22. Primarily in order for the appellant to be eligible for the pension under Rule 22(i)(c) following two conditions are required to be satisfied: *The employee should have completed twenty years of pensionable service, irrespective of the age, he shall have attained at his request in writing.*
23. It is the case of the appellant that he completed 20 years, 3 months and 25 days, as on 12.12.1998, i.e. from the date of appointment being 17.08.1978, to the date of deemed voluntary retirement being 12.12.1998. However, the record of the case clearly shows that the appointment of the appellant was confirmed on 17.02.1979 and he was declared to have voluntarily abandoned his services from 12.12.1998.
24. Additionally, a reading of Rule 20 along with Rule 7 of the Pension Fund Rules would make it clear that service for the purpose of pension is to be reckoned from the date of the employee's admission to the fund wherein the employee shall become the member of the fund from the date on which he was confirmed in the service of the Bank. Thus, if we calculate the total period of the service rendered by the appellant, after completion of probation, it would come down to less than 20 years i.e., 19 years, 09 months and 25 days. Thus, the first condition of the appellant having completed 20 years in service is not-fulfilled.

K.G. Seshadri v. The Trustees of State Bank of India and Another**VOLUNTARY RETIREMENT OR VOLUNTARY ABANDONMENT OF SERVICES?**

25. The second condition that needs to be fulfilled is that the appellant must have obtained voluntary retirement from services of the respondent-Bank. However, looking at the record of the case, we have noticed that the present case is not of voluntary retirement, rather of voluntary abandonment of the services, wherein from 24.01.1998 to 11.12.1998, the appellant, without informing and availing leave, started remaining absent for a long time after which the respondent-Bank issued notices dated 01.06.1998 and 12.11.1998 calling upon the appellant to explain his absence.
26. After receiving a non-satisfactory reply, services of the appellant were declared to have been voluntarily abandoned. Hence, the reliance placed by the appellant on Rule 22(i)(c) of the Pension Fund Rules is completely misplaced.
27. The appellant has relied on **Radhey Shyam Pandey** (supra) to contend that since pension is a pre-existing right under the Pension Fund Rules, voluntary cessation of service should be treated at par with voluntary retirement. This submission, however, in our view, seems to be completely misplaced as in **Radhey Shyam Pandey** (supra), this Court was concerned with employees who had undisputedly retired under a recognized Voluntary Retirement Scheme, and the controversy was limited to the interpretation of pension rules and the extent of qualifying service. The entitlement to pension itself was not in dispute, and, therefore, the Court proceeded to interpret the scheme in favour of granting benefits.
28. In contrast, in the present case, the very foundation of the appellant's claim, namely, his entitlement to pension, is seriously disputed by the respondent-Bank, particularly with respect to the fact that his case is not of voluntary retirement, rather of voluntary abandonment of service on part of the appellant.

ELIGIBILITY CONDITIONS FOR PENSION UNDER RULE 22(i)(a) OF THE PENSION FUND RULES

29. Since the respondent-Bank has submitted that the appropriate rule under which the appellant's case falls is Rule 22(i)(a) and not Rule 22(i)(c), we shall now examine whether the appellant is entitled to pension under Rule 22(i)(a) of the Pension Fund Rules.

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30. The two conditions that are required to be fulfilled are that *the appellant must have completed twenty years of pensionable service provided that he attained the age of fifty years during the relevant time*. Since we have already held that the total service years of the appellant is less than 20 years, the first condition remains unfulfilled. That apart, it is an admitted position on record that the appellant had not attained the age of 50 years as on the date of cessation of service. Therefore, the mandatory condition relating to attainment of the prescribed age under Rule 22(i)(a) also remains unfulfilled. In view of the non-satisfaction of both the essential conditions, namely, completion of 20 years of qualifying service and attainment of 50 years of age, the appellant is clearly not entitled to claim pension under Rule 22(i)(a) of the Pension Fund Rules.
31. The appellant has relied on the decision in ***Rugmini Ganesh*** (supra) to submit that the probation period during the appellant's service should also be counted for calculating his pensionable service. It is important to note that ***Rugmini Ganesh*** (supra) dealt with the limited question of computation of qualifying service, including whether pre-confirmation service could be counted, in a situation where the employee's entitlement to pension was already recognized. It did not address a case where entitlement itself was in issue. Also, in ***Rugmini Ganesh*** (supra), the employee's service record was not fundamentally disputed and the issue was confined only to the interpretation of the service rules. In the present case, even if we for argument's sake agree to the submission of the appellant and include the probation period to calculate the pensionable service, he would still not be eligible as he had not attained the requisite 50 years of age at the relevant time. Hence, making the appellant ineligible under Rule 22(i)(a) of the Pension Fund Rules.

CONCLUSION

32. In view of the above discussion, we are of the opinion that the appellant cannot be said to be eligible for pension under the Pension Fund Rules considering that he has not completed 20 years of service nor had attained the age of 50 years, hence, making him ineligible under Rule 22(i)(a). Also, the appellant's case cannot be said to fall under

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Rule 22(i)(c) since the appellant was never granted VRS, instead his services were declared to have been voluntary abandoned. Keeping in view that the case of the appellant does not fall in either of the above-stated Rules, this Appeal deserves to be dismissed. The same is, accordingly, dismissed.

Result of the case: Appeal dismissed.

[†]Headnotes prepared by: Divya Pandey

[2026] 4 S.C.R. 444 : 2026 INSC 335

M/s Chopra Hotels Private Limited

v.

Harbinder Singh Sekhon & Ors.

(Civil Appeal No(s). 4318-4319 of 2026)

08 April 2026

[Vikram Nath* and Sandeep Mehta, JJ.]

Issue for Consideration

Whether the High Court was justified in holding that the Appellant had no *lis* before it and was not entitled to be heard in the proceedings in CWP No. 38742 of 2025, and, if not, what consequential directions ought to follow in relation to the Appellant's participation in CWP No. 38742 of 2025 and the further course to be adopted in respect of LPA No. 760 of 2026 and CR No. 2579 of 2026.

Headnotes[†]

Impleadment – Writ Proceedings – Code of Civil Procedure, 1908 – Or.I, r.10 – Proper Party – Punjab Municipal Corporation Act, 1976 – Punjab Unified Building Rules, 2025 – By way of the impugned judgment passed in CWP No.38742 of 2025, High Court dismissed the applications filed by the Appellant seeking impleadment in the writ proceedings as well as clarification / modification of the interim order dated 24.12.2025 passed in the said writ petition – Interference with:

Held: In writ proceedings, where the Court is called upon to interpret the scope and operation of an interim order already passed by it, a person who is shown to be directly and demonstrably affected by that order cannot be shut out merely because such person was not an original party to the principal challenge – Appellant cannot be denied participation in CWP No.38742 of 2025 when the order passed therein has already produced direct, immediate and demonstrable civil consequences for it – Appellant may not have been an original party to the broader challenge laid in CWP No.38742 of 2025 – It may also be that no final determination on the merits of the 2025 Rules was called for at the instance of the Appellant in those proceedings yet, when the Appellant demonstrated that the

* Author

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interim order passed in the said writ petition was being invoked to its detriment and was materially affecting the treatment of its property by the authorities, the Appellant could not be regarded as a stranger to the controversy – Appellant was a proper party whose presence would enable the High Court to deal in a fuller and fairer manner with the consequences of its own interim order – Further, the manner in which the prayer for clarification/modification was rejected is also unsustainable – There is a clear and substantial overlap between the present appeals, the proceedings in CWP No.38742 of 2025, LPA No.760 of 2026 (arising out of the dismissal of independent writ petition filed by the Appellant against the rejection of its representation and revised plans), and CR No.2579 of 2026 (arising out of the dismissal of the statutory appeal u/s.269 of the 1976 Act) – However, it is neither necessary nor proper to hold that LPA No.760 of 2026 and CR No.2579 of 2026 must await the final adjudication of the entire challenge in the parent writ – Equally, there is no reason why CWP No.38742 of 2025 itself should be held back merely because the Appellant has independently instituted the said proceedings – Impugned orders set aside – Appellant impleaded in CWP No.38742 of 2025 – High Court at liberty to proceed with CWP No.38742 of 2025 independently of LPA No.760 of 2026 and CR No.2579 of 2026. [Paras 7, 9, 12, 16, 19]

Reliefs/Remedies – Courts must lean in favour of preserving, and not stultifying, a remedy otherwise available in law – Present appeals arise out of the order dated 26.02.2026 refusing impleadment and clarification/modification in CWP No.38742 of 2025 – LPA No.760 of 2026 arises out of the dismissal of CWP No.5839 of 2026, which was an independent writ petition instituted by the Appellant against the rejection of its representation and revised plans – CR No.2579 of 2026, in turn, arises out of the dismissal of the statutory appeal u/s.269 of the Punjab Municipal Corporation Act, 1976:

Held: Both the intra court appeal and the civil revision are separate proceedings arising from distinct causes, even though each is affected, in part, by the effect attributed to the order dated 24.12.2025 – The mere circumstance that one proceeding may furnish part of the legal backdrop of another does not, by itself, require that the latter proceedings be kept in abeyance until the former attains finality – Unless there is a statutory interdict, or unless the nature

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of the controversy is such that the later proceeding cannot at all be meaningfully adjudicated without first deciding the former, the Court must be slow to render otherwise maintainable remedies dormant for an indefinite period – To require the Appellant to wait for the final decision in CWP No.38742 of 2025 before LPA No.760 of 2026 and CR No.2579 of 2026 can even be heard would, in effect, postpone adjudication of the Appellant's independent remedies to an uncertain stage – If such proceedings are kept pending merely because a broader challenge to the 2025 Rules is also pending, the result may well be to make the available remedies illusory in practical terms – Courts must ordinarily lean in favour of preserving, and not stultifying, a remedy otherwise available in law, particularly where the controversy is still live and the consequences asserted by the party are continuing. [Paras 13, 15]

Case Law Cited

Mumbai International Airport Private Limited v. Regency Convention Centre and Hotels Private Limited (2010) 7 SCC 417 : (2010) 7 SCC 417 – referred to.

List of Acts

Punjab Municipal Corporation Act, 1976.

List of Keywords

Impleadment in writ petition; Impleadment in writ proceedings; Necessary party; Proper party; Person directly affected by interim order; Not an original party to the principal challenge; Not a party in writ petition; Parent writ; Scope and operation of an interim order; Clarification/modification of interim order; Impleadment declined; Interim order had civil consequences; Interim order had direct and immediate consequences; Impleadment allowed; Remedy.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 4318-4319 of 2026

From the Judgment and Order dated 26.02.2026 of the High Court of Punjab & Haryana at Chandigarh in CM Nos. 2967 and 2968 of 2026.

M/s Chopra Hotels Private Limited v. Harbinder Singh Sekhon & Ors.**Appearances for Parties***Advs. for the Petitioner(s):*

Dr. A.M. Singhvi, Maninder Singh, Nikhil Goel, Sr. Advs., Mahesh Agarwal, Swapnil Gupta, Ms. S. Lakshmi Iyer, Harshit Gupta, Devansh Srivastava, E. C. Agrawala, Varun Chugh, Shagun Chugh, Ms. Khyati Sharma, Sumit Kumar Gautam, Divya Jot Singh, Shubham Singh Chauhan.

Advs. for the Respondent(s):

Maninderjit Singh Bedi, Sr. Adv. /Adv. General , Shadan Farasat, Balbir Singh, Gopal Sankaranarayanan, Sr. Advs., Karan Sharma, Purushottam Sharma Tripathi, Ravi Chandra Prakash, Naman Tandon, Prakhar Singh, Charu Trivedi, Siddhant Sharma, Rajat Bharadwaj, Ferry Sofat.

Judgment / Order of the Supreme Court**Judgment****Vikram Nath, J.**

1. Leave granted.
2. The present appeals arise from the judgment and order dated 26.02.2026 passed by the High Court of Punjab and Haryana at Chandigarh¹ in C.M. No. 2967-CWP-2026 and C.M. No. 2968-CWP-2026 in CWP No. 38742 of 2025, whereby the High Court dismissed the applications filed by the Appellant seeking impleadment in the writ proceedings as well as clarification / modification of the interim order dated 24.12.2025 passed in the said writ petition.
3. The facts giving rise to the present appeals are as follows:
 - 3.1. The Appellant is the owner of property bearing No. B-XIII-294, Police Lines Road, Jalandhar. Change of land use from residential to commercial was granted in respect of the said property on 09.10.2006. Thereafter, on 28.04.2011, the Municipal Corporation, Jalandhar approved the building plan for construction of a hotel on the said property. On 31.07.2024,

1 High Court

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the Appellant applied for issuance of a completion certificate. During that process, a discrepancy relating to the front setback was pointed out. According to the Appellant, the discrepancy arose because the plot on site was trapezium shaped, whereas the sanctioned plan depicted it as rectangular.

- 3.2. On 15.12.2025, the State of Punjab notified the Punjab Unified Building Rules, 2025². According to the Appellant, under the 2025 Rules the minimum front setback requirement for commercial buildings stood reduced to 10 per cent, and the building of the Appellant, which is stated to maintain a front setback of 15.37 per cent, became compliant with the said regime. The 2025 Rules were thereafter challenged before the High Court in CWP No. 38742 of 2025. By interim order dated 24.12.2025, the High Court directed that those provisions of the notification dated 15.12.2025 which were inconsistent with the earlier Rules and Regulations be kept in abeyance. The High Court further directed that violations which were qualified as violations under the previous Rules and Regulations be not regularized.
- 3.3. According to the Appellant, the interim order dated 24.12.2025 thereafter came to be relied upon by the municipal authorities while proceeding against its building. On 05.02.2026, the premises on the said property were sealed. On 06.02.2026, a demolition order was issued by the Municipal Corporation, Jalandhar. The Appellant challenged the said action by filing CWP No. 4023 of 2026 before the High Court. By order dated 10.02.2026, the High Court declined to entertain the writ petition and relegated the Appellant to the statutory remedy available under Section 269 of the Punjab Municipal Corporation Act, 1976³. The Appellant then carried the matter in LPA No. 415 of 2026. By order dated 12.02.2026, the Division Bench disposed of the appeal while relegating the Appellant to the statutory remedy before the competent appellate forum and granted limited protection against precipitative action till 16.02.2026 or till the filing of the appropriate plea, whichever was earlier.

2 2025 Rules

3 1976 Act

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- 3.4. On 12.02.2026, the Appellant submitted a representation to the Municipal Corporation, Jalandhar asserting that the property stood on commercial land, that the building maintained a front setback of 15.37 per cent, and that it was compliant with the 2025 Rules. On 13.02.2026, the Appellant also submitted revised building plans seeking approval for use of the building as a commercial complex in terms of the 2025 Rules. The said requests came to be rejected by orders dated 13.02.2026 and 14.02.2026, which were communicated on 16.02.2026.
- 3.5. The Appellant also preferred an appeal under Section 269 of the 1976 Act before the Additional District Judge, Jalandhar against the demolition order dated 06.02.2026. By order dated 17.02.2026, notice was issued in the appeal, but interim protection was declined. Aggrieved thereby, the Appellant approached the High Court by filing CR No. 1728 of 2026. By order dated 18.02.2026, the High Court directed that till the decision of the statutory appeal no coercive action shall be taken against the Appellant in the matter.
- 3.6. Since the Appellant's case was that the interim order dated 24.12.2025 passed in CWP No. 38742 of 2025 was being relied upon to deny to it the benefit of the 2025 Rules, the Appellant moved two applications in the said writ petition on 20.02.2026. By the first application, being C.M. No. 2967-CWP-2026, the Appellant sought impleadment in the writ petition. By the second application, being C.M. No. 2968-CWP-2026, the Appellant sought clarification/modification of the interim order dated 24.12.2025. It is also material to note that on 05.02.2026, the High Court had allowed an impleadment application filed by one KCB Infra LLP in the said writ petition.
- 3.7. The aforesaid applications filed by the Appellant in CWP No. 38742 of 2025 came to be dismissed by the High Court by the impugned order dated 26.02.2026. The High Court observed that the Appellant had no lis before that Court, that it was at liberty to agitate its grievance before the proper forum, and that it was not a necessary party to the case. On that reasoning, the application for impleadment was dismissed and the prayer for clarification of the order dated 24.12.2025 was also declined.

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- 3.8. Aggrieved by the order dated 26.02.2026, the Appellant approached this Court by way of Special Leave Petition (Civil) Nos. 9321-9322 of 2026, out of which the present appeals arise. The matter was listed on 13.03.2026. On that date, this Court issued notice, and further directed that until further orders, the further proceedings in question pending before the High Court shall remain stayed.
- 3.9. In the meantime, since the Appellant's request for treatment of the building as a commercial building under the 2025 Rules had been rejected, the Appellant filed CWP No. 5839 of 2026 before the High Court assailing the rejection of its representation and the refusal to consider the revised building plan under the 2025 Rules. By order dated 16.03.2026, the learned Single Judge dismissed the said writ petition. While doing so, the learned Single Judge held that once the operation of the 2025 Rules had been ordered to be kept in abeyance by the Division Bench by order dated 24.12.2025 passed in CWP No. 38742 of 2025, there was no occasion at that stage for consideration of the revised building plan dated 13.02.2026 submitted by the Appellant in accordance with the 2025 Rules seeking change of usage from a hotel building to a commercial building.
- 3.10. The Appellant assailed the order dated 16.03.2026 by filing LPA No. 760 of 2026 before the High Court. The later record shows that the said Letters Patent Appeal was listed before the Division Bench and stood adjourned to 24.03.2026.
- 3.11. Insofar as the statutory appeal under Section 269 of the 1976 Act is concerned, the said appeal came to be dismissed by the Additional District Judge, Jalandhar on 17.03.2026. The Appellant then approached the High Court by filing CR No. 2579 of 2026. In the proceedings of the said revision petition, the High Court recorded on 17.03.2026 that the order of the appellate court had been pronounced at 05:00 PM and that demolition had commenced at 05:30 PM. The High Court further recorded the statement of the learned Advocate General, on instructions from the Commissioner, Municipal Corporation, Jalandhar, that the demolition would be stopped immediately to await the hearing of the revision petition on the next day.

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The High Court made it clear that the State would remain bound by the said statement and that any demolition after 10:10 PM on 17.03.2026 would be in violation of its order passed on the same date.

- 3.12. On 18.03.2026, the High Court in CR No. 2579 of 2026 observed that the question of the Appellant's impleadment in the writ petition challenging the 2025 Rules rested upon its right to be considered under the 2025 Rules. The High Court further observed that the issue with respect to the operation of the 2025 Rules to the building in question, as decided by the learned Single Judge, was the subject matter of challenge in the intra court appeal. On that basis, the High Court held that the revision petition required adjudication only after the rights of the Appellant to be considered under the 2025 Rules had been determined. The High Court also recorded the submission of the learned Advocate General that no demolition shall be carried out till the intra court appeal, i.e., LPA No. 760 of 2026 is finally decided. Thereafter, the High Court ordered CR No. 2579 of 2026 to be listed along with LPA No. 760 of 2026.
- 3.13. On 24.03.2026, LPA No. 760 of 2026 and CR No. 2579 of 2026 were taken up together by the High Court. On that date, a request for adjournment was made on behalf of the Appellant. The High Court accepted the said request, though opposing submissions were advanced on behalf of the State, and adjourned both matters to 01.04.2026. The High Court also recorded the submission of the learned Advocate General, Punjab that the statement recorded in CR No. 2579 of 2026 in the order dated 18.03.2026 would operate only till the next date of hearing 01.04.2026, as he had specific instructions not to continue with such statement in relation to demolition of the property in question.
- 3.14. Meanwhile, the Appellant filed an interlocutory application, being I.A. No. 90210 of 2026, for directions before this Court placing on record the subsequent developments, including the dismissal of CWP No. 5839 of 2026, the filing of LPA No. 760 of 2026, the dismissal of the statutory appeal, and the later proceedings in CR No. 2579 of 2026. By the said

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application, the Appellant prayed that CWP No. 38742 of 2025 and LPA No. 760 of 2026 pending before the High Court be taken up together after disposal of the present matter and that the hearing of LPA No. 760 of 2026 be deferred to await the outcome of the present proceedings before this Court.

4. It is in the backdrop of this sequence of proceedings, namely the interim order dated 24.12.2025 in CWP No. 38742 of 2025, the rejection of the Appellant's request to avail the benefit of the 2025 Rules, the dismissal of CWP No. 5839 of 2026, the pendency of LPA No. 760 of 2026, the later proceedings in CR No. 2579 of 2026 arising out of the demolition order, the orders dated 17.03.2026, 18.03.2026 and 24.03.2026 passed by the High Court in the said matters, and the order dated 13.03.2026 passed by this Court, that the present appeals fall for consideration. On 01.04.2026 while reserving orders, this Court had passed the following order:

“We have heard learned senior counsel of the parties.

Mr. Shadan Farasat, learned senior counsel appearing for the State of Punjab, has made a statement that no demolition will take place till this Court passes the orders.

Orders reserved.”

List the matters on 08.04.2026 for delivery of orders.”

5. We have heard Dr. A.M. Singhvi, learned senior counsel for the Appellant and Mr. Shadan Farasat, Mr. Gopal Shankarnarayanan and Mr. Balbir Singh, learned senior counsels for the Respondents.
6. Having perused the submissions advanced by the parties and the material on record, we are of the view that the controversy in the present appeals is limited, though the subsequent developments are relevant for moulding the relief. The present appeals arise from the order dated 26.02.2026, whereby the High Court declined the prayer of the Appellant to be impleaded in CWP No. 38742 of 2025 and also declined the prayer for clarification / modification of the interim order dated 24.12.2025. The question that therefore falls for consideration is whether the High Court was justified in holding that the Appellant had no lis before it and was not entitled to be heard in the said proceedings, and, if not, what consequential directions ought to follow in relation to the Appellant's participation in CWP

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No. 38742 of 2025 and the further course to be adopted in respect of LPA No. 760 of 2026 and CR No. 2579 of 2026.

7. The principles governing impleadment are well settled. Though proceedings under Article 226 of the Constitution of India are not to be controlled by the technicalities of pleadings as in an ordinary civil suit, the principles underlying Order I Rule 10 of the Code of Civil Procedure, 1908 continue to furnish sound guidance. In ***Mumbai International Airport Private Limited v. Regency Convention Centre and Hotels Private Limited***⁴, this Court explained the distinction between a necessary party and a proper party. A necessary party is one without whom no effective order can be passed. A proper party is one whose presence enables the Court to completely, effectively and adequately adjudicate upon the questions involved. In writ proceedings, where the Court is called upon to interpret the scope and operation of an interim order already passed by it, a person who is shown to be directly and demonstrably affected by that order cannot be shut out merely because such person was not an original party to the principal challenge.
8. Tested on the aforesaid principles, we are unable to sustain the view taken by the High Court that the Appellant had no lis before it. The record before us shows that the interim order dated 24.12.2025 in CWP No. 38742 of 2025 did not remain confined to an abstract challenge to the 2025 Rules. The said order was in fact relied upon by the municipal authorities while dealing with the case of the Appellant. The representations and revised plans submitted by the Appellant for availing the benefit of the 2025 Rules came to be rejected on the footing that the provisions of the 2025 Rules stood kept in abeyance by the order dated 24.12.2025. The learned Single Judge, while dismissing CWP No. 5839 of 2026 on 16.03.2026, also proceeded on the same basis and expressly held that, since the operation of the 2025 Rules had been kept in abeyance by the Division Bench in CWP No. 38742 of 2025, there was no occasion to consider the revised building plan dated 13.02.2026 submitted by the Appellant in accordance with the 2025 Rules. The subsequent proceedings therefore place the matter beyond doubt that the order dated 24.12.2025 had direct and immediate consequences for the Appellant.

4 (2010) 7 SCC 417.

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9. Once that position emerges from the record, the conclusion that the Appellant had no lis before the High Court cannot be accepted. The Appellant may not have been an original party to the broader challenge laid in CWP No. 38742 of 2025. It may also be that no final determination on the merits of the 2025 Rules was called for at the instance of the Appellant in those proceedings. Yet, when the Appellant demonstrated that the interim order passed in the said writ petition was being invoked to its detriment and was materially affecting the treatment of its property by the authorities, the Appellant could not be regarded as a stranger to the controversy. At the very least, the Appellant was a proper party whose presence would enable the High Court to deal in a fuller and fairer manner with the consequences of its own interim order. It is also of some significance that the High Court had earlier permitted impleadment of another party in the same writ petition. That circumstance shows that the proceedings were not viewed by the High Court itself as impervious to the participation of persons other than the original parties, where the facts so warranted.
10. We are equally of the view that the manner in which the prayer for clarification/modification was rejected cannot be sustained. Once the High Court was shown that its interim order dated 24.12.2025 was being employed by the authorities in relation to the Appellant's building, the request could not have been disposed of merely by observing that the Appellant was free to pursue another remedy. The grievance of the Appellant was not detached from the writ proceedings. It arose precisely from the operation attributed by the authorities and by the learned Single Judge to the order dated 24.12.2025 passed in CWP No. 38742 of 2025. Whether the Appellant was ultimately entitled to the benefit of the 2025 Rules was, no doubt, a matter requiring adjudication in appropriate proceedings. But the High Court could not, while declining impleadment, altogether deny to the Appellant an opportunity of being heard in the very proceedings from which the prejudice was asserted to arise.
11. At the same time, we do not consider it either necessary or appropriate in the present appeals to ourselves pronounce upon the exact ambit of the interim order dated 24.12.2025 or upon the applicability of the 2025 Rules to the Appellant's building. Any such pronouncement would travel beyond the contours of the present appeals and trench upon issues which arise in the parent writ proceedings as well as

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in the independent proceedings instituted by the Appellant. The proper course, in our view, is to set right the procedural exclusion occasioned to the Appellant and to leave all substantive questions open for consideration by the High Court in the proceedings where they properly arise.

12. This brings us to the subsequent developments, particularly LPA No. 760 of 2026 and CR No. 2579 of 2026. The order dated 16.03.2026 passed in CWP No. 5839 of 2026 makes it clear that the learned Single Judge declined relief to the Appellant on the ground that the operation of the 2025 Rules had already been kept in abeyance by the Division Bench order dated 24.12.2025 passed in CWP No. 38742 of 2025. The orders dated 18.03.2026 and 24.03.2026 further show that the question regarding the Appellant's right to be considered under the 2025 Rules, the maintainability of its claim to be heard in the writ proceedings, the challenge pending in LPA No. 760 of 2026, and the revision proceedings arising from the demolition action were all being treated as closely interlinked. It cannot therefore be denied that there is a clear and substantial overlap between the present appeals, the proceedings in CWP No. 38742 of 2025, LPA No. 760 of 2026, and CR No. 2579 of 2026.
13. At the same time, overlap is not the same thing as identity. The present appeals arise out of the order dated 26.02.2026 refusing impleadment and refusing clarification/modification in CWP No. 38742 of 2025. LPA No. 760 of 2026 arises out of the dismissal of CWP No. 5839 of 2026, which was an independent writ petition instituted by the Appellant against the rejection of its representation and revised plans. CR No. 2579 of 2026, in turn, arises out of the dismissal of the statutory appeal under Section 269 of the 1976 Act. Both the intra court appeal and the civil revision are thus separate proceedings arising from distinct causes, even though each is affected, in part, by the effect attributed to the order dated 24.12.2025. The mere circumstance that one proceeding may furnish part of the legal backdrop of another does not, by itself, require that the latter proceedings be kept in abeyance until the former attains finality. Unless there is a statutory interdict, or unless the nature of the controversy is such that the later proceeding cannot at all be meaningfully adjudicated without first deciding the former, the Court must be slow to render otherwise maintainable remedies dormant for an indefinite period.

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14. We find no such compelling reason in the present case to direct that LPA No. 760 of 2026 and CR No. 2579 of 2026 should remain suspended until the final disposal of the broader challenge in CWP No. 38742 of 2025. The High Court, while hearing the said proceedings, would remain fully competent to examine the correctness of the orders under challenge therein in the light of the pleadings before it, the rejection orders and demolition proceedings impugned therein, the effect of the order dated 24.12.2025, and any other contention available to the parties in law. The fact that the High Court itself has been taking up the said matters together also indicates that their joint hearing would conduce to orderly and effective adjudication. We may also note that one of the principal submissions urged before us on behalf of the Learned Senior Counsel Mr. Shadan Farasat for the Respondents was that, even assuming the 2025 Rules were to apply, and the challenge to the same would fail, the Appellant would still not be entitled to succeed since, according to the Respondents, the building of the Appellant does not conform even to that regime. We express no opinion whatsoever on the correctness of that submission. However, the very nature of that submission shows that the Respondents themselves do not place the matter on the footing that the fate of CWP No. 38742 of 2025 is inseparably dependent upon the outcome of LPA No. 760 of 2026 or CR No. 2579 of 2026. In other words, the pendency of the parent writ does not denude the High Court of jurisdiction to take up and decide LPA No. 760 of 2026 and CR No. 2579 of 2026. Nor does it follow that such adjudication would necessarily prejudice the determination in the parent writ, so long as the limits of each proceeding are kept in view.
15. There is another aspect of the matter. To require the Appellant to wait for the final decision in CWP No. 38742 of 2025 before LPA No. 760 of 2026 and CR No. 2579 of 2026 can even be heard would, in effect, postpone adjudication of the Appellant's independent remedies to an uncertain stage. That course would not be justified on the facts before us. The orders under challenge in those proceedings have immediate civil consequences for the Appellant because they concern, on the one hand, the refusal to consider the Appellant's case under the 2025 Rules and, on the other hand, the legality and continuance of the demolition action. If such proceedings are kept pending merely because a broader challenge to the 2025 Rules is also pending, the result may well be to make the available remedies

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illusory in practical terms. Courts must ordinarily lean in favour of preserving, and not stultifying, a remedy otherwise available in law, particularly where the controversy is still live and the consequences asserted by the party are continuing.

16. We are therefore of the view that the proper balance is to recognize the interconnection of the proceedings without collapsing them into one another. The Appellant cannot be denied participation in CWP No. 38742 of 2025 when the order passed therein has already produced demonstrable civil consequences for it. At the same time, it is neither necessary nor proper to hold that LPA No. 760 of 2026 and CR No. 2579 of 2026 must await the final adjudication of the entire challenge in the parent writ. Equally, there is no reason why CWP No. 38742 of 2025 itself should be held back merely because the Appellant has independently instituted the said proceedings. The ends of justice would be met by permitting the Appellant to be impleaded in CWP No. 38742 of 2025, by permitting the High Court to proceed with CWP No. 38742 of 2025 independently of LPA No. 760 of 2026 and CR No. 2579 of 2026, by directing that the said matters be taken up together, and by directing that they be decided independently of CWP No. 38742 of 2025 on their own merits and in accordance with law, uninfluenced by the reasons contained in the impugned order dated 26.02.2026.
17. In view of the above, the appeals are allowed in the aforesaid terms.
18. The judgment and order dated 26.02.2026 passed by the High Court in C.M. No. 2967-CWP-2026 and C.M. No. 2968-CWP-2026 in CWP No. 38742 of 2025 is set aside. C.M. No. 2967-CWP-2026 filed by the Appellant for impleadment in CWP No. 38742 of 2025 shall stand allowed. The Appellant shall be impleaded as a party respondent in CWP No. 38742 of 2025. In view of the order passed herein there is no need to pass any specific order in C.M. No. 2968-CWP-2026. The same stands disposed off.
19. The High Court shall be at liberty to proceed with CWP No. 38742 of 2025 independently of LPA No. 760 of 2026 and CR No. 2579 of 2026.
20. LPA No. 760 of 2026 and CR No. 2579 of 2026 shall be heard together and disposed of by the High Court independently of CWP No. 38742 of 2025, on their own merits and in accordance with law.

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21. The parties shall maintain status quo with respect to the property in question until the disposal of LPA No. 760 of 2026 and CR No. 2579 of 2026 by the High Court.
22. It is made clear that this Court has not expressed any opinion on the merits of the rival claims in CWP No. 38742 of 2025, LPA No. 760 of 2026, CR No. 2579 of 2026, or any other proceedings arising out of the demolition action or the applicability of the 2025 Rules to the building of the Appellant. All questions in that regard are kept open.
23. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Divya Pandey

Roma Ahuja
v.
The State and Another

(Criminal Appeal No(s). 1831-1832 of 2026)

09 April 2026

[Prashant Kumar Mishra and N.V. Anjaria,* JJ.]

Issue for Consideration

What would be the relevant date for computation of the period of limitation, whether it is the date when the criminal complaint is filed or the date when the Court/Magistrate takes cognizance.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.468 – Penal Code, 1860 – ss.323, 341 r/w. s.34 – Bar to taking cognizance after lapse of the period of limitation – High Court quashed the FIR on the ground of limitation holding that the date of taking cognizance by the Magistrate is relevant and as cognizance was taken after a period of one year, the bar of limitation u/s.468 was attracted – Respondent *inter alia* contended that the principle laid down in Constitution Bench judgment in *Sarah Mathew* will not apply as it was a case where the complaint was filed before the Magistrate, whereas in the instant case, the FIR was filed and subsequently, the Magistrate took cognizance:

Held: Rejected – Whether the limitation period would be reckoned from the date of filing of the complaint or from the date of taking cognizance, is no longer *res integra* in view of the Constitution Bench judgment in *Sarah Mathew's* case – The computing point of limitation for the purpose of s.468 is held to be the date of filing complaint- the date of initiation of criminal proceedings – Whether the case belongs to one instituted before the Magistrate u/s.173 or it is upon a complaint filed before the police, what matters is the date of initiation of criminal proceedings – Criminal proceedings can be said to have been initiated in both categories of complaint when the complaint is filed before the Magistrate or FIR is lodged before the police, as the case may be – It remains a complaint made either to the Magistrate or to the police to become the starting

* Author

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point of initiation of criminal proceedings – The relevant date as held by *Sarah Mathew* would be the date of filing of complaint or, differently stated, the date of initiation of criminal proceedings – As Courts are bound by the law of precedent and to follow the law laid down in the binding judgment of the Constitution Bench, the lawyers are also expected to respect the strong-operated precedent emanating from a judgment holding the field unless exceptional grounds exist to distinguish the decision are available – Merely for the purpose of demonstrating the argumentative skill, the lawyers ought not to eat up the valuable public time of the court by making the submissions, which are worthless against binding precedent – High Court erred in quashing the FIR on the ground of limitation, taking an erroneous view that the date of taking cognizance by the Magistrate is relevant – As held by the Constitution Bench in *Sarah Mathew*, the relevant date for the purpose of reckoning the limitation u/s.468 is the date of filing of complaint or the date of initiation of criminal proceedings – Impugned order set aside – Professional Ethics. [Paras 5.2.5, 7.2, 8.1, 10, 11]

Professional Ethics – Advocates – Respecting the binding precedents and conceding their applicability in a case, duty of advocates:

Held: As disclosure of honest and full facts before the Court is part of the fair conduct on the part of lawyers, respecting the binding precedence of the judgments and conceding its applicability in a case is also a duty in fairness to be discharged by the advocates in conducting their case – They are part of the system of administration of justice and are not expected to breach the rules of the game to argue against settled principles or contrary to well settled law, just for the sake of doing it – Giving up an argument where a point of law is already decided is a professional virtue – It is part of ethics in professional conduct before the Court. [Para 8]

Legal maxims – Importance in the interpretational process:

Held: Legal maxims which trace their origin and birth in the experience of the older times and emerge in the progress of civilization, blend reasonableness, wisdom, truthfulness and objectivity, to be much useful in developing the legal concepts out of the codified law and in interpreting the statutory provisions – They play role of enriching the interpretational contents and adding to the jurisprudential stuff. [Para 5.6]

Roma Ahuja v. The State and Another**Case Law Cited**

Sarah Mathew v. Institute of Cardio Vascular Diseases by its Director Dr. K.M. Cherian and Others [2013] 12 SCR 674 : (2014) 2 SCC 62 – followed.

Bharat Damodar Kale and Another v. State of A.P. (2003) 8 SCC 559; *Japani Sahoo v. Chandra Sekhar Mohanty* [2007] 8 SCR 582:(2007) 7 SCC 394; *Krishna Pillai v. T.A. Rajendran and Another* (1990) Supp. SCC 121; *S.K. Sinha, Chief Enforcement Officer v. Videocon International Ltd. and Others* [2008] 2 SCR 36 : (2008) 2 SCC 492; *Amritlal v. Shantilal Soni and Others* [2022] 1 SCR 721 : (2022) 13 SCC 128 – referred to.

List of Acts

Penal Code, 1860; Code of Criminal Procedure, 1973

List of Keywords

Section 468, Code of Criminal Procedure, 1973; Bar to taking cognizance after lapse of the period of limitation; FIR quashed on the ground of limitation; Computing point of limitation for the purpose of Section 468, Code of Criminal Procedure, 1973; Relevant date for computation of period of limitation; Date of filing complaint; Date of initiation of criminal proceedings; Constitution Bench judgment; Sarah Mathew's case; Law of precedent; Argumentative skill; Valuable public time; Binding precedents; Professional Ethics; Advocates; Legal maxims.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No(s). 1831-1832 of 2026

From the Judgment and Order dated 30.01.2025 of the High Court of Delhi at New Delhi in CRLMC No. 1170 of 2017 and CRLMA No. 7270 of 2016.

Appearances for Parties

Adv. for the Appellant(s):
Ms. Shivani Vij.

Advs. for the Respondent(s):
Rajkumar Bhaskar Thakare, A.S.G., Ms. Anjana Kishore, Sr. Adv., Mukesh Kumar Maroria, Rishikesh Haridas, Ms. Seema Bengani,

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Vevek Gurnani, Arkaj Kumar, Praveen Swarup, Praveen Swarup, Dr. Ashutosh, Niraj Dubey, Pradum Kumar, Devesh Maurya, Ashish Kandpal, Sukhamrit Singh.

Judgment / Order of the Supreme Court

Judgment

N.V. Anjaria, J.

Leave granted.

2. These two appeals arise out of common order dated 30.01.2025, passed by the High Court of Delhi in Crl. M.C. No. 1170 of 2017 and Crl. M.A. No. 7270 of 2016. Thereby the High Court allowed the petition filed by Respondent No. 2-the accused, under Articles 226 and 227 of the Constitution read with Section 482 of the Code of Criminal Procedure, 1973¹ for quashing the First Information Report² No. 121 of 2011.
 - 2.1 The said FIR was in respect of the commission of offences under Sections 323 and 341 read with Section 34 of the Indian Penal Code, 1860³, at P.S. Moti Nagar, lodged by the appellant-complainant herein. The FIR came to be quashed on the ground that the charge-sheet was filed on 29.05.2012, which was after a period of one year and 20 days from the date of incident and therefore the bar of limitation under Section 468, Cr.PC, was attracted.
3. The incident, as per the FIR, took place on 09.05.2011, when the appellant, along with her brother and father, had gone to the court of the Special Executive Magistrate, Moti Nagar, in connection with a case filed under Section 107 read with Section 150, Cr.PC at the behest of the younger sister of the appellant. It was stated that when the parties stepped out of the gate of court premises, Respondent No. 2 - the accused named Ashutosh, who was an advocate appearing for Shweta-sister of the complainant, began abusing and beating the appellant.

1 Hereinafter, "Cr.PC".

2 Hereinafter, "FIR".

3 Hereinafter, "IPC".

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- 3.1 The appellant suffered injuries on her head, right eye, cheek and shoulder. Respondent No. 2 alleged that he too was beaten by the appellant and her family. The incident resulted in the filing of two cross-FIRs. FIR No. 120 of 2011 came to be filed by the respondent against the appellant. On the same day, that is, on 09.05.2011, the complaint made by the appellant against Respondent No. 2 in the form of FIR No. 121 of 2011 was registered at the same P.S. Moti Nagar.
- 3.2 In FIR No. 121 of 2011, which is the subject matter here, the offences under Sections 323 and 341, IPC were alleged. The accused persons were arrested and released on bail. In respect of FIR No. 120 of 2011, the Investigating Officer filed the charge-sheet on 13.07.2011. The charge-sheet came to be filed on 29.05.2012 in respect of FIR No. 121 of 2011. Based on the said FIR No. 121 of 2011, the Court of Metropolitan Magistrate (West), Delhi⁴, took cognizance under Section 190(1)(b), Cr.PC for the offences punishable under Sections 323, 343 and 34 IPC.
- 3.3 While in respect of FIR No. 120 of 2011, the charges came to be framed against the appellant, her brother, and her father under Sections 323 and 343 read with Section 34, IPC, it appears that on 08.01.2014 and again on 22.09.2014, arguments were raised on behalf of respondent No.2-accused in respect of FIR No. 121 of 2011 *inter alia* that the cognizance of the offences was taken beyond the period of limitation and, therefore, the accused was required to be discharged. The trial court did not accept the same, noting that the cognizance has attained finality and that the order was not challenged by either of the accused. The trial court further expressed itself that surprisingly, while the cross-FIR No. 120 of 2011 arising out of the same incident was charge-sheeted within limitation, the charge-sheet in respect of FIR No. 121 of 2011 was belatedly filed and that a party should not benefit from the negligence of the Investigating Officer.
- 3.4 Respondent No. 2 herein filed Criminal Revision Petition No. 36 of 2014 before the Court of District & Sessions Judge, Tis Hazari, Delhi wherein he challenged order dated 22.09.2014, whereby the Court had issued notices to the accused persons.

4 Hereinafter, "trial court".

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On 16.02.2015, the Court of learned Additional Sessions Judge dismissed the Revision Petition, reasoning that the case involved cross-FIRs, where the Investigating Officers were different and that the delay in filing the charge-sheet in FIR No. 121 of 2011 was due to the lackadaisical approach of the Investigating Officer.

- 3.5 Respondent No. 2 filed application on 07.05.2015 seeking discharge under Section 258, Cr.PC in respect of FIR No. 121 of 2011, which was dismissed by the Trial Court on 04.04.2016. Thereafter, Respondent No. 2 filed Writ Petition (Criminal) No. 1407 of 2016, before the High Court of Delhi on 28.04.2016, praying to quash the FIR No.121 of 2011 and all proceedings consequential thereto. The prayer of quashing of FIR was based on the ground of limitation.
- 3.6 In respect of FIR No. 121 of 2011, charges came to be framed on 17.12.2016 against Respondent No. 2 and another accused under Sections 323, 341 and 34, IPC. On 12.01.2017, Writ Petition (Criminal) No.1407 of 2016 filed by Respondent No.2 before the High Court was renumbered as Crl. M.C. No.1170 of 2017 and Crl. M.A. No.7270 of 2016. The Delhi High Court allowed the Writ Petition as per the impugned order dated 30.01.2025, taking the view that the bar under Section 468, Cr.PC is absolute and that the date when the charge-sheet was filed fell beyond the period of limitation of one year.
4. Heard learned advocate Ms. Shivani Vij for the appellant and learned Additional Solicitor General Mr. Rajkumar Bhaskar Thakare with learned advocate on record Mr. Mukesh Kumar Maroria for respondent No.1-State and learned advocate on record Mr. Praveen Swarup for respondent No.2, at length.
5. Having noticed the factual sequence, the moot question to be adverted to is what would be the relevant date for computation of the period of limitation, whether it is the date when the criminal complaint is filed or the date when the Court/Magistrate takes cognizance.
 - 5.1 Chapter XXXVI of the Code of Criminal Procedure, 1973 is in respect of provisions relating to 'Limitation For Taking Cognizance of Certain Offences'. Section 468, Cr.PC provides for limitation for taking cognizance of the offences and bars such cognizance beyond the period of limitation.

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5.2 Section 468, Cr.PC reads as under,

‘468. Bar to taking cognizance after lapse of the period of limitation.—(1) Except as otherwise provided elsewhere in this Code, no court shall take cognizance of an offence of the category specified in sub-section (2), after the expiry of the period of limitation.

(2) The period of limitation shall be—

(a) six months, if the offence is punishable with fine only;

(b) one year, if the offence is punishable with imprisonment for a term not exceeding one year;

(c) three years, if the offence is punishable with imprisonment for a term exceeding one year but not exceeding three years.

(3) For the purposes of this section, the period of limitation, in relation to offences which may be tried together, shall be determined with reference to the offence which is punishable with the more severe punishment or, as the case may be, the most severe punishment.’

5.2.1 Section 469, Cr.PC is in respect of commencement of the period of limitation. It provides that the period of limitation, in relation to an offence, shall commence (a) on the date of the offence, or (b) if the commission of the offence was not known, the first day on which such offence comes to the knowledge of the person aggrieved or to any police officer, whichever is earlier, or (c) if it is unknown as to by whom the offence was committed, the first day on which the identity of the offender is known to the aggrieved person or the police officer, whichever is earlier.

5.2.2 Section 470, Cr.PC deals with the exclusion of time in certain cases, whereas as per Section 471, the date on which the Court is closed is to be excluded. Section 472 says that in case of a continuing offence, a fresh period of limitation shall begin to run at every moment of the time during which the offence continues. As per

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Section 473, notwithstanding anything contained in the other provisions, the court may take cognizance of an offence after the expiry of the period of limitation if it is satisfied on the facts and in the circumstances of the case that the delay has been explained properly.

- 5.2.3 As per Section 468(2) as above, the period of limitation will be six months if the offence is punishable with fine only. The limitation will be one year where the offence is punishable for a term not exceeding one year. Similarly, in respect of an offence punishable with imprisonment for a term exceeding one year but not exceeding three years, the prescribed period of limitation is three years. As per sub-section (3) of Section 468, Cr.PC, where the offences are tried together, the limitation will be determined with reference to the offence which is punishable with more severe punishment.
- 5.2.4 In the present case, the FIR in question, which was held barred by limitation by the High Court, was in respect of offences under Sections 323 and 341 read with Section 34 IPC. The offence under Section 323 is the offence of voluntarily causing hurt. It provides punishment of imprisonment for a term extending to one year which is the severest punishment amongst the offences charged in the FIR. In that view, it attracts Section 468(2)(b), Cr.PC, for which the period of limitation is provided to be one year.
- 5.2.5 Whether the limitation period as above would be reckoned from the date of filing of the complaint or from the date of taking cognizance, is no longer *res integra* in view of the Constitution Bench judgment of this Court in **Sarah Mathew v. Institute of Cardio Vascular Diseases by its Director Dr. K.M. Cherian and Others**⁵.
- 5.3 Prior to the deliverance of the aforementioned Constitution Bench judgment in **Sarah Mathew** (supra), there prevailed a conflict of opinion on the issue. The two-Judge Bench decisions of this

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Court in **Bharat Damodar Kale and Another v. State of A.P.**⁶ and in **Japani Sahoo v. Chandra Sekhar Mohanty**⁷, held that the date of filing of the complaint is the relevant date for the purpose of computation of the period of limitation. A previous decision in **Krishna Pillai v. T.A. Rajendran and Another**⁸, a judgment of a three-Judge Bench, had taken a view that the date of taking cognizance by the Court is the material date relevant for the purpose of reckoning the period of limitation.

5.3.1 The two-Judge Bench passed an order in **Sarah Mathew vs. Institute of Cardio Vascular Diseases**⁹ and referred the matter to a three-Judge Bench. The three-Judge Bench of this Court in **Sarah Mathew v. Institute of Cardio Vascular Diseases and Others**¹⁰ took a view that as a coordinate Bench, it cannot declare the decision in **Krishna Pillai** (supra) to be not laying down the correct law. In due deference to the precedential discipline, the issue was referred to the five-Judge Bench to examine the correctness of the view in **Krishna Pillai** (supra). It culminated into the Constitution Bench decision in **Sarah Mathew** (supra).

5.4 In order to understand the law clarified by the Constitution Bench judgment in **Sarah Mathew** (supra), it would be relevant to briefly refer to the decisions in **Bharat Kale** (supra) and in **Japani Sahoo** (supra), which were later affirmed by the Constitution Bench, holding that the decision in **Krishna Pillai** (supra), was not a good law. The **Bharat Kale** (supra) involved the facts where the offence under the Drugs and Magic Remedies (Objectionable Advertisements) Act, 1954 was involved. On detection of the offence on 05.03.1999, the complaint came to be filed on 03.03.2000, which was within the period of limitation of one year. The Magistrate, however, took cognizance thereof on 25.03.2000, which was the date after one year. The argument

6 (2003) 8 SCC 559

7 (2007) 7 SCC 394

8 (1990) Supp. SCC 121

9 (2014) 2 SCC 102

10 (2014) 2 SCC 104

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was that since the cognizance was taken after one year, the bar of limitation would operate.

5.4.1 The Court held in **Bharat Kale** (supra),

‘...that the limitation prescribed therein is only for the filing of the complaint or initiation of the prosecution and not for taking cognizance. It of course prohibits the court from taking cognizance of an offence where the complaint is filed before the court after the expiry of the period mentioned in the said Chapter.’

(Para 10)

5.4.2 It was reasoned that taking cognizance is an act of the court over which the prosecuting agency or the complainant had no control and that the complaint which was otherwise filed within the period of limitation cannot be made infructuous by an act of the court which will cause prejudice to the complainant. The maxim *actus curiae neminem gravabit*, which means that the act of the court shall not prejudice anybody, was applied and relied upon.

5.4.3 Similarly, in **Japani Sahoo** (supra), it was a complaint filed in the Magistrate’s court in respect of the alleged offences punishable under Sections 161, 294, 323 and 506, IPC. On the basis of statements of witnesses, learned Magistrate issued summons on 08.08.1997, asking the accused to appear. The accused surrendered on 23.11.1998 and thereafter filed a petition under Section 482, Cr.PC for quashing of the criminal proceedings, raising contention that the cognizance could not have been taken by the Court after the period of one year limitation prescribed for the offence punishable under Sections 294 and 323, IPC.

5.4.4 The view taken by the High Court while quashing the proceedings that the relevant date for deciding the bar of limitation was the date of taking cognizance by the Court and since the cognizance was taken beyond the period of one year and that the delay was not condoned by the Court in exercise of powers under Section 473,

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Cr.PC, came to be set aside by this Court. Another legal maxim *nullum tempus aut locus occurrit regi*, which means that the crime never dies, was taken resort to. After elaborately delineating the scheme of Chapter XXXVI, Cr.PC, as well as following the law laid down in **Bharat Kale** (supra), it was held by this Court that the date of filing the complaint or the date on which the criminal proceedings are initiated is the relevant date for the purpose of counting the limitation.

- 5.5 The Constitution Bench opined that the law laid down in **Bharat Kale** (supra) and **Japani Sahoo** (supra) was good law and that the decision in **Krishna Pillai** (supra) stood not only confined to its own facts but the proposition of law laid down therein was erroneous and could not hold the field. In **Krishna Pillai** (supra), this Court dealt with Section 9 of the Child Marriage Restraint Act, 1929, which is a special Act. It contains a provision that no court shall take cognizance of any offence under the said Act after the expiry of one year from the date on which the offence is alleged to have been committed.

- 5.5.1 The Constitution Bench in terms observed that there was no reference either to Section 468 or Section 473, Cr.PC in the judgment in **Krishna Pillai** (supra), nor did it refer to Sections 4 and 5, Cr.PC, which carved out the exceptions for the special Act. Accordingly, it was ruled by the Constitution Bench that **Krishna Pillai** (supra) was not the authority for deciding the question as to what is the relevant date for the purpose of computing the period of limitation under Section 468 Cr.PC.

- 5.5.2 It is a matter of jurisprudential interest that while upholding the law in **Bharat Kale** (supra) and **Japani Sahoo** (supra) and in discarding the proposition laid down in **Krishna Pillai** (supra), the Constitution Bench underscored the importance of legal maxims in the interpretational process for which the criticism was sought to be levelled in the decision in **Bharat Kale** (supra) and **Japani Sahoo** (supra) that the ratio thereof heavily leaned towards the legal maxims. The Bench dispelled the submission that legal maxims could not have been utilised to expand and interpret the statutory provisions.

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5.5.3 It was aptly observed,

“It is true that in *Bharat Kale* and *Japani Sahoo*, this Court has referred to two important legal maxims. We may add that in [*Vanka Radhamanohariv. Vanka Venkata Reddy*, (1993) 3 SCC 4 : 1993 SCC (Cri) 571] , to which our attention has been drawn by the counsel, it is stated that the general rule of limitation is based on the Latin maxim *vigilantibus et non dormientibus, jura subveniunt*, which means the vigilant and not the sleepy, are assisted by laws. We are, however, unable to accept the submission that reliance placed on legal maxims was improper. We are mindful of the fact that legal maxims are not mandatory rules but their importance as guiding principles can hardly be underestimated.”

(Para 17)

5.5.4 Referring to Herbert Broom’s work ‘*Broom’s Legal Maxims*’ (10th Edition, 1939), it was highlighted that the importance of legal maxims has to be acknowledged in the process of development of law. It was observed that in the ruder ages, the majority of questions in relation to the rights, remedies and liabilities of private individuals were determined by an immediate reference to such maxims, many of which are obtained in the Roman Law. It was expressed that the legal maxims are manifestly founded in reason, public convenience and necessity.

- 5.6 It has to be added that the legal maxims which trace their origin and birth in the experience of the older times and emerge in the progress of civilization, blend reasonableness, wisdom, truthfulness and objectivity, to be much useful in developing the legal concepts out of the codified law and in interpreting the statutory provisions. They play role of enriching the interpretational contents and adding to the jurisprudential stuff.
- 5.7 Without straying any further, it is to be noted that the Constitution Bench in **Sarah Mathew** (supra) adverted to the meaning of the expression ‘taking cognizance’, to observe that the same has not been defined in the Code but it is of definite import and

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signifies the stage where the Magistrate applies his mind to the suspected commission of an offence, which indicates the point when a Court or Magistrate takes judicial notice of an offence with a view to initiate proceedings in respect of such offence said to have been committed by the alleged offender.

5.7.1 There is no gainsaying, as observed in **S.K. Sinha, Chief Enforcement Officer v. Videocon International Ltd. and Others**¹¹ that whether or not a Magistrate has taken cognizance of an offence depends on the facts and circumstances of each case and no rule of universal application can be laid down as to when a Magistrate can be said to have taken the cognizance.

5.7.2 As observed by the Constitution Bench, the point of time when cognizance is taken by the court or the magistrate cannot supply certain, definitive or dependable criteria to treat it relevant for the purpose of reckoning the limitation period. There are inherent vagaries in such aversion,

‘...a Magistrate takes cognizance when he applies his mind or takes judicial notice of an offence with a view to initiating proceedings in respect of offence which is said to have been committed. This is the special connotation acquired by the term “cognizance” and it has to be given the same meaning wherever it appears in Chapter XXXVI. It bears repetition to state that taking cognizance is entirely an act of the Magistrate. Taking cognizance may be delayed because of several reasons. It may be delayed because of systemic reasons. It may be delayed because of the Magistrate’s personal reasons.’

(Para 34)

5.8 The justification drawn for the proposition is that it is the date of filing of complaint which is relevant for the purpose of applying limitation, with reference to the provisions of Section 473,

11 (2008) 2 SCC 492

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Cr.PC. The following observations from the Constitution Bench judgment in **Sarah Mathew** (supra) may be pertinently seen,

‘The role of the court acting under Section 473 was aptly described by this Court in *Vanka Radhamanohari* [(1993) 3 SCC 4] where this Court expressed that this section has a non obstante clause, which means that it has an overriding effect on Section 468. This Court further observed that : (SCC p. 8, para 6)

“6. ... There is a basic difference between Section 5 of the Limitation Act and Section 473 of the Criminal Procedure Code. For exercise of power under Section 5 of the Limitation Act, the onus is on the appellant or the applicant to satisfy the court that there was sufficient cause for condonation of the delay, whereas, Section 473 enjoins a duty on the court to examine not only whether such delay has been explained but as to whether it is the requirement of the justice to condone or ignore such delay.”

These observations indicate the scope of Section 473 Cr.PC. Examined in the light of legislative intent and meaning ascribed to the term “cognizance” by this Court, it is clear that Section 473 Cr.PC postulates condonation of delay caused by the complainant in filing the complaint. It is the date of filing of the complaint which is material.’

(Para 36)

5.8.1 The Constitution Bench proceeded to explain further,

‘...there has to be some amount of certainty or definiteness in matters of limitation relating to criminal offences. If, as stated by this Court, taking cognizance is application of mind by the Magistrate to the suspected offence, the subjective element comes in. Whether a Magistrate has taken cognizance or not will depend on facts and circumstances of each case. A diligent complainant or the prosecuting agency which promptly files

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the complaint or initiates prosecution would be severely prejudiced if it is held that the relevant point for computing limitation would be the date on which the Magistrate takes cognizance. The complainant or the prosecuting agency would be entirely left at the mercy of the Magistrate, who may take cognizance after the limitation period because of several reasons; systemic or otherwise. It cannot be the intention of the legislature to throw a diligent complainant out of the court in this manner.'

(Para 37)

5.8.2 The following were further stated,

'Besides, it must be noted that the complainant approaches the court for redressal of his grievance. He wants action to be taken against the perpetrators of crime. The courts functioning under the criminal justice system are created for this purpose. It would be unreasonable to take a view that delay caused by the court in taking cognizance of a case would deny justice to a diligent complainant. Such an interpretation of Section 468 Cr.PC would be unsustainable and would render it unconstitutional.'

(Para 37)

5.8.3 It was further observed in Paragraph 45 that the Court in interpreting and asserting the proposition of law that the relevant date for the purpose of computing limitation is the date of filing of complaint or initiation of proceedings, and not the date when the court or magistrate takes cognizance of the offence, did not mean supplying *casus omissus*, but was only amounted to carrying out the intention of the legislature by ascertaining such intention. Ascertaining the intention of legislature, opined the Court, is the judicial function.

5.8.4 With such rich amount of reasoning, the Constitution Bench propounded the law thus,

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‘In view of the above, we hold that for the purpose of computing the period of limitation under Section 468 Cr.PC the relevant date is the date of filing of the complaint or the date of institution of prosecution and not the date on which the Magistrate takes cognizance. We further hold that *Bharat Kale*, [(2003) 8 SCC 559], which is followed in *Japani Sahoo*, [(2007) 7 SCC 394] lays down the correct law. *Krishna Pillai* [*Krishna Pillai v. T.A. Rajendran*, [1990 Supp SCC 121] will have to be restricted to its own facts and it is not the authority for deciding the question as to what is the relevant date for the purpose of computing the period of limitation under Section 468 Cr.PC.’

(Para 51)

6. The more recent decision in **Amritlal v. Shantilal Soni and Others**¹² reiterates the position of law. The facts involved in the case were that the appellant filed a written complaint on 10.07.2012 to the Superintendent of Police, Khachrod, claiming that he had entrusted 33.139 kilograms of silver to the respondent on 04.10.2009 and the respondent refused to return the same when the demand was made by the appellant. FIR No. 289 of 2012 came to be registered. After investigation, the Police filed charge-sheet on 13.11.2012 against Respondent Nos. 1 and 2. Thereafter, the Judicial Magistrate First Class, Khachrod took cognizance on 04.12.2012 and then framed charges on 12.09.2013.
 - 6.1 The order framing of charges came to be challenged by the respondent-accused by filing Revision Application under Section 397, Cr.PC on the ground *inter alia* that taking of cognizance by the Magistrate was barred by limitation. When the plea was negatived and the orders were challenged, the High Court took the view that taking of cognizance on 04.12.2012 by the Magistrate was barred by limitation, consequently, the High Court quashed the proceedings.
 - 6.2 The following view taken by the High Court came to be disapproved in the decision of the Constitution Bench in **Sarah Mathew** (supra),

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‘On cumulative consideration of the aforesaid discussion, this Court is of the view that the date of offence is very well known to the complainant i.e. 4-10-2009 and he lodged F.I.R. on 19-7-2012 i.e. after 2 years 9½ months of the alleged incident and the Police has filed charge sheet on 4-12-2012 after a period of three years of the alleged incident, on which basis, the Magistrate has taken cognizance of the offence against the petitioners on 4-12-2012 which was barred by limitation, therefore, the trial court as well as Revisional Court have committed error of law in rejecting the plea taken by the petitioners regarding maintainability of the prosecution on the ground of limitation.’

(Para 20)

- 6.3 The categorical law laid down by the Constitution Bench in **Sarah Mathew** (supra) was so applied in **Amritlal** (supra) to hold that the complaint was filed on 10.07.2012, which was within a period of three years with reference to the date of commission of offence,

‘Therefore, the enunciations and declaration of law by the Constitution Bench in *Sarah Mathew case*, [(2014) 2 SCC 62], do not admit of any doubt that for the purpose of computing the period of limitation under Section 468 Cr.PC, the relevant date is the date of filing of the complaint or the date of institution of prosecution and not the date on which the Magistrate takes cognizance of the offence. The High Court has made a fundamental error in assuming that the date of taking cognizance i.e. 4-12-2012 is decisive of the matter, while ignoring the fact that the written complaint was indeed filed by the appellant on 10-7-2012, well within the period of limitation of 3 years with reference to the date of commission of offence i.e. 4-10-2009.’

(Para 11)

7. In the present case, learned counsel for the respondents made a vain attempt by referring to the definition of ‘complaint’ in Section 2(d) as well as definition of ‘police report’ in Section 2(r), Cr.PC, and further taking resort to the provisions of Section 173, which deals with the

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‘Report to Police Officer on Completion of Investigation’, and Section 190 under which the Magistrate takes cognizance of the offences upon receiving a complaint of facts which constitute the offence or upon a police report of such facts or upon information received from any person other than police, submitted that the Constitution Bench judgment in **Sarah Mathew** (supra) was related to a case where the complaint was filed before the Magistrate, whereas in the instant case, the FIR was filed and subsequently, the Magistrate took cognizance.

- 7.1 It was submitted that in view of the difference in working of the provisions, especially under the provisions of Section 173 onwards, and having regard to the distinction between ‘complaint’ defined in Section 2(d) and the ‘police report’ defined in Section 2(r), Cr.PC, and when the ‘complaint’ in Section 2(d) does not include the police report, the Constitution Bench judgment is distinguishable and the instant being the complaint case, the principle laid down in **Sarah Mathew** (supra) will not apply.
- 7.2 The above submission is stated to be rejected. The computing point of limitation for the purpose of Section 468, Cr.PC is held to be the date of filing complaint – the date of initiation of criminal proceedings. Whether the case belongs to one instituted before the Magistrate under Section 173 or it is upon a complaint filed before the police, what matters is the date of initiation of criminal proceedings.
- 7.3 The criminal proceedings can be said to have been initiated in both categories of complaint when the complaint is filed before the Magistrate or FIR is lodged before the police, as the case may be. It remains a complaint made either to the Magistrate or to the police to become the starting point of initiation of criminal proceedings.
- 7.4 The relevant date as held by **Sarah Mathew** (supra) would be the date of filing of complaint or, differently stated, the date of initiation of criminal proceedings. Therefore, the submission on behalf of the respondents on this count falls flat.
8. As disclosure of honest and full facts before the Court is part of the fair conduct on the part of lawyers, respecting the binding precedence of the judgments and conceding its applicability in a case is also a duty in fairness to be discharged by the advocates in conducting their case. They are part of the system of administration of justice and

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are not expected to breach the rules of the game to argue against settled principles or contrary to well settled law, just for the sake of doing it. Giving up an argument where a point of law is already decided is a professional virtue. It is part of ethics in professional conduct before the Court.

- 8.1 As the courts are bound by the law of precedent and to follow the law laid down in the binding judgment of the Constitution Bench, the lawyers are also expected to respect the strong-operated precedent emanating from a judgment holding the field unless exceptional grounds exist to distinguish the decision are available. Merely for the purpose of demonstrating the argumentative skill, the lawyers ought not to eat up the valuable public time of the court by making the submissions, which are worthless against binding precedent.
- 8.2 It is to be noticed that even in **Amritlal** (supra), a failed contention was advanced seeking to submit that the date of cognizance by the Magistrate was required to be applied inasmuch as the decision in **Sarah Mathew** (supra) needed reconsideration on the ground that several aspects relating to the purpose of Chapter XXXVI, Cr.PC, have not been taken into consideration and the Court had not comprehensively dealt with the provisions relating to the bar of limitation.
- 8.3 Rejecting such contention, the Court in **Amritlal** (supra) observed, and this Court reiterates the same,

‘A decision of the Constitution Bench of this Court cannot be questioned on certain suggestions about different interpretation of the provisions under consideration. It remains trite that the binding effect of a decision of this Court does not depend upon whether a particular argument was considered or not, provided the point with reference to which the argument is advanced, was actually decided therein [*Vide Somawanti v. State of Punjab*, 1962 SCC OnLine SC 23 : AIR 1963 SC 151, para 22] . This is apart from the fact that a bare reading of the decision in *Sarah Mathew*, (2014) 2 SCC 62 would make it clear that every relevant aspect concerning Chapter XXXVI Cr.PC has been dilated upon by the Constitution Bench in necessary details.’

(Para 13)

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9. It has to be asserted that the Constitution Bench judgment is a beckoning binding precedent and the courts are bound by it. There cannot be any room to travel beyond the four corners of the binding nature thereof by raising spacious argument that the particular aspect was missed or that the particular contentions was not canvassed. Such stock contentions cannot dilute the law laid down by the Constitution Bench and its unimpeachable precedential value.
10. As a consequence of all the foregoing reasons and discussion, it is to be held that the High Court committed a patent error in quashing the FIR No. 121 of 2011 on the ground of limitation, taking an erroneous view that the date of taking cognizance by the Magistrate is relevant. As held by the Constitution Bench in **Sarah Mathew** (supra), the relevant date for the purpose of reckoning the limitation under Section 468, Cr.PC is the date of filing of complaint or the date of initiation of criminal proceedings.
11. The impugned order dated 30.01.2025 in CrI. M.C. No. 1170 of 2017 and CrI. M.A. No. 7270 of 2016 by the High Court are hereby set aside. The Appeals stand allowed. The trial shall expeditiously proceed in accordance with law.

Interlocutory application, if any pending, shall not survive.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Divya Pandey

Russi Fisheries P. Ltd. & Anr.

v.

Bhavna Seth & Ors.

(Civil Appeal No. 109 of 2010)

09 April 2026

[Pankaj Mithal* and Prasanna. B. Varale, JJ.]

Issue for Consideration

Issue arose as regards the correctness of the order passed by the High Court in the Second Appeal filed by the defendants, whereby the judgment passed by the first appellate court was upheld and the decree of the specific performance as passed in first appeal maintained.

Headnotes[†]

Specific performance – Relief of – Agreement to sell between the parties – Suit for specific performance of an agreement to sell filed by the plaintiff, dismissed holding that the plaintiff failed to prove his continuous readiness and willingness to perform his part of the contract, but decreed it for the refund of sale consideration – Appeal by the heirs of the plaintiff – Allowed holding that the plaintiff had paid almost half of the amount and was ready and willing to perform his part of the agreement – Second Appeal by the defendants – Judgment passed by the first appellate court upheld and the decree of the specific performance as passed in first appeal maintained – Thereafter, Special Leave Petition filed wherein leave was granted and the same day, heirs of plaintiff got the sale deed executed in their favour on the strength of the decree of specific performance passed – However, the defendants sold 60 percent of the suit land even before the filing of SLP and remaining 40 percent of the land sold by them during the pendency of the instant appeal:

Held: Findings of fact howsoever erroneous, cannot be reopened and disturbed in second appeal which is required to be adjudicated only upon the substantial question of law, if any, arising therein – Findings as returned by the First Appellate Court on readiness and willingness, extension of time and payment of cash money not perverse and illegal, which may warrant any interference – Adverse presumption, if any, drawn for non-appearing in the witness box by

* Author

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the plaintiff, is a rebuttal presumption and if the said presumption is successfully rebutted by the other cogent evidence on record, the said presumption would not be material and applicable – PW-4, the Manager of the plaintiff, had appeared as a witness, stated that he had been working with the plaintiff since 1988 and had the knowledge of all the transactions in relation to the agreement to sell – His testimony substantially corroborates the case as set up by the plaintiff in the plaint, including execution of agreement, payment of consideration and extension of time – Thus, in the light of the evidence of the PW-4, the allegations stand corroborated – Adverse inference drawn on account of non-appearance of the plaintiff stands rebutted by his evidence and other evidence on record – In these circumstances, the non-appearance of the plaintiff in the witness box not fatal – Agreement to sell was executed in 1988 and the decree of specific performance was passed by the first appellate court after a gap of 15 years, no evidence whatsoever was brought on record to establish that within this period the price of property in the area had escalated, making it inequitable to grant the decree of specific performance – Sale deeds executed by the defendants during the pendency of the litigation hit by doctrine of *lis pendens* and are *non est* – At the same time, the plaintiffs have got the sale deed of the suit land executed in their favour by following the due process of law on the basis of the decree of specific performance granted in their favour by the first appellate court – In such circumstances when the decree has already been executed and substantive rights have accrued in favour of the heirs of the plaintiff, it would be inequitable to dislodge them from the benefit of the sale in exercise of discretionary jurisdiction – Sale deeds executed by the defendants held to be *non est* and the decree as passed by the first appellate court maintained. [Paras 31, 41-46]

Case Law Cited

Thomson Press (India) Ltd. vs Nanak Builders & Investors (P) Ltd. [2013] 2 SCR 74 : (2013) 5 SCC 397; *Bholaram v. Ameerchand* (1981) 2 SCC 414; *Madhavan Nair v. Bhaskar Pillai (Dead) by Lrs.* (2005) 10 SCC 553; *Kashibai w/o Lachiram and Another v. Parwatibai w/o Lachiram and Others* [1995] Supp. 4 SCR 63 : (1995) 6 SCC 213; *Kulwant Kaur and Others v. Gurdial Singh Mann (Dead) by Lrs and Others* [2001] 2 SCR 525 : (2001) 4 SCC 262; *Vidhyadhar v. Manikrao and Another* [1999] 1 SCR 1168 : (1999) 3 SCC 573; *Rajesh Kumar v. Anand Kumar and Others* [2024] 5 SCR 612 : (2024) 13 SCC 80; *Janki Vashdeo Bhojwani*

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and Another v. Indusind Bank Ltd. and Other [2004] Supp. 6 SCR 681 : (2005) 2 SCC 217 – referred to.

List of Acts

Transfer to Property Act, 1882.

List of Keywords

Second Appeal; Decree of the specific performance; Relief of specific performance; Agreement to sell; Continuous readiness and willingness to perform his part of the contract; Refund of sale consideration; Execution of sale deed; Substantial question of law; Extension of time; Payment of cash money; Presumption; Adverse presumption; Rebuttal presumption; Doctrine of *lis pendens*.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 109 of 2010

From the Judgment and Order dated 23.01.2009 of the High Court of Punjab & Haryana at Chandigarh in RSA No. 3880 of 2003.

Appearances for Parties

Advs. for the Appellant(s):

K. Parameshwar, Sr. Adv., Ms. Nina Nariman, Manish Gandhi, Dhiraj Abraham Philip, Febin Mathew Varghese, Prasad Hegde, Veda Singh, Ms. Lija Merin John, N. Sai Kaushal, Soyarchon Khangrah.

Advs. for the Respondent(s):

Pawanjit Singh Bindra, Sr. Adv., Sriharsh Nahush Bundela, Ketan Madan, Gurmehar Sistani, Naveen Kumar Yadav, Utkarsh Singh.

Judgment / Order of the Supreme Court**Judgment**

Pankaj Mithal, J.

1. This is an appeal arising from a suit for specific performance of an agreement to sell.
2. The said suit for specific performance was dismissed with the alternative relief of refund of the admitted amount paid in advance

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with interest. The decree passed by the court of first instance was reversed in first appeal which judgment and order has been upheld by the High Court in Second Appeal.

3. One Anil Kishore Seth (since deceased) now represented by his heirs and legal representatives¹ entered into an Agreement dated 18.07.1988 with Russi Fisheries (P) Ltd.² through its Managing Director Smt. Surjit Kavaljit Singh³ to purchase agricultural land admeasuring 79 Kanals 15 Marlas for a total sale consideration of Rs. 15,41,000/-.
4. The aforesaid agreement to sell was executed by defendant No.1 through its Managing Director, defendant No.2 and was attested *inter alia* by her son Sanjit Kumar Singh⁴. The aforesaid agreement is an unregistered agreement but as the same was not denied, it was marked as an Exhibit.
5. Under the agreement, time was the essence of the contract and the sale deed was to be executed by 15.12.1988. The time for execution of the sale deed was twice extended and the last extended time was up to 30.06.1989.
6. It is alleged that on the last date of the extended time i.e. 30.06.1989, the plaintiff attended the office of the Sub-Registrar with the balance sale consideration to get the sale deed executed but no one appeared on behalf of the defendants to execute the sale deed. Accordingly, after service of notice, the plaintiff instituted Civil Suit No. 985/1989 for specific performance of the agreement to sell dated 18.07.1988 contending *inter alia* that under the agreement the total sale consideration agreed was Rs. 15,41,000/- out of which Rs. 75,000/- was paid by cheque as earnest money; 2,00,000/- by cheque on 11.11.1988 to the defendant Nos. 2 and 3; thereafter, a sum of Rs. 2,00,000/- was paid on 01.12.1988 in cash to the defendant No. 3 and again a sum of Rs. 3,00,000/- on 20.12.1988 to the defendant No. 3 when the time for execution of sale deed was first extended to 31.01.1989. In this way, the plaintiff allegedly paid Rs. 2,75,000/- by cheque and Rs. 5,00,000/- in cash, totaling Rs. 7,75,000/-, and

1 Hereinafter referred to as the 'plaintiff(s)'

2 Hereinafter referred to as 'defendant No. 1'

3 Hereinafter referred to as 'defendant No. 2'

4 Hereinafter referred to as 'defendant No. 3'

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the balance was payable at the time of execution of the sale deed. He contended that he was always ready and willing to get the sale deed executed and to perform his part of the agreement.

7. Defendant Nos.1, 2 and 3 all filed appearance but the suit was contested by Defendant Nos. 1 & 2 only by filing a joint written statement. They admitted the agreement to sell and the receipt of Rs. 2,75,000/- through cheque as part of the sale consideration but denied receiving the cash payment and that the plaintiffs were never ready and willing to fulfill their part of the agreement. They further stated that Defendant No. 3 was not authorized to receive any payment on behalf of the defendant No. 1 as he was merely an attesting witness to the agreement.
8. The court of first instance dismissed the suit for specific performance on 10.12.1999 by holding that the plaintiff failed to prove his continuous readiness and willingness to perform his part of the contract, but decreed it for the refund of sale consideration of Rs. 2,75,000/-, admitted to have been paid in cheques with interest @ 12% per annum.
9. Aggrieved by the aforesaid judgment and order, the heirs of the plaintiff preferred an appeal which was allowed on 23.04.2003 holding that the plaintiff had paid Rs. 7,75,000/- and since he attended the office of the Sub-Registrar on 30.06.1989, he was ready and willing to perform his part of the agreement and as such is entitled to a decree of specific performance.
10. On Second Appeal being preferred on behalf of the defendants, the judgment passed by the first appellate court was upheld. Thus, the decree of the specific performance as passed in first appeal was maintained.
11. The decree of specific performance passed by the first appellate court and as upheld by the High Court in Second Appeal was challenged by the defendants by filing a Special Leave Petition on 20.08.2009 before this Court which was duly entertained by granting leave on 08.01.2010 with an interim order, as prayed for. Therefore, this appeal is before us.
12. Despite the fact that the leave was granted in the SLP and an interim order was also passed, the heirs of plaintiff through the process of the Court on the same very day i.e., 08.01.2010 got the

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sale deed executed in their favour on the strength of the decree of specific performance passed by the first appellate court as affirmed in second appeal.

13. It is also pertinent to mention that the defendants sold 60 percent of the suit land on 12.02.2009 i.e., even before the SLP was filed but during the pendency of the litigation. The remaining 40 percent of the land was sold by them during the pendency of this appeal on 27.02.2025. Therefore, though on the one hand there is a sale deed in favour of the plaintiffs of the suit land, the same also stands transferred to third parties by the defendants during the pendency of the litigation.
14. In the background of the above transfers of the suit land made by the parties, one of the points before this Court would be as to the effect and impact of the above transfers on the outcome of the suit itself.
15. We have heard Shri K. Parameshwar, learned senior counsel for the defendants and Shri Pawanjit Singh Bindra, learned senior counsel for the substituted plaintiffs.
16. Shri K. Parameshwar, learned senior counsel appearing for the defendants, at the very outset, tenders unconditional apology for not disclosing the fact of execution of the sale deeds dated 12.02.2009 and 27.02.2025, transferring the said land to third parties and submits that such an omission in the pleadings had occurred only on account of improper advice and the fact that the sale, if any, made would be subject to the doctrine of *lis pendens*. There was no oblique motive or any deliberate concealment on the part of the defendants. Further, the sale deeds so executed are not *void ab initio* but are subject to the decision of this appeal. In this connection, he relied upon.
17. It is worth noting that the aforesaid transfers have been made during the pendency of the litigation and therefore, the same would be governed by the principle of *lis pendens* as enshrined under Section 52 of the TP Act and the said transfers have to abide by the ultimate decree to be passed in this appeal. In this connection, reliance has been placed upon ***Thomson Press (India) Ltd. vs Nanak Builders & Investors (P) Ltd***⁵, wherein the Division Bench held that transfer *pendente lite* is neither illegal nor *void ab initio* but

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remains subservient to the rights of the parties eventually determined by court in the pending litigation. In view of the above, whatever transfers have been made pending the litigation or this appeal would follow the decision passed in this appeal. Therefore, in the facts, we ignore the omission and proceed on the merits.

18. On merits, Shri K. Parameshwar submits that the grant of relief of specific performance of an agreement to sell is an equitable and a discretionary relief. The agreement to sell is dated 18.07.1988 and the first appellate court had decreed the suit on 23.04.2003. In between, there was immense increase of price of the land and as such it became unequitable with the passage of time to grant the relief of specific performance of the agreement. In view of the above, he submits it is not justified to uphold the decree after such a long distance of time from the date of the agreement. It would be highly unequitable to the defendants.
19. He next submitted that the plaintiff had not entered into the witness box to prove the plaint allegations despite the fact that he was alive until 13.05.1996 and had the opportunity before the court of first instance to appear and testify. In the absence of any proof of pleadings contained in the plaint, the suit could not have been decreed on the basis of the testimony of other witnesses.
20. He further submitted that the plaintiff had only paid a sum of Rs.2,75,000/- through cheques and thereafter, there was no payment in favour of the defendant no.1-company. The cash payment of Rs.2,00,000/- plus Rs.3,00,000/- totaling Rs.5,00,000/- alleged to have been paid to the defendant no.3 would not enure to the benefit of defendant nos.1 i.e., the Company inasmuch as defendant no.3 who allegedly accepted the cash payment was never examined as a witness and also had no authority to receive the same on behalf of the company.
21. Shri K. Parameshwar further submitted that the plaintiff was never ready and willing to perform his part of the agreement inasmuch as under the agreement dated 18.07.1988, time was the essence of the contract and the sale deed was to be executed on or before 15.12.1988. Further, the defendants have not permitted any extension of time and even if the last extended period is treated to be up to 30.06.1989, the plaintiff had not given any notice requiring the defendants to appear before the office of Sub-Registrar for the

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execution of the sale deed. The defendants categorically denied receiving the notices dated 13.06.1989 and 22.06.1989 alleged to have been issued by the plaintiff in this connection.

22. In addition to the above, he submitted that there is no evidence to prove that the plaintiff attended the office of the sub-Registrar on 30.06.1989. The testimony of PW-4 in this connection, is not admissible as there is no document or pleading to verify PW-4's involvement. Further, PW-1, the clerk of the office of the Sub-Registrar had not and could not have proved the signatures of the Sub-Registrar as he was not in the office of Sub-Registrar in 1989 and had no personal knowledge of the events. Therefore, there was no continuous readiness and willingness on part of the plaintiff to carry out his obligation under the agreement.
23. Lastly, Shri K. Parameshwar submitted that the suit for specific performance as filed by the plaintiff was dismissed by the court of first instance which decree was reversed by the first appellate court. As such, there were two contrary judgments recording conflicting findings on the facts as regards to the payment of part of the sale consideration as well as on readiness and willingness of the plaintiff. This being the position, the High Court was not justified in dismissing the second appeal only on the ground that it raises no substantial question of law by simply stating that the findings recorded by the First Appellate Court are correct in view of the testimony of PW-1 and PW-4 but without even considering the statements of the said witnesses which do not actually prove what has been held by the first appellate court.
24. Shri Bindra, learned senior counsel on behalf of the plaintiff has strongly opposed all the arguments advanced on behalf of the defendants aforesaid. He contends that the agreement to sell is an admitted document which bears the signatures of both the parties. The cash payment receipts are duly signed by the defendant no.3 and stood proved by the handwriting expert. Moreover, the receipts clearly states that the cash payment is being received on behalf of the defendant no.1 - company. This sufficiently proves the cash transactions.
25. Secondly, he submits that even on the letters of extension of time, there are signatures of the defendant no.2 – the Managing Director of the Company which have not been denied by her rather accepted in her cross-examination and further identified and proved by the expert.

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26. Shri Bindra further submits that the plaintiff had given due notice not one but two, dated 13.06.1989 and 22.06.1989 calling upon the defendants to attend the office of Sub-Registrar for the execution of the sale deed. The defendants were actually aware of the last date fixed for the execution of the sale deed and as such they were obliged to attend the office of the Sub-Registrar which they failed to do. The plaintiff has proved his attendance on the said date before the Sub-registrar by moving an application which was duly accepted, signed and stamped by the Sub-Registrar. There is no contrary evidence to belie the said document.
27. Lastly, he submits that non-appearance of the plaintiff in the witness box is not fatal to the suit as his Manager, PW-4 has appeared as a witness and has proved the entire transactions as he was working with him since before the execution of the agreement.
28. In the end, he sums up by saying that the findings of fact recorded by the First Appellate Court are not perverse and are final. Therefore, there was no occasion for the Second Appellate Court to re-appraise the evidence to examine the correctness of the same. He further contends that once a sale deed dated 08.01.2010 had already been executed pursuant to the decree of the First Appellate Court which has been upheld in second appeal, there is no equity in favour of the defendants to get the said sale deed reversed or set aside, rather in view of the said sale deed, the sale deeds executed by the defendants are void and *non est*.
29. In the instant case, though an issue was raised before the Court of First Instance as to the valid existence of the agreement to sell dated 18.07.1988, the said issue upon consideration of the evidence adduced by the parties was decided in favour of the plaintiffs but the suit was dismissed for the relief of specific performance. Against the said finding, the defendants have not filed any cross-objections in the appeal preferred by the plaintiff. The said finding was accepted even by the First Appellate Court and the suit for specific performance was decreed. The defendants preferred second appeal but never assailed the finding with regard to existence of the agreement. No argument in this regard was raised, thus, conceding that there exists a valid agreement to sell. In this view of the matter, the existence of the valid agreement to sell dated 18.07.1988 is no longer in dispute. Since, the said agreement is acceptable to both the parties and

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has been marked as an Exhibit, the question as to whether it was unenforceable in law for want of registration loses all significance and need not be gone into by us.

30. No doubt, the relief of specific performance was not granted by the Court of First Instance and only the alternative relief to refund the cheque amount of Rs.2,75,000/- paid in advance was granted, nonetheless, the findings recorded by the First Court were reversed by the Court of First Appeal and categorical findings were recorded that the plaintiffs have proved the extension of time for the execution of the sale deed, the cash payment of Rs.5,00,000/- and that the plaintiff was always ready and willing to get the sale deed executed within time. These findings are strictly findings of facts and are not shown to be perverse in any manner. They have not been returned on the basis of any inadmissible evidence. Therefore, in such a situation it was not open for the Second Appellate Court to go into the correctness of those findings by reappreciating the evidence adduced by the parties.
31. It is settled in law that the findings of fact howsoever erroneous, cannot be reopened and disturbed in second appeal which is required to be adjudicated only upon the substantial question of law, if any, arising therein. Thus, the argument that the High Court in second appeal ought to have examined the evidence to ensure the correctness of the findings of the First Appellate Court has no legs to stand and fails.
32. Long back in 1981, three judges of this Court in the case of **Bholaram vs. Ameerchand**⁶ had ruled that even if findings of facts by courts below are wrong or grossly inexcusable that by itself would not entitle the High Court to interfere under Section 100 CPC in the absence of clear error of law. A similar view was reiterated in **Madhavan Nair vs. Bhaskar Pillai (Dead) by Lrs.**⁷, wherein it has been laid down that even if the First Appellate Court commits an error in recording a finding of fact, that itself will not be a ground for the High Court to upset the same.
33. In **Kashibai w/o Lachiram and Another vs. Parwatibai w/o Lachiram and others**⁸, a similar proposition of law was laid down by

6 (1981) 2 SCC 414

7 (2005) 10 SCC 553

8 (1995) 6 SCC 213

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this Court and it was held that the High Court cannot reappreciate the evidence and interfere with the findings of facts unless a substantial question of law or a question of law duly formulated is to be decided. The second appeal does not lie on the ground of erroneous findings of facts based on appreciation of the relevant evidence.

34. Similar is the situation in the case at hand. The High Court has not found any substantial question of law or a question of law worth consideration in the second appeal and, therefore, there was no occasion for it to have reappreciated the evidence so as to come to a different conclusion.
35. Again, in ***Kulwant Kaur and Others vs. Gurdial Singh Mann (Dead) by Lrs and Others***⁹, it was emphasized that the fact remains that in a second appeal, a finding of fact, even if erroneous, will not be disturbed unless it is found that it stands vitiated for want of perversity. No such case for interference has been made out in the present case.
36. Even if we examine the evidence on record for the satisfaction of the defendants, we find that the parties have mutually agreed for the grant of extension of time to execute the sale deed despite time being the essence of the agreement. The documents showing extension of time, two of which bear the signatures of not only the defendant no.3 but also that of defendant no.2 – the Managing Director of the Company – defendant no.1. Significantly, defendant no.2, while appearing as DW-1, has admitted her signatures on the agreement as well as on other relevant documents, and has also acknowledged that the last date of execution was extended till 30.06.1989. No concrete or reliable evidence has been adduced to prove that the extension of time was granted without taking her consent. Further, the handwriting expert also corroborated the genuineness of the disputed signatures. Therefore, the finding of the First Appellate Court on the above score does not suffer from any material illegality.
37. Secondly, the cash payment was made to the defendant no.3 who is none other than the son of defendant no.2 - the Managing Director of the Company – defendant no.1. In the receipts issued by him, he has categorically stated that he is accepting payment on behalf of the

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company in the capacity of being its Director and was authorized to receive the same. The narration in the receipts that he is receiving payment on behalf of the Company-defendant no.1 as the Director, has not been denied by him as he never stepped into the witness box. No evidence was brought on record to establish that he was not the Director of the Company-defendant no.1. The submission that the said receipts were in relation to some other transactions does not stand established by any evidence adduced by the defendants. Therefore, the finding of the First Appellate Court in this connection is justified.

38. Lastly, the period of execution of the sale deed as last extended was expiring on 30.06.1989. Therefore, the defendants were under an obligation to show that they were also ready and willing to execute the sale deed on or before the said date. However, there is no positive evidence from their side to prove discharge of their obligation. On the other hand, the plaintiffs have issued notices dated 13.06.1989 and 22.06.1989 to the defendants to attend the office of the Sub-Registrar on 30.06.1989 for the execution of the sale deed as that was the last day for executing the same. No doubt, the said notices were sent to the defendants under certificate of posting, which proves that the notices were dispatched. Although, that may not be conclusive evidence regarding their service, simply denying receiving the notices would not mean that the notices were not served, as it is not the allegation of the defendants that they were not sent to the proper address. The defendants have not adduced any evidence to prove that they were not actually served with the said notices. The allegation in this regard by them is only a bald allegation.
39. The plaintiff after giving the aforesaid notice had attended the office of the of the Sub-Registrar on 30.06.1989 which stand proved by his application submitted to the Sub-Registrar on the said very date. The application clearly states that he has come prepared and ready with the balance sale consideration to get the sale deed executed. The receipt of the said application in the office of Sub-Registrar with the stamp of the office of the Sub-Registrar is duly proved by the evidence of the PW-1. The mere fact that he has not proved the signatures of the Sub-Registrar is not sufficient to belie the above document when the submission of the application and the stamp of the Sub-Registrar stand proved. Moreover, there is no denial

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of the fact or evidence by the defendants that the contents of the application are incorrect and that the plaintiff had not attended the office with the necessary finances so as to get the sale deed executed. The submission that no proof of possessing such finance was produced is not material when the allegation in the application that the plaintiff has come prepared with the necessary funds is not sufficiently denied.

40. In view of the aforesaid facts and circumstances, the findings as returned by the First Appellate Court on readiness and willingness, extension of time and payment of cash money are not perverse and illegal, which may warrant any interference.
41. Now, the crucial issue which remains is about the effect of non-appearance of the plaintiff in the witness box to prove his plaint case. It is an admitted position that the plaintiff himself has not entered the witness box and has not offered himself to be cross-examined. In such a situation, a presumption can always be drawn against him that the case, as pleaded by him, is not correct. In this connection, a reference can be made to the decision of this Court in the case of ***Vidhyadhar vs Manikrao and Another***¹⁰, which lays down that where a party does not appear in the witness box, a presumption would arise that the case set up by him is not correct. This Court in laying down as aforesaid has referred to various decisions of the High Court. The decisions of the High Court are also to the effect that when a party fails to appear as a witness, it gives rise to an adverse inference and nothing more.
42. The adverse presumption, if any, drawn for non-appearing in the witness box by the plaintiff, is a rebuttal presumption and if the aforesaid presumption is successfully rebutted by the other cogent evidence on record, the said presumption would not be material and applicable. In the present case, PW-4, the Manager of the plaintiff, had appeared as a witness. He has stated that he had been working with the plaintiff since 1988 and had the knowledge of all the transactions in relation to the agreement to sell dated 18.07.1988. His testimony substantially corroborates the case as set up by the plaintiff in the plaint, including execution of agreement, payment of consideration and extension of time. Therefore, in the light of the

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evidence of the PW-4, the plaintiff allegations stand corroborated. The adverse inference drawn on account of non-appearance of the plaintiff stands rebutted by his evidence and other evidence on record. In these circumstances, the non-appearance of the plaintiff in the witness box would not be fatal in this case.

43. In the recent case of **Rajesh Kumar vs Anand Kumar and Others**¹¹ in which one of us (P. Mithal, J) was a party, relying upon **Janki Vashdeo Bhojwani and Another vs Indusind Bank Ltd. and Other**¹², it was held that a power of attorney holder may depose on behalf of the principal in respect of such acts which are within his personal knowledge but he cannot certainly depose for the principal, for the acts done by the principal and not known personally by him. Applying the same analogy, the Manager, PW-4 herein had deposed about the entire transaction based upon his personal knowledge as he was attached to the plaintiff as the Manager. In such circumstances, his evidence cannot be discarded.
44. This takes us to the last limb of the argument of the parties with regard to the equitable and discretionary jurisdiction of the court to grant the relief of specific performance. No doubt, the agreement to sell was executed on 18.07.1988 and the decree of specific performance was passed by the First Appellate Court on 23.04.2003, after a gap of 15 years, no evidence whatsoever was brought on record to establish that within this period the price of property in the area had escalated, making it inequitable to grant the decree of specific performance.
45. The sale deeds executed by the defendants during the pendency of the litigation are certainly hit by doctrine of *lis pendens* and are *non est*. At the same time, the plaintiffs have got the sale deed of the suit land executed in their favour by following the due process of law on the basis of the decree of specific performance granted in their favour by the First Appellate Court. In such circumstances when the decree has already been executed and substantive rights have accrued in favour of the heirs of the plaintiff, it would be inequitable to dislodge them from the benefit of the sale in exercise of discretionary jurisdiction.

11 (2024) 13 SCC 80

12 (2005) 2 SCC 217

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46. Accordingly, in the facts and circumstances of the case, we find no merit in this appeal and the same is dismissed. The sale deeds executed by the defendants on 12.02.2009 and 27.02.2025 are held to be *non est* and the decree as passed by the First Appellate Court is maintained.

Result of the case: Appeal dismissed.

[†]Headnotes prepared by: Nidhi Jain

Maurice W. Innis
v.
Lily Kazrooni @ Lily Arif Shaikh

(Civil Appeal No. 4321 of 2026)

09 April 2026

[Pankaj Mithal* and Prasanna. B. Varale, JJ.]

Issue for Consideration

Issue pertains to the execution of a compromise decree passed in a civil suit; and whether the executing court can go beyond the decree and has to execute the decree as it stands without making any modifications therein.

Headnotes[†]

Code of Civil Procedure, 1908 – s.47 – Questions to be determined by the Court executing decree – Execution of a compromise decree passed in a suit – Defendant-respondent became decree holder and the plaintiff-appellant became judgment debtor – Executing Court in the execution petition modified the compromise decree by varying the area allotted to the parties under the compromise decree and allotted them some different portions – Review petition by the defendant-respondent – Petition allowed and the modifications made by the Executing Court in the original compromise decree further modified – Thereagainst writ petition by the plaintiff-appellant challenging the orders passed by the Executing Court, the order passed on review petition as well as the order directing the delivery of possession – Dismissed by the High Court – Correctness:

Held: Executing Court has to strictly conform to the decree under execution and if the decree provides for reciprocal obligations, it must ensure compliance of those conditions by both the parties in pith and substance, unless the decree is a nullity which is not the case herein – Executing Court has no jurisdiction to vary the terms of the decree – It is only where the dispute as to the identity of the land which has to be given as part of the obligation to the

* Author

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other side arises, the court can decide the same – In the instant case, no dispute of identity of the land falling into the shares of both the parties – Compromise decree clearly describes the portions of land falling into the shares of the parties – Thus, the Executing Court has to ensure that both the parties fulfil their obligations and exchange the land as per the decree and to see that the sale deed is executed as directed – Merely for the reasons that exchange of some portions of the land may not be practicable for the reason that constructions on it are not as per the sanctioned map or that part of it has been sold off, immaterial – Since the Executing Court in passing the orders has gone beyond its jurisdiction and instead of directing for the execution of the decree as it stands, altered its terms by changing certain portions of the land allotted to the parties, the same are unsustainable in law – Both the orders and the consequential order set aside – Execution Court to execute the decree in its terms and tenor. [Paras 24, 27, 29-31]

Case Law Cited

Jai Narain Ram Lundia v. Kedar Nath Khetan and Ors. [1956] 1 SCR 62 : (1956) 1 SCC 75; *Vasudev Dhanjibhai Modi v. Rajabhai Abdul Rehman and Ors.* [1971] 1 SCR 66 : (1970) 1 SCC 670; *Sunder Dass v. Ram Prakash* [1977] 3 SCR 60 : (1977) 2 SCC 662 – referred to.

List of Acts

Code of Civil Procedure, 1908.

List of Keywords

Execution of compromise decree passed in civil suit; Executing court, if can go beyond the decree; Compromise decree; Decree holder; Judgment debtor; Execution petition; Modifications made by the Executing Court.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4321 of 2026

From the Judgment and Order dated 21.04.2022 of the High Court of Judicature at Bombay in WP No. 247 of 2022.

Supreme Court Reports**Appearances for Parties**

Advs. for the Appellant(s):

Shoeb Alam, Sr. Adv., Anand Dilip Landge, Mrs. Sangeeta Nenwani, Ms. Revati Pravin Kharde, Shreenivas Patil, Rahul Prakash Pathak.

Advs. for the Respondent(s):

Gopal Jha, Sanjeev Baliyan, Tilak Vij, Shreyash Bhardwaj, Nimish Arjaria, Sawan Datta, Ms. Shireesha Sharma.

Judgment / Order of the Supreme Court**Judgment**

Pankaj Mithal, J.

1. Heard learned counsel for the parties.
2. Leave granted.
3. The dispute in this appeal is in connection with the execution of a compromise decree dated 14.07.2017 passed in a Civil Suit No. 68 of 2012.
4. The suit land measures 51R (54895 sq. feet). It is a non-agricultural land of plot No.396(A) situate in village Panchgani, Taluka Mahabaleshwar, Satara in the State of Maharashtra.
5. The plaintiff-appellant had purchased 97.12R area of land of plot no. 396(A) in village Panchgani as referred to above. The plaintiff-appellant initially sold 57R of the aforesaid land purchased by him to the defendant-respondent. Thus, retaining only 40.12R with himself. The purchaser i.e., the defendant-respondent sold back 6R of the said land to the plaintiff-appellant. Thus, the plaintiff-appellant became the owner of a total of 46.12R of the aforesaid plot of land. The defendant-respondent after selling 6R to the plaintiff-appellant, remained with only 51R of the land out of the 57R initially purchased by him. The dispute is regarding this 51R of land retained by the defendant-respondent.
6. The defendant-respondent entered into an agreement to sell the aforesaid 51R of land to the plaintiff-appellant *vide* registered agreement dated 17.04.2009. The plaintiff-appellant filed suit no.68 of 2012 against the defendant-respondent praying for specific

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performance of the agreement to sell dated 17.04.2009. In the said suit, parties entered into a compromise on 08.07.2017. The said compromise *inter alia* provided that 10R of the said land would remain a common land in common ownership of both the partners. The remaining 41R of land would be equally divided between them to the extent of 20.5R each. The area of 20.5R to be retained by each one of them would be ascertained by the surveyor and the value of the bungalow and the plinth level construction existing on part of the said land would be determined by the Government valuer. Accordingly, a decree would be drawn.

7. It appears that on the basis of the aforesaid compromise, the suit was decreed after completing the formalities of the survey and valuation. Finally, a decree was drawn on 14.07.2017 incorporating the respective areas falling into the share of each party.
8. The aforesaid compromise decree states that the plaintiff-appellant who had purchased 97.12R of plot No.396(A) of village *Panchgani* had a sanctioned map dated 09.04.2010 which is part and parcel of the compromise and that both parties agree to the said map. The disputed land is only 51R which is situate on the western side of plot No.396(A). The area of 10R is common land for exercise of easementary right as common road for access to their properties.
9. The aforesaid compromise decree in unequivocal terms provided that the area of residential bungalow and the area of construction up to the plinth level towards the southern side of the bungalow plus the area on the western side of plot No.396(A) including two bungalows shown in the sanctioned map, having a total area of 20.5R goes to the share of the plaintiff-appellant. Thus, the area of 20.5R falling into the share of plaintiff-appellant was clearly described.
10. Similarly, the area of 20.5R falling into the share of defendant-respondent was described as situate on the western side of the bungalow of the plaintiff-appellant and includes structures up to the plinth level extending up to the boundary of the two bungalows on eastern side.
11. The decree also provided that the defendant-respondent shall execute the sale deed of the property falling into the share of the plaintiff-appellant on consideration of Rs.10 lakhs which is already paid.

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12. The said decree was put into execution by both the parties separately. The plaintiff-appellant filed Execution Petition No.38 of 2020, which allegedly remains pending as on date. The defendant-respondent filed a separate Execution Petition No.21 of 2018 for the execution of the aforesaid compromise decree dated 14.07.2017 claiming himself to be the decree holder.
13. Accordingly, the defendant-respondent became the decree holder and the plaintiff-appellant became the judgment debtor.
14. The Executing Court in Execution Petition No.21 of 2018 of the defendant-respondent passed an order on 19.07.2021 and issued certain directions, modifying the area of land allotted to the parties in the final compromise decree, to the Court Commissioner to execute the decree. The aforesaid modifications were made in the area allotted to the parties *inter alia* for the reason that the permanent constructions made to the extreme western side of the plot were not as per the sanctioned plan and, therefore, it was not practicable to allot that area to the defendant-respondent. It was also not considered to be practicable to allot the portion towards the extreme western side to the defendant-respondent as it was likely to cause inconvenience to her in future and that the area of 10R of the suit plot towards the extreme western side had already been sold by plaintiff-appellant to the third party.
15. In short, the Executing Court varied the area allotted to the parties under the compromise decree and allotted them some different portions, thus in effect modifying the compromise decree.
16. The defendant-respondent was not satisfied and filed a review petition seeking further modification of the above order passed by the Executing Court. The aforesaid review petition was allowed by the order dated 26.08.2021 and the modifications made by the Executing Court in the original compromise decree were further modified.
17. Aggrieved by the aforesaid judgment and order allowing the review petition, plaintiff-appellant filed a writ petition before the High Court challenging the orders passed by the Executing Court dated 19.07.2021, order passed on review petition dated 26.08.2021 as well as the order dated 11.10.2021 directing the delivery of possession. Finally, the writ petition was dismissed on 21.04.2022. Thus, the orders passed by the Executing Court were upheld.

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18. The plaintiff-appellant has thus preferred this appeal.
19. It is in this background that we have heard Shri Shoeb Alam, senior counsel for the plaintiff-appellant and Shri Gopal Jha, counsel for the defendant-respondent.
20. The primary argument of the plaintiff-appellant is that the Executing Court cannot go beyond the decree and has to execute the decree as it stands without making any modifications therein. Therefore, the Executing Court manifestly erred in passing the order dated 19.07.2021 and the order dated 26.08.2021 on review petition.
21. From the side of the defendant-respondent, it is submitted that the Executing Court has rightly interpreted the decree and in view of the peculiar facts and circumstances of the case, respondent rightly allotted portions so that the decree does not become inexecutable. The Executing Court, in the facts and circumstances of the case, had correctly passed the orders dated 19.07.2021 and 26.08.2021.
22. The counsel for the defendant-respondent relied upon a three judges bench decision in the case of **Jai Narain Ram Lundia v. Kedar Nath Khetan and Ors.**¹ to contend that the Executing Court is not powerless to ensure that the parties are given the very thing that the decree directs and if there is any dispute in this regard, it is for the Executing Court to decide it and as such, there was no error on part of the Executing Court in passing the order dated 19.07.2021 or 26.08.2021
23. In order to address the controversy arising in this appeal, it would be profitable to first place Section 47 of Code of Civil Procedure² which provides for the questions to be determined by the Executing Court. The aforesaid Section 47 CPC is reproduced hereinbelow :-

“47. Questions to be determined by the Court executing decree: -

(1) All questions arising between the parties to the suit in which the decree was passed, or their representatives, and relating to the execution, discharge or satisfaction of the decree, shall be determined by the Court executing the decree and not by a separate suit.

¹ (1956) 1 SCC 75

² In short ‘CPC’

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(2) * * * * (omitted)

(3) *Where a question arises as to whether any person is or is not the representative of a party, such question shall, for the purposes of this section, be determined by the Court."*

24. A plain reading of the aforesaid provision makes it clear that the Executing Court is empowered to decide questions relating to execution, discharge or satisfaction of the decree and has no jurisdiction to go beyond the decree sought to be executed. In other words, it has to execute the decree as it is without changing the same. It is settled in law that the jurisdiction of Executing Court is limited to give effect to the decree as passed and not to assume the role of a trial court so as to substitute its own view in place of that expressed under the decree.

25. In ***Vasudev Dhanjibhai Modi v. Rajabhai Abdul Rehman and Ors.***³, it has been held as under :-

"6. A court executing a decree cannot go behind the decree: between the parties or their representatives it must take the decree according to its tenor, cannot entertain any objection that the decree was incorrect in law or on facts. Until it is set aside by an appropriate proceeding in appeal or revision, a decree even if it be erroneous is still binding between the parties."

26. The aforesaid view has been reiterated and fortified by the Supreme Court in ***Sunder Dass v. Ram Prakash***⁴. The relevant portion is reproduced hereinbelow :-

"3. Now, the law is well settled that an executing court cannot go behind the decree nor can it question its legality or correctness. But there is one exception to this general rule and that is that where the decree sought to be executed is a nullity for lack of inherent jurisdiction in the court passing it, its invalidity can be set up in an execution proceeding. Where there is lack of inherent jurisdiction, it goes to the root of the competence of the

3 (1970) 1 SCC 670

4 (1977) 2 SCC 662

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court to try the case and a decree which is a nullity is void and can be declared to be void by any court in which it is presented. Its nullity can be set up whenever and wherever it is sought to be enforced or relied upon and even at the stage of execution or even in collateral proceedings. The executing court can, therefore, entertain an objection that the decree is a nullity and can refuse to execute the decree. By doing so, the executing court would not incur the reproach that it is going behind the decree, because the decree being null and void, there would really be decree at all. Vide Kiran Singh v. Chaman Paswan [AIR 1954 SC 340 and Seth Hiralal Patni v. Sri Kali Nath [AIR 1962 SC 199]. It is, therefore, obvious that in the present case, it was competent to the executing court to examine whether the decree for eviction was a nullity on the ground that the civil court had no inherent jurisdiction to entertain the suit in which the decree for eviction was passed. If the decree for eviction was a nullity, the executing court could declare it to be such and decline to execute it against the respondent.”

27. In view of the above case laws, the Executing Court has to strictly conform to the decree under execution and if the decree provides for reciprocal obligations, it must ensure compliance of those conditions by both the parties in pith and substance, unless the decree is a nullity which is not the case herein.
28. In so far as the case relied upon by the defendant-respondent i.e. **Jai Narain Ram Lundia** (supra), it cuts no ice in her favour. The aforesaid decision simply states that if there are reciprocal obligations under the decree which are interlinked, the court must ensure compliance of reciprocal obligations. It further states that the Executing Court has power to determine that one party gives the very thing to the other party which the decree directs and in case any dispute in this regard arises it can be decided by the Executing Court, otherwise the Executing Court must execute the decree as it stands and cannot go beyond the decree and vary its term.
29. The above decision in clear terms states that the Executing Court has no jurisdiction to vary the terms of the decree. It is only where the dispute as to the identity of the land which has to be given as

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part of the obligation to the other side arises, the court can decide the same.

30. In the instant case, there is no dispute of identity of the land falling into the shares of both the parties. The compromise decree clearly describes the portions of land falling into the shares of the parties. Therefore, the Executing Court has to ensure that both the parties fulfil their obligations and exchange the land as per the decree and to see that the sale deed is executed as directed. Merely for the reasons that exchange of some portions of the land may not be practicable for the reason that constructions on it are not as per the sanctioned map or that part of it has been sold off, are all immaterial. Since the Executing Court in passing the orders dated 19.07.2021 and 26.08.2021 has gone beyond its jurisdiction and instead of directing for the execution of the decree as it stands, has altered its terms by changing certain portions of the land allotted to the parties, the same are unsustainable in law. Accordingly, both the above orders dated 19.07.2021 and 26.08.2021 and the consequential order dated 11.10.2021 are hereby set aside.
31. The appeal is allowed and the Execution Court is directed to execute the decree in its terms and tenor.
32. Pending application(s), if any, stands disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

Mamta Devi
v.
Sanjay Kumar

(Civil Appeal No. 4391 of 2026)

10 April 2026

[Vikram Nath* and Sandeep Mehta, JJ.]

Issue for Consideration

Challenge by the appellant-wife to the decree of divorce granted to the respondent-husband on the ground of cruelty and desertion.

Headnotes[†]

Hindu Marriage Act, 1956 – ss.13(1) (ia) and 13(1) (ib) – Divorce granted by Family Court holding that the conduct of the appellant-wife amounted to cruelty and that the respondent-husband had also succeeded in establishing desertion – Appeal preferred by the appellant was dismissed – High Court affirmed the findings recorded by the Family Court as also the decree of divorce – Interference with, if warranted:

Held: No – Marriage between the parties was solemnized in the year 2002 and they have admittedly been living separately since 2018 – Matrimonial bond has broken down beyond repair and there is no possibility of resuming cohabitation – On facts, the conduct attributed to the appellant amounted to cruelty and she had withdrawn from the society of the respondent without reasonable cause – Findings recorded by Courts below are findings of fact based on appreciation of evidence – No perversity has been demonstrated so as to warrant any interference – However, respondent to pay a sum of Rs.10,000/- per month to the appellant towards maintenance, as opposed to a lump sum of Rs.6,00,000/- as directed by the Family Court at the time of granting divorce. [Paras 7-9, 11]

List of Acts

Hindu Marriage Act, 1955.

* Author

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List of Keywords

Section 13(1)(ia) of the Hindu Marriage Act, 1955; Section 13(1)(ib) of the Hindu Marriage Act, 1955; Divorce; Cruelty; Desertion; Matrimonial bond broken down beyond repair; No possibility of resuming cohabitation; Prolonged separation; Findings of fact based on appreciation of evidence.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4391 of 2026

From the Judgment and Order dated 4.10.2023 of the High Court of Jharkhand at Ranchi in FA No. 9 of 2023.

Appearances for Parties

Advs. for the Appellant(s):

Gautam Jha, Pankaj Kumar, Sumit Kumar.

Advs. for the Respondent(s):

George Pothan Poothicote, Kanav Khatana, Ms. Ojeswita Singh, Ms. Swati Yadav, Danish Zubair Khan.

Judgment / Order of the Supreme Court

Judgment

Vikram Nath, J.

1. Leave granted.
2. The appellant is aggrieved by the judgment and order of the High Court of Jharkhand dated 04.10.2023 passed in F.A. No. 9/2023 whereby the High Court dismissed the appeal preferred by the appellant-wife¹ and affirmed the judgment passed by the Family Court granting divorce to the respondent-husband.²
3. The relevant facts giving rise to the present appeal are as follows:
 - 3.1. The appellant and respondent got married on 24.02.2002 at Bokaro, Jharkhand in accordance with Hindu rites and customs.

¹ Hereinafter referred to as 'appellant'.

² Hereinafter referred to as 'respondent'.

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Two children, a son and a daughter, were born out of the wedlock in 2003 and 2005 respectively.

- 3.2. After marriage, the parties resided in the matrimonial home along with the parents of the respondents, at Bokaro.
- 3.3. According to the appellant, disputes arose between the parties and she was subjected to cruelty, including harassment on account of dowry demands. She stated that around the year 2007, the parties began residing separately from the joint family along with the children. The appellant further alleged that the respondent got her examined by a psychiatrist with the intention of portraying her as mentally unstable. She also contended that she was ultimately driven out of the matrimonial home by the respondent and his family members.
- 3.4. On the other hand, the respondent alleged that the appellant persistently insisted on living separately from the joint family and that even after the parties shifted to a separate residence, there was no improvement in her conduct. He further alleged that the appellant used abusive language towards his parents on several occasions and was also involved in disputes with the landlord. The respondent asserted that he had been subjected to continuous mental and physical harassment over the years and that the matrimonial relationship between the parties had irretrievably broken down.
- 3.5. Several complaints were filed by the parties against each other.
- 3.6. The respondent filed O.S. (DP) 486/2018 seeking divorce under sections 13(1)(ia) and 13(1)(ib) of the Hindu Marriage Act, 1955.
- 3.7. By order dated 23.11.2022, the Family Court, Bokaro allowed the divorce petition and granted a decree of divorce in favour of the respondent.
- 3.8. Aggrieved thereby, the appellant preferred First Appeal No. 9 of 2023 before the High Court of Jharkhand at Ranchi.
- 3.9. The High Court, by the impugned judgment and order dated 04.10.2023, dismissed the appeal and affirmed the decree of divorce granted by the Family Court.

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- 3.10. Aggrieved by the dismissal of the appeal, the appellant has preferred the present appeal.
4. We have heard learned counsel for the parties and have examined the material placed on record.
 5. The Family Court upon appreciation of oral and documentary evidence led by the parties, recorded a finding that the respondent had established cruelty and desertion within the meaning of Sections 13(1) (ia) and 13(1) (ib) of the Hindu Marriage Act, 1956. The Court noted that the appellant used to quarrel with the respondent on trivial issues, resulting in persistent matrimonial discord. The Court further took note of complaints made regarding the conduct of the appellant towards the respondent as well as the children. It also noted that the matter was examined by the District Welfare Committee, which, upon consideration of the allegations, directed that the children reside with their paternal grandfather. The Family Court also noted that despite the parties living separately, the appellant had neither instituted proceedings for restitution of conjugal rights nor taken steps for custody of the children. On consideration of the aforesaid circumstances, the Family Court concluded that the conduct of the appellant amounted to cruelty and that the respondent had also succeeded in establishing desertion.
 6. The High Court in appeal referred to the aforesaid evidence and affirmed the findings recorded by the Family Court. The Court referred to the undertaking furnished by the appellant pursuant to a complaint dated 03.02.2017 made by her mother-in-law alleging torture and harassment, wherein the appellant had stated that she would maintain cordial relations with her husband and parents-in-law and would not give any cause for complaint in future. The High Court observed that these facts were not denied by the appellant and treated the same as indicative of her conduct. The High Court further relied upon the testimony of the son of the parties, who supported the allegations of cruelty and expressed unwillingness to reside with the appellant. The Court also noticed the appellant's statement that she did not want the children to stay with her. Taking into account the aforesaid circumstances, the High Court concluded that the conduct attributed to the appellant constituted cruelty towards the respondent and that she had withdrawn from his society without reasonable cause, thereby affirming the decree of divorce.

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7. Having gone through the record, we are of the opinion that the findings recorded by Courts below are findings of fact based on appreciation of evidence. No perversity has been demonstrated so as to warrant the interference of this Court.
8. It is relevant to note that the marriage between the parties was solemnized in the year 2002 and the parties have admittedly been living separately since 2018. The prolonged separation indicates that the matrimonial bond has broken down beyond repair and there is no possibility of resuming cohabitation.
9. The High Court has also taken into consideration the material indicating strained relations between the appellant and the children. These circumstances were cumulatively relied upon by the courts below to conclude that the conduct attributed to the appellant amounted to cruelty and that she had withdrawn from the society of the respondent without reasonable cause.
10. The findings so recorded are findings of fact based on appreciation of evidence. In the aforesaid circumstances, we are not inclined to take a view different from that taken by the High Court.
11. However, insofar as the issue of financial support to the appellant is concerned, it has been urged before us that the amount awarded requires reconsideration. Family Court at the time of granting divorce, directed the respondent to pay appellant a lump sum of Rs.6,00,000/- as maintenance. Having regard to the nature of the relief granted and the need to ensure continued financial support to the appellant, and considering the overall facts and circumstances of the case, we deem it appropriate in the interest of complete justice to direct the respondent to pay a sum of Rs.10,000/- per month to the appellant towards maintenance, payable from the date of this order.
12. Accordingly, the appeal is disposed of.
13. Pending application(s), if any, shall be disposed of.

Result of the case: Appeal disposed of.

**Sri M.V. Ramachandrasa Since Deceased
Represented by Legal Heirs**

v.

**M/s Mahendra Watch Company
Represented by its Partners & Ors.**

(Civil Appeal No. 4353 of 2026)

10 April 2026

[Ahsanuddin Amanullah and R. Mahadevan,* JJ.]

Issue for Consideration

Whether the High Court was justified in interfering with the findings of fact recorded by the trial Court while exercising its revisional jurisdiction u/s.46 of the Karnataka Rent Act, 1999; whether the burden of proving unlawful sub-letting lies upon the landlord, and if so, whether such burden was duly discharged in the present case; whether the alleged retirement of the original tenant-partner and continuation of business by Respondent Nos. 2 and 3 constituted a mere reconstitution of partnership or amounts to unlawful sub-letting / assignment u/ss.27(2)(b)(ii) and 27(2)(p) of the Karnataka Rent Act, 1999.

Headnotes[†]

Karnataka Rent Act, 1999 – s.46 – Revisional jurisdiction under – Exercise of – When not sustainable – Respondent No.1-Company, a partnership firm was a tenant under the appellant’s predecessor-landlord (since deceased) – However, Respondent No.1 had unlawfully sublet the premises and parted with possession in favour of third parties (Respondent Nos.2 and 3) who were not parties to the lease agreement, without the consent of the landlord – Eviction petition allowed by trial Court *inter alia* holding that that Respondent Nos.2 and 3 in actual occupation of the premises were strangers to the original tenancy and the tenant had unlawfully parted with possession in their favour – High Court allowed the revision petition filed by respondents – Whether the High Court was justified in interfering with the findings of fact recorded by the trial Court while exercising its revisional jurisdiction u/s.46:

* Author

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Held: No – Findings recorded by the trial Court were pure findings of fact based on proper appreciation of evidence – No perversity, illegality, or jurisdictional error was demonstrated – High Court transgressed the limits of its revisional jurisdiction by reassessing the evidence and substituting its own conclusions – Therefore, impugned interference u/s.46 is unsustainable in law as it effectively converted revisional jurisdiction into appellate jurisdiction – Impugned order set aside – Order of the trial Court directing eviction of the respondents, restored. [Paras 12.8, 12.9]

Karnataka Rent Act, 1999 – Respondent No.1-Company, a partnership firm was a tenant under the appellant's predecessor-landlord (since deceased) through its partner-Respondent No.4 – However, Respondent No.1 unlawfully sublet the premises and parted with possession in favour of third parties (Respondent Nos.2 and 3) who were not parties to the lease agreement, without the consent of the landlord – Landlord filed eviction petition, allowed by trial Court – High Court allowed the revision petition filed by respondents – Whether the burden of proving unlawful sub-letting lies upon the landlord, and if so, whether such burden was duly discharged in the present case:

Held: The lease deed recognized only Respondent No.4 as the tenant – Respondent Nos.2 and 3 were not parties to the lease and therefore, cannot claim any independent tenancy rights – The burden of proving unlawful subletting initially lay upon the landlord, which was duly discharged by establishing exclusive possession of third parties and absence of the original tenant – The burden thereafter shifted to the respondents, who failed to rebut the presumption by adducing cogent evidence – Consequently, unlawful sub-letting stands proved. [Paras 13.6, 13.8]

Karnataka Rent Act, 1999 – ss.27(2)(b)(ii) and 27(2)(p) – Sub-letting through the device of partnership – Respondents' case rested on an alleged reconstitution of the partnership firm – Whether the alleged retirement of the original tenant-partner and continuation of business by Respondent Nos.2 and 3 constituted a mere reconstitution of partnership or amounts to unlawful sub-letting / assignment u/ss.27(2)(b)(ii) and 27(2)(p):

Held: Sub-letting requires parting with legal possession, *i.e.*, transfer of the right to exclusive possession – Mere induction or retirement

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of partners does not amount to sub-letting so long as the tenant retains control and legal possession – Courts are entitled to lift the veil of partnership where it is used as a device to conceal an impermissible transfer – Once exclusive possession of a third party is established, the burden shifts to the tenant to prove that the arrangement is *bona fide* – Thus, the determinative test is whether the original tenant continues to retain legal possession and control over the premises – Original tenant ceased to have any role in the business or the premises and Respondent Nos. 2 and 3 are in exclusive possession and control – Once such exclusive possession by third parties is established, the burden shifts to the respondents to prove that the arrangement is a genuine partnership and not a device to conceal sub-letting – Respondents failed to discharge this burden by producing any cogent or reliable evidence – They failed to produce the original partnership deed, any duly proved retirement deed, or any document evidencing continuity of the original tenant firm – No material to show that Respondent Nos.2 and 3 were partners in the original tenant firm – Their induction into possession is, therefore not traceable to the original tenancy – Original tenant divested himself of legal possession, and Respondent Nos.2 and 3, who are strangers to the tenancy, are in exclusive occupation of the premises without the consent of the landlord – The so-called reconstitution is nothing but a cloak to conceal an unlawful transfer of possession, warranting lifting of the veil – The arrangement cannot be regarded as a *bona fide* reconstitution of partnership and amounts to unlawful sub-letting / assignment within the meaning of s.27(2)(b)(ii) – Further, the continued occupation by Respondent Nos.2 and 3 without any lawful right, attracts s.27(2)(p) also – Therefore, respondents are liable to eviction – Impugned order set aside – Order of the trial Court directing eviction of the respondents, restored. [Paras 14.3, 14.6, 14.7, 14.9, 14.10, 15]

Tenancy – Eviction proceedings on ground of sub-letting – Burden of proof:

Held: Burden of proof lies upon the party asserting a fact – In eviction proceedings founded on the ground of sub-letting, the initial onus rests upon the landlord to establish that the tenant has parted with possession of the tenanted premises in favour of a third party without authority – The landlord discharges the initial burden by establishing (i) exclusive possession of a third party,

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and (ii) absence of the original tenant from possession – Upon such proof, a presumption of sub-letting arises, and the onus shifts to the tenant to demonstrate that such possession is lawful and not in the nature of sub-tenancy – It is established that the original tenant was no longer in possession, and Respondent Nos.2 and 3 were in exclusive occupation of the premises – Thus, the landlord successfully proved exclusive possession of third parties thereby discharging the initial burden and giving rise to a presumption of unlawful sub-letting – The burden, therefore, shifted upon the respondents to rebut the said presumption – However, the respondents failed to discharge this burden – No cogent or reliable evidence was adduced to establish the existence of a valid partnership, reconstitution deed, lawful induction, or consent of the landlord to such arrangement – In the absence of such evidence, the possession of Respondent Nos.2 and 3 remains unexplained and unlawful. [Paras 13.1, 13.5-13.7]

Karnataka Rent Act, 1999 – s.46 – Revisional jurisdiction under – Scope:

Held: Is narrowly circumscribed – It empowers the High Court to examine the legality, correctness or propriety of an order however, it does not confer appellate powers permitting re-appreciation of evidence or substitution of factual findings. [Paras 12.1-12.3]

Karnataka Rent Act, 1999 – ss.46, 26 – High Court allowed the revision petition preferred by Respondents and set aside the eviction order – Respondents had *inter alia* placed reliance upon rent receipts:

Held: High Court while exercising jurisdiction u/s.46, undertook a fresh analysis of the evidence, including depositions of PW-1 and RW-1, partnership documents, and rent receipts, and arrived at independent factual conclusions – Such an exercise clearly amounts to reappreciation of evidence, which is impermissible in revisional jurisdiction – The statutory scheme provides for an appeal u/s.26 where the legislature has consciously created a separate appellate remedy, the revisional jurisdiction cannot be expanded so as to substitute or bypass the appellate mechanism – Furthermore, mere fact that rent receipts may continue in the name of the original tenant does not advance the respondents' case, as it is legal possession and control and not the formality of rent payment, which is determinative. [Paras 12.6, 12.7, 14.8]

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Case Law Cited

Hindustan Petroleum Corporation Limited v. Dilbahar Singh [2014] 14 SCR 1379 : (2014) 9 SCC 78 – followed.

S.R. Radhakrishnan v. Neelamegam [2003] Supp. 1 SCR 987 : (2003) 10 SCC 705; *Associated Hotels of India Ltd v. S.B. Sardar Ranjit Singh* [1968] SCR 548 : AIR 1968 SC 933; *Jagan Nath (D) through LRs v. Chander Bhan and Another* [1988] Supp. 1 SCR 325 : (1988) 3 SCC 57; *Mahendra Saree Emporium (II) v. G.V. Srinivasa Murthy* [2004] Supp. 3 SCR 931 : (2005) 1 SCC 481; *Rukmini Amma Saradamma v. Kallyani Sulochana and Others* [1992] Supp. 3 SCR 579 : (1993) 1 SCC 499; *Thankamony Amma and Others v. Omana Amma N. and Others* [2019] 10 SCR 125 : (2020) 19 SCC 254; *Joginder Singh Sodhi v. Amar Kaur* [2004] Supp. 5 SCR 303 : (2005) 1 SCC 31; *Ram Murti Devi v. Pushpa Devi and Others* [2017] 7 SCR 872 : (2017) 15 SCC 230; *Amar Nath Agarwalla v. Dhillon Transport Agency* [2007] 3 SCR 442 : (2007) 4 SCC 306; *Celina Coelho Pereira (Ms) and Others v. Ulhas Mahabaleshwar Kholkar and Others* [2009] 15 SCR 558 : (2010) 1 SCC 217 – referred to.

List of Acts

Karnataka Rent Act, 1999.

List of Keywords

Revisional jurisdiction under Section 46 of the Karnataka Rent Act, 1999; Unlawful sub-letting; Unlawful sub-letting stands proved; Eviction proceedings on ground of sub-letting; Onus in eviction proceedings on ground of sub-letting; Original tenant no longer in possession; Exclusive possession of third parties; Initial burden discharged; Presumption of unlawful sub-letting; Onus shifted to tenant; Sub-letting through partnership; Strangers to tenancy; In exclusive occupation of premises without the consent of landlord; Induction into possession not traceable to the original tenancy; Reconstitution of partnership; Cloak to conceal unlawful transfer of possession; Lifting of veil; Lifting of the veil warranted; Original tenant divested of legal possession; Not a *bona fide* reconstitution of partnership; Section 27(2)(b)(ii) of the Karnataka Rent Act, 1999; Section 27(2)(p) of the Karnataka Rent Act, 1999; Revisional jurisdiction converted into appellate jurisdiction; Burden of proving unlawful sub-letting; Tenant unlawfully parted with possession in favour of a third party.

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M/s Mahendra Watch Company Represented by its Partners & Ors.**

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4353 of 2026
From the Judgment and Order dated 23.05.2023 of the High Court
of Karnataka at Bengaluru in HRRP No. 56 of 2017.

Appearances for Parties

Advs. for the Appellant(s):

Devashish Bharuka, Sr. Adv., H.S. Somnath, Ms. Sarvshree,
Ms. Soumya Sandilaya, Ms. Yashaswi Agrawal.

Advs. for the Respondent(s):

Paras Jain, T. Harish Kumar, Shubham Kothari, Mrs. Aiyushi Daga,
Shubham P. Chopra.

Judgment / Order of the Supreme Court

Judgment

R. Mahadevan, J.

1. Leave granted.
2. This Civil Appeal is directed against the judgment and order dated 23.05.2023 passed by the High Court of Karnataka at Bengaluru¹ in House Rent Revision Petition No. 56 of 2017, whereby the High Court allowed the revision petition preferred by Respondent Nos. 1 to 3 and set aside the order dated 14.07.2017 passed by the Chief Judge, Court of Small Causes, Bengaluru² in H.R.C. No. 63 of 2016. By the said order, the trial Court had allowed the eviction petition and directed the respondents to vacate the schedule premises and hand over vacant possession to the appellant (since deceased), within a period of three months.
3. The appellants are the legal representatives of late Sri M.V. Ramachandrasa, who originally initiated the rent control proceedings before the trial Court. It is their case that the deceased appellant now represented through his legal representatives, was a long-term

¹ Hereinafter referred to as “the High Court”

² Hereinafter referred to as “the trial Court”

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lessee in respect of immovable properties bearing Municipal New Nos. 22 to 33, situated at Uttaradhi Mutt Lane, Chickpet, Bengaluru. The said lease was created by virtue of a registered lease deed dated 02.02.1983 for a period of 55 years. Under the terms of the lease, the deceased appellant was duly authorised to sub-lease the whole or any portion of the property.

4. It is the further case of the appellants that Respondent No. 1, M/s. Mahendra Watch Company, a partnership firm, became a tenant under the deceased appellant³ through its partner, Rajesh Kumar, Respondent No. 4, in respect of premises *viz.*, Shop No.1, Ground Floor, Maruthi Plaza, Block C, U.M. Lane, Chickpet, Bangalore, by virtue of a lease deed dated 22.02.1985 registered as Document No. 3669 / 1985. Subsequently, the landlord came to be aware that Respondent Nos. 1 and 4 were no longer in possession of the premises and that the business therein was being carried on by Respondent Nos. 2 and 3, namely Ashish M. Jain and Atul M. Jain, who were not parties to the said lease agreement. Upon issuance of notice in this regard, the landlord instituted H.R.C. No. 63 of 2016 under Sections 27(b)(ii), 27(d)(i)(ii) and 27(p) of the Karnataka Rent Act, 1999, seeking eviction on the ground that Respondent No. 1 had unlawfully sublet the premises and parted with possession in favour of third parties without the consent of the landlord.
5. The trial Court, upon consideration of the pleadings and the oral as well as documentary evidence on record, concluded that the persons in actual occupation of the premises were strangers to the original tenancy and that the tenant had unlawfully parted with possession in their favour. Pointing out that the lease deed expressly prohibited sub-letting or parting with possession without the consent of the landlord, the trial Court held that the respondents had rendered themselves liable for eviction. Accordingly, by order dated 14.07.2017, the eviction petition was allowed and the respondents were directed to vacate the premises and hand over vacant possession to the landlord.
6. Aggrieved thereby, the respondents preferred House Rent Revision Petition No. 56 of 2017 under Section 46 of the Karnataka Rent Act, 1999 against the appellants herein, who are the legal representatives of the deceased appellant / landlord. The High Court, by its impugned

3 Hereinafter referred to "the landlord"

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judgment dated 23.05.2023, allowed the revision petition and set aside the eviction order passed by the trial Court. It is in these circumstances that the appellants have approached this Court by way of the present appeal.

7. The learned Senior Counsel appearing for the appellants submitted that the High Court has clearly transgressed the well-settled limits of its revisional jurisdiction under Section 46 of the Karnataka Rent Act, 1999. The revisional power is supervisory in nature and does not confer upon the High Court the status of a court of first appeal. It was submitted that the High Court, instead of confining itself to examining jurisdictional error, illegality, or perversity, has proceeded to reappreciate the entire oral and documentary evidence and substituted its own findings in place of those recorded by the trial Court. Such an exercise is wholly impermissible in law.
 - 7.1. Reliance was placed on the judgment of this Court in ***Hindustan Petroleum Corporation Limited v. Dilbahar Singh***⁴, wherein, it was categorically held that revisional jurisdiction under rent control statutes is limited and cannot be equated with appellate jurisdiction. Interference is warranted only where findings are perverse, based on no evidence, or suffer from manifest illegality.
 - 7.2. It was submitted that the trial Court, upon a comprehensive appreciation of the evidence on record, returned well-reasoned findings of fact, and categorically held that Respondent Nos. 2 and 3 failed to establish their status as partners of the original tenant firm namely M/s. Mahendra Watch Company. The documentary evidence relied upon by the respondents was found unreliable, and significantly, no partnership deed or credible material was produced to substantiate the claim that Respondent Nos. 2 and 3 were partners of the original tenant firm. These are pure findings of fact and could not have been interfered with by the High Court in the absence of perversity or patent illegality, which is conspicuously absent in the present case.
 - 7.3. It was further submitted that Clause 19 of the registered lease deed dated 22.02.1985 (Ex. P4) expressly prohibits sub-letting or transfer of the tenancy rights, including sale of the business,

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without prior written consent of the landlord. The respondents have failed to produce any document evidencing such consent. The material on record clearly establishes that persons presently in occupation, namely Respondent Nos. 2 and 3 have no lawful nexus with the original tenancy. Their claim of deriving rights through an alleged partnership is unsupported by any legally admissible document.

- 7.4. It was submitted that the respondents' case rests on an alleged reconstitution of the partnership firm. However, the so-called reconstitution deed is unregistered and legally untenable; no original partnership deed was produced; there is no documentary evidence to establish that Mohanlal, claimed to be the father of Respondent Nos. 2 and 3, was ever a partner; RW-1 (Mohanlal) himself admitted that at the time of execution of the lease deed in 1985, there were five partners, yet, only Respondent No. 4 signed the lease deed. As such, the trial Court rightly concluded that the respondents failed to prove any valid induction into the partnership with the consent of the landlord.
- 7.5. It was further submitted that the reliance placed by the respondents on Ex. R2 series (rent receipts) is wholly misplaced. The said receipts stand in the name of the original tenant firm and do not confer any independent right upon Respondent Nos. 2 and 3. In this regard, reference was made to the decision in ***S.R. Radhakrishnan v. Neelamegam***⁵, wherein, this Court held that mere payment of rent or continuance in possession does not ipso facto confer the status of a tenant.
- 7.6. It was submitted that the appellants have clearly established grounds for eviction under Sections 27(2)(b)(ii) and 27(2)(p) of the Karnataka Rent Act, 1999 inasmuch as there has been unauthorised sub-letting / transfer of possession; the terms of the lease deed have been violated; and the respondents are in unlawful occupation without any legal right or privity of contract.
- 7.7. It was submitted that the High Court, without advertent to the above material aspects and settled principles of law, has erroneously reversed the well-reasoned judgment of the trial

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Court and set aside the eviction order. Therefore, the impugned judgment suffers from serious legal infirmity and warrants interference by this court.

8. *Per contra*, the learned counsel appearing for the respondents at the out, submitted that the present appeal is liable to be dismissed in limine as the appellants have not approached this Court with clean hands and have in fact, suppressed material particulars in the list of dates and events. It was contended that the appellants have failed to place true and correct facts and therefore are not entitled to any relief much less the discretionary relief under Article 136 of the Constitution of India.

8.1. The learned counsel further submitted that the respondent firm, represented by its partners, has been a lawful tenant in respect of the suit shop since the year 1978, having acquired tenancy rights upon payment of goodwill to the original owner, namely Shrimad Jagadguru Madhav Acharya Moola Mahasamsthane, Uttaradhi Math, Bengaluru. It was submitted that subsequently, the landlord obtained a long-term lease of the larger property under a registered lease deed dated 02.02.1983 for a period of 55 years, taking symbolic possession of tenanted portions and physical possession of vacant portions. Upon such acquisition, he proposed redevelopment of the property and assured all existing tenants, including the respondent firm, that they would be accommodated in the newly constructed complex, while also offering temporary alternate accommodation.

8.2. It was submitted that acting upon such assurance, the tenants vacated the old premises, following which the landlord demolished the existing structure and constructed a new shopping complex. Upon completion, the respondent firm was allotted a shop measuring 95 sq.ft. in place of the earlier 164 sq.ft. and a registered lease deed dated 22.02.1985 was executed for a period of 53 years, expiring on 22.02.2038. The agreed rent was fixed at Rs. 275/- per month with a provision for periodic enhancement. Since then, the respondent firm has been in continuous possession and has been carrying on business in the said premises without interruption.

8.3. The learned counsel emphasised that the lease deed confers valuable and enduring rights upon the respondent firm, including

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heritability, transferability among partners and their heirs, and liberty to carry on business in partnership. It was further submitted that the lease deed does not contain any forfeiture clause attracting Section 111(g) of the Transfer of Property Act, 1882, and therefore, the tenancy cannot be prematurely terminated. It was contended that the respondent firm is entitled to peaceful possession and enjoyment of the premises for the entire duration of the lease, and the eviction proceedings initiated during the subsistence of such lease are wholly misconceived and not maintainable in law.

- 8.4. The learned counsel further submitted that the allegation of subletting, which forms the foundation of the eviction petition, is entirely baseless. It was contended that the respondent firm has at no point sublet, assigned, or parted with possession of the premises. The business has continuously been carried on by the partners of the firm, and any change in the constitution of the partnership does not amount to subletting. It was submitted that a partnership firm is not a separate legal entity distinct from its partners, and the firm name is merely a compendious description of the partners who carry on the business.
- 8.5. Reliance was placed on the judgments of this Court in ***Associated Hotels of India Ltd v. S.B. Sardar Ranjit Singh⁶, Jagan Nath (D) through LRs v. Chander Bhan and another⁷, and Mahendra Saree Emporium (II) v. G.V. Srinivasa Murthy⁸***, wherein it was held that subletting necessarily requires parting with legal possession in favour of a third party and the mere use of premises by others, including partners, does not constitute subletting so long as the tenant retains legal possession. It was submitted that in the present case, there is no evidence whatsoever to show that any third party has been put in exclusive possession of the premises.
- 8.6. The learned counsel further contended that the burden of proving subletting squarely lies upon the landlord, which burden has not been discharged in the present case. In the absence of any

6 AIR 1968 SC 933

7 (1988) 3 SCC 57

8 (2005) 1 SCC 481

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material to establish exclusive possession by a third party for consideration, no presumption of subletting can arise. It was submitted that the High Court rightly appreciated the evidence on record and applied the settled principles of law in setting aside the eviction order.

- 8.7. It was also submitted that the partnership firm was reconstituted on 01.07.2000, prior to the coming into force of the Karnataka Rent Act, 1999, and that the continuing partners, including Ashish M. Jain, have been carrying on business in the suit premises before 31.12.2001. The appellants were fully aware of the same, as rent was being regularly collected from the respondent firm. It was contended that mere reconstitution of a partnership firm or induction of partners does not amount to assignment or subletting, particularly when the firm continues to retain possession and control over the premises.
- 8.8. The learned counsel submitted that the eviction petition is based on a wholly illusory cause of action and has been filed by suppressing the existence of the registered lease deed dated 22.02.1985. A meaningful reading of the petition would demonstrate that the appellants have attempted to mischaracterise the partners of the firm as sub-tenants, which is impermissible in law. It was thus contended that the proceedings are an abuse of the process of court and liable to be dismissed.
9. We have carefully considered the rival submissions and perused the material available on record.
10. The admitted position is that the appellants are the legal heirs of the deceased appellant, Sri M.V. Ramachandrasa, who himself acquired leasehold rights in respect of the property bearing Nos. 22 to 33 under a lease deed dated 02.02.1983 executed by Uttaradi Math represented by its Presiding Swamiji through its power of attorney, for a period of 55 years with liberty to sub-let the properties. It is not in dispute that after obtaining the said lease, the landlord leased the premises to Respondent No. 1 represented by Respondent No. 4, under a registered lease deed dated 22.02.1985 (Document No. 3669/1985) for a period of 53 years. Clause 19 of the lease deed expressly restricts subletting without prior written consent of the landlord. Since the actual and original partner of Respondent No. 1 firm was not in occupation and possession of the premises,

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the landlord preferred eviction petition before the trial Court. After examining the oral and documentary evidence, the trial Court allowed the petition and directed the respondents to vacate and hand over the possession of the premises within a period of three months. However, the High Court allowed the revision petition and set aside the eviction order. Therefore, the present appeal at the instance of the appellants, who are the legal representatives of the deceased appellant / landlord.

11. On the basis of the pleadings, the following issues arise for consideration in the present appeal:
 - (i) Whether the High Court was justified in interfering with the findings of fact recorded by the trial Court while exercising its revisional jurisdiction under Section 46 of the Karnataka Rent Act, 1999?
 - (ii) Whether the burden of proving unlawful sub-letting lies upon the landlord, and if so, whether such burden has been duly discharged in the present case?
 - (iii) Whether the alleged retirement of the original tenant – partner and continuation of business by Respondent Nos. 2 and 3 constitutes a mere reconstitution of partnership or amounts to unlawful sub-letting / assignment under Sections 27(2)(b)(ii) and 27(2)(p) of the Karnataka Rent Act, 1999?

Issue No. 1

12. ***Whether the High Court was justified in interfering with the findings of fact recorded by the trial Court while exercising its revisional jurisdiction under Section 46 of the Karnataka Rent Act, 1999?***
 - 12.1. At the outset, it must be noted that the scope of revisional jurisdiction under Section 46 is well-settled and narrowly circumscribed. The provision empowers the High Court to examine the legality, correctness or propriety of an order; however, it does not confer appellate powers permitting reappraisal of evidence or substitution of factual findings. For ease of reference, the said provision reads as under:

“46. Revision.- (1) The High Court may, at any time call for and examine any order passed or proceeding

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*taken by the Court of Small Causes or the Court of Civil Judge Senior Division referred to in items (i) and (ii) of clause (c) of section 3 for the purpose satisfying itself as to **the legality or correctness of such order or proceeding and may pass such order in reference thereto as it thinks fit.***

(2) The District Judge may at any time call for and examine any order passed or proceeding taken by the Court of Civil Judge Junior Division referred to in item (iii) of clause (c) of section 3 for the purpose of such order or proceeding and may pass such order in reference thereto as he thinks fit.

(3) The costs incidental to all proceedings before the High Court or the District Judge shall be in the discretion of the High Court or the District Judge as the case may be.

- 12.2. In **Rukmini Amma Saradamma v. Kallyani Sulochana and others**⁹, this Court held that even where the statutory language appears wide, the revisional court cannot act as a court of appeal and undertake a fresh evaluation of evidence. It was categorically observed that the High Court cannot reappraise oral and documentary evidence under the guise of examining “propriety” as doing so would obliterate the distinction between appellate and revisional jurisdiction. The following paragraphs are pertinent:

*“9. Notwithstanding the fact that Section 20 of the Act conferring revisional jurisdiction of the High Court is widely worded, such a jurisdiction cannot be converted into an appellate jurisdiction. This Court in **Rai Chand Jain v. Chandra Kanta Khosla**¹⁰ has clearly pointed out **the scope of such revisional jurisdiction and has held that it cannot act as a second court of appeal. Therefore, the impugned order is liable to be set aside.** Without prejudice to*

9 (1993) 1 SCC 499

10 (1991) 1 SCC 422

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*the above, it is submitted that this Court in **Aundal Ammal v. Sadasivan Pillai**¹¹ has held that no second revision is permissible to the High Court either under Section 115 of the Code or under Section 20 of the Act. The District Court has exercised the revisional jurisdiction. Hence, the remit order in C.R.P. No. 1719 of 1985 is void and is illegal. If that remit order goes, what remains is only the revisional order of the District Court, Kollam, confirming the appellate order directing revision on the ground of bona fide need. Hence, the impugned order calls for interference.”*

*“20. We are afraid this approach of the High Court is wrong. Even the wider language of Section 20 of the Act cannot enable the High Court to act as a first or a second court of appeal. Otherwise, the distinction between appellate and revisional jurisdiction will get obliterated. **Hence, the High Court was not right in re-appreciating the entire evidence both oral or documentary in the light of the Commissioner’s report (Exts. C-1 and C-2 mahazar).** In our considered view, the High Court had travelled far beyond the revisional jurisdiction. Even by the presence of the word “propriety” it cannot mean that there could be a re-appreciation of evidence. Of course, the revisional court can come to a different conclusion but not on a re-appreciation of evidence; on the contrary, by confining itself to legality, regularity and propriety of the order impugned before it. Therefore, we are unable to agree with the reasoning of the High Court with reference to the exercise of revisional jurisdiction.”*

- 12.3. The legal position stands conclusively settled by the Constitution Bench of this Court in **Hindustan Petroleum Corporation Ltd** (*supra*), wherein it was held that revisional jurisdiction, though wider than that under Section 115 of the Civil Procedure Code, 1908, remains qualitatively distinct from appellate jurisdiction.

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The High Court cannot reassess or reanalyse evidence to arrive at a different conclusion merely because another view is possible. Interference with findings of fact is permissible only when such findings are perverse, based on no evidence, suffer from misreading of evidence, or result in a miscarriage of justice. The following paragraphs are apposite:

*“28. Before we consider the matter further to find out the scope and extent of revisional jurisdiction under the above three Rent Control Acts, a quick observation about the “appellate jurisdiction” and “revisional jurisdiction” is necessary. **Conceptually, revisional jurisdiction is a part of appellate jurisdiction, but it is not vice versa.** Both, appellate jurisdiction and revisional jurisdiction are creatures of statutes. No party to the proceeding has an inherent right of appeal or revision. An appeal is continuation of suit or original proceeding, as the case may be. The power of the appellate court is coextensive with that of the trial court. Ordinarily, appellate jurisdiction involves rehearing on facts and law but such jurisdiction may be limited by the statute itself that provides for the appellate jurisdiction. On the other hand, revisional jurisdiction, though, is a part of appellate jurisdiction but ordinarily it cannot be equated with that of a full-fledged appeal. In other words, revision is not continuation of suit or of original proceeding. When the aid of Revisional Court is invoked on the revisional side, it can interfere within the permissible parameters provided in the statute. It goes without saying that if a revision is provided against an order passed by the Tribunal/appellate authority, the decision of the Revisional Court is the operative decision in law. In our view, as regards the extent of appellate or revisional jurisdiction, much would, however, depend on the language employed by the statute conferring appellate jurisdiction and revisional jurisdiction.”*

“31. We are in full agreement with the view expressed in Sri Raja Lakshmi Dyeing Works v. Rangaswamy

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*Chettiar*¹² that where both expressions “appeal” and “revision” are employed in a statute, obviously, the expression “revision” is meant to convey the idea of a much narrower jurisdiction than that conveyed by the expression “appeal”. The use of two expressions “appeal” and “revision” when used in one statute conferring appellate power and revisional power, we think, is not without purpose and significance. Ordinarily, appellate jurisdiction involves a rehearing while it is not so in the case of revisional jurisdiction when the same statute provides the remedy by way of an “appeal” and so also of a “revision”. If that were so, the revisional power would become coextensive with that of the trial court or the subordinate tribunal which is never the case. The classic statement in **Dattonpant Gopalvarao Devakate v. Vithalrao Maruthirao Janagaval**¹³ that revisional power under the Rent Control Act may not be as narrow as the revisional power under Section 115 of the Code but, at the same time, it is not wide enough to make the High Court a second court of first appeal, commends to us and we approve the same. We are of the view that in the garb of revisional jurisdiction under the above three rent control statutes, the High Court is not conferred a status of second court of first appeal and the High Court should not enlarge the scope of revisional jurisdiction to that extent.”

“**33. Rai Chand Jain v. Chandra Kanta Khosla**¹⁴ that follows **Ram Dass v. Ishwar Chander**¹⁵, also does not lay down that the High Court in exercise of its power under the Rent Control Act may reverse the findings of fact merely because on reappraisal of the evidence it has a different

12 (1980) 4 SCC 259

13 (1975) 2 SCC 246

14 (1991) 1 SCC 422

15 (1988) 3 SCC 131

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*view on the findings of fact. The observations made by this Court in **Rai Chand Jain** must also be read in the context we have explained **Ram Dass**”*

*“36. The statement in **M.S. Zahed v. K. Raghavan**¹⁶ that under **Section 50 of the Karnataka Rent Control Act**, the High Court is entitled to reappraise the evidence with a view to find out whether the order of Small Cause Court is legal and correct must be understood in the light of the observations made therein, namely, that revisional power cannot be equated with the power of reconsideration of all questions of fact as a court of first appeal.”*

*“43. We hold, as we must, that none of the above Rent Control Acts entitles the High Court to interfere with the findings of fact recorded by the first appellate court/ first appellate authority because on reappraisal of the evidence, its view is different from the court/ authority below. **The consideration or examination of the evidence by the High Court in revisional jurisdiction under these Acts is confined to find out that finding of facts recorded by the court/ authority below is according to law and does not suffer from any error of law. A finding of fact recorded by court/authority below, if perverse or has been arrived at without consideration of the material evidence or such finding is based on no evidence or misreading of the evidence or is grossly erroneous that, if allowed to stand, it would result in gross miscarriage of justice, is open to correction because it is not treated as a finding according to law. In that event, the High Court in exercise of its revisional jurisdiction under the above Rent Control Acts shall be entitled to set aside the impugned order as being not legal or proper. The High Court is entitled to satisfy itself as to the correctness or legality or propriety of any***

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decision or order impugned before it as indicated above. However, to satisfy itself to the regularity, correctness, legality or propriety of the impugned decision or the order, the High Court shall not exercise its power as an appellate power to reappreciate or reassess the evidence for coming to a different finding on facts. Revisional power is not and cannot be equated with the power of reconsideration of all questions of fact as a court of first appeal. Where the High Court is required to be satisfied that the decision is according to law, it may examine whether the order impugned before it suffers from procedural illegality or irregularity."

- 12.4. This principle has been consistently reiterated including in ***Thankamony Amma and others v. Omana Amma N. and others***¹⁷, where this Court disapproved reappreciation of evidence in exercise of revisional powers.
- 12.5. Applying the aforesaid principles, it is evident that the trial Court upon a detailed appreciation of oral and documentary evidence, recorded specific findings of fact. These included material discrepancies in the respondents' case *inter alia* inconsistencies regarding the dates relating to purchase and stamping of stamp paper, non-production of the original partnership deed dated 01.03.2000, absence of proof of retirement of the original partner, and lack of written consent from the landlord for induction of alleged partners. These findings were based on the evidence on record and were neither shown to be perverse nor vitiated by any illegality or procedural irregularity.
- 12.6. However, the High Court, while exercising jurisdiction under Section 46, undertook a fresh analysis of the evidence, including depositions of PW-1 (M.R.Goverdhan) and RW-1 (Mohanlal), partnership documents, and rent receipts, and arrived at independent factual conclusions. Such an exercise clearly amounts to reappreciation of evidence, which is impermissible in revisional jurisdiction.

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- 12.7. It is also significant that the statutory scheme provides for an appeal under Section 26 of the Karnataka Rent Act, 1999. Where the legislature has consciously created a separate appellate remedy, the revisional jurisdiction cannot be expanded so as to substitute or bypass the appellate mechanism.
- 12.8. In view of the above, this Court is of the considered opinion that the findings recorded by the trial Court were pure findings of fact based on proper appreciation of evidence. No perversity, illegality, or jurisdictional error has been demonstrated.
- 12.9. Accordingly, the High Court transgressed the limits of its revisional jurisdiction by reassessing the evidence and substituting its own conclusions. The impugned interference under Section 46 of the Karnataka Rent Act, 1999 is therefore unsustainable in law as it effectively converts revisional jurisdiction into appellate jurisdiction.

Issue No. 2

13. ***Whether the burden of proving unlawful sub-letting lies upon the landlord, and if so, whether such burden has been duly discharged in the present case?***
 - 13.1. It is a settled principle of law that the burden of proof lies upon the party asserting a fact. In eviction proceedings founded on the ground of sub-letting, the initial onus rests upon the landlord to establish that the tenant has parted with possession of the tenanted premises in favour of a third party without authority.
 - 13.2. The jurisprudence on this issue is well crystallized. In ***Associated Hotels of India Ltd v. S.B. Sardar Ranjit Singh*** (*supra*), this Court held that the landlord must first prove parting with possession. However, recognizing the inherently clandestine nature of sub-letting arrangements, courts have evolved a rule of evidence that once exclusive possession of a third party is established, the burden shifts to the tenant to explain the nature of such possession.
 - 13.3. This principle has been consistently reaffirmed in ***Joginder Singh Sodhi v. Amar Kaur***¹⁸, and further authoritatively

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expounded by a three Judge Bench in ***Mahendra Saree Emporium (II) v. G.V. Srinivasa Murthy*** (*supra*), wherein it was held that once a prima facie case of exclusive possession by a stranger is made out, a presumption of sub-letting arises, thereby shifting the onus onto the tenant.

- 13.4. In ***Ram Murti Devi v. Pushpa Devi and others***¹⁹, after considering the earlier precedents, the Court reiterated that direct evidence of sub-letting is seldom available, and the same can be inferred from surrounding circumstances, particularly where exclusive possession of a third party is established. The relevant paragraphs are extracted below for better appreciation:

“17..... This Court held in the above case that transaction of sub-letting in their very nature are clandestine arrangements between tenant and sub-tenant and there cannot be any direct evidence and even it is a matter of legitimate inference. It was further held that burden of proof of establishing fact although lies on the landlord but it may shift according to the weight of evidence adduced by the party during the trial.

*18. In Kala v. Madho Parshad Vaidya*²⁰, again the Court held that the onus of proof is on the landlord and if he establishes the parting of with the possession in favour of third party, the onus would shift to the tenant to explain. In para 16 following has been explained: (SCC p. 577)

“16. ... The onus to prove sub-letting is on the landlord and if he establishes parting of with the possession in favour of a third party, the onus would shift to the tenant to explain. In the instant case, however, the landlord did not discharge the initial onus and although it was not required, yet, the tenant explained how Appellant 2 had the permissive possession of the shop as its Manager.”

¹⁹ (2017) 15 SCC 230

²⁰ (1998) 6 SCC 573

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*19. This Court in **Joginder Singh Sodhi v. Amar Kaur**, had occasion to consider various aspects of sub-letting. After noticing the various earlier judgments of this Court, this Court reiterated the law in para 13 to para 17, which are to the following effect: (SCC pp. 36-37)*

*“13. Regarding sub-letting, in our opinion, the law is well settled. It is observed in the leading case of **Associated Hotels of India Ltd. v. S.B. Sardar Ranjit Singh** that in a suit by the landlord for eviction of tenant on the ground of sub-letting, the landlord has to prove by leading evidence that (i) a third party was found to be in exclusive possession of the rented property, and (ii) parting of possession thereof was for monetary consideration.*

*14. The above principle was reiterated by this Court from time to time. In **Shama Prashant Raje v. Ganpatrao**²¹, the Court stated that on sub-letting, there is no dispute with the proposition that the two ingredients, namely, parting with possession and monetary consideration therefore have to be established.*

.....

16. The contention of the learned counsel for the appellant, however, is that even if it is assumed that one of the ingredients of sub-letting was established, the second ingredient, namely, parting of possession with “monetary consideration” was not established. The counsel urged that there is no evidence on record that any amount was paid either in cash or in kind by Respondent 2 to Respondent 1. In the absence of such evidence sub-tenancy cannot be said to be established and the landlady was not entitled to get an order of eviction against the tenant.

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17. We are unable to appreciate the contention. As observed by this Court in **Bharat Sales Ltd. v. LIC**²², sub-tenancy or sub-letting comes into existence when the tenant gives up possession of the tenanted accommodation, wholly or in part, and puts another person in exclusive possession thereof. This arrangement comes about obviously under a mutual agreement or understanding between the tenant and the person to whom the possession is so delivered. **In this process, the landlord is kept out of the scene. Rather, the scene is enacted behind the back of the landlord, concealing the overt acts and transferring possession clandestinely to a person who is an utter stranger to the landlord, in the sense that the landlord had not let out the premises to that person nor had he allowed or consented to his entering into possession of that person, instead of the tenant, which ultimately reveals to the landlord that tenant to whom the property was let out has put some other person in possession of that property.** In such a situation, it would be difficult for the landlord to prove, by direct evidence, the contract or agreement or understanding between the tenant and the sub-tenant. It would also be difficult for the landlord to prove, by direct evidence, that the person to whom the property had been sub-let had paid monetary consideration to the tenant. Payment of rent, undoubtedly, is an essential element of lease or sub-lease. It may be paid in cash or in kind or may have been paid or promised to be paid. It may have been paid in lump sum in advance covering the period for which the premises is let out or sub-let or it may have been paid or promised to be paid periodically. Since payment of rent or monetary consideration may have been made secretly, the law does not require such payment to be proved by affirmative evidence and the court is permitted to draw its own inference upon the facts of the

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case proved at the trial, including the delivery of exclusive possession to infer that the premises were sub-let."

(emphasis in original)

20. A three-Judge Bench in **Mahendra Saree Emporium (2) v. G.V. Srinivasa Murthy**, had occasion to consider the question of sub-letting (sub-tenancy) and question of burden of proof. In para 16, the Court had elaborated the concept of sub-letting and laid down the following: (SCC pp. 490-91)

"16.The onus to prove sub-letting is on the landlord. If the landlord prima facie shows that the occupant, who was in exclusive possession of the premises, let out for valuable consideration, it would then be for the tenant to rebut the evidence."

Thus, in the case of sub-letting, the onus lying on the landlord would stand discharged by adducing prima facie proof of the fact that the alleged sub-tenant was in exclusive possession of the premises or, to borrow the language of Section 105 of the Transfer of Property Act, was holding right to enjoy such property. A presumption of sub-letting may then be raised and would amount to proof unless rebutted."

21. From the pronouncements of this Court as noticed above, following statement of law can be culled out:

21.1. In a suit by the landlord for eviction of the tenant on the ground of sub-letting the landlord has to prove by leading evidence that:

(a) A third party was found to be in exclusive possession of the whole or part of rented property.

(b) Parting of possession thereof was for monetary consideration.

21.2. The onus to prove sub-letting is on the landlord and if he has established parting of possession in

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favour of a third party either wholly or partly, the onus would shift to the tenant to explain.

21.3. *In the event, possession of the tenant wholly or partly is proved and the particulars and the instances of the transactions are found acceptable, in particular facts and circumstances of the case, it is not impermissible for the court to draw an inference that the transaction was entered with monetary consideration. It may not be possible always to give direct evidence of monetary consideration since such transaction of sub-letting are made between the tenant and sub-tenant behind the back of the landlord.*

22. *In each case, the proof of sub-letting/sub-tenancy thus, has to be established on the parameters of law, as laid down in the above cases. Whether, in particular facts and circumstances the landlord has successfully discharged the burden of proving sub-tenancy depends on pleading and evidence in each case.”*

- 13.5. Thus, the legal position that emerges is that the landlord discharges the initial burden by establishing (i) exclusive possession of a third party, and (ii) absence of the original tenant from possession. Upon such proof, a presumption of sub-letting arises, and the onus shifts to the tenant to demonstrate that such possession is lawful and not in the nature of sub-tenancy.
- 13.6. Applying the aforesaid principles, it is evident that the landlord has successfully discharged the initial burden. The lease deed recognizes only Respondent No. 4 as the tenant. Respondent Nos. 2 and 3 are not parties to the lease and therefore, cannot claim any independent tenancy rights. The material on record clearly establishes that the original tenant is no longer in possession, and Respondent Nos. 2 and 3 are in exclusive occupation of the premises. This finding has been categorically recorded by the trial Court. In such circumstances, the landlord has successfully proved exclusive possession of third parties thereby discharging the initial burden and giving rise to a presumption of unlawful sub-letting.

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- 13.7. The burden, therefore, shifted upon the respondents to rebut the said presumption. However, the respondents have failed to discharge this burden. No cogent or reliable evidence has been adduced to establish the existence of a valid partnership, reconstitution deed, lawful induction, or consent of the landlord to such arrangement. In the absence of such evidence, the possession of Respondent Nos. 2 and 3 remains unexplained and unlawful. As held in *Joginder Singh Sodhi*, direct proof of monetary consideration is not indispensable and may be legitimately inferred from the surrounding circumstances, particularly where exclusive possession is established without lawful explanation.
- 13.8. Accordingly, this Court holds that the burden of proving unlawful sub-letting initially lay upon the landlord, which has been duly discharged by establishing exclusive possession of third parties and absence of the original tenant. The burden thereafter shifted to the respondents, who have failed to rebut the presumption by adducing cogent evidence. Consequently, unlawful sub-letting stands proved.

Issue No. 3

14. ***Whether the alleged retirement of the original tenant – partner and continuation of business by Respondent Nos. 2 and 3 constitutes a mere reconstitution of partnership or amounts to unlawful sub-letting / assignment under Sections 27(2)(b)(ii) and 27(2)(p) of the Karnataka Rent Act, 1999?***

- 14.1. The law governing sub-letting through the device of partnership is well-settled and no longer *res integra*. In ***Amar Nath Agarwalla v. Dhillon Transport Agency***²³, this Court reiterated that a partnership firm is not a separate legal entity but merely a compendious name for its partners, and that sub-letting necessarily involves parting with legal possession. The following paragraphs are pertinent:

“8. In Murlidhar v. Chuni Lal²⁴ *this Court had repelled the contention that the old firm and the new firm being*

²³ (2007) 4 SCC 306

²⁴ 1969 Ren CR 563 : 1970 Ren CJ 922 (SC)

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two different legal entities, the occupation of the shop by the new firm was occupation by the legal entity other than the original tenant and such occupation proved sub-letting. Repelling the contention this Court held:

*“This contention is entirely without substance. **A firm, unless expressly provided for the purpose of any statute which is not the case here, is not a legal entity.** The firm name is only a compendious way of describing the partners of the firm. Therefore, occupation by a firm is only occupation by its partners. Here the firms have a common partner. Hence the occupation has been by one of the original tenants.”*

9. In *Mohammedkasam Haji Gulambhai v. Bakerali Fatehal*²⁵ this Court observed: (SCC p. 618, para 13)

“There is absolute prohibition on the tenant from sub-letting, assigning or transferring in any other manner his interest in the tenanted premises. There appears to be no way around this subject of course if there is any contract to the contrary between the landlord and the tenant. In a partnership where the tenant is a partner, he retains legal possession of the premises as a partnership is a compendium of the names of all the partners. In a partnership, the tenant does not divest himself of his right in the premises. On the question of sub-letting etc. the law is now very explicit. There is prohibition in absolute terms on the tenant from sub-letting, assignment or disposition of his interest in the tenanted premises.”

14.2. This position has been comprehensively analysed in ***Celina Coelho Pereira (Ms) and others v. Ulhas Mahabaleshwar***

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Kholkar and others²⁶, wherein the Court, after considering earlier precedents, distilled the governing principles. The following paragraphs are pertinent:

“17. In *Helper Girdharbhai v. Saiyed Mohmad Mirasaheb Kadri*²⁷ this Court held that in a case where a tenant becomes a partner of a partnership firm and allows the firm to carry on business in the demised premises while he himself retains legal possession thereof, the act of the tenant does not amount to sub-letting. **It was held that whether there is genuine partnership or not must be judged in the facts of each case in the light of the principles applicable to partnership.**

18. While dealing with the mischief contemplated under Section 14(1)(b) of the Delhi Rent Control Act, 1958 providing for eviction on the ground of sub-letting, this Court in ***Jagan Nath v. Chander Bhan***²⁸ held: (SCC p. 61, para 6)

“6. The question for consideration is whether the mischief contemplated under Section 14(1)(b) of the Act has been committed as the tenant had sub-let, assigned, or otherwise parted with the possession of the whole or part of the premises without obtaining the consent in writing of the landlord. **There is no dispute that there was no consent in writing of the landlord in this case. There is also no evidence that there has been any sub-letting or assignment. The only ground perhaps upon which the landlord was seeking eviction was parting with possession. It is well settled that parting with possession meant giving possession to persons other than those to whom possession had been given by the lease and the parting with possession must**

26 (2010) 1 SCC 217

27 (1987) 3 SCC 538

28 (1988) 3 SCC 57

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have been by the tenant; user by other person is not parting with possession so long as the tenant retains the legal possession himself, or in other words there must be vesting of possession by the tenant in another person by divesting himself not only of physical possession but also of the right to possession. So long as the tenant retains the right to possession there is no parting with possession in terms of clause (b) of Section 14(1) of the Act. Even though the father had retired from the business and the sons had been looking after the business, in the facts of this case, it cannot be said that the father had divested himself of the legal right to be in possession. If the father has a right to displace the possession of the occupants i.e. his sons, it cannot be said that the tenant had parted with possession."

19. *The question whether the tenant has assigned, sub-let or otherwise parted with the possession of the whole or any part of the premises without the permission of the landlord within the meaning of **Section 13(1)(e) of the Rajasthan Premises (Control of Rent and Eviction) Act, 1950** fell for consideration in **Gopal Saran v. Satyanarayana**²⁹. This Court held: (SCC pp. 69-70, para 16)*

*"16. ... Sub-letting means transfer of an exclusive right to enjoy the property in favour of the third party. In this connection, reference may be made to the decision of this Court in **Shalimar Tar Products Ltd. v. H.C. Sharma**³⁰ where it was held that to constitute a sub-letting, **there must be a parting of legal possession i.e. possession with the right to include and also right to exclude others and whether***

²⁹ (1989) 3 SCC 56

³⁰ (1988) 1 SCC 70

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in a particular case there was sub-letting was substantially a question of fact. In that case, a reference was made at SCC p. 77, para 16 of the Report to the treatise of Foa on Landlord and Tenant, 6th Edn., at p. 323, for the proposition that:

'The mere act of letting other persons into possession by the tenant, and permitting them to use the premises for their own purposes, is not so long as he retains the legal possession himself, a breach of the covenant.'

*In para 17 of the Report, it was observed that parting of the legal possession means possession with the right to include and also right to exclude others. In the last mentioned case, the observations of the Madras High Court in **Gundalapalli Rangamannar Chetty v. Desu Rangiah**³¹ were approved by this Court in which the legal position in **Jackson v. Simons**³² were relied upon. The Madras High Court had also relied on a judgment of **Scrutton, L.J. in Chaplin v. Smith**³³ at p. 211 of the Report where it was said:*

'He did not assign, nor did he under-let. He was constantly on the premises himself and kept the key of them. He did business of his own as well as business of the company. In my view he allowed the company to use the premises while he himself remained in possession of them.'

*This position was also accepted in **Vishwa Nath v. Chaman Lal Khanna**³⁴ wherein it*

31 AIR 1954 Mad 182

32 (1923) 1 Ch 373 : 1922 All ER Rep 583

33 (1926) 1 KB 198 (CA)

34 AIR 1975 Del 117

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was observed that parting with possession is understood as parting with legal possession by one in favour of the other by giving him an exclusive possession to the ouster of the grantor. If the grantor had retained legal possession with him it was not a case of parting with possession.”

The Court also reiterated that to prove sub-tenancy, two ingredients have to be established, firstly, the tenant must have exclusive right of possession or interests in the premises or part of the premises in question and secondly, the right must be in lieu of payment of some compensation or rent.

20. In *G.K. Bhatnagar v. Abdul Alim*³⁵ this Court held as follows:(SCC p. 518, para 5)

*“5. A conjoint reading of these provisions shows that on and after 9-6-1952, **sub-letting, assigning or otherwise parting with the possession of the whole or any part of the tenancy premises, without obtaining the consent in writing of the landlord, is not permitted and if done, the same provides a ground for eviction of the tenant by the landlord.** However, inducting a partner in his business or profession by the tenant is permitted so long as such partnership is genuine. If the purpose of such partnership may ostensibly be to carry on the business or profession in partnership, but the real purpose be sub-letting of the premises to such other person who is inducted ostensibly as a partner, then the same shall be deemed to be an act of sub-letting attracting the applicability of clause (b) of sub-section (1) of Section 14 of the Act.”*

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21. A three-Judge Bench of this Court in **Parvinder Singh v. Renu Gautam**³⁶ commented upon the device adopted by tenants many a time in creating partnership as a camouflage to circumvent the provisions of the Rent Control Act. The following observations are worth noticing: (SCC pp. 799-800, paras 8-9)

*“8. The rent control legislations which extend many a protection to the tenant, also provide for grounds of eviction. One such ground, most common in all the legislations, is sub-letting or parting with possession of the tenancy premises by the tenant. **Rent control laws usually protect the tenant so long as he may himself use the premises but not his transferee inducted into possession of the premises, in breach of the contract or the law, which act is often done with the object of illegitimate profiteering or rack-renting.** To defeat the provisions of law, a device is at times adopted by unscrupulous tenants and sub-tenants of bringing into existence a deed of partnership which gives the relationship of tenant and sub-tenant an outward appearance of partnership while in effect what has come into existence is a sub-tenancy or parting with possession camouflaged under the cloak of partnership. Merely because a tenant has entered into a partnership he cannot necessarily be held to have sub-let the premises or parted with possession thereof in favour of his partners. **If the tenant is actively associated with the partnership business and retains the use and control over the tenancy premises with him, maybe along with the partners, the tenant may not be said to have parted with possession. However, if the user and control***

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of the tenancy premises has been parted with and deed of partnership has been drawn up as an indirect method of collecting the consideration for creation of sub-tenancy or for providing a cloak or cover to conceal a transaction not permitted by law, the court is not estopped from tearing the veil of partnership and finding out the real nature of transaction entered into between the tenant and the alleged sub-tenant.

9. A person having secured a lease of premises for the purpose of his business may be in need of capital or finance or someone to assist him in his business and to achieve such like purpose he may enter into partnership with strangers. Quite often partnership is entered into between the members of any family as a part of tax planning. There is no stranger brought on the premises. So long as the premises remain in occupation of the tenant or in his control, a mere entering into partnership may not provide a ground for eviction by running into conflict with prohibition against sub-letting or parting with possession. This is a general statement of law which ought to be read in the light of the lease agreement and the law governing the tenancy. There are cases wherein the tenant sub-lets the premises or parts with possession in defiance of the terms of lease or the rent control legislation and in order to save himself from the peril of eviction brings into existence, a deed of partnership between him and his sub-lessee to act as a cloak on the reality of the transaction. The existence of deed of partnership between the tenant and the alleged sub-tenant would not preclude the landlord from bringing on record material and circumstances, by adducing evidence or by means of cross-examination, making out a case of sub-letting or parting with possession

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or interest in tenancy premises by the tenant in favour of a third person. The rule as to exclusion of oral by documentary evidence governs the parties to the deed in writing. A stranger to the document is not bound by the terms of the document and is, therefore, not excluded from demonstrating the untrue or collusive nature of the document or the fraudulent or illegal purpose for which it was brought into being. An enquiry into reality of transaction is not excluded merely by availability of writing reciting the transaction.”

22. In yet another decision, a three-Judge Bench of this Court in **Mahendra Saree Emporium (II) v. G.V. Srinivasa Murthy** considered earlier decisions, few of which have been referred to above, while dealing with a matter relating to sub-letting of the premises within the meaning of **Section 21(1)(f) of the Karnataka Rent Control Act, 1961** and observed as follows: (SCC pp. 490-92, para 16)

“16. The term ‘sub-let’ is not defined in the Act—new or old. However, the definition of ‘lease’ can be adopted mutatis mutandis for defining ‘sub-lease’. What is ‘lease’ between the owner of the property and his tenant becomes a sub-lease when entered into between the tenant and tenant of the tenant, the latter being sub-tenant qua the owner landlord. A lease of immovable property as defined in Section 105 of the Transfer of Property Act, 1882 is a transfer of a right to enjoy such property made for a certain time for consideration of a price paid or promised. A transfer of a right to enjoy such property to the exclusion of all others during the term of the lease is sine qua non of a lease. A sub-lease would imply parting with by the tenant of the right to enjoy such property in favour of his sub-tenant. Different types of phraseology are employed by different State Legislatures making provision for eviction on the

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*ground of sub-letting. Under Section 21(1)(f) of the old Act, the phraseology employed is quite wide. It embraces within its scope sub-letting of the whole or part of the premises as also assignment or transfer in any other manner of the lessee's interest in the tenancy premises. The exact nature of transaction entered into or arrangement or understanding arrived at between the tenant and alleged sub-tenant may not be in the knowledge of the landlord and such a transaction being unlawful would obviously be entered into in secrecy depriving the owner landlord of the means of ascertaining the facts about the same. However still, the rent control legislation being protective for the tenant and eviction being not permissible except on the availability of ground therefor having been made out to the satisfaction of the court or the Controller, the burden of proving the availability of the ground is cast on the landlord i.e. the one who seeks eviction. In **Krishnawati v. Hans Raj**³⁷ reiterating the view taken in **Associated Hotels of India Ltd. v. S.B. Sardar Ranjit Singh** this Court so noted the settled law: (**Hans Raj case** , SCC p. 293, para 6)*

'6. ... [T]he onus to prove sub-letting is on the landlord. If the landlord prima facie shows that the occupant who was in exclusive possession of the premises let out for valuable consideration, it would then be for the tenant to rebut the evidence.'

Thus, in the case of sub-letting, the onus lying on the landlord would stand discharged by adducing prima facie proof of the fact that the alleged sub-tenant was in exclusive possession of the premises or, to borrow the language of Section 105 of the Transfer of

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Property Act, was holding right to enjoy such property. A presumption of sub-letting may then be raised and would amount to proof unless rebutted. In the context of the premises having been sub-let or possession parted with by the tenant by adopting the device of entering into partnership, it would suffice for us to notice three decisions of this Court. **Murlidhar v. Chuni Lal** is a case where a shop was let out to a firm of the name of Chuni Lal Gherulal. The firm consisted of three partners, namely, Chuni Lal, Gherulal and Meghraj. This partnership closed and a new firm by the name of Meghraj Bansidhar commenced its business with partners Meghraj and Bansidhar. The tenant firm was sought to be evicted on the ground that the old firm and the new firm being two different legal entities, the occupation of the shop by the new firm amounted to sub-letting. This Court discarded the contention as 'entirely without substance' and held that a partnership firm is not a legal entity; the firm name is only a compendious way of describing the partners of the firm. Therefore, occupation by a firm is only occupation by its partners. The two firms, old and new, had a common partner, namely, Meghraj, who continued to be in possession and it was fallacious to contend that earlier he was in possession in the capacity of partner of the old firm and later as a partner of the new firm. The landlord, in order to succeed, has to prove it as a fact that there was a sub-letting by his tenant to another firm. As the premises continued to be in possession of one of the original tenants, Meghraj, then by a mere change in the constitution of the firm of which Meghraj continued to be a partner, an inference as to sub-letting could not be drawn in the absence of further evidence having been adduced to establish sub-letting. In **Helper Girdharbhai v. Saiyed Mohmad Mirasaheb Kadri** the tenant had entered into a partnership and the firm was carrying on business in the tenancy premises. This Court held that if there was a partnership firm of which the

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*appellant was a partner as a tenant, the same would not amount to sub-letting leading to forfeiture of the tenancy; for there cannot be a sub-letting unless the lessee parted with the legal possession. The mere fact that another person is allowed to use the premises while the lessee retains the legal possession is not enough to create a sub-lease. Thus, the thrust is, as laid down by this Court, on finding out who is in legal possession of the premises. So long as the legal possession remains with the tenant the mere factum of the tenant having entered into partnership for the purpose of carrying on the business in the tenancy premises would not amount to sub-letting. In **Parvinder Singh v. Renu Gautam** a three-Judge Bench of this Court devised the test in these terms: (SCC p. 799, para 8)*

'8. ... If the tenant is actively associated with the partnership business and retains the use and control over the tenancy premises with him, maybe along with the partners, the tenant may not be said to have parted with possession. However, if the user and control of the tenancy premises has been parted with and deed of partnership has been drawn up as an indirect method of collecting the consideration for creation of sub-tenancy or for providing a cloak or cover to conceal a transaction not permitted by law, the court is not estopped from tearing the veil of partnership and finding out the real nature of transaction entered into between the tenant and the alleged sub-tenant.' "

23. In *Vaishakhi Ram v. Sanjeev Kumar Bhatiani*³⁸, one of us (Tarun Chatterjee, J.) in a case of **sub-letting under Section 14(1)(b) of the Delhi Rent Control Act, held: (SCC pp. 360 & 362, paras 15 & 21)**

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“15. ... A plain reading of this provision would show that if a tenant has sub-let or assigned or otherwise parted with the possession of the whole or any part of the premises without obtaining the consent in writing of the landlord, he would be liable to be evicted from the said premises. That is to say, the following ingredients must be satisfied before an order of eviction can be passed on the ground of sub-letting:

(1) the tenant has sub-let or assigned or parted with the possession of the whole or any part of the premises;

(2) such sub-letting or assigning or parting with the possession has been done without obtaining the consent in writing of the landlord.

...

21. It is well settled that the burden of proving sub-letting is on the landlord but if the landlord proves that the sub-tenant is in exclusive possession of the suit premises, then the onus is shifted to the tenant to prove that it was not a case of sub-letting.”

24. In *Nirmal Kanta v. Ashok Kumar*³⁹ this Court held thus: (SCC p. 727, para 16)

“16. What constitutes sub-letting has repeatedly fallen for the consideration of this Court in various cases and it is now well established that a sub-tenancy or a sub-letting comes into existence when the tenant inducts a third-party stranger to the landlord into the tenanted accommodation and parts with possession thereof wholly or in part in favour of such third party and puts him in exclusive possession thereof.

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The lessor and/or a landlord seeking eviction of a lessee or tenant alleging creation of a sub-tenancy has to prove such allegation by producing proper evidence to that effect. Once it is proved that the lessee and/or tenant has parted with exclusive possession of the demised premises for a monetary consideration, the creation of a sub-tenancy and/or the allegation of sub-letting stands established.”

25. *The legal position that emerges from the aforesaid decisions can be summarised thus:*

(i) In order to prove mischief of sub-letting as a ground for eviction under rent control laws, two ingredients have to be established, (one) parting with possession of tenancy or part of it by the tenant in favour of a third party with exclusive right of possession, and (two) that such parting with possession has been done without the consent of the landlord and in lieu of compensation or rent.

(ii) Inducting a partner or partners in the business or profession by a tenant by itself does not amount to sub-letting. However, if the purpose of such partnership is ostensible and a deed of partnership is drawn to conceal the real transaction of sub-letting, the court may tear the veil of partnership to find out the real nature of transaction entered into by the tenant.

(iii) The existence of deed of partnership between the tenant and alleged sub-tenant or ostensible transaction in any other form would not preclude the landlord from bringing on record material and circumstances, by adducing evidence or by means of cross-examination, making out a case of sub-letting or parting with possession in tenancy premises by the tenant in favour of a third person.

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(iv) If the tenant is actively associated with the partnership business and retains the control over the tenancy premises with him, may be along with partners, the tenant may not be said to have parted with possession.

(v) Initial burden of proving sub-letting is on the landlord but once he is able to establish that a third party is in exclusive possession of the premises and that tenant has no legal possession of the tenanted premises, the onus shifts to the tenant to prove the nature of occupation of such third party and that he (tenant) continues to hold legal possession in tenancy premises.

(vi) In other words, initial burden lying on the landlord would stand discharged by adducing prima facie proof of the fact that a party other than the tenant was in exclusive possession of the premises. A presumption of sub-letting may then be raised and would amount to proof unless rebutted."

14.3. From the above decisions, the essence of the law is that:

- (i) sub-letting requires parting with legal possession, i.e., transfer of the right to exclusive possession;
- (ii) mere induction or retirement of partners does not amount to sub-letting so long as the tenant retains control and legal possession;
- (iii) courts are entitled to lift the veil of partnership where it is used as a device to conceal an impermissible transfer; and
- (iv) once exclusive possession of a third party is established, the burden shifts to the tenant to prove that the arrangement is bona fide.

Thus, the determinative test is whether the original tenant continues to retain legal possession and control over the premises.

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- 14.4. It is not in dispute that Respondent No. 4 alone was the original tenant under the lease. The material on record indicates that he retired from the business around the year 2000. Significantly, no legally admissible evidence has been produced to establish either the factum of such retirement in accordance with law or that he continued to retain legal possession or control thereafter.
- 14.5. The respondents have failed to produce the original partnership deed, any duly proved retirement deed, or any document evidencing continuity of the original tenant firm. The alleged reconstitution deed (Ex. R3), apart from being unregistered, has not been proved in accordance with law and is shrouded in doubt. There is also no material to show that Respondent Nos. 2 and 3 were partners in the original tenant firm. Their induction into possession is, therefore not traceable to the original tenancy.
- 14.6. On the contrary, the material on record, including the cross-examination of RW-1, clearly demonstrates that the original tenant has ceased to have any role in the business or the premises, and that Respondent Nos. 2 and 3 are in exclusive possession and control. This satisfies the test of parting with possession, both in fact and in law, as explained in *Jagan Nath v. Chander Bhan*.
- 14.7. Once such exclusive possession by third parties is established, the burden shifts to the respondents to prove that the arrangement is a genuine partnership and not a device to conceal sub-letting. The respondents have failed to discharge this burden by producing any cogent or reliable evidence.
- 14.8. The mere fact that rent receipts may continue in the name of the original tenant does not advance the respondents' case, as it is legal possession and control and not the formality of rent payment, which is determinative.
- 14.9. In the present case, the original tenant has clearly divested himself of legal possession, and Respondent Nos. 2 and 3, who are strangers to the tenancy, are in exclusive occupation of the premises without the consent of the landlord. The so-called reconstitution is nothing but a cloak to conceal an unlawful transfer of possession, warranting lifting of the veil.

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- 14.10. Accordingly, the arrangement cannot be regarded as a bona fide reconstitution of partnership. It squarely amounts to unlawful sub-letting / assignment within the meaning of Section 27(2)(b)(ii) of the Karnataka Rent Act, 1999. Further, the continued occupation by Respondent Nos. 2 and 3 without any lawful right, attracts Section 27(2)(p) of the Act. The respondents are, therefore, liable to eviction.
15. For the reasons aforesaid, the Civil Appeal is allowed. The judgment and order dated 23.05.2023 passed by the High Court in House Rent Revision Petition No. 56 of 2017 is set aside and the order dated 14.07.2017 passed by the trial Court in H.R.C. No. 63 of 2016 directing eviction of the respondents from the schedule premises is restored. The respondents are granted three months' time from today to vacate and handover vacant possession of the premises to the appellants. There shall be no order as to costs.
16. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Divya Pandey

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v.
State of U.T. Chandigarh and Ors.

(Civil Appeal No. 4400 of 2026)

09 April 2026

[Sanjay Karol* and Nongmeikapam Kotiswar Singh, JJ.]

Issue for Consideration

The appellant herein sought removal of encroachments on public paths, roads and public property made by fruit vendors, rehri vendors, hawkers, squatters and other vendors which are creating nuisance, traffic hazards, hinderances in free use of paths.

Headnotes[†]

Constitution of India – Art.19(1)(g), Art.19(6) – Street Vendors (Protection of Livelihood and Regulation of Street Vending) Act, 2014 – Street vendors – Encroachment on public paths, roads and public property – The instant appellant had filed the writ petition seeking removal of of encroachments on public paths, roads and public property made by fruit vendors, rehri vendors, hawkers, squatters and other vendors – The High Court dismissed the petition – Correctness:

Held: The Commissioner, Municipal Corporation, Chandigarh has filed an affidavit – It records that a certain number of challans have been issued and certain unauthorised vendors have been removed from the area – It is also submitted that all illegal street vendors have been removed and only those who possessed the license and are in the category of essential service providers or mobile vendors have been permitted – Still further, it is submitted that officers of the Enforcement Wing shall be continually deployed in the area to ensure no encroachment takes place in the area – However, any action by the State that disrupts this livelihood must therefore be carried out with care, fairness, and a clear sense of responsibility – If vending zones have already been identified and designated, it is not enough for the authorities to simply point to their existence – Removing vendors from familiar locations, even for legitimate public reasons such as easing congestion or

* Author

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improving urban order, creates an immediate need for support – Let the State clearly clarify the existing information available at the defined vending zones which in any event have to be acceptable to all concerned – When vendors are removed without any real help in relocating, the hardship caused is out of proportion to the regulatory goal, and such an exercise risks becoming punitive rather than orderly – The State has a duty to actively support their transition to these zones in accordance with the law – The State is required to undertake efforts to let residents know that the shops have been shifted, *i.e.*, have awareness drives that would divert the customers to the designated area – Direction issued to file an affidavit with relevant details. [Paras 10, 11, 12, 13]

Constitution of India – Art.19(1)(g), Art.19(6) – Street vending – Reasonable restrictions by the State:

Held: The Constitution of India, through Art. 19(1)(g), guarantees every citizen the right to practise any profession or to carry on any occupation, trade, or business – Street vending falls squarely within this protection – At the same time, this right is not absolute – Art. 19(6) permits the State to impose reasonable restrictions in the interests of the general public – This balance between individual freedom and collective welfare lies at the heart of the constitutional scheme. [Para 2]

Constitution of India – Art.21 – Street vendors – Encroachment on public places – Balancing competing rights of street vendors and other residents:

Held: The Constitution does not permit placing one group's rights over others; instead, it mandates that the State should mediate competing interests – Mediating competing interests requires a constitutional approach which takes the form of regulation of rights rather than blanket restrictions or indiscriminate eviction – Processes to be adopted in such an approach include clearly identified vending zones, transparent licensing processes, and regular consultations with vendor groups and resident welfare associations – Taking the diametrically opposite approach of heavy-handed crackdowns, removal without warning or using heavy machineries to remove semi-permanent structures is in a way, destruction of livelihoods offensive to the spirit of dignity u/Art.21. [Paras 3 and 4]

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Case Law Cited

Olga Tellis v. Bombay Municipal Corpn. [1985] **Supp. 2 SCR 51** : (1985) **3 SCC 545**; *S. Rajaseekaran v. Union of India* [2025] **10 S.C.R. 311** : (2026) **2 SCC 207**; *Sodan Singh v. New Delhi Municipal Committee* [1989] **3 SCR 1038** : (1989) **4 SCC 155**; *Ahmedabad Municipal Corpn. v. Nawab Khan Gulab Khan* [1996] **Supp. 7 SCR 548** : (1997) **11 SCC 121**; *Sudhir Madan v. MCD* [2007] **7 SCR 1** : (2009) **17 SCC 332**; *Gainda Ram v. MCD* [2010] **12 SCR 996** : (2010) **10 SCC 715**; *Saudan Singh v. NDMC* [1992] **2 SCR 243** : (1992) **2 SCC 458**; *Maharashtra Ekta Hawkers Union v. Municipal Corpn., Greater Mumbai* [2013] **9 SCR 742** : (2014) **1 SCC 490** – referred to.

List of Acts

Street Vendors (Protection of Livelihood and Regulation of Street Vending) Act, 2014; Constitution of India.

List of Keywords

Street Vendors; Rights of street vendors; Encroachment; Nuisances; Survival; Article 19(1)(g) of Constitution of India; Article 19(6) of Constitution of India; Reasonable restrictions; Livelihoods; Vending zones; Social protection; Arbitrary eviction; Competing rights.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4400 of 2026

From the Judgment and Order dated 23.05.2025 of the High Court of Punjab & Haryana at Chandigarh in CWP No. 10327 of 2022.

Appearances for Parties

Advs. for the Appellant(s):

Ms. Mallika Prabhakar, Gorang Goyal, Navraj Guron, Anmol Ratan Dhillon.

Advs. for the Respondent(s):

Anant Vijay Palli, Sr. Adv., Krishna Kant Dubey, Bhuvan Kapoor, Varun Chugh, Santosh Ramdurg, Shreekant Neelappa Terdal, Shubham Bhalla, Ms. Ragini Sharma, Ms. Neha Verma, Alex Noel Dass, Chiranjeev Sugandh, Himansh Trehan, Jasbik Singh, Vishal Arun Mishra, Anish Venkatesh Bindlish, Bhavya Sharma.

Malkit Singh and Anr. v. State of U.T. Chandigarh and Ors.**Judgment / Order of the Supreme Court****Judgment****Sanjay Karol, J.**

Leave granted.

PRELUDE

2. To conceive of street vendors as units that can be removed or relocated at the '*drop of a hat*' would be an incorrect use of power, either judicial or administrative. They are not solely economic units; they are people trying to earn an honest living in cities that often offer them few, if any, alternatives. For many, street vending is not a choice but a necessity that allows them to support their families, educate children, and survive in an increasingly expensive urban environment.

The Constitution of India, through Article 19(1)(g), guarantees every citizen the right to practise any profession or to carry on any occupation, trade, or business. Street vending falls squarely within this protection. At the same time, this right is not absolute. Article 19(6) permits the State to impose reasonable restrictions in the interests of the general public. This balance between individual freedom and collective welfare lies at the heart of the constitutional scheme.

3. Problems arise when this balance is lost. Unregulated street vending can spill into residential neighbourhoods, footpaths, and roads, making everyday life harder for others. They should be able to walk safely on pavements, access their homes without obstruction, and enjoy public spaces without permanent encroachments. Public land being occupied indefinitely, without oversight, creates a sense of unfairness and fuels conflict. Recognising the right of vendors under Article 19 to carry out their trade cannot be equated to a right to set up shops anywhere and then claim ownership over that public space. If such a situation is countenanced both the rule of law and urban planning policies would go '*out the window*'. The Constitution does not permit placing one group's rights over others; instead, it mandates that the State should mediate competing interests.
4. Mediating competing interests requires a constitutional approach which takes the form of regulation of rights rather than blanket

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restrictions or indiscriminate eviction. Processes to be adopted in such an approach include clearly identified vending zones, transparent licensing processes, and regular consultations with vendor groups and resident welfare associations. Taking the diametrically opposite approach of heavy-handed crackdowns, removal without warning or using heavy machineries to remove semi-permanent structures is in a way, destruction of livelihoods offensive to the spirit of dignity under Article 21. Ultimately, the task is balancing competing rights of street vendors and other residents, and it is not asking the question whether street vendors belong in cities, since they clearly do.

THE APPEAL

5. This appeal is directed against a judgment and order dated 23rd May 2025, passed in CWP No. 10327 of 2022, passed by the High Court of Punjab and Haryana at Chandigarh. The instant appellant had filed the writ petition in his capacity as the President of the Manimajara Vyaapar Mandal seeking, essentially, the

“removal of encroachments on public paths, roads and public property made by fruit vendors, rehri vendors, hawkers, squatters and other vendors which are creating nuisance, traffic hazards, hinderances in free use of paths...”

6. The High Court dismissed the petition, imposing cost on the associations represented by the instant appellant to the tune of Rs. 50,000 each.

“17. Before we close the case, we are of the firm view that the street vendors and their families, who are depositing fee with the Municipal Corporation for the certificate being given to them for vending, also need to provided some social protection. The amount so recovered by the Municipal Corporation should, therefore, be used for their benefits alone and should be kept in a separate budget head, and as a suitable insurance for them, including medical facilities, should be provided by the Municipal Corporation, U.T. Chandigarh, and Rules in this regard should be framed.

18. At the same time, this Court also notices that the Street Vending Act and the benefits which it meant to give to the genuine street vendors is also being misused

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by a certain set of persons, and even the shopkeepers themselves setup hawkers' stall in front of their shops selling their own items, At the same time, a certain group of people use wrongful means to get their name entered in the survey registers and illegally get sites registered for hawkers purposely. Such misuse of law deserves to be dealt with by an iron hand a will to execute the provisions of law with integrity and dutifully."

As such, the appeal is before us.

RELEVANT PROVISIONS AND JUDICIAL PRONOUNCEMENTS

7. At the outset we must take note of the provisions of The Street Vendors (Protection of Livelihood and Regulation of Street Vending) Act, 2014¹. This is a comprehensive legislation dealing with street vendors, their regulation, rights and obligations, dispute resolution, the constitution of the town vending committee, penal provisions and prevention of harassment etc. The relevant Sections thereof are reproduced below for ready reference:

"2(d) "mobile vendors" means street vendors who carry out vending activities in designated area by moving from one place to another place vending their goods and services;

...

...

...

2(l) "street vendor" means a person engaged in vending of articles, goods, wares, food items or merchandise of everyday use or offering services to the general public, in a street, lane, sidewalk, footpath, pavement, public park or any other public place or private area, from a temporary built up structure or by moving from place to place and includes hawker, peddler, squatter and all other synonymous terms which may be local or region specific; and the words "street vending" with their grammatical variations and cognate expressions, shall be construed accordingly;

...

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2(n) “vending zone” means an area or a place or a location designated as such by the local authority, on the recommendations of the Town Vending Committee, for the specific use by street vendors for street vending and includes footpath, side walk, pavement, embankment, portions of a street, waiting area for public or any such place considered suitable for vending activities and providing services to the general public.

12. Rights of street vendors.—(1) Every street vendor shall have the right to carry on the business of street vending activities in accordance with the terms and conditions mentioned in the certificate of vending. (2) Notwithstanding anything contained in sub-section (1), where any area or space, as the case may be, has been earmarked as no-vending zone, no street vendor shall carry out any vending activities in that zone.

14. Duty of street vendors.—Where a street vendor occupies space on a time sharing basis, he shall remove his goods and wares every day at the end of the time-sharing period allowed to him.

17. Payment of maintenance charges.—Every street vendor shall pay such periodic maintenance charges for the civic amenities and facilities provided in the vending zones as may be determined by the local authority.

21. Plan for street vending.—(1) Every local authority shall, in consultation with the planning authority and on the recommendations of the Town Vending Committee, once in every five years, prepare a plan to promote the vocation of street vendors covering the matters contained in the First Schedule. (2) The plan for street vending prepared by the local authority shall be submitted to the appropriate Government for approval and that Government shall, before notifying the plan, determine the norms applicable to the street vendors.

27. Prevention of harassment by police and other authorities.—Notwithstanding anything contained in any other law for the time being in force, no street vendor who carries on the street vending activities in accordance with

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the terms and conditions of his certificate of vending shall be prevented from exercising such rights by any person or police or any other authority exercising p

28. Penalty for contraventions.—If any street vendor—

(a) indulges in vending activities without a certificate of vending;

(b) contravenes the terms of certificate of vending; or

(c) contravenes any other terms and conditions specified for the purpose of regulating street vending under this Act or any rules or schemes made thereunder, he shall be liable to a penalty for each such offence which may extend up to rupees two thousand as may be determined by the local authority.

33. Act to have overriding effect.—The provisions of this Act shall have effect notwithstanding anything in consistent there in contained in any other law for the time being in force or in any instrument having effect by virtue of any law other than this Act.”

8. Section 37 of SVA grants the power to local authorities to make byelaws in furtherance of the objectives of the Act. The respondent accordingly notified byelaws termed The Street Vendors (Protection of Livelihood and Regulation of - Street Vending) Municipal Corporation, Chandigarh Bye Laws 2018² for the Municipal Corporation, Chandigarh. Since the present appeal pertains to the actions taken by the respondent and with the same needing to be in conformity with these byelaws, relevant provisions are as follows:

“2(d) ‘Essential Service Providers means those street vendors who are providing essential services within the vicinity e.g. cobbler, milk/bread egg seller, tea vendor, cycle/ rickshaw repairer, dhobi (ironing), barber, Tandoor, Chole Bhature, Kulche Chhole and Parantha, fruits and vegetables and the florists sitting outside the religious places like Mandir and Gurudwara³;

² bye-laws

³ as amended in 2020

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2(r) “Public Purpose” includes in the context of the Act (i) widening of streets, lanes (ii) shifting the alignment of roads, streets, lanes; (iii) erecting flyovers with or without clover leaves and slip down reads: (iv) erecting of underpasses, (v) development of land owned by public authorities for some public projects; (vi) laying of water, storm water or sewer lines; (vii) erecting intermediate pumping stations for the services: (viii) any project related with public transport like BRTS, metro etc; (ix) erection of economically weaker section (EWS) housing; (x) creation, of parks, gardens and recreational area; (xi) conservation of any eco system resource in that area and (xii) any other development work taken by the local authority, the beneficiary of which will be the community at last.

2(z) “Vending Zone” means an area or a place or a location designated as such by the local authority, on the recommendation of the Town Vending Committee, for the specific use by street vendors for street vending and includes footpath, sidewalk, pavement, embankment, portions of a street, waiting area for public or any such place considered suitable for vending activities and providing services to general public.

2(ac) “License” means Certificate of Vending;

4. A Registered Street Vendor, for any of these vending zones, shall not.- (a) obstruct or interfere with vehicle, bicycle or pedestrian traffic or their safety:

(b) obstruct or interfere with doorways, entrances, fire doors or emergency exits adjacent to the street:

(c) obstruct or interfere with any utilities like water supply, sewerage, telephone, electricity etc or similar installation;

(d) obstruct or interfere with any other structure, signboards, display units, city work or operations, on or adjacent to the street;

(e) sell any prohibited goods /pirated or services or merchandise etc as per rules, regulations and notifications issued by any statutory authority from time to time;

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(f) occupy more space than allotted by Municipal Corporation Chandigarh; TVC;

(g) sell goods or service or merchandise between 6 A.M.-10 A.M. as specified by the

(h) dispose garbage in an un-segregated manner and in any place other than specific place, which is identified by the local authority;

(i) sell their goods or services or merchandise after expiry of the license;

(j) use loud speakers, megaphones, sound system or any other amplification equipment;

(k) allow any person other than family to vend from his vending place or sublet the place, allotted by local authority;

(l) use any unauthorized and prohibited mechanism for energy requirement in public place,

crowded area for cooking and heating purposes example open tandoor and domestic LPG;

(m) construct any permanent or temporary structures on allotted space;

(n) use banned polythene bags of any kind.

5. Responsibility of registered Street Vendors. A Registered Street Vendor, for any of these vending zones, shall-

(a) do vending on the place as specified in the vending certificate by him/herself;

(b) comply with all conditions specified in the certificate;

(c) prominently display the ID card and certificate of vending at all times;

(d) ensure that he/she whose name has been mentioned including immediate family member in the vending certificate remains present at the vending place during vending hours;

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- (e) keep the vending place clean and in good conditions all times;
- (f) comply with all the safety and sanitary requirements of local authority;
- (g) comply with all the requirements of the Food Adulteration Act or any other act as applicable;
- (h) produce the certificate of vending when demanded by the government authorities including Municipal Corporation, Chandigarh, Chandigarh Police and Traffic Police;
- (i) follow all the requirements of this bye-laws and conditions mentioned in the vending certificate.
- (j) clear and remove goods, wares and articles everyday at the end of vending hours from the site, no storage at vending site is permitted in any manner;
- (k) use recommended fire safety devices/equipment's in case of registered food street vendors for heating purposes by using commercial LPG (less than 5 Kg. Cylinder) connections and also in case of other vendors selling combustible products;
- (l) use tandoor only in case of community tandoor set up in residential area with arrangements of fire safety equipment's and away from residential building (private and government both);
- (m) abide by all the rules, notifications and regulations issued by any statutory authorities from time to time."

Clause 8 of these byelaws postulates the penalty which is to be paid by the registered street vendor for violation of the provisions of the byelaws or SVA itself. The *first three* violations entail a monetary penalty, *fourth* results in suspension of the license for three months, *fifth* leads to cancellation. If a person carries out unauthorised vending, the fine given is Rs 10,000.

9. At this stage, it would be apposite to consider various pronouncements dealing with street vendors, hawkers and other allied issues. This question has engaged judicial attention repeatedly, right from

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Olga Tellis v. Bombay Municipal Corpn.⁴ to ***S. Rajaseekaran v. Union of India***⁵. Some of the pronouncements are discussed below:

- 9.1 In ***Olga Tellis*** (supra), the Constitution Bench held in the context of the Bombay Municipal Corporation Act, that no person has a right to encroach on footpaths or pavements by erecting a structure or otherwise since they are reserved for a public purpose.
- 9.2 In ***Sodan Singh v. New Delhi Municipal Committee***⁶, the Constitution Bench, observed that no person can claim a right to hawk or squat at a particular place on a permanent basis. Kuldip Singh J., in the same judgment held that hawking or street vending was a profession/trade protected under Article 19(1)(g) and would therefore necessarily be subject to Article 19(6).
- 9.3 In ***Ahmedabad Municipal Corpn. v. Nawab Khan Gulab Khan***⁷, a co-ordinate Bench discussed the duties owed by a Municipal Corporation towards its citizens, while recognising twenty years ago that rural-urban migration is a reality that has to be contended with and that encroachment '*undoubtedly obstructs and upsets planned development, ecology and sanitation. Public property needs to be preserved and protected.*'. *Inter-alia* they are responsible for **(a)** prevent encroachment on pavements and footpaths; **(b)** provide free flow of traffic both vehicular and pedestrian; and **(c)** taking steps to remove encroachments as soon as they are noticed.
- 9.4 In ***Sudhir Madan v. MCD***⁸ this Court recognised that hawkers however large in number cannot compromise the rights of other citizens. The administration of the area has to provide them with the opportunity to earn their livelihood in a way that is consistent with the rights vested in other citizens.

4 (1985) 3 SCC 545

5 (2026) 2 SCC 207

6 (1989) 4 SCC 155

7 (1997) 11 SCC 121

8 (2009) 17 SCC 332

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- 9.5 In ***Gainda Ram v. MCD***⁹, it was held with reference to the earlier decision in ***Saudan Singh v. NDMC***¹⁰ that when the Court is concerned with a matter dealing with the livelihood of large number of families, it should adopt a compassionate approach so as to ensure that the parties who were in that case hawkers/squatters, are not denied ‘*their daily bread at the altar of technicalities*’.
- 9.6 In ***Maharashtra Ekta Hawkers Union v. Municipal Corpn., Greater Mumbai***¹¹, this Court shed light on the fact that street vendors/hawkers do not always receive the best or even acceptable treatment from the authorities of the State despite the important role they play in the ordinary lives of the ordinary citizens and everyday city economy. It was acknowledged that this Court has through various decisions struggled to find “*workable solution*”, balancing the competing rights alluded to above.

CONSIDERATION

10. This Court issued notice and granted a stay on the operation of the impugned judgment on 4th August 2025. By Order dated 19th November 2025, the Commissioner, Municipal Corporation, Chandigarh, was asked to file their personal affidavit in response to the grievance raised by the appellant. Mr. Amit Kumar, holder of the said position, filed his affidavit on 3rd December 2025. We have perused the said affidavit. It records that a certain number of challans have been issued and certain unauthorised vendors have been removed from the area. To be precise, a total of 1024 challans stood issued between 1st August and 30th November 2025. It is also submitted that all illegal street vendors have been removed and only those who possessed the license and are in the category of essential service providers or mobile vendors have been permitted. Still further, it is submitted that officers of the Enforcement Wing shall be continually deployed in the area to ensure no encroachment takes place in the area.

9 (2010) 10 SCC 715

10 (1992) 2 SCC 458

11 (2014) 1 SCC 490

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11. While the efforts carried out thus far have apparently borne results and are therefore appreciable, it is a matter of concern for us whether all relevant efforts have been made to regularize such hitherto illegal vendors, including those who are not before us, by granting them space in designated vending zones so as to ensure minimum disruption to their livelihood in the long term. Any action by the State that disrupts this livelihood must therefore be carried out with care, fairness, and a clear sense of responsibility.

If vending zones have already been identified and designated, it is not enough for the authorities to simply point to their existence. Removing vendors from familiar locations, even for legitimate public reasons such as easing congestion or improving urban order, creates an immediate need for support. Vending zones are meant to provide a lawful and workable alternative, and that purpose is lost if displaced vendors are left uncertain, uninformed, or unable to access these spaces in practice. Let the State clearly clarify the existing information available at the defined vending zones which in any event have to be acceptable to all concerned.

12. This kind of assistance is not an act of generosity. It reflects a basic respect for the right to earn a living and to carry on a lawful occupation. When vendors are removed without any real help in relocating, the hardship caused is out of proportion to the regulatory goal, and such an exercise risks becoming punitive rather than orderly.

In essence, if vendors are displaced through encroachment drives and lawful vending zones are available, the State has a duty to actively support their transition to these zones in accordance with the law. Doing so upholds both the spirit of regulation and the human reality of those whose lives depend on street vending.

13. It is also to be recognized that forcible shifting or removal of encroachments, while it may be entirely in accordance with law, disrupts the customer base that comes with the shop being located at a particular area. The State is required to undertake efforts to let residents know that the shops have been shifted, i.e., have awareness drives that would divert the customers to the designated area. Let an affidavit be filed with the relevant details, within two weeks of this order.
14. Let the respondent(s) file an affidavit also indicating the number of applications filed and the current status in terms of our order dated

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17th December 2025, insofar as the status of the cases pending before the High Court, as also the Grievance Redressal Committee.

15. Let the matter appear in the list on 27th April 2026 for further consideration and passing of orders on the affidavits filed in compliance of this Order.

Result of the case: Directions issued.

[†]Headnotes prepared by: Ankit Gyan

[2026] 4 S.C.R. 565 : 2026 INSC 355

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v.

The State of Maharashtra

(Criminal Appeal No. 1893 of 2026)

10 April 2026

[J.K. Maheshwari* and Atul S. Chandurkar, JJ.]

Issue for Consideration

Whether the Appellants are entitled to the benefit of ss.3 and 4 of the Probation of Offenders Act, 1958, and if so, to what extent; whether the benefit of s.4 of the 1958 Act is available to an offender who has been sentenced only with payment of fine, and not to any term of imprisonment.

Headnotes[†]

Probation of Offenders Act, 1958 – ss.3, 4 – Power of court to release certain offenders after admonition or on probation of good conduct – Penal Code, 1860 – s.53 – Bharatiya Nyaya Sanhita (BNS), 2023 – s.4 – Benefit of ss.3 and 4, 1958 Act – Entitlement to – Appellants were convicted u/ss.323 and 324 r/w s.34, IPC and sentenced to pay a fine of only Rs.500/- and Rs.2000/- – If entitled to the benefit of ss.3 and 4 – Respondent-State objected to extending the benefit contending that the expression used ‘release of the offender’ in s.4 has some significance and since, the Appellants were not sentenced of imprisonment but were fined, therefore, passing an order of release in this case is not possible:

Held: For an offender, the punishments may include the death, imprisonment for life, imprisonment, forfeiture of property, fine and community service in terms of the recent addition in BNS – Since ss.3 and 4 govern acts committed by an offender in relation to the specific punishments prescribed under the IPC, BNS and any other law, these provisions must naturally extend to sentences including fine – Therefore, any reference to ‘punishment’ in 1958 Act has to be construed as per enumeration contained in s.53 of IPC and s.4 of BNS and should undoubtedly include ‘fine’ as well – Plea of the State that s.4 of 1958 Act is inapplicable in case

* Author

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sentence consist solely of a fine, is devoid of merit – Benefit of s.4 is available to an offender who has been sentenced only to payment of fine – Furthermore, the expression ‘release’ used in s.4 cannot mean release only from custody – It has to be read as releasing from the obligation to serve sentence of payment of fine – Therefore, ‘release’ as contained in s.4 of 1958 Act should be read as to set the offender at liberty from receiving sentence, even of fine only – Appellants were convicted u/s.323 and 324 of IPC and the allegations as proved relate to assault upon the persons belonging to same locality – They were sentenced to pay a fine of only Rs. 500/- u/s.323 and Rs. 2000/- u/s.324 of IPC, no imprisonment was awarded – There is no subsequent or prior involvement of the Appellants in commission of any offence, only present criminal case has been registered against them – They are employed with State Government – Appellants have not committed an offence involving moral turpitude – Benefit of s.3 and s.4 extended to the Appellants – Code of Criminal Procedure, 1973 – s.360. [Paras 24-26, 40-43]

Probation of Offenders Act, 1958 – ss.3, 4, 12 – Power of court to release certain offenders after admonition – Power of court to release certain offenders on probation of good conduct – Removal of disqualification attaching to conviction:

Held: Once the benefit either u/s.3 or s. 4 has been granted to an offender, it would entail the benefit of removal of disqualification, if any, attaching to the conviction – Thus, in case a person has been released after admonition u/s.3 or on probation of good conduct u/s.4, they shall not face a disqualification attaching to such conviction – In the present case, since all the Appellants have been extended the benefit u/ss.3 and 4, they shall not incur any disqualification affecting their service career, if any, arising out of the conviction, in terms of s.12. [Paras 18, 19]

Interpretation of Statutes – Probation of Offenders Act, 1958 – A beneficial legislation, to be interpreted in a purposive manner:

Held: 1958 Act is a beneficial legislation, therefore, keeping the legislative intent in mind, its provisions ought to be interpreted in a purposive manner – If two or more views are possible *vis-à-vis* interpretation of a beneficial legislation, it must be interpreted in favour of beneficiaries – Object and purpose of the 1958 Act, discussed. [Paras 11, 13]

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Probation of Offenders Act, 1958 – ss.3, 4 – Power of court to release certain offenders after admonition or on probation of good conduct – Relevant factors to be taken into consideration while passing orders u/ss.3 and 4. [Paras 36, 39]

Probation of Offenders Act, 1958 – ss.3, 4 – Code of Criminal Procedure, 1973 – s.360 – Power of court to release certain offenders after admonition – Power of court to release certain offenders on probation of good conduct – Order to release on probation of good conduct or after admonition – Different framework of s.360, CrPC vis-à-vis ss.3,4, 1958 Act as regards the scope and structure, discussed. [Paras 28, 29, 33]

Probation of Offenders Act, 1958 – ss.3, 4 – Benefit of, when available to an offender, stated. [Paras 14-19]

Words and Phrases – Expression ‘release’ in s.4, Probation of Offenders Act, 1958 – Meaning. [Para 26]

Case Law Cited

Rattan Lal v. State of Punjab [1964] 7 SCR 676 : 1964 SCC OnLine SC 40; *Ved Prakash v. State of Haryana* [1981] 1 SCR 1279 : (1981) 1 SCC 447; *Mohd. Hasim v. State of Uttar Pradesh* [2016] 9 SCR 953 : (2017) 2 SCC 198; *Bharat Singh v. New Delhi Tuberculosis Centre* [1986] 2 SCR 169 : (1986) 2 SCC 614; *Kerala Fishermen’s Welfare Fund Board v. Fancy Food* [1995] 3 SCR 785 : (1995) 4 SCC 341; *Union of India v. Prabhakaran Vijaya Kumar* [2008] 7 SCR 673 : (2008) 9 SCC 527; *Bombay Anand Bhavan Restaurant v. ESI Corpn.* [2009] 13 SCR 1139 : (2009) 9 SCC 61; *Sanjay Dutt (A-117) v. State of Maharashtra* [2013] 16 SCR 368 : 2013 SCC OnLine SC 252; *Lakhanlal v. State of M.P.* (2021) 6 SCC 100; *State of Maharashtra v. Jagmohan Singh Kuldip Singh Anand* (2004) 7 SCC 659; *Dalbir Singh v. State of Haryana* [2000] 3 SCR 1000 : (2000) 5 SCC 82 – referred to.

Books and Periodicals Cited

Advanced Law Lexicon – referred to.

List of Acts

Probation of Offenders Act, 1958; Penal Code, 1860; Code of Criminal Procedure, 1973; Bhartiya Nagarik Suraksha Sanhita, 2023; Bhartiya Nyaya Sanhita, 2023.

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List of Keywords

Section 3 of the Probation of Offenders Act, 1958; Section 4 of the Probation of Offenders Act, 1958; Sections 12 of the Probation of Offenders Act, 1958; Release offenders after admonition; Release offenders on probation of good conduct; Removal of disqualification attaching to conviction; Released after admonition; Released on probation of good conduct Offender sentenced only with payment of fine; Offenders sentenced with 'fine only'; Offender sentenced to pay fine; No imprisonment awarded; Benefit of Section 4 of 1958 Act; Offender sentenced only to payment of fine; Only payment of fine; Offender not sentenced to any term of imprisonment; 'release'; 'punishment'; 'fine'; Section 53 of IPC; Section 4 of BNS; Section 360, Code of Criminal Procedure, 1973; Beneficial legislation; Purposive interpretation; Reformatory approach.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No(s). 1893 of 2026

From the Judgment and Order dated 26.02.2024 of the High Court of Judicature at Bombay at Aurangabad in CRLA No. 506 of 2023.

Appearances for Parties

Advs. for the Appellant(s):

Amol B. Karande, Vishal Jogdand, Ashutosh Srivastava, Ms. Akshada, B. Lakshmi Pallesh, Rajiv Agnihotri.

Advs. for the Respondent(s):

Ms. Rukhmini Bobde, Siddharth Dharmadhikari, Aaditya Aniruddha Pande, Shrirang B. Varma, Vinayak Aren, Jatin Dhamija, Ms. Aiswharya Nigam.

Judgment / Order of the Supreme Court

Judgment

J.K. Maheshwari, J.

1. Leave granted.
2. Present appeal is against the final judgment and order dated 26.02.2024 of the High Court of Judicature at Bombay, Bench at

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Aurangabad (*hereinafter*, '**High Court**'), in Criminal Appeal No. 506 of 2023. The High Court upheld the conviction and sentence for the charge of Sections 323 and 324 read with Section 34 of the Indian Penal Code (*hereinafter*, '**IPC**'), as determined by the Special Judge (POCSO), Beed. The Trial Court, as affirmed by the High Court, imposed sentences, whereby Appellant Nos. 1, 2 and 3 (*hereinafter*, '**A-1, A-2 and A-3**' respectively) were each directed to pay a fine of Rs. 500/- under Section 323, with default stipulation of 15 days' simple imprisonment; and a fine of Rs. 2000/- under Section 324, with default stipulation of one-month simple imprisonment, both read with Section 34 of IPC. Appellant No. 4 (*hereinafter*, '**A-4**') was directed to pay a fine of Rs. 500/- under Section 323 read with Section 34 of IPC, with a default stipulation of 15 days' simple imprisonment. The present appeal has been preferred assailing the aforesaid findings.

FACTS IN BRIEF

3. It is the case of prosecution that the victim, a 17-year-old girl, was at her home during Diwali vacation. On 02.11.2019, at around 8.30 A.M. while she was standing outside her house, the accused persons approached her. A-1 grabbed her hand, pressurized her for relationship and gave proposal of marriage since her father wasn't agreeing. Upon which she screamed and her grandmother as well as sister came out and confronted the Appellants. At that moment, A-2 assaulted the sister, and A-3 pushed the grandmother. Thereafter, the victim informed about the incident to her father at his nearby garage. At about 9:30 A.M, all five accused (including one accused who was acquitted by the Trial Court) arrived in a white Sumo vehicle and attacked the father of the victim. A-2 struck on the head by iron *tambi*, A-1 hit on leg with an iron rod, A-3 beat with a wooden stick, A-4 assaulted with fists and kicks, while co-accused Dayabai instigated them. During the incident, ₹2,000 fell from the father's pocket. Bystanders rescued him and took the family to the police station. The injured father was referred to a Government Hospital. An FIR of the incident was registered on 02.11.2019 as Crime No. 190/2019 under sections 143, 147, 148, 149, 324, 323, 354-A, 504, 506 of IPC and sections 8 and 12 of POCSO, 2012. Learned Trial Court acquitted accused Dayabai for all the charges while other accused persons, who are Appellants before us, were acquitted for all the charges except as specified in paragraph (2) above. Upon

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filing appeal, the High Court *vide* the impugned order dismissed the same, hence, the present appeal.

4. In this Criminal Appeal, notice was issued *vide* order dated 17.05.2024, however, when it was listed on 11.12.2024, learned counsel for the Appellants submitted that they do not wish to press the appeal on merits and urged to consider benefit of Sections 3 and 4 read with Sections 12 of the Probation of Offenders Act, 1958 (*hereinafter*, '**1958 Act**').

ARGUMENTS ADVANCED

5. Mr. Amol B. Karande, learned counsel for the Appellants, has contended that present is a fit case to grant benefit of Sections 3 and 4 read with Section 12 of 1958 Act. In support, reliance was placed on ***Rattan Lal v. State of Punjab***¹, submitting that 1958 Act recognizes the reformatory theory of punishment and object of the penal law is more to reform the individual offender than to punish. It has also been said that it is the duty of the sentencing court to be activist enough to collect such facts bearing in mind the rehabilitative approach, as has been observed in ***Ved Prakash v. State of Haryana***².
6. In reference to the fact and looking at the nature of offences, i.e., voluntarily causing hurt and voluntarily causing hurt by dangerous weapons, it is contended that the Appellants may be released after admonition or on probation of good conduct. Placing reliance upon the decision of this Court in ***Mohd. Hasim v. State of Uttar Pradesh***³, it has been argued that Sections 3 and 4 of the 1958 Act vests discretionary power on Court to release a convict on probation of good conduct on bond with or without sureties, even at the appellate or revisional stage. It is further argued that the word '*expedient*' used in Sections 3 and 4 ought to be construed in its widest amplitude to mean what is apt, suitable, and appropriate to the end in view. In the facts and circumstances of the present case, releasing the Appellants on a bond of good conduct would be entirely consistent with the letter and the spirit of the enactment. As such Appellants

1 1964 SCC OnLine SC 40

2 (1981) 1 SCC 447

3 (2017) 2 SCC 198

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may be released after admonition or on probation on bond with or without sureties as may be deemed fit.

7. *Per contra*, learned counsel appearing for the State submitted that the conviction and sentence imposed by the Trial Court, as confirmed up to the High Court *vide* impugned judgment does not warrant interference. The benefit of the 1958 Act is being sought mainly on the ground that it may cause prejudice in employment to A-1 and A-4 who are in government service, rather than on any genuine merits warranting probation.
8. It has further been contended with respect to applicability of Section 3 that the A-4, who has been sentenced under Section 323 IPC only may be benefitted. A-1, A-2 and A-3, who stand convicted under Section 324 IPC fall outside the scope of benefit under Section 3, as claimed. It has been vehemently argued that the true import and object of Section 4 is to spare an offender from incarceration and shield them from the deleterious effects of jail life, postponing the receiving of sentence for a period not exceeding three years; unlike Section 3, which expunges the imprisonment itself. Since A-1, A-2 and A-3 have been sentenced only for payment of fine and not to any term of imprisonment, the very premise underlying Section 4 is absent in this case. Therefore, it has been urged, the prayer for probation qua A-1, A-2 and A-3 is wholly unjustified and liable to be rejected at threshold.

ANALYSIS

9. In light of the arguments advanced and, in the facts of the present case, issues that fall for our consideration are - **(i)** *Whether the Appellants are entitled to the benefit of Sections 3 and 4 of the 1958 Act, and if so, to what extent?*; **(ii)** *Whether the benefit of Section 4 of the 1958 Act is available to an offender who has been sentenced only with payment of fine, and not to any term of imprisonment?*
10. Since the Appellants have pressed this appeal limited to the grant of benefit under the 1958 Act, therefore, to understand the intent of the provisions of the said Act and the extent to which it may be allowed to an offender who requires to be punished, including by way of fine only, both the issues are dealt with simultaneously and in reference to the provisions of the 1958 Act, the Code of Criminal Procedure, 1973 (*hereinafter*, '**CrPC**'), the Bhartiya Nagarik Suraksha Sanhita,

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2023 (*hereinafter*, ‘**BNSS**’), the IPC and the Bhartiya Nyaya Sanhita, 2023 (*hereinafter*, ‘**BNS**’).

11. At the outset, it is required to be noted that 1958 Act is a beneficial legislation, therefore, keeping the legislative intent in mind, its provisions ought to be interpreted in a purposive manner. It is trite law that if two or more views are possible vis-a-vis interpretation of a beneficial legislation, it must be interpreted in favour of beneficiaries.⁴ The objects clause of the 1958 Act declares the act to provide for the release of offenders on probation or after due admonition and the matters connected therewith. While introducing the Probation of Offenders Bill, 1957 to the Lok Sabha on 14.11.1957, the then Minister of State for Home Affairs remarked as follows –

*“On a number of occasions, the Inspector-General of Prisons in the various States have met. From 1925 onwards there were a number of meetings and the Inspectors-General who are in close touch with the life of the convict behind the prison bars found that oftentimes the particular rigour to which the convict has been subjected or the life that he leads there produces certain results other than those expected. **The expected result would be that the man must reform himself, and that after he comes out of the jail, he ought to lead a reformed life, he ought to return to the proper or social life to which every citizen has to confine himself. But oftentimes on account of the long period behind the prison bars, the man does not improve; on the other hand, he shows certain sign of deterioration or worse results.** That was the reason why it was considered necessary that the question of prison reform or the question of the reform of the convict or the prisoner ought to be considered not only from the point of view of the administration as such, not only from the point of view of its having a deterrent effect upon him, but also from the point of view of improving this particular man, namely the convict.*

⁴ See, *Bharat Singh v. New Delhi Tuberculosis Centre*, (1986) 2 SCC 614; *Kerala Fishermen’s Welfare Fund Board v. Fancy Food*, (1995) 4 SCC 341; *Union of India v. Prabhakaran Vijaya Kumar*, (2008) 9 SCC 527; *Bombay Anand Bhavan Restaurant v. ESI Corpn.*, (2009) 9 SCC 61

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The principle that is followed in this connection is that a man becomes a criminal on account of certain circumstances or on account of certain tendencies, which are anti-social and which are criminal, so far as he is concerned. So the way to reform him and to bring him back to human standards is to find out certain items of reform by means of which he would become a good man, and after some time, he would become a better man.

These are two standards that we have taken into account.”

12. After introduction in the Lok Sabha, it was referred to the Joint Committee on 18.11.1957. Similarly, Rajya Sabha also agreed to said reference to the Joint Committee on 26.11.1957. The Joint Committee prepared its report on 19.2.1958 and the bill was again discussed in the Lok Sabha on 26.04.1958. In the opening statement, the then Dy. Minister of Home Affairs reflected upon the objectives of the act in following words –

“.....Therefore we feel that if we have such good human material inside the prison, we should give this human material every opportunity to rehabilitate itself in society without the stigma of conviction and prison term.....

.....To avoid this stigma, we want to try out this most progressive measure in the country and see that the men and women who become offenders for the first time or even offenders for the second or the third time, as we call them hopeless, are given an opportunity.....

.....The meaning of probation is suspended sentence. Suspended sentence means that he will be left in society under the guidance and care of a probation officer or of a surety or of such other agent who would be able to look after him and assist him and see that he behaves well and is able once again to become what we call a good citizen.....

.....We are only trying to rehabilitate those many hundreds and hundreds of offenders who because of, may be, socio-economic considerations or other stringencies, or

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may be, their mental make-up, commit certain offences. Therefore, we have certain sections of the Indian Penal Code only in which probation would be permitted to be granted by courts.....”

13. From the above, it can safely be gathered that the object and purpose of the 1958 Act is to rehabilitate offenders and make an attempt to reintegrate them into the mainstream of the society as reformed citizens, rather than to punish for their delinquent actions. What weighed in the mind of the law makers was that crime is, more often than not, a product of numerous socio-economic circumstances and that punishment may in fact lead to further deterioration of his character. In other words, the 1958 Act seeks to harmonize deterrence and reformation while empowering the courts to release the offenders after admonition or on probation of good conduct under supervision of the probation officer. It saves the offenders from the stigma of conviction as well as imprisonment and affords them an opportunity to return to the social life with dignity. In light of the above discussion, the 1958 Act requires purposive interpretation keeping in mind its objectives.
14. Since the main argument of the Appellants is canvassed for the benefit of 1958 Act, in particular Sections 3 and 4, we will deal with the provisions empowering the Courts either to release the offender after admonition or on probation of good conduct. To understand the situations in which the benefit of Sections 3 and 4 of the 1958 Act can be made available to an offender, it is necessary to refer to those provisions hereunder:

“3. Power of court to release certain offenders after admonition. — *When any person is found guilty of having committed an offence punishable under Section 379 or Section 380 or Section 381 or Section 404 or Section 420 of the Indian Penal Code (45 of 1860), or any offence punishable with imprisonment for not more than two years, or with fine, or with both, under the Indian Penal Code or any other law, and no previous conviction is proved against him and the court by which the person is found guilty is of opinion that, having regard to the circumstances of the case including the nature of the offence and the character of the offender, it is expedient so to do, then, notwithstanding*

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anything contained in any other law for the time being in force, the court may, instead of sentencing him to any punishment or releasing him on probation of good conduct under Section 4, release him after due admonition.

Explanation – For the purposes of this section, previous conviction against a person shall include any previous order made against him under this section or section 4.”

Upon reading of Section 3, it is apparent that benefit thereof can be granted only when offender is found guilty of committing the offence as specified therein or any offence punishable with not more than two years or fine or both under IPC or any other law and such offender does not have any antecedents of previous conviction. In the said contingencies, if the Court is of the opinion that looking to the nature of offence, circumstances and the character of offender, it is expedient to do so, it may pass an order of release after admonition, instead of sentencing or passing an order under Section 4.

15. Similarly, Section 4 deals with the cases of those offenders, who can be released on probation of good conduct. For ready reference, it is reproduced as thus:

“4. Power of court to release certain offenders on probation of good conduct. —

(1) When any person is found guilty of having committed an offence not punishable with death or imprisonment for life and the court by which the person is found guilty is of opinion that, having regard to the circumstances of the case including the nature of the offence and the character of the offender, it is expedient to release him on probation of good conduct, then, notwithstanding anything contained in any other law for the time being in force, the court may, instead of sentencing him at once to any punishment, direct that he be released on his entering into a bond, with or without sureties, to appear and receive sentence when called upon during such period, not exceeding three years, as the court may direct, and in the meantime to keep the peace and be of good behaviour:

Provided that the court shall not direct such release of an offender unless it is satisfied that the offender or his surety,

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if any, has a fixed place of abode or a regular occupation in the place over which the court exercises jurisdiction or in which the offender is likely to reside during the period of the bond.

(2) Before making any order under sub-section (1), the court shall take into consideration the report, if any, of the probation officer concerned in relation to the case.

(3) When an order is made under this section, the court may, if it is of opinion that in the interests of the offender and of the public it is expedient so to do, in addition, pass a supervision order directing that the offender shall remain under the supervision of a probation officer named in the order during such period, not being less than one year, as may be specified therein, and may require the offender to comply with such conditions as may be specified in the supervision order.

(4) The court making a supervision order under sub-section (3) shall require the offender, before releasing him, to enter into a bond, with or without sureties, to observe the conditions of the supervision order and such additional conditions with respect to residence, abstention from intoxicants or any other matter as the court having regard to the particular circumstances of the case may think fit to impose for preventing a repetition of the same offence or a commission of other offences by the offender.

(5) The court making a supervision order under sub-section (3) shall explain to the offender the terms and conditions of the order and shall forthwith furnish one copy of the supervision order to each of the offenders, the sureties, if any, and the probation officer concerned.”

16. A perusal of the above makes it clear that if a person is found guilty of an offence which is not punishable with either death or imprisonment for life and the Court, having regard to the circumstances of the case which includes nature of the offence and the character of the offender, is of the opinion that it is expedient to do so, notwithstanding any other law for the time being in force, instead of sentencing at once of any punishment for such offence, the accused may be released

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on furnishing the bond, with or without sureties. It is also prescribed that the Court may direct him to appear and receive the sentence during such period when called upon, which may not exceed three years. In the meantime, such person has to keep peace and be of good behaviour. It is clarified that such an order ought to be passed by the Court only after recording satisfaction regarding place of stay of the offender or his surety or about the regular occupation in the place where the court exercises jurisdiction or at a place where the offender may likely reside during period of bond. The Court should also take into consideration the report of the probation officer while passing such order, if such report is available. An order of supervision can also be passed by the Court, if it is of the opinion that such an order will be in the interest of the offender and of the public, directing the offender to remain under the supervision of a probation officer named in the order during period, which shall not be less than one year. The condition, if any, imposed by the Court, is required to be complied with by the offender, as prescribed in the supervision order. The offender is required to enter into a bond, with or without sureties, and to observe the conditions as contained hereinabove and such additional conditions with respect to residence, abstention from intoxicants or any other matter which the Court may think fit to impose for preventing a repetition of the same offence or a commission of other offences by the offender. The conditions, as imposed for supervision and circumstances as indicated in the order has to be explained to the offender and a copy of such order has to be furnished to each offender, sureties and the probation officer.

17. At this stage, it is necessary to make it clear that under Section 3, a convict can be released by the Court after admonition only with respect to offences as specified therein. On the other hand, while exercising the power under Section 4, the Court may release the offender on probation of good conduct with respect to the offences as prescribed.
18. It is not out of place to specify that in context of the object and reasons for which the 1958 Act was brought, powers have been conferred upon the Court primarily under Sections 3 and 4. As contemplated under Section 11, the Courts are competent to make such orders even during appeal and revision. Further, once the benefit either under Section 3 or Section 4 has been granted to such offender, it would entail the benefit of removal of disqualification, if any, attaching

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to the conviction. Therefore, Section 12, in this regard, is relevant, which is reproduced as thus:

“12. Removal of disqualification attaching to conviction. — Notwithstanding anything contained in any other law, a person who has been released on probation of good conduct under Section 4 or after admonition under Section 3 shall not suffer disqualification, if any, attaching to a conviction of an offence under such law:

Provided that nothing in this section shall apply to a person who, after his release, is sentenced to imprisonment for the commission of the original offence or of any other offence.”

19. On perusal, it is quite clear that in case a person has been released after admonition under Section 3 or on probation of good conduct under Section 4, they shall not face a disqualification attaching to such conviction.
20. Learned counsel for the Respondents vociferously objected to extending the benefit of 1958 Act to A-1, A-2 and A-3 who have been convicted for the charge of Section 324 IPC, in addition to the charge of Section 323 IPC. It is contended that in Section 4 of the 1958 Act, the expression used ‘*release of the offender*’ has some significance and in the case at hand, the Appellants have not been sentenced of imprisonment but were fined, therefore, passing an order of release in this case is not possible.
21. The said argument was countered by the Appellants, referring to Section 53 of IPC and Section 4 of BNS, wherein fine has been included within the connotation ‘*punishment*’ along with other categories of punishment including imprisonment. The applicability of Section 4 of 1958 Act is with respect to the offences not punishable with death or life imprisonment, therefore barring the sentence of death and life imprisonment, in case the punishment, if any, including the fine has been awarded, the release order can be passed by the Court under Section 4 of 1958 Act even in case of fine.
22. Having considered the contentions as advanced and to appreciate them, it would be necessary to refer to Section 53 of IPC and corresponding provisions of Section 4 of BNS. Both the Sections are reproduced hereunder in tabular form for comparison –

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Section 53 of IPC	Section 4 of BNS
53. Punishments. — The punishments to which offenders are liable under the provisions of this Code are — First — Death; Secondly — Imprisonment for life; Thirdly — [Omitted by Act 26 of 1955, s. 117 and Sch.]; Fourthly — Imprisonment, which is of two descriptions, namely: - (1) Rigorous, that is, with hard labour; (2) Simple; Fifthly — Forfeiture of property; Sixthly — Fine.	4. Punishments. — The punishments to which offenders are liable under the provisions of this Sanhita are — (a) Death; (b) Imprisonment for life; (c) Imprisonment, which is of two descriptions, namely:— (1) Rigorous, that is, with hard labour; (2) Simple; (d) Forfeiture of property; (e) Fine; (f) Community Service.

23. In view of the above, it is clear that Section 53 of IPC has been adopted as it is in Section 4 of BNS while also adding another punishment in nature of community service. This is also indicative of the paradigm shift in the legislative intent from deterrence to reformation which has been reaffirmed while prescribing the mode of punishment in BNS.
24. In view of the above, it is a clear that for an offender, the punishments may include the death, imprisonment for life, imprisonment (rigorous with hard labour or simple), forfeiture of property, fine and community service in terms of the recent addition in BNS. Since Sections 3 and 4 of the 1958 Act govern acts committed by an offender in relation to the specific punishments prescribed under the IPC, BNS and any other law, these provisions must naturally extend to sentences including fine. Consequently, the argument advanced by the learned counsel for the State that Section 4 is inapplicable in case sentence consist solely of a fine, is entirely devoid of merit.

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25. Therefore, any reference to ‘*punishment*’ in 1958 Act has to be construed as per enumeration contained in Section 53 of IPC and Section 4 of BNS and should undoubtedly include ‘fine’ as well. From the above discussion, it is luculent that, the benefit of Section 4 of the 1958 Act is available to an offender who has been sentenced only to payment of fine.
26. During course of arguments, much emphasis was laid by the Counsel for the State that Section 4 uses the expression ‘*release*’ in context of ‘*instead of sentencing*’ and thus, when the person is sentenced only for fine and not for imprisonment, there is no occasion for the Court to ‘*release*’ him, thereby making application of Section 4 of 1958 Act impossible. In light of the discussion in the preceding paragraphs, the expression ‘*release*’ has to be read accordingly. In this context, we are of the opinion that ‘*release*’ cannot mean release only from custody. It has to be read as releasing from the obligation to serve sentence of payment of fine. This view is further strengthened by the meaning of the word ‘*release*’ as contained in **Advanced Law Lexicon**⁵. It is defined, *inter-alia*, as ‘*to set at liberty*’. Therefore, ‘*release*’ as contained in Section 4 of 1958 Act should be read as to set the offender at liberty from receiving sentence, even of fine only.
27. In addition to the provisions as contained under the 1958 Act, the CrPC also confers powers upon the Court to make an order of release on probation of good conduct or after admonition as per Section 360⁶. The said provision is reproduced as thus –

“360. Order to release on probation of good conduct or after admonition. —

(1) When any person not under twenty-one years of age is convicted of an offence punishable with fine only or with imprisonment for a term of seven years or less, or when any person under twenty-one years of age or any woman is convicted of an offence not punishable with death or imprisonment for life, and no previous conviction is proved against the offender, if it appears to the Court before which he is convicted, regard being had to the

5 P Ramanatha Aiyar, Advanced Law Lexicon, Pg. 4037 (3rd Edition, 2005, Wadhwa Nagpur)

6 Section 401 of BNSS is corresponding provision.

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age, character or antecedents of the offender, and to the circumstances in which the offence was committed, that it is expedient that the offender should be released on probation of good conduct, the Court may, instead of sentencing him at once to any punishment, direct that he be released on his entering into a bond, with or without sureties, to appear and receive sentence when called upon during such period (not exceeding three years) as the Court may direct, and in the meantime to keep the peace and be of good behaviour:

Provided that where any first offender is convicted by a Magistrate of the second class not specially empowered by the High Court, and the Magistrate is of opinion that the powers conferred by this section should be exercised, he shall record his opinion to that effect, and submit the proceedings to a Magistrate of the first class, forwarding the accused to, or taking bail for his appearance before, such Magistrate, who shall dispose of the case in the manner provided by sub-section (2).

(2) Where proceedings are submitted to a Magistrate of the first class as provided by sub-section (1), such Magistrate may thereupon pass such sentence or make such order as he might have passed or made if the case had originally been heard by him, and, if he thinks further inquiry or additional evidence on any point to be necessary, he may make such inquiry or take such evidence himself or direct such inquiry or evidence to be made or taken.

(3) In any case in which a person is convicted of theft, theft in a building, dishonest misappropriation, cheating or any offence under the Indian Penal Code (45 of 1860), punishable with not more than two years, imprisonment or any offence punishable with fine only and no previous conviction is proved against him, the Court before which he is so convicted may, if it thinks fit, having regard to the age, character, antecedents or physical or mental condition of the offender and to the trivial nature of the offence or any extenuating circumstances under which the offence was committed, instead of sentencing him to any punishment, release him after due admonition.

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(4) An order under this section may be made by any Appellate Court or by the High Court or Court of Session when exercising its powers of revision.

(5) When an order has been made under this section in respect of any offender, the High Court or Court of Session may, on appeal when there is a right of appeal to such Court, or when exercising its powers of revision, set aside such order, and in lieu thereof pass sentence on such offender according to law: Provided that the High Court or Court of Session shall not under this sub-section inflict a greater punishment than might have been inflicted by the Court by which the offender was convicted.

(6) The provisions of sections 121, 124 and 373 shall, so far as may be, apply in the case of sureties offered in pursuance of the provisions of this section.

(7) The Court, before directing the release of an offender under sub-section (1), shall be satisfied that an offender or his surety (if any) has a fixed place of abode or regular occupation in the place for which the Court acts or in which the offender is likely to live during the period named for the observance of the conditions.

(8) If the Court which convicted the offender, or a Court which could have dealt with the offender in respect of his original offence, is satisfied that the offender has failed to observe any of the conditions of his recognizance, it may issue a warrant for his apprehension.

(9) An offender, when apprehended on any such warrant, shall be brought forthwith before the Court issuing the warrant, and such Court may either remand him in custody until the case is heard or admit him to bail with a sufficient surety conditioned on his appearing for sentence and such Court may, after hearing the case, pass sentence.

(10) Nothing in this section shall affect the provisions of the Probation of Offenders Act, 1958 (20 of 1958), or the Children Act, 1960 (60 of 1960) or any other law for the time being in force for the treatment, training or rehabilitation of youthful offenders.”

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28. From reading of the above, it is apparent that Section 360 of the CrPC and Sections 3 and 4 of the 1958 Act share a common thread i.e., reformation but at the same time their framework differs in their scope and structure. Section 360 of CrPC creates eligibility distinctions based on age and gender. In case of persons under 21 years of age and women, benefit is extended to all offences not punishable with death or life imprisonment, while restricting person not below 21 years of age to offences carrying a maximum of seven years or less or fine only. On the other hand, Sections 3 and 4 of the 1958 Act, extend the benefit universally without any age or gender classification, focusing on the nature of the offence and the character of the offender. At this stage, it is also pertinent to take note of Section 6 of the 1958 Act, which casts a positive obligation upon the Court to record reasons for not dealing the offender under Sections 3 and 4 of 1958 Act, in case such offender is below twenty-one years of age having committed offence not punishable with imprisonment for life. Therefore, the distinction sought to be created by Section 6 based on age of the offender is in different context.
29. Benefit under Section 360(1) and (3) of CrPC can enure only in absence of a prior conviction, whereas Section 4 of the 1958 Act leaves antecedents of the offender to the Court's discretion, and Section 3 of the 1958 Act while requiring absence of prior conviction also expands the concept of *previous conviction* to include prior orders under the Section 3 and 4 of the 1958 Act itself. Importantly, Section 360 CrPC is bereft of any supervisory mechanism whatsoever, while Section 4 of the 1958 Act establishes an elaborate mechanism involving probation officers, supervision orders, and conditions as prescribed in sub-section (3) and (4). Moreover, 1958 Act contemplates report of the probation officer which is absent from the framework of Section 360 CrPC.
30. The relationship between the Section 360 of CrPC and the 1958 Act has been subject matter of judicial pronouncements by this Court. The Division Bench of this Court in **Sanjay Dutt (A-117) v. State of Maharashtra**⁷, while relying upon the inherent differences between these two frameworks, held that they could not be intended to co-exist. It was observed as thus –

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*“81. Section 360 of the Code of Criminal Procedure does not provide for any role for probation officers in assisting the courts in relation to supervision and other matters while the Probation of Offenders Act does make such a provision. While Section 12 of the Probation of Offenders Act states that a person found guilty of an offence and dealt with under Section 3 or 4 of the Probation of Offenders Act, shall not suffer disqualification, if any, attached to the conviction of an offence under any law. The Code of Criminal Procedure does not contain parallel provision. **Two statutes with such significant differences could not be intended to co-exist at the same time in the same area. Such co-existence would lead to anomalous results. The intention to retain the provisions of Section 360 of the Code and the Probation of Offenders Act as applicable at the same time in a given area cannot be gathered from the provisions of Section 360 or any other provisions of the Code.**”*

31. Nonetheless, this issue fell for consideration before another Division Bench in **Lakhanlal v. State of M.P.**⁸, where this Court held both the frameworks to be mutually co-existent in following words –

“14. At this stage, it may be noticed that a two-Judge Bench of this Court in Sanjay Dutt v. State of Maharashtra [Sanjay Dutt v. State of Maharashtra, (2013) 13 SCC 1, at p. 964 : (2014) 7 SCC (Cri) 1, at p. 964] considering the provisions of Section 360 of the Code and Sections 3 and 4 of the 1958 Act held that the co-existence of such provisions would lead to anomalous results. It was further held that the intention to retain the provisions of Section 360 of the Code and the 1958 Act at the same time in a given area cannot be gathered from the provisions of Section 360 or any provision of the Code, when the Court held as under : (SCC p. 1012, para 2935)

“2935. Section 360 of the Code of Criminal Procedure does not provide for any role for probation officers in assisting the courts in

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relation to supervision and other matters while the Probation of Offenders Act does make such a provision. While Section 12 of the Probation of Offenders Act states that a person found guilty of an offence and dealt with under Section 3 or 4 of the Probation of Offenders Act, shall not suffer disqualification, if any, attached to the conviction of an offence under any law. The Code of Criminal Procedure does not contain parallel provision. Two statutes with such significant differences could not be intended to co-exist at the same time in the same area. Such co-existence would lead to anomalous results. The intention to retain the provisions of Section 360 of the Code and the Probation of Offenders Act as applicable at the same time in a given area cannot be gathered from the provisions of Section 360 or any other provisions of the Code."

15. We find that the attention of the Court was not drawn to sub-section (10) of Section 360 which provides that Section 360 will not affect the provisions of the 1958 Act or other similar laws for the time being in force for the treatment, training or rehabilitation of youthful offenders. Still further, Section 4 of the 1958 Act has a non obstante clause, giving overriding effect over any other provisions of law.

16. The conjoint reading of the provisions of both the statutes, we find that the provisions of Section 360 of the Code are in addition to the provisions of the 1958 Act or the Children Act, 1960, or any other law for the time being in force for the treatment, training or rehabilitation of youthful offenders."

32. Therefore, it can be concluded that there have been divergent opinions of this Court with respect to relationship between Section 360 CrPC and 1958 Act. Be that as it may, we are only concerned with the issue whether offenders sentenced with 'fine only' can be granted benefit of Section 4 of 1958 Act and for that purpose alone we may take assistance from the language of Section 360 of CrPC

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which may be different in its scope, but forms part of the reformatory approach shared by both the frameworks.

33. Even under the provision of CrPC, the legislative intent is reflective of the fact that in cases of minor offences that falls within the scope of Section 360 of CrPC, deterrent approach of punishment ought to be avoided while applying the reformatory approach so that the offender need not face the deleterious effect of jail life as well as the stigma of conviction and such person can lead his life upon reintegration in society with dignity.
34. At this stage, it is important to ascertain as to under what circumstances an offender, who was found guilty for offences as prescribed, can avail the benefit of Sections 3 and 4 of the 1958 Act. It is also necessary to enumerate what may be relevant factors for the Court that can be taken into consideration while passing orders under Sections 3 and 4 of the 1958 Act. In this regard, we can profitably refer to various precedents explaining the circumstances in which such benefit can be extended.
35. In **Rattan Lal** (Supra), this Court was having an occasion to consider the object of Sections 3 and 4, in general, and Section 6, in particular, of the 1958 Act. It was observed that –

“4. The Act is a milestone in the progress of the modern liberal trend of reform in the field of penology. It is the result of the recognition of the doctrine that the object of criminal law is more to reform the individual offender than to punish him. Broadly stated, the Act distinguishes offenders below 21 years of age and those above that age, and offenders who are guilty of having committed an offence punishable with death or imprisonment for life and those who are guilty of a lesser offence. While in the case of offenders who are above the age of 21 years absolute discretion is given to the court to release them after admonition or on probation of good conduct, subject to the conditions laid down in the appropriate provisions of the Act, in the case of offenders below the age of 21 years an injunction is issue to the court not to sentence them to imprisonment unless it is satisfied that having regard to the circumstances of the case; including the nature of the offence and the character of the offenders, it

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is not desirable to deal with them under Sections 3 and 4 of the Act.”

36. This Court, while considering the factors relevant for the purpose of extending the benefit of Section 360 CrPC or of 1958 Act, in **Ved Prakash** (Supra) opined that the Court must ascertain relevant material regarding social background and the personal information of the crime-doer. While releasing the accused on probation of good conduct, this Court, through Krishna Iyer, J. observed as thus –

*“.....The materials before us are imperfect because the trial court has been perfunctory in discharging its sentencing functions. **We must emphasise that sentencing an accused person is a sensitive exercise of discretion and not a routine or mechanical prescription acting on hunch. The trial court should have collected materials necessary to help award a just punishment in the circumstances. The social background and the personal factors of the crime-doer are very relevant although in practice criminal courts have hardly paid attention to the social milieu or the personal circumstances of the offender.** Even if Section 360 CrPC is not attracted, it is the duty of the sentencing court to be activist enough to collect such facts as have a bearing on punishment with a rehabilitation slant.....*

*.....In the present case, the offender is a young person and his antecedents have no blemish. **His life is not unsettled or restless and the report indicates that he is an agriculturist, pursuing a peaceful vocation. His parents are alive and he has a wife and children to maintain. These are stabilising factors in life. A long period of litigation and the little period of imprisonment suffered, will surely serve as a deterrent. We are mindful of the fact that a firearm has been used by the appellant and we cannot sleep over the gravity of the offence. Nevertheless, the report of the Probation Officer states that the appellant is not given to any bad habits or stresses of poverty. A land dispute led to the crime and that does not survive any longer. The Probation Officer recommends that an opportunity be***

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given to the appellant to improve himself and bring up his family by honest labour as an agriculturist so that the interests of social defence may be secured. We are inclined to agree that in this case the appellant may be given the benefit of the Probation of Offenders Act. We are satisfied that the offender has a fixed place of abode and regular occupation. We are inclined also to rely on the Probation Officer's report which supports the direction for release on probation. We, therefore, direct that the appellant be released under Section 4(1) of the Probation of Offenders Act, 1958, and instead of sentencing him, direct that he be released on his entering into a bond before the trial court with two sureties, one of whom shall be his father, to appear and receive sentence when called upon during the period of three years from the date of release and in the meantime to keep the peace and be of good behaviour. In addition, we pass an order that the Probation Officer shall have supervision over the offender for a period of one year and shall make reports once every three months to the Sessions Court about the conduct of the offender. We direct further, that the appellant shall be specially supervised from the point of consumption of intoxicants and the matter brought to the notice of the court in case the appellant violates. The undertaking to be incorporated in his bond shall contain a term that he shall not consume alcohol during the period covered by the bond. We allow the appeals in the manner above indicated."

As indicated, other factors that were considered are age, antecedents, character, habits, economic conditions, occupation, fixed place of abode, familial responsibilities, gravity of offence, origin of dispute etc., so that an opportunity can be given to the accused to improve himself and to bring up his family or may live with sense of social security.

37. Similarly, when grant of relief under Section 4 of the 1958 Act came up for consideration in ***State of Maharashtra v. Jagmohan Singh Kuldip Singh Anand***⁹ for offences under Sections 324, 452/34

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IPC, this Court in the circumstances extended benefit of probation subject to execution of a bond for good behavior. Factors that were considered by this Court may have some significance; therefore, the relevant paragraph is reproduced as under –

*“27. The learned counsel appearing for the accused submitted that the incident is of the year 1990. The parties are educated and neighbours. **The learned counsel, therefore, prayed that benefit of the Probation of Offenders Act, 1958 may be granted to the accused. The prayer made on behalf of the accused seems to be reasonable. The incident is more than 10 years old. The dispute was between the neighbours over a trivial issue of cleaning of drainage. The incident took place in a fit of anger. All the parties are educated and also distantly related. The incident is not such as to direct the accused to undergo sentence of imprisonment. In our opinion, it is a fit case in which the accused should be released on probation by directing them to execute a bond of one year for good behaviour.**”*

38. In another case of ***Dalbir Singh v. State of Haryana***¹⁰, this Court was having an occasion to consider the circumstances of the case and the nature of offences in which the court may exercise power under Section 4 of the 1958 Act. Although the plea of the accused in that case vis-à-vis grant of such benefit was rejected, nonetheless, it was observed as thus –

“8. Parliament made it clear that only if the court forms the opinion that it is expedient to release him on probation for his good conduct regard being had to the circumstances of the case. One of the circumstances which cannot be sidelined in forming the said opinion is “the nature of the offence”.

*9. Thus Parliament has left it to the court to decide when and how the court should form such opinion. **It provided sufficient indication that releasing the convicted person on probation of good conduct must appear***

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to the court to be expedient. The word “expedient” had been thoughtfully employed by Parliament in the section so as to mean it as “apt and suitable to the end in view”. In Black’s Law Dictionary the word expedient is defined as “suitable and appropriate for accomplishment of a specified object” besides the other meaning referred to earlier. In *State of Gujarat v. Jamnadas G. Pabri* [(1975) 1 SCC 138 : AIR 1974 SC 2233] a three-Judge Bench of this Court has considered the word “expedient”. Learned Judges have observed in para 21 thus: (SCC p. 145)

“Again, the word ‘expedient’ used in this provisions, has several shades of meaning. In one dictionary sense, ‘expedient’ (adj.) means ‘apt and suitable to the end in view’, ‘practical and efficient’; ‘politic’; ‘profitable’; ‘advisable’, ‘fit, proper and suitable to the circumstances of the case’. In another shade, it means a device ‘characterised by mere utility rather than principle, conducive to special advantage rather than to what is universally right’ (see Webster’s New International Dictionary).”

10. It was then held that the court must construe the said word in keeping with the context and object of the provision in its widest amplitude. ***Here the word “expedient” is used in Section 4 of the PO Act in the context of casting a duty on the court to take into account “the circumstances of the case including the nature of the offence...”. This means Section 4 can be resorted to when the court considers the circumstances of the case, particularly the nature of the offence, and the court forms its opinion that it is suitable and appropriate for accomplishing a specified object that the offender can be released on probation of good conduct.***”

39. Therefore, release on probation of good conduct under Section 4 of the 1958 Act depends on the Court forming an opinion that such release is expedient. In doing so, the Court must consider relevant factors, particularly the nature of the offence. Naturally, probation should be granted only where the Court records the satisfaction as per the factors indicated above, and grant of benefit would serve

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the purpose with intent to reform the offenders. The said judgment has been followed in the case of ***Mohd. Hashim v. State of U.P.***¹¹, whereby benefit under Section 4 of the 1958 Act in a case involving offences under Section 323 and 498-A of IPC along with Section 3 and 4 of Dowry Prohibition Act, 1961 was granted by this Court.

40. In light of the above analysis, now we may embark upon to consider the case of Appellants for purpose of benefit under 1958 Act. In the instant case, the Appellants were convicted under Section 323 and 324 of IPC and the allegations as proved relates to assault upon the persons belonging to same locality. The Appellants were sentenced to pay a fine of only Rs. 500/- under Section 323 and Rs. 2000/- under Section 324 of IPC. As such, it is apparent that, the trial Court as well as the High Court did not award any imprisonment to the Appellants and directed only payment of fine.
41. Moreover, this Court *vide* order dated 10.02.2025 sought report from the State regarding the conduct and of any subsequent or prior involvement in commission of any offence. In the affidavit filed on 22.02.2025, it is said that only present criminal case has been registered against the Appellants. Further, as borne from the records, it is seen that A-1 and A-4 are employed with State Government in Public Work Department and as Assistant Teacher in Education Department respectively. It is also pertinent to note that the Appellants have not committed an offence involving moral turpitude. Given the said circumstances and considering the purport of Section 3 and Section 4 of 1958 Act, we find it expedient to extend the benefit of said provisions to the Appellants.

CONCLUSION

42. In view of the above discussion, A-1, A-2 and A-3 who have been sentenced with fine under Sections 323 and 324 read with Section 34 of IPC, therefore, they do not satisfy the pre-requisite contained in Section 3. Thus, while confirming the conviction, we direct that they be granted benefit under Section 4(1) of the 1958 Act and instead of sentencing them, we direct that they be released on entering into a bond for one year before the jurisdictional Trial Court with sureties. Moreover, they are further directed to appear and receive sentence

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as and when called upon during the said period from the date of release. They shall further maintain peace and good behavior, and the Probation Officer shall keep supervision and submit report once in every three months to the Court concerned. Any other conditions may also be imposed by the Court, if deemed necessary.

43. Insofar as A-4 is concerned, he has been sentenced for the charge under Section 323 read with Section 34 of IPC, which satisfies the pre-requisites of Section 3 of 1958 Act. Therefore, we extend the benefit of the said Section in his favour and instead of sentencing him, we direct that he be released after due admonition by the jurisdictional Court.
44. We make it clear that the amount of fine as directed by the Trial Court and confirmed by High Court, to be paid by all the Appellants, if not already deposited, shall be deposited before the jurisdictional Court, and be treated as compensation towards the victim(s). The amount shall be paid within a period of 4 weeks from the date of this judgment, failing which, the jurisdictional Court shall take appropriate steps for recovery and send a report to the Registry of this Court.
45. Moreover, since all the Appellants have been extended the benefit under Sections 3 and 4 of the 1958 Act, they shall not incur any disqualification affecting their service career, if any, arising out of the conviction, in terms of Section 12 of the 1958 Act.
46. Accordingly, the appeal stands disposed-of in above terms. Pending application(s), if any, shall stand disposed-of.

Result of the case: Appeal disposed of.

Anosh Ekka
v.
State Through Central Bureau of Investigation

(Criminal Appeal No. 1922 of 2026)

13 April 2026

[Vikram Nath and Sandeep Mehta, JJ.]

Issue for Consideration

Matter arose as regards the order passed by the High Court rejecting the appellant's application for suspension of sentence and grant of bail during pendency of the appeal, when many of the allegations in the instant case and the earlier case appear to be overlapping.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.389 – Suspension of sentence pending appeal – FIR registered on the basis of a complaint filed by one alleging that the appellant-former Minister in the State of Jharkhand and another Minister, while holding the responsible public office of a Minister in the State, misused his official position and indulged in extended acts of criminal misconduct thereby amassing assets grossly disproportionate to his known sources of income – Investigation assigned to CBI and thereafter chargesheet filed – Appellant held guilty for offences punishable u/s.120B r/w s.13(1)(d) of the PC Act, s.13(2) r/w s.13(1)(d) of the PC Act and s.120B r/w s.93 IPC and was sentenced accordingly – Appeal against the conviction pending consideration before the High Court – High Court rejected the appellant's application for suspension of sentence and grant of bail during pendency of the appeal – Correctness:

Held: Perusal of the material available on record indicate that two split charge-sheets were filed against the appellant, leading to the institution of two cases – Many of the allegations in the present case and the earlier case appear to be overlapping – In the previous case, the appellant had remained in custody for more than 4 years, whereafter, this Court suspended the sentences awarded to the appellant and released him on bail – Fervent contention raised on behalf of the appellant that two separate prosecutions were impermissible because the allegations in both

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the cases are overlapping – This aspect of the case would have to be gone into by the High Court while deciding the pending appeals – However, the fact remains that the appellant has undergone custodial incarceration of more than 10 months in the instant case as well – Sentence awarded to the appellant in the other case involving allegations of acquisition of disproportionate assets, having been suspended by this Court, bail granted to the appellant in the present case also – Appellant to be released on bail by suspending the substantive sentence of imprisonment awarded by the trial court, subject to the condition imposed – Impugned order set aside. [Paras 19-23]

List of Acts

Chota Nagpur Tenancy Act, 1908; Penal Code, 1860; Prevention of Corruption Act, 1988; Constitution of India.

List of Keywords

Application for suspension of sentence; Grant of bail during pendency of the appeal; Instant case and the earlier case appear to be overlapping; Suspension of sentence pending appeal; Former Minister in the State of Jharkhand; Holding responsible public office of Minister in the State; Misused his official position; Criminal misconduct; Amassing assets grossly disproportionate to his known sources of income; Investigation.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1922 of 2026

From the Judgment and Order dated 18.12.2025 of the High Court for the State of Jharkhand at Ranchi in IA No. 13857 of 2025.

Appearances for Parties

Advs. for the Appellant(s):

Siddharth Dave, Sr. Adv., Vishal Kumar, Nikhil Jain, Sujit Kumar Sinha, Aniket Bose.

Advs. for the Respondent(s):

Davinder Pal Singh, A.S.G., Mukesh Kumar Maroria, Rajan Kumar Chourasia, Ms. Disha Thakkar, Ms. Astha Singh, Jagdish Chandra, Ms. Archana Surve Shinde.

Anosh Ekka v. State Through Central Bureau of Investigation**Judgment / Order of the Supreme Court****Order**

1. Heard.
2. Leave granted.
3. The appellant herein, a former Minister in the State of Jharkhand has preferred the instant appeal against order dated 18th December, 2025 passed by the High Court of Jharkhand at Ranchi¹ in I.A. No. 13857 of 2025 arising out of Criminal Appeal (SJ) No. 850 of 2025, whereby the High Court rejected the appellant's application for suspension of sentence and grant of bail during pendency of the appeal.
4. The case of the prosecution, in a nutshell, is that an FIR being Vigilance Bureau P.S. Case No. 26 of 2008 came to be registered on the basis of a complaint filed by one Kumar Binod alleging that the appellant and another Minister, namely, Hari Narain Rai, had acquired assets disproportionate to their known sources of income. Pursuant to order dated 4th August, 2010 passed by the High Court in WP (PIL) Nos. 4700 of 2008 and 2222 of 2009, the investigation was assigned to Central Bureau of Investigation.
5. It is alleged that as against a pre-check asset of Rs. 10,48,827/-, the appellant amassed assets worth approximately Rs. 57.01 crores. These assets include land in and around Ranchi and a palatial bungalow. It is further alleged that after becoming a Minister, the appellant floated construction companies and got them registered with the Rural Works Department in order to legalise his illegally acquired wealth.
6. It is also alleged that the appellant misused his position to illegally acquire large tracts of tribal lands in violation of the provisions of the Chota Nagpur Tenancy Act, 1908². The transactions were made in the name of his wife, Mrs. Menon Ekka, by furnishing false residential addresses and submitting false affidavits. The investigation further revealed that such illegal transactions were orchestrated in connivance with public officials including the Land Reforms Deputy

1 Hereinafter referred as "High Court"

2 Hereinafter referred as "CNT Act"

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Collector and Circle Office staff, who facilitated illegal transfers of tribal lands despite statutory prohibitions.

7. It is further alleged that the appellant floated firms such as M/s Mahamaya Construction and M/s Ekka Construction Pvt. Ltd., in which his wife was the major shareholder, and later got these firms registered as Class-I contractors despite not fulfilling the eligibility criteria. These firms were awarded lucrative government contracts by departments which were under the direct control of the appellant, thereby conferring undue pecuniary advantage.
8. Upon completion of investigation, the CBI submitted a chargesheet dated 11th December, 2012 against the appellant and other accused persons for offences punishable under Sections 120B, 193 and 420 of the Indian Penal Code, 1860³ and Sections 13(2) read with 13(1)(d) of the Prevention of Corruption Act, 1988⁴, on the basis of which the appellant was put to trial in R.C. Case No. 04(A)/2010-AHD-R(B) The appellant was ultimately held guilty for offences punishable under Section 120B read with Section 13(1)(d) of the PC Act, 1988, Section 13(2) read with Section 13(1)(d) of the PC Act, 1988 and Section 120B read with Section 193 IPC.
9. Be that as it may, the appeal against the said conviction is still pending consideration before the High Court of Jharkhand. The sentence awarded to the appellant in the said case was suspended by this Court and he was granted bail *vide* order dated 28th April, 2023 passed in SLP (Crl.) No. 5004 of 2023.
10. The CBI thereafter submitted a separate charge-sheet leading to the institution of R.C. Case No. 04(A)/2010-AHD-R(C), out of which the present proceedings arise. In the said case, the appellant was tried and convicted by the learned trial Court *vide* judgment dated 29th August, 2025 for offences punishable under Section 120B read with Section 13(1)(d) of the PC Act, 1988, Section 13(2) read with Section 13(1)(d) of the PC Act, 1988 and Section 120B read with Section 193 IPC, and *vide* order dated 30th August, 2025, he was sentenced to undergo rigorous imprisonment of seven years each for the offences under the PC Act, 1988 along with fine of Rs.1,00,000/- each, and

3 For short, "IPC"

4 Hereinafter referred as "PC Act, 1988"

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rigorous imprisonment of two years with fine of Rs. 10,000/- for the offence under Section 120B read with Section 193 IPC, with all sentences directed to run concurrently.

11. Aggrieved thereby, the appellant preferred Criminal Appeal (SJ) No. 850 of 2025, which is pending consideration before the High Court. The application for suspension of sentence filed therein came to be rejected by order dated 18th December, 2025, and being aggrieved of such rejection, the appellant has approached this Court by way of the present appeal by special leave.
12. Shri Siddharth Dave, learned senior counsel appearing for the appellant, contended that the land in question has already been seized by the Enforcement Directorate. Furthermore, properties/assets of the appellant valuing approximately Rs. 18 crores stand attached and seized under orders passed by the adjudicating authority in proceedings initiated by the Enforcement Directorate.
13. He submitted that two separate chargesheets have been filed by splitting the original Vigilance P.S. Case No. 26 of 2008, though the allegations pertain to the same check period, same set of transactions and alleged acquisition of disproportionate assets by indulging in criminal misconduct during the self-same period. It was pointed out that even in the earlier trial, the appellant was alleged to have acquired properties worth approximately Rs. 57.01 crores in the name of his wife, Mrs. Menon Ekka, including properties at serial nos. 1 to 15, and that the very same properties, as reflected in paragraphs 3 and 4 of the trial Court judgment, have again been made the subject matter of prosecution in the split chargesheet. The same sets of properties have been referred to in both R.C. Case No. 04(A)/2010-AHD-R(B) and the present case, i.e., R.C. Case No. 04(A)/2010-AHD-R(C), thereby indicating that both prosecutions arise out of overlapping set of identical allegations.
14. It was further urged that the appellant has already undergone imprisonment for a period of nearly four years in the earlier case. In the present case also, he has been sentenced to undergo rigorous imprisonment of seven years each under Sections 120-B read with 13(1)(d) and Section 13(2) read with 13(1)(d) of the PC Act, 1988 along with two years' rigorous imprisonment under Section 120-B read with Section 193 IPC, which, according to the appellant, tantamounts to a dual punishment for the same set of allegations thereby being

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in the teeth of right against double jeopardy as guaranteed under Article 20(3) of the Constitution of India.

15. Shri Dave also pointed out that the tribal lands involved in the case have already been ordered to be confiscated by the Special Court under the PMLA *vide* judgment dated 21st March, 2020. The appellant and his family members undertake to extend full cooperation in restoring the land to its original status. It was contended that there is no likelihood of the appeal being heard in the near future and, considering that the maximum sentence awarded is seven years, the appellant deserves to be enlarged on bail during the pendency of the appeal.
16. *Per contra*, Shri Davinder Pal Singh, learned Additional Solicitor General appearing for the respondent-CBI, vehemently opposed the submissions advanced on behalf of the appellant. He submitted that the appellant, while holding the responsible public office of a Minister in the State of Jharkhand, misused his official position and indulged in extended acts of criminal misconduct thereby amassing assets grossly disproportionate to his known sources of income. He contended that the allegations against the appellant are grave in nature and, therefore, he does not deserve the indulgence of bail.
17. However, referring to the reply to additional queries made by this Court, Shri Singh conceded that substantial assets of the appellant valuing nearly Rs.18 crores have already been attached, and such attachment stands confirmed by the adjudicating authority. He also submitted that the tribal land in question has been confiscated. It was, however, pointed out that till date, no steps have been taken by the State Government for cancellation of the sale deeds and reversion of the tribal land in terms of the provisions of the CNT Act.
18. We have given our thoughtful consideration to the submissions advanced at Bar and have gone through the impugned judgment.
19. A perusal of the material available on record would indicate that two split charge-sheets were filed against the appellant arising from Vigilance P.S. Case No. 26 of 2008, leading to the institution of R.C. Case No. 04(A)/2010-AHD-R(B) and R.C. Case No. 04(A)/2010-AHD-R(C). Many of the allegations in the present case and the earlier case appear to be overlapping. In the previous case, the appellant had remained in custody for more than 4 years, whereafter, this Court

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suspended the sentences awarded to the appellant and released him on bail.

20. A fervent contention has been raised on behalf of the appellant that two separate prosecutions were impermissible because the allegations in both the cases are overlapping. This aspect of the case would have to be gone into by the High Court while deciding the pending appeals. However, the fact remains that the appellant has undergone custodial incarceration of more than 10 months in the present case as well. The sentence awarded to the appellant in the other case involving allegations of acquisition of disproportionate assets, having been suspended by this Court, we are inclined to grant bail to the appellant in the present case also.
21. Accordingly, we direct that the appellant shall be released on bail by suspending the substantive sentence of imprisonment awarded by the trial Court, subject to the condition that the appellant files an undertaking before the trial Court within 7 days of his release, stating that he shall assist in the process of restoration of the tribal land to its original status as and when required. The release of the appellant on bail shall further be subject to such other terms and conditions as the trial Court may deem fit to impose and upon furnishing bail bonds and sureties to the satisfaction of the trial Court.
22. The impugned order is accordingly set aside.
23. The appeal is allowed in these terms.
24. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

**The West Bengal State Electricity
Transmission Co. Ltd & Ors.**

v.

Dipendu Biswas & Ors.

(Civil Appeal No. 10262 of 2025)

07 April 2026

**[Sanjay Karol and
Nongmeikapam Kotiswar Singh,* JJ.]**

Issue for Consideration

Matter pertains to the manner of filling of a vacancy reserved for Person with Disability with Low Vision (PWD-LV) in the Unreserved category UR (PWD-LV), where the recruitment notification stipulated that in case of non-availability of qualified unreserved candidate in the PWD-LV category, the vacancy will be filled up by PWD candidates of other categories as per merit.

Headnotes[†]

Service law – Reservation – Filling up of unreserved vacancies by reserved candidates – Mobility of a PWD-LV candidate from reserved category of OBC-A to Unreserved horizontal category of UR (PWD-LV) – Recruitment Notification for 30 vacancies for the post of Junior Engineer, wherein one post meant for unreserved UR (PWD-LV) and five posts for Other Backward Classes-A (OBC-A) – Respondent No.1 PWD-LV candidate applied under the Unreserved category for the said post under UR (PWD-LV) quota, and respondent No. 3 (OBC-A candidate) applied under the OBC-A quota, and also stated that he belongs to the PWD (LV) category – In the recruitment process, the respondent No.1 scored 55.667 marks, whereas, the respondent No.3 scored 66.667 marks – Since the respondent No.3 under OBC-A category also belongs to PWD-LV category and obtained higher marks than the respondent No.1, he was offered appointment to the said Unreserved post of UR(PWD-LV) – Challenge to, by respondent No.1, in view of the recruitment notification stipulating that in case of non-availability of qualified UR (PWD-LV) candidate, the vacancy will be filled up by PWD candidates of the other

^{*} Author

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categories as per merit – High Court dismissed the petition holding that the respondent No.3 also belonged to the PWD-LV category and had scored more marks than the respondent No.1 – However, the Division Bench held that when a qualified unreserved PWD-LV candidate is available, the vacancy is to be filled up by that candidate only, even though there may be more meritorious PWDLV candidates available in the reserved category of OBCA – Correctness:

Held: Post earmarked for special (horizontal) reservation under the Unreserved category will be open to every candidate possessing the attribute or character of the special (horizontal) reservation – Thus, if the Unreserved/Open post is meant for the special category of Persons with Disabilities, it means that the said post will be open to all candidates of all vertical social categories, whether SC, ST or OBC, provided such candidates are also Persons with Disabilities – Principle of migration in reservation will be applicable in this scenario also – Even though there are candidates under the Unreserved category who are Persons with Disabilities, if there are more meritorious candidates belonging to any of the social categories like SC, ST or OBC who are also Persons with Disabilities, such more meritorious persons from the SC, ST or OBC category can be appointed against the Unreserved quota meant for Person with Disabilities by virtue of merit – Horizontally reserved post of PWD-LV falling under the Unreserved category can be filled by any PWD-LV candidate belonging to any social reserved category, as this post of PWD-LV under the Unreserved category is also open to all PWD-LV candidates belonging to any social reserved category – Any candidate belonging to any social category can compete for this post so long as they belong to the PWD-LV category – Principle of mobility will also apply when filling the said post of UR (PWD-LV) – Only condition attached to this Unreserved/Open category is that it is meant only for candidates belonging to the horizontal PWD-LV category, *i.e.*, it is specially reserved for persons who are categorised as PWD-LV – Unreserved post/vacancy for PWD-LV is available and open to all, irrespective of the social category they may belong to, provided they also belong to the same special category of PWD-LV – As the said post falls under the Unreserved category, it is to be filled up purely on merit – Merit is the co-attendant and inseparable attribute of appointment to any post under the “Unreserved” category – As a consequence, every

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person belonging to any social reserved category, can compete with others, including those under the “Unreserved” category and can be appointed against such Unreserved post, so long as they belong to the special PWD-LV category, as it is the condition that the post under the Unreserved category is reserved for the horizontal category of PWDLV – Recruitment notification cannot be read to insist that so long as any PWD-LV candidate under the Unreserved category is available, there will be an absolute bar to consider any other meritorious PWD-LV candidate belonging to any of the social reserved categories and only such Unreserved category PWD-LV candidate can be appointed irrespective of the merit – Such an interpretation, as adopted by the Division Bench, flies in the face of the well-settled principle of law for filling up Unreserved posts and law of migration – Less meritorious PWD-LV candidate under the Unreserved category has to give way to the claim of a more meritorious PWD-LV candidate from any other reserved social categories for the said post of UR (PWD-LV), as was correctly held by the Single Bench – Any contrary view would be patently arbitrary being opposed to the equality clause under Articles 14 and 16 – Condition in the recruitment notification would mean that even though qualified PWD-LV candidates under the Unreserved category may be available, if there is a PWD-LV candidate belonging to other social reserved category available who is better in merit than the Unreserved PWD-LV candidate available, the said post is to be filled up by the more meritorious reserved PWD-LV candidate by ignoring the claim of the less meritorious Unreserved candidate by virtue of merit – *Qua* a vacancy/post under “Unreserved” category for the PWD-LV candidates, all PWD-LV candidates are equal and have similar rights even if they belong to different social reserved categories, and the most meritorious amongst them has to be preferred – Thus, the Respondent No. 3 was adjusted against the PWD-LV vacancy in the Unreserved category by virtue of his merit, as he was more meritorious than anyone else including the respondent No. 1 in the Unreserved category – Furthermore, respondent No. 3, though, was more meritorious than the respondent No. 1 had not availed any relaxation *qua* the essential qualifications for the said post of UR (PWD-LV) – Division Bench misunderstood the implication of the said condition in the recruitment notification – Thus, the impugned judgment and order passed by the Division Bench set aside, restoring the decision of the Single Bench. [Paras 27, 28, 30, 31, 38-50]

The West Bengal State Electricity Transmission Co. Ltd & Ors. v. Dipendu Biswas & Ors.

Reservation – Law relating to reservation – Filling up of unreserved vacancies by reserved candidates – Reservations classified into two categories-vertical and horizontal – Interrelationship between two kinds of reservations – Explained. [Paras 20-22]

Case Law Cited

Anil Kumar Gupta v. State of U.P. [1995] Supp. 2 SCR 396 : (1995) 5 SCC 173; *Saurav Yadav v. State of UP* [2020] 11 SCR 281 : (2021) 4 SCC 542; *Indra Sawhney v. Union of India* [1992] Supp. 2 SCR 454 : (1992) Supp. 3 SCC 217; *Neil Aurelio Nunes (OBC reservation) v. Union of India* [2022] 11 SCR 585 : (2022) 4 SCC 1; *Deepa E.V. v. Union of India* [2017] 1 SCR 938 : (2017) 12 SCC 680; *Union of India v. Sajib Roy* [2025] 9 SCR 542 – relied on.

List of Acts

Constitution of India.

List of Keywords

Filling of a vacancy reserved for Person with Disability with Low Vision (PWD-LV) in the Unreserved category UR (PWD-LV); Recruitment notification; Non-availability of qualified unreserved candidate in the PWD-LV category; Vacancy to be filled up by PWD candidates of other categories as per merit; Reservation; Unreserved vacancies; Reserved candidates; Mobility of a PWD-LV candidate from reserved category of OBC-A to Unreserved horizontal category of UR(PWD-LV); Post of Junior Engineer; Unreserved UR (PWD-LV); Other Backward Classes-A (OBC-A); Person with Disability with Low Vision-PWD-LV candidate; Unreserved category; Post under UR (PWD-LV) quota; Post under the OBC-A quota; Recruitment process; Unreserved post of UR (PWD-LV); Non-availability of qualified UR (PWD-LV) candidate.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 10262 of 2025

From the Judgment and Order dated 07.05.2024 of the High Court at Calcutta in MAT No. 69 of 2024

Supreme Court Reports**Appearances for Parties**

Dr. Balbir Singh, *Amicus Curiae*.

Advs. for the Appellant(s):

Kunal Chatterji, Ms. Shraddha Chirania, Ms. Maitrayee Banerjee,
Rohit Bansal, Varij Nayan Mishra.

Advs. for the Respondent(s):

Samarendra Nath Biswas, Anindo Mukherjee, Rameshwar Prasad
Goyal, Ms. Shraddha Chirania, Kunal Mimani, Abhijeet Pandey,
Soumya Dutta.

Judgment / Order of the Supreme Court**Judgment**

Nongmeikapam Kotiswar Singh, J.

1. The present appeal has been preferred against the judgment and order dated 07.05.2024 passed by the Division Bench of the High Court at Calcutta in MAT 69/2024 with CAN 1 of 2024, whereby the order passed by the Single Bench in WPA 26312/2023 was set aside.
2. The core issue involved in this appeal relates to the manner of filling of a vacancy reserved for Person with Disability with Low Vision (PWD-LV) in the Unreserved category UR (PWD-LV)¹, where the recruitment notification stipulated that in case of non-availability of qualified unreserved candidate in the PWD-LV category, the vacancy will be filled up by PWD candidates of other categories as per merit.
3. By the impugned order, the Division Bench of the Calcutta High Court held that when a qualified unreserved PWD-LV candidate is available, the vacancy is to be filled up by the qualified unreserved candidate only, even though there may be more meritorious PWD-LV candidates available in the reserved category of OBC-A, as per of the aforesaid stipulation in the recruitment notification.
4. In order to appreciate this issue involved, a brief reference to the relevant facts would be apposite.

1 UR (PWD-LV): Unreserved (Persons with Disabilities – Low Vision or Blindness)

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5. A recruitment process was initiated by the Appellant, West Bengal State Electricity Transmission Co. Ltd., for appointment to a number of posts vide Notification No. REC/2023/01.

The said notification includes 30 vacancies for the post of Junior Engineer (Civil) Grade II, out of which 1 (one) post was meant for unreserved UR (PWD-LV) and 5 (five) posts for Other Backward Classes-A (OBC-A)² as follows.

Sl.	Name of the post	UR	UR (EC)	UR (Ex-S)	UR (MS)	UR (PWD-LV)	UR (PWD-HH)	UR (PWD-D)	OBC-A	OBC-A (EC)	OBC-B	OBC-EC
7.	Junior Engineer (Civil) Gr. II	7	4	1	1	1	0	0	5	1	1	1
		SC (EC)	SC (EC)	SC (Ex-S)	ST (PWD-LV)	ST	ST (EC)	Total				
		33	2		1	1		30				

There are also two notes below the table as follows:

* In case of non-availability of qualified UR (PWD-HH) candidate, the vacancy will be filled by PWD candidates of other categories as per merit.

In case of non-availability of qualified UR (PWD-LV) candidate, the vacancy will be filled by PWD candidates of other categories as per merit.

6. The aforesaid advertisement shows that while certain number of posts are reserved under various social categories (vertical), there are reservations for special categories (horizontal) for these social categories also, that is, reservation within reservation.

Thus, 7 (seven) posts have been earmarked for the Unreserved Category, and further, in the same Unreserved Category, 4 (four) posts have been reserved for the special category of EC³ and 1 (one) post each has been reserved for the special categories of Ex-S⁴, MS⁵ and PWD-LV.

2 OBC-A: Other Backward Class (Most Backward)

3 EC : Exempted Category

4 Ex-S : Ex-Servicemen

5 MS: Meritorious Sportspersons

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In respect of the social reservation (vertical) category of OBC, it has been further sub-categorised into OBC-A and OBC-B, and horizontal reservations have also been provided for these two sub-categories.

Similarly, there are special (horizontal) reservations in respect of SCs and STs, with which we are not concerned in this case.

7. Thus, the aforesaid notification indicates both vertical and horizontal reservations.

The horizontal reservation pattern in the aforesaid notification indicates “compartmentalised reservations”, not “overall reservations”, to use the terms described in **Anil Kumar Gupta Vs. State of U.P.**⁶, as referred to in **Saurav Yadav Vs. State of UP**⁷, where the posts reserved for various categories of horizontal reservations are distributed among the vertical social reservations.

8. In the present case, we are concerned with the posts of UR (PWD-LV) and OBC-A.

The reservation chart, for our convenience, can be shown as follows:

- | | |
|---|-----------|
| 1. UR (PWD-LV)
(to which the Respondent No.1 belongs) | - 1 post |
| 2. OBC-A
(to which the Respondent No.3 belongs) | - 5 posts |
| 3. OBC-A (EC) | - 1 post |
| 4. OBC-A (PWD-LV)
(to which also the Respondent No. 3 belongs) | - Nil |

9. While the Respondent No. 1 PWD-LV candidate applied under the Unreserved category for the said post of Junior Engineer (Civil) Grade-II under UR (PWD-LV) quota, it appears the Respondent No. 3 (OBC-A candidate) applied against the said 5 (Five) posts of Junior Engineer (Civil) Grade-II under the OBC-A quota.

It may be noted that there was no horizontal reservation for the PWD-LV under the OBC-A category in the said notification. However,

⁶ (1995) 5 SCC 173

⁷ (2021) 4 SCC 542

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in his application, the Respondent No. 3 also stated that he belongs to the PWD (LV) category.

10. In the said recruitment process for the post of Junior Engineer (Civil) Grade-II, the Respondent No.1 scored 55.667 marks, whereas, the Respondent No.3 scored 66.667 marks. Since the Respondent No.3 under OBC-A category also belongs to PWD-LV category and obtained higher marks than the Respondent No.1, he was offered appointment to the aforesaid Unreserved post of UR(PWD-LV) and not Respondent No.1.
11. The said offer for appointment in favour of the Respondent No. 3 was put to challenge by the Respondent No. 1 before the High Court at Calcutta through a writ petition, WPA 26312/2023 in view of the aforesaid condition in the recruitment notification which stipulated that in case of non-availability of qualified UR (PWD-LV) candidate, the vacancy will be filled up by PWD candidates of the other categories as per merit. The Writ Court, however, after finding that the Respondent No. 3 also belonged to the PWD-LV category and had scored more marks than the Respondent No. 1, dismissed the said writ petition, vide order dated 11.12.2023.
12. Being aggrieved by the dismissal of the writ petition, the Respondent No.1 preferred an intra-court appeal before the Division Bench of the High Court of Calcutta, which was registered as MAT 69 of 2024 with CAN 1/2024.
13. The Division Bench of the High Court upon consideration of the stipulation in the notification that in case of non-availability of qualified UR (PWD-LV) candidate, the vacancy will be filled by PWD candidates of other categories as per merit, reversed the decision of the Single Bench and allowed the appeal and directed that since the Respondent No. 1, who is an unreserved candidate was available, should be given appointment to the said post under UR (PWD-LV).
14. The Division Bench of the High Court took the view that considering the aforesaid condition in the recruitment notification, as there was already available a qualified unreserved PWD-LV candidate in the person of the Respondent No. 1, the said vacancy could not have been filled up by any other PWD-LV candidate belonging to other reserved categories and it should be filled up by a PWD-LV

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candidate belonging to Unreserved category only. According to the Division Bench, it is only when a PWD-LV candidate belonging to the Unreserved category is not available that a PWD-LV candidate belonging to other reserved categories can be considered for appointment.

15. We have perused the recruitment notification no. REC/2023/01.

The notification mentions that *“In case of non-availability of qualified UR(PWD-LV) candidate, the vacancy will be filled up by PWD candidates of other categories as per merit”*.

The bone of contention between the contesting parties is to be traced to the said condition which has been understood differently by the Single Bench and Division Bench of the High Court.

16. As mentioned above, there were 5 (five) posts reserved for OBC-A category in the post of Junior Engineer (Civil) Grade-II. The said 5 (five) posts reserved for the OBC-A were filled by OBC-A candidates in order of merit. The Respondent No. 3 though belonged to OBC-A category was not appointed, as it appears that there were more meritorious OBC-A candidates above him.
17. However, as the Respondent No. 3 also belonged to the PWD-LV category, by virtue of his better merit position than the Respondent No. 1, he was offered appointment by the appellant authority to the said 1 (one) Unreserved post of UR (PWD-LV).
18. This act of the appellant authority to appoint the Respondent No. 3 in the post of UR (PWD-LV) was questioned by the Respondent No.1 before the High Court premised on the condition stipulated in the recruitment notification referred to above, by contending that since the Respondent No.1 was a qualified PWD-LV under the Unreserved category, during his availability, no other candidate from any other reserved category could have been considered for appointment, and the Respondent No.1 should have been given appointment. This contention was dismissed by the Single Bench, but accepted by the Division Bench of the High Court.
19. As we proceed to examine the implications of this condition in the recruitment notification, we will revisit the law relating to reservation, particularly with reference to filling up of unreserved vacancies by reserved candidates.

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20. In view of the multifaceted nature of reservation in India, a unique service law jurisprudence spurred by Constitutional mandate has emerged. Reservations have been classified into two categories, namely, vertical and horizontal, with respect to which certain judicial norms have evolved through a series of landmark decisions. The definitions and interrelationship between the two kinds of reservations have been succinctly described in the landmark case of ***Indra Sawhney Vs. Union of India***⁸, in the following words,

“812.the reservations in favour of Scheduled Castes, Scheduled Tribes and other backward classes [under Article 16(4)] may be called vertical reservations whereas reservations in favour of physically handicapped [under clause (1) of Article 16] can be referred to as horizontal reservations. Horizontal reservations cut across the vertical reservations - that is called inter-locking reservations. To be more precise, suppose 3% of the vacancies are reserved in favour of physically handicapped persons; this would be a reservation relatable to clause (1) of Article 16. The persons selected against this quota will be placed in the appropriate category; if he belongs to S.C. category he will be placed in that quota by making necessary adjustments; similarly, if he belongs to open competition (O.C.) category, he will be placed in that category by making necessary adjustments. Even after providing for these horizontal reservations, the percentage of reservations in favour of backward class of citizens remains - and should remain - the same.....”

21. In respect of vertical reservation, the social reserved category posts are to be filled by the candidates belonging to that social category only and not by others. However, with reference to the Unreserved or Open category posts, there is no such restrictions as it could be filled up by anyone from any category and there could be movement from one reserved category to the Unreserved category based on merit, which is called mobility in reservation. This movement from a reserved category to the unreserved, however, will not affect the

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quota for the reserved category. This principle has been indicated by this Court in **Indra Sawhney**⁹ (supra) in the following words,

“811. In this connection it is well to remember that the reservations under Article 16(4) do not operate like a communal reservation. It may well happen that some members belonging to, say, Scheduled Castes get selected in the open competition field on the basis of their own merit; they will not be counted against the quota reserved for Scheduled Castes; they will be treated as open competition candidates.”

22. This legal position pertaining to social (vertical) reservation, mobility and special (horizontal) reservation has taken firm roots and has been restated in clear terms in the case of **Saurav Yadav v. State of U.P.**,¹⁰ as follows:

“59. The features of vertical reservations are:

59.1. They cannot be filled by the open category, or categories of candidates other than those specified and have to be filled by candidates of the social category concerned only (SC/ST/OBC).

59.2. Mobility (“migration”) from the reserved (specified category) to the unreserved (open category) slot is possible, based on meritorious performance.

59.3. In case of migration from reserved to open category, the vacancy in the reserved category should be filled by another person from the same specified category, lower in rank.

59.4. If the vacancies cannot be filled by the specified categories due to shortfall of candidates, the vacancies are to be “carried forward” or dealt with appropriately by rules.

60. Horizontal reservations on the other hand, by their nature, are not inviolate pools or carved in stone. They are premised on their overlaps and are “interlocking”

9 (1992) Supp. 3 217

10 (2021) 4 SCC 542

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reservations [The expression used by B.P. Jeevan Reddy, J., in *Indra Sawhney v. Union of India*, 1992 Supp (3) SCC 217: 1992 SCC (L&S) Supp 1.] . As a sequel, they are to be calculated concurrently and along with the inviolate “vertical” (or “social”) reservation quotas, by application of the various steps laid out with clarity in para 21.3. The first rule that applies to filling horizontal reservation quotas is one of adjustment i.e. examining whether on merit any of the horizontal categories are adjusted in the merit list in the open category, and then, in the quota for such horizontal category within the particular specified/social reservation.

23. In the horizontal reservation there is also the concept of *overall reservation* and *compartmental horizontal*, which has been explained in **Anil Kumar Gupta**¹¹ (supra) in the following manner:

“15. On a careful consideration of the revised notification of 17-12-1994 and the aforementioned corrigendum issued by the Lucknow University, we are of the opinion that in view of the ambiguous language employed therein, it is not possible to give a definite answer to the question whether the horizontal reservations are *overall reservations* or *compartmentalised reservations*. We may explain these two expressions. Where the seats reserved for horizontal reservations are proportionately divided among the vertical (social) reservations and are not intertransferable, it would be a case of compartmentalised reservations. We may illustrate what we say : take this very case; out of the total 746 seats, 112 seats (representing fifteen per cent) should be filled by special reservation candidates; at the same time, the social reservation in favour of Other Backward Classes is 27% which means 201 seats for OBCs; if the 112 special reservation seats are also divided proportionately as between OC, OBC, SC and ST, 30 seats would be allocated to the OBC category; in other words, thirty special category students

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can be accommodated in the OBC category; but say only ten special reservation candidates belonging to OBC are available, then these ten candidates will, of course, be allocated among OBC quota but the remaining twenty seats cannot be transferred to OC category (they will be available for OBC candidates only) or for that matter, to any other category; this would be so whether requisite number of special reservation candidates (56 out of 373) are available in OC category or not; the special reservation would be a watertight compartment in each of the vertical reservation classes (OC, OBC, SC and ST). *As against this*, what happens in the overall reservation is that while allocating the special reservation students to their respective social reservation category, the overall reservation in favour of special reservation categories has yet to be honoured. This means that in the above illustration, the twenty remaining seats would be transferred to OC category which means that the number of special reservation candidates in OC category would be $56 + 20 = 76$. Further, if no special reservation candidate belonging to SC and ST is available then the proportionate number of seats meant for special reservation candidates in SC and ST also get transferred to OC category. The result would be that 102 special reservation candidates have to be accommodated in the OC category to complete their quota of 112. The converse may also happen, which will prejudice the candidates in the reserved categories. It is, of course, obvious that the inter se quota between OC, OBC, SC and ST will not be altered.”

24. In the present case, though the reservation pattern as indicated in the advertisement is of compartmentalised reservation, it may not be necessary to dwell on that aspect much further, as the issue involved in the present case is only about the mobility of a PWD-LV candidate from a reserved category of OBC-A to the Unreserved horizontal category of UR(PWD-LV).
25. In the present case, there is no horizontal reservation for the PWD-LV category under the social category of the OBC-A category, but there is a horizontal reservation for the PWD-LV under the Unreserved or

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Open category. The question that arises for consideration is what should be the method of filling up such horizontal reservation for PWD-LV, which falls under the Unreserved or Open category.

26. The correct answer can be arrived at once we understand the scope of reservation for a special category (horizontal) of PWD-LV falling under the Unreserved or Open category.

For this, it is also necessary to understand the meaning and scope of the “Unreserved” or “Open” category of reservation.

27. In reservation law, it is well settled that Unreserved/Open category does not refer to any social/communal category like SCs, STs or OBCs. In other words, any post falling under the Unreserved or Open category does not pertain to any particular social category; it provides an open field or pool meant for the world at large, in the sense that it is open to all candidates, irrespective of whether one belongs to any social or special category or not.
28. In our view, when we talk of horizontal or special reservation pertaining to the Unreserved category, a similar position will prevail. This characteristic or attribute of the Unreserved or Open category will continue to apply even under the horizontal/special reservation, under the Unreserved category only with the exception that it will be qualified by the nature of the special category for which it is meant. In other words, when the special (horizontal) reservation is applied to the Unreserved/Open category, it will be open to all candidates irrespective of the social category, provided they are also endowed with the character of the same special (horizontal) categorisation. Thus, a post earmarked for special (horizontal) reservation under the Unreserved category will be open to every candidate possessing the attribute or character of the special (horizontal) reservation.
29. The difference in the concept of Unreserved/Open category in the vertical, and that in the horizontal reservation under the Unreserved category is that, in respect of vertical reservation, the Unreserved/Open quota does not belong to any of the social categories and is open to all irrespective of the social categorisation. On the other hand, with respect to the special (horizontal) reservation under the Unreserved/Open category, it means that, although it is also open to all social categories, such a candidate must also belong to the same special (horizontal) category.

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30. Thus, if the Unreserved/Open post is meant for the special category of Persons with Disabilities, it means that the said post will be open to all candidates of all vertical social categories, whether SC, ST or OBC, provided such candidates are also Persons with Disabilities. Thus, all candidates, whether SC, ST or OBC, but who are Persons with Disabilities, are equally entitled to compete for the post meant for Persons with Disabilities falling under the Unreserved category, the rationale being that all those who are similarly situated must be treated equally.
31. The principle of migration in reservation will be applicable in this scenario also. Thus, even though there are candidates under the Unreserved category who are Persons with Disabilities, if there are more meritorious candidates belonging to any of the social categories like SC, ST or OBC who are also Persons with Disabilities, such more meritorious persons from the SC, ST or OBC category can be appointed against the Unreserved quota meant for Person with Disabilities by virtue of merit.
32. This principle has been indicated by this Court in **Saurav Yadav**¹² (supra) in para 60 therefore, wherein it was held that the first rule that applies to filling horizontal reservation quotas is one of adjustment i.e. examining whether on merit any of the horizontal categories are adjusted in the merit list in the open category, and then, in the quota for such horizontal category within the particular specified/ social reservation.
33. However, the vice versa will not be true. Thus, if a post is reserved for Persons with Disabilities (PWD) for the social category of OBC-A, only Persons with Disabilities under the OBC-A category can apply, and no other PWD candidates belonging to ST, SC, or Unreserved category can be considered, since the reservation is compartmentalised.
34. Similarly, candidates belonging to other special (horizontal) categories like PWD-HH¹³ (Hearing impairment) or Ex-Serviceman (Ex.S) or Exempted Category (EC) will also not be eligible to apply for the

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13 PWD-HH: Person with Disabilities (Hearing Impairment)

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post meant for PWD-LV even if it is under the Unreserved category, as the said Unreserved post is reserved for PWD-LV category only, and not for other horizontal categories like PWD-HH, Ex.S or EC. Thus, only those qualified as PWD-LV can be considered.

35. In the present case, the Respondent No.3 though belongs to OBC-A category also falls under PWD-LV category of horizontal reservation. Since the post under Unreserved category is reserved for PWD-LV category, the Respondent No.3 has also the right to be considered for appointment to the said post of PWD-LV under the Unreserved category. The Respondent No.3 can always stake a claim for the said post by virtue of being in the category of PWD-LV on the basis of merit. Similarly, had there been any other SC or ST candidate who also belongs to the PWD-LV category, he could have also been considered for the post of UR (PWD-LV). But it appears that there were no such PWD-LV candidates from other social categories like SC or ST and even if so, were not found meritorious enough to be considered.
36. The aforesaid principles have to be kept in mind in understanding the implication of the aforesaid condition in the recruitment notification, that in case of non-availability of qualified UR (PWD-LV), the vacancy will be filled up by other categories of PWD-LV as per merit.
37. This condition has to be read and understood in consonance with and not contrary to the well-established principles of law relating to appointment to Unreserved posts and the law of migration to Unreserved posts.
38. Thus, this horizontally reserved post of PWD-LV falling under the Unreserved category can be filled by any PWD-LV candidate belonging to any social reserved category, as this post of PWD-LV under the Unreserved category is also open to all PWD-LV candidates belonging to any social reserved category. In other words, any candidate belonging to any social category can compete for this post so long as they belong to the PWD-LV category. The principle of mobility will also apply when filling the said post of UR (PWD-LV).
39. This legal position is fortified by the other note appended to the recruitment notification, which provides that in case of non-availability of a qualified UR (PWD-HH) candidate, the vacancy will be filled by

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PWD candidates of other categories as per merit. Since this post of UR (PWD-HH) is reserved for the special category of PWD-HH, all such candidates who are also categorised as PWD with Hearing disability, belonging to any social category can also apply.

40. It may also be noticed that even though there are other horizontal reservations for categories like PWD-LV, EC, Ex-Servicemen in respect of other social categories like SC, ST and OBC-B in the recruitment notification, no such stipulation is provided for these categories but only for the Unreserved category. It is for this reason that, with respect to compartmentalised horizontal reservation for these social categories, there cannot be any adjustment or migration from other social categories. Such vacancies have to be filled up by candidates in that particular social category qualifying the specific horizontal category. On the other hand, as long as any such horizontal reservation is provided for the Unreserved category, it will be open to all candidates who also belong to the same special category of horizontal reservation.
41. The Division Bench of the Calcutta High Court, however, has taken the view that this condition in the recruitment notification prevents the filling up of the vacancy in the UR (PWD-LV) category from any other social category if a qualified unreserved candidate is available.

This view is not in consonance with the principle as discussed above. This view presupposes the fallacious position that ‘Unreserved’ category is another communal or social or special category as distinct from other reserved categories. However, there is no communal or social or special category under the nomenclature “Unreserved”. It merely denotes the remaining vacancies or percentages of posts available after accounting the posts/percentages under different reservation categories. The only condition attached to this Unreserved/Open category in the present case is that it is meant only for candidates belonging to the horizontal PWD-LV category, i.e., it is specially reserved for persons who are categorised as PWD-LV. The Unreserved post/vacancy for PWD-LV is available and open to all, irrespective of the social category they may belong to, provided they also belong to the same special category of PWD-LV. As the said post falls under the Unreserved category, it is to be filled up purely on merit. Merit is the co-attendant and inseparable attribute of appointment to any post under the “Unreserved” category. As a

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consequence, every person belonging to any social reserved category, can compete with others, including those under the “Unreserved” category and can be appointed against such Unreserved post, so long as they belong to the special PWD-LV category, as it is the condition that the post under the Unreserved category is reserved for the horizontal category of PWD-LV.

42. The individual status of such a reserved candidate as regards his social/communal categorisation, however, will remain unaffected for all other purposes. For example, if any OBC/SC/ST candidate by virtue of his merit is appointed to an Unreserved/Open post by virtue of his merit, he will continue to remain in the OBC/ST/SC category as the case may be. He would not lose his identity as OBC/SC/ST for all other purposes, and this will also not affect the extent of reservation in respect of his original reserved category.
43. Thus, what is stipulated in the recruitment notification is merely stating the obvious. Certainly, if there is no eligible and qualified unreserved candidate available under PWD-LV category, this vacancy can be filled by anyone belonging to any social reserved category, but belonging to PWD-LV category. Thus, it cannot be read to insist that so long as any PWD-LV candidate under the Unreserved category is available, there will be an absolute bar to consider any other meritorious PWD-LV candidate belonging to any of the social reserved categories and only such Unreserved category PWD-LV candidate can be appointed irrespective of the merit. Such an interpretation, as adopted by the Division Bench of the Calcutta High Court, flies in the face of the well-settled principle of law for filling up Unreserved posts and law of migration as discussed above. If any Unreserved candidate (belonging to PWD-LV) available, is found to be below in merit to any other reserved candidate (belonging to PWD-LV), such PWD-LV candidate belonging to the Unreserved category cannot steal a march over the more meritorious PWD-LV candidate from the reserved category as it would defy the principle of merit, which is the sole criterion for appointment under the Unreserved category. Therefore, such less meritorious PWD-LV candidate under the Unreserved category has to give way to the claim of a more meritorious PWD-LV candidate from any other reserved social categories for the said post of UR (PWD-LV), as was correctly held by the Single Bench of the High Court. Any contrary view would

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be patently arbitrary being opposed to the equality clause under Articles 14 and 16 of the Constitution of India.

44. Therefore, in our considered opinion, what the aforesaid condition in the recruitment notification would mean is that even though qualified PWD-LV candidates under the Unreserved category may be available, if there is a PWD-LV candidate belonging to other social reserved category available who is better in merit than the Unreserved PWD-LV candidate available, the said post is to be filled up by the more meritorious reserved PWD-LV candidate by ignoring the claim of the less meritorious Unreserved candidate by virtue of merit. Qua a vacancy/post under “Unreserved” category for the PWD-LV candidates, all PWD-LV candidates are equal and have similar rights even if they belong to different social reserved categories, and the most meritorious amongst them has to be preferred.
45. The aforesaid position results from the application of the principle enumerated in **Saurav Yadav’s**¹⁴ case wherein this Court explained the manner in which horizontal reservation is to be filled, under which it has to be first examined whether on merit any of the horizontal category can be adjusted in the open category, and then in the quota of the horizontal category within the particular social reservation. Thus, it has to be ascertained whether the Respondent No. 3 can be adjusted against the PWD-LV vacancy in the Unreserved category by virtue of his merit, which has been done and was adjusted, as he was more meritorious than anyone else including the Respondent No. 1 in the Unreserved category. The second situation of adjustment against the horizontal category within the social category will not arise in the present case, as there is no horizontal reservation for the OBC-A category.
46. There is one more aspect of reservation law which may be looked into when it relates to migration to the Unreserved category.

Providing reservation of appointment for posts in favour of any backward class of citizens is guaranteed under Article 16 of the Constitution of India, and it has also been well settled that the

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reservation is in the nature of affirmative action and is not an exception to the principle of equality. Such special provisions have been made to provide an equitable setting to level up the weaker sections so that the real or factual equality can be ensured and does not remain illusory as observed by this Court in **Neil Aurelio Nunes (OBC reservation) vs. Union of India**¹⁵. Further in respect of reserved categories, the law permits relaxation of certain qualifications for appointment, however, subject to the condition that such relaxation does not destroy the essential standard requirements, for example, as regards requirements relating to age or experience etc. Such relaxations have been provided to enable such classes to catch up with the rest of the society. Such relaxation, however, will be confined for the purposes of appointment within the reserved categories and cannot be made applicable for appointment under Unreserved/Open category for the reason is that in respect of Unreserved/Open category, the essential qualifications or conditions required for recruitment must be equal in all respects and merit being the only decisive factor.

47. Thus, a reserved PWD-LV candidate being offered an appointment against an Unreserved PWD-LV vacancy/post must not have availed any relaxation in the eligibility criteria stipulated for the Unreserved PWD-LV category. If he had availed such a relaxation, he certainly cannot be considered to be a qualified candidate *qua* the unreserved post, as has been explained by this Court in **Deepa E.V. vs. Union of India**¹⁶, reiterated in **Union of India vs. Sajib Roy**¹⁷.
48. In the present case, nothing has been brought to our notice that the Respondent No. 3, though, was more meritorious than the Respondent No. 1 had availed any relaxation *qua* the essential qualifications for the said post of UR (PWD-LV).
49. In view of the above discussion, it is clearly evident that the Division Bench of the Calcutta High Court had misunderstood the implication of the aforesaid condition in the recruitment notification.

15 (2022) 4 SCC 1

16 (2017) 12 SCC 680

17 2025 INSC 1084

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50. Consequently, for the reasons discussed above, the appeal succeeds, and the impugned judgment and order dated 07.05.2024 passed by the Division Bench of the High Court of Calcutta in MAT 69/2024 with CAN 1 of 2024 is set aside, restoring the decision of the Single Bench dated 11.12.2023.

The appeal is accordingly allowed.

Pending application (s) if any, stands disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

